

NATCO Pharma Ltd. (NATCOPHARM)

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Call: Aug 2022

August 16, 2022

Corporate Relationship Department Manager – Listing
M/s. BSE Ltd. M/s. National Stock Exchange of India Ltd
Dalal Street, Fort "Exchange Plaza", Bandra – Kurla Complex
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Scrip Code: 524816 Scrip Code: NATCOPHARM

Dear Sir / Madam,

Sub: Transcript of earnings conference call held on August 10, 2022

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements),
Regulations, 2015

We are herewith enclosing copy of the transcript of the Company's earnings conference call for Q1 FY23 held on August 10, 2022. This transcript is also uploaded on our website www.natcopharma.co.in

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This is for your information and records.

Thanking you
Yours faithfully
For NATCO Pharma Limited
Ch. Venkat Ramesh
Company Secretary &
Compliance Officer

Encl: as above

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"Natco Pharma Limited Q1 FY23 Earnings Conference
Call"

August 10, 2022

MANAGEMENT : MR. RAJEEV NANNAPANENI – DIRECTOR & CHIEF
EXECUTIVE OFFICER , NATCO PHARMA LIMITED
MR. RAJESH CHEBIYAM - EXECUTIVE VICE
PRESIDENT , CROP HEALTH SCIENCE , NATCO PHARMA
LIMITED
MODERATOR : MR. KUNAL RANDERIA – EDELWEISS SECURITIES

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Moderator: Good morning ladies and gentlemen and welcome to the Q1 FY23 Earnings Conference Call of Natco Pharma Limited hosted by Edelweiss Securities. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being

recorded. I now hand the conference over to Mr. Kunal Randeria from Edelweiss Securities .

Thank you and over to you, sir.

Kunal Randeria : Thank you Mishel. Good morning and welcome everyone. On behalf of Edelweiss Securities, I welcome you all to Natco Pharma's Q1 FY23 Earnings Conference Call. We have with us Mr.

Rajeev Nannapaneni - Director & Chief Executive Officer of Natco Pharma and Mr. Rajesh Chebiyam - Executive Vice President, Crop Health Science. I will hand over the call to Rajesh for his opening remarks. Over to you, Rajesh.

Rajesh Chebiyam : Thank you, Kunal. Again, good morning everyone and welcome to Natco's Conference Call discussing our earnings results for the first quarter of FY22- 23 which ended June 30th of 2022.

During this call, we may be making certain forward -looking statements or statements about future events and anything said on this call which reflects our outlook for future must be reviewed in conjunction with the risks that the company faces. Like to state the material of the call except for participant questions is the property of Natco cannot be recorded or rebroadcast without Natco's expressed written permission. We will begin with the results highlights and then go for interactive Q&A session. Again, we have sent our press release earlier. Results and press release are also available on our website.

Just to summarize, Natco had recorded consolidated total revenue of Rs. 918.9 crores for the first quarter of FY22 -23 as against Rs. 427.3 crores for the same period last year , reflecting a growth of around 115%. The net profit for the period on a consolidated basis was Rs. 320.4 crores as against Rs. 75 crores same period last year, more than fourfold increase . Export sales of Lenalidomide product to United States was a major contributor to the revenue and profitability of the business during the quarter. The domestic pharma formulation business remained steady. On the expense side, there was a one-time cost associated with retirement schemes in the quarter and higher -than -usual R&D cost for product development. The segmental business split has been shared as well in the press note. We will go for Q&A and we will address the questions. Thank you.

Moderator: Thank you very much . We will now begin the question -and-answer session. The first question is from the line of Ravi Dharamshi from ValueQuest Investment Advisors Private Limited . Please go ahead.

Ravi Dharamshi : My question is regarding the Lenalidomide, can you just explain to us how the recognition is going to happen in this case, some of it we had recognized in the last quarter of FY22 and also Natco Pharma Limited
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there has the split between manufacturing margins and the profit share, so whatever you can share, I understand the competitive reasons why you might not want to share a whole lot, but whatever you can share that will provide us with some sense on how the cash flows are going to pan out?

Rajeev Nannapaneni : I think internal profit share we have booked good amount in Q4 and good amount in Q1 of this year. In terms of further revenue, Ravi, I think it will taper off in Q2 and Q3, there will not be much in Q2-Q3, I think most of it is booked, so there will be a little bit left in Q2 and not much I think in Q3, I think that is my sense, but we will see how it a

ctually plays out. Again, Q4 I

think things will get better and then Q4 of 23, the quarter ending March 23 and again things will improve and again it will be very good, again June 23, again probably it will taper off. That is what the trend looks at, I think based on how things are.

Ravi Dharamshi : So, I have to understand correctly, whenever the supplies are sent at that time manufacturing margins are booked and may be some amount of profit share, but in the subsequent quarter when the sales happen is when the profit share is booked?

Rajeev Nannapaneni : It will be correct.

Ravi Dharamshi : My second question was on the Copaxone, if you can just give us some sense on what are the trends in terms of volume and pricing?

Rajeev Nannapaneni : I think our guys are doing well, I don't remember the last, the market share that we have, but I think we are 40 or close to 50 if I recollect, but I don't remember the exact number, but it is steady state. I think overall volume has dropped a bit on Glatiramer because lot of the product has moved to the oral as you are aware, but I think for whatever size of Glatiramer that is there, I think we are doing very well and that has been a steady state products and it is doing well.

Moderator : Thank you. The next question is from the line of Ankush Agrawal from Surge Capital. Please go ahead.

Ankush Agrawal : Rajeev, congrats on great set of numbers, sir, first on Revlimid again, so wanted some sense on how do you see Revlimid going for Natco post the first initial launch . The reason I am asking this because in terms of volumes, if we say that volume quota is going to increase from mid -single digit to 1x for next 4- 5 years, so naturally the volumes are going to expand multiple, so based on that do you think Revlimid from the first phase here for us in terms of value will grow or do you expect that will largely be stable for next couple of years, even how the market reflects?

Rajeev Nannapaneni : I don't have all the information, but I think, my understanding is that after generics are coming in a staggered manner, so I think our expectation is that again until the market formation happens,
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you can't really tell, but I think our expectation is it will do well for the next few quarters. I think we have good visibility and as you rightly said, we should get more market share with time and I think we should do well. I think that is our expectation.

Ankush Agrawal : Secondly, Rajeev, I think couple of years back we had this guidance of Rs. 1,400 crores of PAT in FY22 which obviously did pan out because lot of things have been played out, but now since things have started moving back, so any color on if we will be able to achieve that number sometime in the future?

Rajeev Nannapaneni : I think, I assume few things, I assume that profit share that we had will be booked in March, but we have booked it over in 23, I think, so that is the kind it has not panned out, but still we have not met the 1400 number, clearly we have not and I think that is primarily driven by the fact that the agro hasn't panned out and our domestic has done too well. That is the reason why I think we are unable to meet. I think these two things we need to address. Let me start with domestic. I think domestic is steady, but I think we have money in the bank and I think we are looking at different acquisitions. Hopefully, we will be able to strengthen our domestic with an acquisition.

I think that is something that we are looking at. Agro, we will share an update, the patent expires on August 13th of 2022 and we also mentioned in the last conference call that we got sued for process patent which is about I think around December 25 fiscal I think the date is . So, now what has happened is the judges appointed a third -party expert to look at whether we are infringing or non-infringing, I think we had taken a p

osition that our process doesn't infringe that patent and they have asserted that we are infringing the patent, so they have appointed a third party expert, so they have appointed two experts, so their opinion is expected and we have been told not to launch till the next date of hearing which is scheduled I think around August 22nd. So, subject to a favorable resolution of the dispute with FMC, I think we are very excited about the opportunity that this product presents, but I think it will play out in the next few weeks.

Hopefully, we will get a favorable order and we will take it from there and the domestic, I think we need to see what we should do on an acquisition side, but I think what has happened in the business, I am giving a general industry about generics is that the market has become extremely competitive and nobody is willing to let go market share and you will only get growth either by acquiring market share by buying an asset or into a new launch. So, I think that is the challenge in our business today and I think that is the challenge that we will see in the future as well.

Moderator : Thank you. The next question is from the line of Ahmed Madha from Unifi Capital. Please go ahead.

Ahmed Madha : I have a question that last quarter, you quantified that we are left with 70 %-75% of the volumes for Revlimid , so as of Q1 what percentage of volumes we are yet to book?

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Rajeev Nannapaneni : I think most of it, there is some left, I don't reveal the number, but most of it is done, only little left. I know I am being a little evasive in answering it, but strategically , I can't answer that question, but most of it is done , Ahmed. I think that is the best way to answer that question.

Ahmed Madha : Second question on the R&D expense, can you explain what kind of nature does unusual R&D expense s as mentioned in the press release and do we consider that this will be new ___ 11.58___ R&D considering the kind of cash flows we have been receiving?

Rajeev Nannapaneni : I think I had said this in the last quarter call as well. I think somebody asked me what we are going to do with this surplus, I think a good portion, I think at least some portion of surplus we are using for spending on R&D, I think we want to build another couple of jackpots that we have, so that we can sustain the pipeline for the coming decade . So, if you see the rise in expenses, there are two primary reasons, one is there is an increase in the exhibit batches and the clinical costs, so we are doing hard to do generics and we are trying to keep most of the economics for most of the products, so that is the reason why there is a higher expense on the balance sheet and the second thing is, there is there is general increase in the operating cost caused by the macroeconomic environment in the world as you know. We have seen a dramatic increase in fuel prices, furnace oil, coal, we have seen dramatic increase even in electricity prices, so I think that has probably contributed to the increase in a bit in the OPEX, but I think good portion of the increase is coming from more spend on R&D.

Moderator : Thank you. The next question is from the line of Hiral from Monethics . Please go ahead.

Hiral : Congratulation for the good set of numbers, my one question is that if I see the quarter -on-quarter performance compared to March 22, the June 22 numbers revenue has increased for more than 30-35% while the cost of

material consume has gone almost half from Rs. 193 crores to Rs. 95 crores odd, so whether there is a reduction in the cost substantially and how if this is a sustainable for the future or if I miss something in the chart?

Rajeev Nannapaneni : You actually missed something. Basically, what happened in last March quarter was we have done a write -off of the COVID inventory, it is not true consumption, so lot of the raw material tha

t you see is write -off of the COVID inventory, so that is the reason why you see very high consumption. That is the reason why there is a difference in the consumption.

Hiral : So, from the current quarter, what I see the margin and the revenue utilization, these are the actual margin, right and we can expect?

Rajeev Nannapaneni : Actual margin, most of it is actually consumption and about, I would say some portion of it is also R&D expense where when you do exhibit batches, you expense those off, when we do the exhibit batches , so the portion of this and a portion of the ac tual consumption.

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Moderator : Thank you. The next question is from the line of Rajat Setiya from iThought PMS. Please go ahead.

Rajat Setiya : Sir, just one clarification, did we say that when we said that we have booked most of the numbers in quarter 1 itself and nothing much will come in quarter 2 and quarter 3 and the cycle will begin again from quarter 4, did we refer to the manufacturing margins there or the profit share from Revlimid ?

Rajeev Nannapaneni : Let me clarify, the profit share for the laun ch, we have booked in Q4 of last year and Q1 of this year so far and one of the gentlemen asked me how much of the profit share is still, I said most of it is done, little bit is left that we booked in Q2 or Q3 of this year and the manufacturing also will be booked in the next few quarters, but the majority of the profit share will get booked when we get to launch the new quantity in Q4 and Q1 of next year in 23.

Rajat Setiya : Sir, so a question here, so it means basically we have sold, we are given an annual volume permission to sell certain numbers and we have probably sold most of that already in the first 5-6 months, however, if we look at the BMS sales reported in this quarter, they have actually grown, so how is that possible, we have taken away some s hare from them for sure, in fact more than our permitted share in the first 5-6 months and we will not sell much in the next 5- 6 months and that is how we will reach to our annual quota, however, we have taken some share from there, but they have also grow n in this quarter on Q -on-Q basis, so how is that possible, I am not able to understand?

Rajeev Nannapaneni : I think there is a general growth in the molecule. Again, I have not looked at BMS statements, I can't qualify , I can only tell you what I have done. It will be hard for me to judge what BMS has declared, but I think the only logical sense, possibly the size has gone, but again I can't answer your question.

Moderator : Thank you. The next question is from the line of Ritika Agarwal from ValueQuest Investment Advisors Private Limited. Please go ahead.

Ritika Agarwal : Sir, last quarter, you had indicated that this Rs. 85 crores of agro inventory currently in your balance sheet and you classified that as the risk, so in the current quarter, of course you said that you are up beat on it and expect a favorable outcome, but what is the worst case scenario what is we do not receive a favorable outcome, what trig gers this risk?

Rajeev Nannapaneni : Good question, we have not made assessment yet, but what I can tell you is for _ 18.04 _ we will tell you what we are dealing with. I think I just got an update on the inventory, so the total inventory in agro is about little over Rs. 100 crores, I think that is the current, Rs. 108 crores is what I have u nderstood. So, it is reflected in the inventory of the books and there is also an investment on the facility which is about Rs. 165 crores, I think that is the total investment in

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the facilities. The question now is what will happen if you get the adverse of it. I think there are, let us wait for the lower court verdict with single judge verdict and even if you are unhappy or if they are unhappy with the verdict, they will

definitely go to a DB, so I think we will make the assessment in this financial year and what to do and so if everything was well done, then I guess we don't have to provide, but and I think if you are not getting clarity, then we have to make a decision on what to do, but these are the numbers and what to do and all I think we will, let us wait for the clarity and I think we will make a decision. I think that is where we stand.

Ritika Agarwal : Sir, what you are saying is, could we expect that these inventory might expire and we may have to write -off if things do not fall in the correct place?

Rajeev Nannapaneni : I think I don't want to answer that question now. Let us wait for the court to decide and I think let us see how things go and we will update you and I think when we have to make the decision,

but I think I don't want to answer your question at this time, but I gave you the broad numbers what we are holding and I think that is adequate disclosure at this time.

Ritika Agarwal : Sir, also last quarter, our inventory was Rs. 760 crores, could you update what is the current inventory?

Rajeev Nannapaneni : As of today, I don't have the console with me, I have the standalone which is most of the inventory. Our current inventory is Rs. 674 crores and this includes the agro inventory of 108, whatever that number is.

Ritika Agarwal : And lastly, what is our cash and cash equivalent currently on the balance sheet?

Rajesh Chebiyam : Ritika, as of today, it is about Rs. 1,134 crores is the cash -cash equivalents and total borrowings is about Rs. 168, of that about Rs. 180 is foreign bill discounting and about Rs. 60 crores working capital borrowing.

Moderator : Thank you. The next question is from the line of Prakash Agarwal from Axis Capital. Please go ahead.

Prakash Agarwal : Sir, on the R&D you mentioned you are taking more initiatives and filing more complex, so which areas are these, what is the percentage of sales we are doing on the R&D especially for the quarter and what areas are these?

Rajeev Nannapaneni : I think I will answer your question in terms of area, we are focusing on Oligopeptides, that is one area we are focusing on and we are focusing on onco products, particularly onco products which require clinical trial on patients, so I think these are the niche areas we are focusing on.

As a percentage, I don't have the number on hand Prakash, so I can't answer that question, but I think we are spending reasonable amount of R&D which is reflected in the cost.

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Prakash Agarwal : And how many of the filings we have already done or all of these complex filings are still WIP?

Rajeev Nannapaneni : I would say, some we have done and some are WIPs, so we are targeting about 8 to 10 this year, so I think what you are spending now are WIP .

Prakash Agarwal : And you mentioned about most of the profit and supply of the goods of Revlimid is largely booked, so how do you expect the run rate for the export formulation business going ahead for the second half of the business, do you expect a drop there or?

Rajeev Nannapaneni : I think Lenalidomide contribution in Q2 and Q3 will be minimal, yes that is correct. You will have the numbers without Lenalidomide.

Prakash Agarwal : What is our normalized run rate, base business run rate?

Rajeev Nannapaneni : I don't answer that question, so I think because there will be some element of Lenalidomide also there, I don't want to answer that question.

Prakash Agarwal : And for the India business, you mentioned that you are trying acquisition, new initiative, so if you could talk about little more on that?

Rajeev Nannapaneni : We are looking at different assets, I think we have said that in the last quarter call as well. I think there are a lot of assets available now, so we have very different options and hopefully we will be able to close the transaction in this financial year.

n in this financial year.

Prakash Agarwal : Any particular areas you are looking at ?

Rajeev Nannapaneni : I don't want to answer that question. We are looking at all areas, but I think once we consummate a deal, definitely we will.

Prakash Agarwal : Why I ask is because our focus area has been highest MR productivity, with less MR we get quite good amount of sales in these kind of portfolio, so it is similar or we are coming into the broad IPM?

Rajeev Nannapaneni : We have to come in the broad IPM Prakash, because otherwise we will not have growth. I think there is a limitation to my niche portfolio. I think we have done well with the portfolio, but there was limitation to how much can grow in that segment. We have to go into a more GP, CP, Cardio, Gynec, Anti-infective, I mean that area is very wide for us because we are not present in any of the mass segments, so any segment could be interesting as long as we are able to get some synergy, where we use that segment with the acquisition and void couple of our own R&D products so that we are able to get the synergies. So, we are open to any segment as long as we see that has potential, yes .

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Moderator : Thank you. The next question is from the line of Surya Patra from Phillip Capital. Please go ahead.

Surya Patra : Congrats for the good set of numbers, sir, just couple of clarification, with regard to this Revlimid, this volume limited condition whatever that is there for the period, so how rigid is that and whether the volume condition is for the annual condition or it is periodic like quarterly one should be having that mid to single digit kind of number, some clarity if you can?

Rajeev Nannapaneni : It is an annual number , Surya.

Surya Patra : So, that means one can be having a larger number in the initial period or whichever part of the period and in other period it could be lull, so that can be possible?

Rajeev Nannapaneni : That is possible, correct.

Surya Patra : May I know sir, what is the R&D sequential rise, let us say last quarter what was R&D absolute amount and this quarter what could be that?

Rajeev Nannapaneni : I don't have the number but I think I can't answer that question because I don't have the number on hand.

Rajesh Chebiyam : I think overall for the last financial year, if you look at 12% of your topline was spend on R&D, so it is incrementally higher than the prior year which was around 8-9%.

Surya Patra : No, my point what I was trying to draw you sir, basically sequentially if I see the formulation export growth, it is near about Rs. 360 odd crores kind of incremental business sequentially and the EBITDA level , let us say , if I adjust for the previous quarter's adjustments of inventory and all that this quarter's for voluntary VRS payments so then there is a Rs. 330 odd crores kind of sequential improvement in the EBITDA level, so if I just having limited information, just think that okay, the majority of this sequential revenue rise is led by Revlimid contribution and same is the kind of or majority of the EBITDA contribution is also from that only, then the profitability of this product looks really great, it is beyond anybody's expectation in terms of margins for this revenue stream, whether I am right in thinking that way or if you can give some sense?

Rajeev Nannapaneni : I don't give a profit split I mean as you know this product is doing, we have launched it first, so it is still certainly very profitable.

Surya Patra : But indirectly, if you can just try to get a sense of whether the pricing of this product is like 10-15% lower in the?

Rajeev Nannapaneni : I can't answer that question, I think I have been forbidden to answer that question. Teva has given us guidance, what we can say and what cannot say, we can't say about.

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Surya Patra : L

ast one question if I can ask on that sir, so is it a 50- 50 revenue sharing or it is profit sharing?

Rajeev Nannapaneni : One third, there is only 30%.

Surya Patra : Revenue or profit, sir?

Rajeev Nannapaneni : Profit.

Surya Patra : So, that means you would be booking partial revenue at the time of this thing?

Rajeev Nannapaneni : Partial revenue when you send the raw material and the profit is booked as and when it is accrued.

Moderator : Thank you. The next question is from the line of Danesh Mistry from Investor First Advisors.

Please go ahead.

Danesh Mistry : Just one question I had is that on domestic business, which is ther e, you mentioned that last time there were some pricing pressure especially onco side, so is that passed us? Number two is that are we seeing any volume growth of pickup in that space? Number three is that in terms of our US business on export, US ex -Revli mid I think last year may be some of our incremental

business was not doing well because of masking, but any sense on whether you see that improving in the coming year?

Rajeev Nannapaneni : Your first question is on the US business environment and what is t he second question, what is the first part, I just missed?

Danesh Mistry : The first part was essentially in the domestic onco business, you had mentioned that there was some pricing pressure in the last quarter, so is that kind of past us, are we seeing volume growth coming back?

Rajeev Nannapaneni : I think it is stable, the domestic is being stable, I think we are doing well and I think we have done well in the cardiology division, I think overall the business is stable, but it is not growing, I think that is the challenge that we are having in that business and I think the diagnosis that we have done in that business is that we are too limited in terms of the reach that we have because we are only covering niche amount of doctors . Our core business was covered by only 300 reps which is not even if they are covering about 150 doctors o n average, we are not even covering the tip of the ice berg of the whole ecosystem on doctors, but one of the m ajor changes that we need to make is cover a larger segment, so we started a new segment now which will give us the mass coverage, so we are slowly ramping up the reps, but again, it is a very slow business unless we do an acquisition where we have a basic portfolio, then it does not allow to cover larger segments. I think that is what we need to fix and that is what we intent to fix in the next few

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quarters, so that is on the domestic. Regarding US, it is a tough business. That is the only way I can answer that question. I think you need to have a good launch or a niche product, otherwise

it is very difficult to make money in the US and that is the way it works and the way the market is set up, that is the only way you can do it. Does that answer your question?

Danesh Mistry : Just one question I think you have been very clear on that, but in terms of the other part of our business, ex Revlimid in the US, where I last few years we had this while influenza thing not working out because of?

Rajeev Nannapaneni : Sorry, I missed that question, influenza as a business has also gone Danesh, I don't see it coming back at all. We will book sometimes some revenue, but the margins are very low, it is nothing exciting where I can come back and tell you that they will make substantial dent on EBITDA. If you ask me the whole Tamiflu thing is dead, I am not saying I don't sell Tamiflu that is the way, we will not deny that, but it is a very commodity product. There is nothing special about it.

Moderator : Thank you. The next question is from the line of Sameer Shah from ValueQuest Investment Advisors Private Limited. Please go ahead.

Sameer Shah : I had two questions from my side, one, on the rest of the world geographies, what are the things, say next 2- 3 years to look forward to, I think Canada is doing well, but if you can give some more color on the other markets?

Rajeev Nannapaneni : I think in the earnings, I think we did about in Canada, we did almost 9 to 10 million Canadian last quarter, so we have done well in that particular subsidiary, let us give the exact, give me a moment, and Canada we have put over Rs. 53.67 crores in the balance sheet in Canadian sub. We have done well. Brazil has also done very well. Brazil has done Rs. 18.2 crores, so I think our core business, our whole subsidiary business is doing about Rs. 105 crores. So, that is a very good situation to be. Our idea is that we should strengthen our subsidiary business and all our subs are making money except for the US sub which we recently acquired. So, that is also something that we need to fix, but overall, I think the near term, to answer your question, to improve our base earnings, we need to fix two things, one is, we need to enhance our domestic reach through an acquisition or with new launches; two, I think the agro, we need to have clarity; three, our US sub where we are launching our own products that also have to start making money. So, US my sense is it will lose money for the next 1- 1/2 years, we have to stabilize this. So, I think our expectation like 24 financial year, I think we should be able to see some clarity there. Agro, we are waiting, so once the court verdict comes and domestic as I said, I think we are looking at different options, but acquisition and domestic growth is what is going to. These are three major things we need to focus on.

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Sameer Shah : And secondly on the agrochemical piece domestically, while we understand the CTPR whatever is happening that we are very clear, but apart from that if you can whether fair amounts of everything else, what are the other things that we are targeting if there is some color on that?

Rajeev Nannapaneni : Pheromone is something that we are trialing right now. We have this product for PBW, pink bollworm in cotton. This has done a reasonably well this year. I think our expectation is that business should do well this year. I think our expectation is that that whole agro business minus CTPR should do about 10 to 12 crores this year, I think that is our expectation, but it is not going to move the needle and I think you need a larger portfolio and I think we have other products that we have filed, but we don't have visibility on them at this time. CTPR is the only one that we have visibility and that is as you know our very large product, so this CTPR from what I understand is more than 10% of the whole agro business. So, I think you need to get this right, but you know how we are as a company, I think we always like to bet on jackpot and it is the nature of the bet, but in the near term I think that is what we are looking for.

Moderator : Thank you. The next question is from the line of Pinaki Banerjee from AUM Capital Private Limited. Please go ahead.

Pinaki Banerjee: Sir, there is a news article where you are investing in that cell therapy startup eye systems, can you please throw some light on it, sir?

Rajeev Nannapaneni : Sure, I think as part of that we have about Rs. 30 to Rs. 40 crores investment that we do in healthcare related sectors, so as part of that and I think we have not, as you know we want to build, so the future of the business is doing innovative work and in our core business, our focus is primarily on generics, so we do some work, but I think most of it is on generics. This is an interesting opportunity, there we are investing about \$1 million, Rs. 7.5 crores to be more precise less than \$1 million and this startup is doing some work on macular degeneration, so I think it is a very interesting niche portfolio, but it is a very minority single digit share, it is nothing substantial, it is just

just part of our larger portfolio, just to get a feel of what is going on in the ecosystem, so we do this investments just to get a feel of the ecosystem here.

Pinaki Banerjee: Sir, next question is sir, actually agrochemicals has been just a miniscule part of your revenue now, so actually sir, are you contemplating any ways to actually increase this revenue share considering the fact that you have number of stiff competitors in the Indian market also and both

national as well as international?

Rajeev Nannapaneni : I think the way we are looking at acquisitions in this space and we are also looking some success in our product launches, but the business at this stage is an infancy, but I think our thinking internally is that this business has to go large and I think hopefully it will become about 10 to 15% of our sales in the next 2 to 3 years depending on our success.

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Moderator : Thank you. The next question is from the line of Gagan Thareja from ASK Investment Managers. Please go ahead.

Gagan Thareja: Sir, on CTPR, I think you indicated that the patent goes off by August of 2022, so irrespective of the litigation you should be able to launch one way or another, right?

Rajeev Nannapaneni : No, I have answered that question Gagan, you missed the answer. I will just tell you a second.

The patent of the product goes up on August 13th, 2022. We have been sued for the process patent which is how to make CTPR through a process for a patent which expires in December 25. We are telling the court that we are not following their process. We have a non-fringing process. So, the court has appointed a third-party expert to evaluate what are processes and compare it with their process and it listed the matter on August 22nd and we are awaiting the expert opinion and once we get a favorable outcome, we will be able to launch the product. I think that is what I said.

Gagan Thareja: But does that mean that other companies can potentially come in and launch their product post 13th of August who would not have challenged?

Rajeev Nannapaneni : Anybody who has a non-fringing route technically can launch the product, I think that is the best way I can answer that question.

Gagan Thareja: Second question is, on the domestic sales, you indicated that it has not grown year-on-year and if I look at one of your competitors AstraZeneca who has oncology portfolio in India, they have grown significantly over the last 3 years, is there being a case of them bringing in some patented molecules which might have impacted the existing generic portfolios in oncology and therefore sort of shifted market share away?

Rajeev Nannapaneni : Astra's business model is different, our business model is different, what Astra portfolio has done is something I can't comment on because I don't understand it, I don't know it. What I can tell you is about the generic portfolio which is what we are as a company. The portfolios that we have done have been steady and we have seen price erosion. It is not a true comparison because theirs is an innovator portfolio, ours is a generic portfolio, so I think it is not a fair comparison, because it will be operating in two different environments and overall our portfolio has started, there is nothing to hide there, I think because of the limitations of the segments that we are covering and I think we have good launches that we have planned, so we are seeing this sales has been steady. I will not say that it has not declined and nor it increased, it has been steady. I think our idea is that we need to launch new segment and consolidate that segment.

Gagan Thareja: And the final question on US if I can, lot of your peers have indicated continuing double digit, in fact, mid to high double-digit sort of a base price erosion on their generic business, what has

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been your experience on your portfolio and what has been the year-on-year sort of performance for your base portfolio in US?

Rajeev Nannapaneni : I think if we remove Lenalidomide which is the elephant in the room, the other portfolio has been steady, it has not, in fact may be declined slightly, but it has been steady, but we have made up with like launches in the other ROW market, I think that is what has happened. In the US, pricing is difficult. I think I have always said, I think unless you have something interesting and special or limited competition, it is very difficult to make money. So, I think we have been reasonably successful, I mean we had reasonable launch of Everolimus last year, so it is not that all of it has been a complete decline of business but having said that it is a tough business. There is no way getting around that, but still, it is a very important market, you just can't avoid because 50% of the pharmaceutical market is in the United States. So, we just have to be there and just try to do something interesting and just hope that it works. I think that is how you do this business.

Moderator : Thank you. The next question is from the line of Sameer Baisiwala from Morgan Stanley. Please go ahead.

Sameer Baisiwala : Rajeev, a quick one on Revlimid, are you doing a continuous manufacturing and supplies to Teva or are you doing it on a campaign basis?

Rajeev Nannapaneni : We do it on campaign basis.

Sameer Baisiwala: That is why you have two quarters when you get a lot of profit share et cetera in two quarters

when you are not getting?

Rajeev Nannapaneni : It depends on like, yes, in a way sure, that is correct.

Sameer Baisiwala: And just one final one on this, even when the other competitors do launch end of September whenever they do, it is highly volume -controlled launches and my guess is that market would always be under supplied, so therefore is there really a pricing risk here or you think that you can maintain high profitability and pricing for a period of time?

Rajeev Nannapaneni : I think the product should do well, I think that is the best way to answer that question. Regarding the other competitors and all, I think there will be staggered entries, so that will obviously play a role on the price erosion, but it will be a good product overall.

Moderator : Thank you. The next question is from the line of Ravi Dharamshi from ValueQuest Investment. Please go ahead.

Ravi Dharamshi : I just had a small followup, did the current quarter number have any contribution from Nexavar?
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Rajeev Nannapaneni : Yes, it did.

Moderator : Thank you. The next question is from the line of Sandeep Kothari from East Lane Capital. Please go ahead.

Sandeep Kothari : Quick question on the FMC litigation, appointing of an expert committee or expert, is it very normal in process patents in India or this is something unique and do you have a say in appointing this or court accept somebody and appoint them and what is the potential for delay, there have been couple of hearings, it is now 22nd August, so just how this plays out?

Rajeev Nannapaneni : How it will play out, I don't have an answer to that Sandeep, I don't know. What I can tell you is the process, so in our experience and litigation, at least I would like to say that we are fairly experienced in this because we have done a lot of litigation patents in India. In one other case, we also had an expert appointed when the court is unable to decide where if they need technical help they do ask an expert. So, is it unusual, no, I think we had it in the past, this is again, second time it has happened. That is the first question. Second question is, there are two experts appointed, so essentially there is a panel that the court has, so we chose one member and they chose one member, so I think we just are waiting their response

on the questions posed by the

court. Once the opinion comes, how quickly the judge will make a decision, hopefully soon, I think that makes and I think that is our expectation, but I don't want to speculate on a timeline at this time. I think it is what it is. I mean we are hoping that we will get clarity in the next few days. That is all I can say.

Moderator : Thank you. The next question is from the line of Nikhil from SIMPL. Please go ahead.

Nikhil: Rajeev, just adding 2 -3 points, in the whole discussion we mentioned that we do campaign production which means we provide our substance to Teva on a quarterly basis and then somewhere you also mentioned that profit booking has accrued which means when we do the sales, then only the profit will be booked to us, now if we go back to what Teva and BMS reported on the sequential basis in their revenues, I am unable to add up what you say what happened in Q4 and Q1 because neither Teva has seen such a strong sales growth on a Q-on-Q basis in their generic business, not BMS has seen such a strong degrowth in Revlimid in the US business. So, how does we add the issue with your commentary?

Rajeev Nannapaneni : Nikhil, first of all, go read the Teva statement carefully, they have clearly stated that Lenalidomide is a significant contributor to the earnings and for the size of Teva's business, Lenalidomide doesn't make much of a difference because of the size of Teva's balance sheet. It makes a lot of difference for us because we are a smaller company and regarding BMS' number I can't comment about BMS' numbers, but I can only talk about what market share we have taken and I think what we have accrued and I said there is a general increase in the portfolio of that
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product, so therefore maybe it is not impacting, I am speculating. That is what I believe is probably happening.

Nikhil: So, is this right that the profit will accrue only when Teva sells in the market?

Rajeev Nannapaneni : Absolutely correct.

Nikhil: Then that does not mean that Q2 -Q3 Teva will not sell anything in US?

Rajeev Nannapaneni : Nikhil, I will answer this question again. See, what is happening is there is a limited amount of quantity that is given, so because you have a limited amount of quantity that is given, basically what happens is lot of sale happens as soon as you launch, so basically once the quantity what you call is done, then the sale kind of tapers off. Nikhil, I suggest that you have a separate call with our IR, I think he will actually explain you the process.

Moderator : Thank you. The next question is from the line of Ankush Agrawal from Surge Capital. Please

go ahead.

Ankush Agrawal: I had a follow-up, Rajeev, so the domestic acquisition has been profitable, so would it be possible for you to quantify in terms of what kind of sizes we are looking at, so example, currently we have just Rs. 1,000 crores cash, so would it be around that number to be materially higher given that the cash flow we will be getting?

Rajeev Nannapaneni: We are looking at any good opportunity, so I don't want to comment on the size, but I think we had started somewhere, so anything in the Rs. 100 to Rs. 200 crores sales range would be interesting to start with, sales range and depends on what multiple they will ask I don't know, so it all depends on how the negotiation works and the nature of the portfolio and the profitability of the portfolio, yes. I think that is what we are looking at.

Ankush Agrawal: And secondly on the CTPR again, so you mentioned that the first is the case on the lower court and then they might again appeal to the tribunal and all that stuff, so don't you think there is a material risk to keep getting stressed and the opportunity for us by the time we are able to do it is not really there?

Rajeev Nannapaneni: I think it is not tribunal, it is a high court, so basically what happens is typically a single judge

will give an order and whoever is agreed will go to the double bench, so that risk is there, that is the nature of it, that is all I can answer, so that risk is there. Your question is there is the risk that if the TB can overturn a decision, yes, there is always a risk in any court case, but that is the risk that you take.

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Ankush Agrawal: The reason I was asking that even if you get stable outcome over there, then they can give an appeal, then we are again not able to launch, because it has always been delayed by more than a year now from the initial, we run in the major risk of write-off because if you get continued to get stretched then the opportunity just keeps on (Inaudible) 52:39 so that is why I was asking, but you yourself can't help it?

Rajeev Nannapaneni: Let us see, let us not speculate, let us wait for the order and I think we will see what happens and see, that is the nature of that and that is how this legal system works. I think I am not getting into whether Natco gets favorable or FMC gets favorable, whoever is on the losing side we will appeal in the DB, isn't it, double bench and if they are not happy with DB they will go to Supreme Court. That is the natural course of the process and it is where it is. That is all I can say and let us wait for the verdict and I think we can give you more light on where we stand and what we are doing.

Moderator: Thank you. The next question is from the line of Mitesh Shah from Nirmal Bang. Please go ahead.

Mitesh Shah: I will just have a one question about the domestic, as you said that we struggled mainly because of this smaller of the team size and we are looking for more assets, so how it will work that we first ramping up our size and then looking the assets and we stayed away with the assets, we are taking the team as well?

Rajeev Nannapaneni: It depends on the nature of the acquisition, we have ramped up the people, but the people are not yielding much. The revenue that we are getting from the Natco division which is the more wider coverage division is not as much where it is meaningful, so if you do an acquisition, typically they will give you people, sometime they give you the brand. It depends on the situation. To

answer your question, the best way to ramp it up is with the people and the brand. I think that is probably the most ideal way of looking at it.

Mitesh Shah: And any particular team size you are looking to increase in next couple of years?

Rajeev Nannapaneni: I answered that, I think the first one in my mind, I am looking at sale target of about Rs. 100 to Rs. 200 crores and whatever multiple that the deal transaction ends up there.

Mitesh Shah: Sir, I am talking about team size you are ramping up over a period of 2 years?

Rajeev Nannapaneni: You need lights to cover like the biggest segment that we are not covering is consulting physician and general physician, so you need to do all India coverage for a segment like that, probably we need like 300-350 people, so it is double of what we have at this time.

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Moderator: Thank you. The next question is from the line of Ahmed Madha from Unifi Capital. Please go ahead.

Ahmed Madha: Imbruvica, do you have any update?

Rajeev Nannapaneni: No, at this time Ahmed, nothing at this time.

Ahmed Madha: And just a confirmation, so from March 2023 we will have higher team in the market here?

Rajeev Nannapaneni: That is correct.

Moderator: Thank you. The next question is from the line of Ritika Agarwal from ValueQuest Investment.

Please go ahead.

Ritika Agarwal : I have a question on domestic formulation, last quarter you have indicated that Rs. 100 crores base run rate is what we are at currently in the domestic formulation and we expect 10 to 15% growth this year based on the new launches, do we still stand on this, what we indicated last quarter?

Rajeev Nannapaneni : I think so, okay in domestic; I think we will be able to meet that target. That is our expectation. That is correct.

Moderator : Thank you. The next question is from the line of Gagan Thareja from ASK Investment Managers. Please go ahead.

Gagan Thareja: This one is again on CTPR, if the verdict goes in your favor, would you be given exclusivity for the launch of CTPR or because the patent would have expired any which ways, you would be launching with other people in the market?

Rajeev Nannapaneni : We will win first day of launch , India doesn't have a consent or exclusivity like the US, so anybody else also could launch, provided they have a non-fringing route on the process.

Gagan Thareja: But I would have thought there is a marketing exclusivity period for a launch in a 93 format?

Rajeev Nannapaneni : No.

Moderator : Thank you. As that was the last question for today, on behalf of Natco Pharma Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2022

17th November 2022

Corporate Relationship Department Manager – Listing
M/s. BSE Ltd. M/s. National Stock Exchange of India Ltd
Dalal Street, Fort "Exchange Plaza", Bandra – Kurla Complex
Mumbai 400 001 Bandra (E) Mumbai 400 051

Scrip Code: 524816 Scrip Code: NATCOPHARM

Dear Sir

Sub: - Transcript of earnings conference call held on 11th November, 2022
Ref:- Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements),
Regulations, 2015
We are herewith enclosing copy of the transcript of the Company's earnings conference call for Q 2 FY23 held on 11th November, 2022 . This transcript is also up loaded on our website www.natcopharma.co.in.

Thanking you

Yours faithfully
For NATCO Pharma Limited
Ch. Venkat Ramesh
Company Secretary &
Compliance Officer

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"Natco Pharma Ltd Q2 FY23 Earnings Conference Call"

November 11, 2022

MANAGEMENT : MR. RAJEEV NANNAPANENI – DIRECTOR & CHIEF
EXECUTIVE OFFICER , NATCO PHARMA LIMITED
MR. RAJESH CHEBIYAM – EXECUTIVE VICE
PRESIDENT , CROP HEALTH SCIENCES , NATCO PHARMA
LIMITED
MODERATOR : MR. KUNAL RANDERIA – NUVAMA WEALTH
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Moderator: Ladies and gentlemen, good day and welcome to Natco Pharma Limited Q2 FY'23 Earnings Conference Call hosted by Nuvama Wealth. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Kunal Randeria from Nuvama Wealth. Thank you and over to you, sir.

Kunal Randeria: Thank you, Vivian, and good morning, everyone. On behalf of Nuvama Wealth, I welcome you all on Natco Pharma's Q2 FY'23 Earnings Call. With us, we have Natco Pharma senior management team represented by Mr. Rajeev Nannapaneni -- Director and Chief Executive Officer; and Mr. Rajesh Chebiyam -- Executive Vice President, Crop Health Sciences. Over to you Rajesh for opening remarks.

Rajesh Chebiyam: Thank you, Kunal. Good morning and welcome everyone to Natco's Conference Call Discussing our Earnings Results for the Second Quarter of FY'23.

During this call, we may be making certain forward-looking statements or statements about future events, and anything said on this call which reflects our outlook for the future must be reviewed in conjunction with the risks that the company faces. Like to state that the material do not accept for the participant question, is the property of Natco, cannot be recorded or rebroadcast without Natco's expressed written permission.

As always, we'll begin with the Results Highlight and then we'll follow up with an Interactive Q&A Session.

Hope, all of you have received our financials and the press release that was sent earlier yesterday. These are also available on our website.

To summarize, Natco had recorded consolidated total revenue of Rs.452.6 crores for the second quarter of FY'23 as against Rs.415.2 crores for the same period last year, reflecting approximately 9% growth. The net profit for the period on a consolidated basis was Rs.56.8 crores as against Rs.65.1 crores, same period last year. During this second quarter, the profit share associated with export of Lenalidomide product to the US was minimal, as was also communicated during our prior calls.

Pharma domestic business is beginning to show growth. And in our Crop Health Science Division, the CTPR associated products were launched, which we are excited about and expected to boost growth in the near future. The split in terms of revenue has already been shared. So, we can address those questions if you have.

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Over to Q&A.

Moderator: Ladies and gentlemen, we will now begin the question -and-answer session. First question is from the line of Rashmi Sancheti from Dolat Capital. Kindly proceed.

Rashmi Sancheti: Sir, can you update on India business like, how many new product launches have you done so far? How is our oncology business ramping up now? And also about your cardiac and diabetology segments? And any price hikes we have taken and have you added any new product because we were also planning to do that for the second quarter?

Rajeev Nannapaneni: So, domestic is looking stable now. We launched about four brands in this Q2. And in terms of growth of the domestic, I think we're looking at multiple acquisitions and we have been able to find something, we're hoping to close a transaction in the next few months, these are various seriously multiple acquisitions, and this I think will drive the growth of the domestic business.

Rashmi Sancheti: Then how's your oncology business going on, do we see stability in that business or we are still seeing pricing pressure?

Rajeev Nannapaneni: There's not much pricing pressure. So, the oncology revenues are stable. We are having some good launches in oncology in the next few months. So, I think we see all these businesses growing. And I think that to get a big bump in domestic, I still feel we need an acquisition. I think the challenge that we have is, we only cover specialty doctors, we don't cover general physicians and larger segments of doctors. So, I think that's what I believe in either we do it through increase of field force, or we do it through an acquisition. I think that's what we're working very hard at.

Rashmi Sancheti: And my second question is related to the CTPR. In the current quarter, have we realized any sales or it is all (Inaudible) 6.09 sales only in your agro breakup? And also if you can update, have we hired any new MRs for CTPR product or we are planning to add new MRs over there?

Rajeev Nannapaneni: I think on CTPR, we didn't have any sale at all. A lot of the sale will come in the coming quarters. We're very excited about the opportunity. I think in the near term that's going to drive the earnings, and we have stock and we have orders from the trade, and we're looking forward to the rabi season, which is coming up in the next two months, and also for the kharif we are fully geared up. And we are splitting this business up between two parts -- our own brand and also third -party support. In both places, we're getting very good traction. And I think we have a lot of people reaching out to us from the trade and from other B2B customers, other corporates. So, we believe we should do very well. And I'm very excited and I think you'll see a good bump in earnings in the next two quarters from CTPR, that will drive our base business in the next few quarters.

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Moderator: The next question is from the line of Darshita from Antique. Kindly proceed.

Darshita: So, my question was regarding CTPR. I wanted to understand how are we scaling up this product, and what kind of revenue distribution do we expect from B2B and B2C, are we looking at 50% B2B and just from B2C? I wanted some idea from that. Secondly, I wanted to understand that are we placing a product at a discount to the current MNCs products that is available in the market? And how are we trying to sort of gain the market share from the MNCs who's already there in the market?

Rajeev Nannapaneni: In terms of discount, our discount is about 25% on the MRP, and then we're giving additional discounts to the trade to give incentive to stock our product and push our product. So, we're definitely far more profitable to sell than the competitor. In terms of the split Between B2C and B2B, I think way things are looking, unless the numbers comes I can't guarantee but I think 50% to 60% of the sale or even more will come from B2B and about 35% to 40% will come from B2C, I think that's the split. I'm expecting, again, until the numbers come, we can't say, but the majority will come from B2B. I think that's how that whole business works. I think peop

le not

only sell their own brand; they also give to other people for better reach. I think that's how the whole business works. So, that is my reading. And I just missed a question from the earlier lady. I think we are hiring reps actively now. I think we're gearing up for the rabi and the kharif season. I think we're in good shape. Again, I'm super -excited, and I think you'd see the benefit of our foray in the next few quarters.

Darshita: Any plans on starting export for the product or are we only going to first concentrate on the domestic market?

Rajeev Nannapaneni: Domestic is the one that's opening up first, I think domestic is going to drive the near-term earnings, but meanwhile our team is also working on some export registrations, that's also parallely ongoing. But that takes time because registrations take time outside India. But I think over a period of time, we will also see the benefit of time. But in the near term, it'll be driven by domestic cars.

Darshita: Could you give us a highlight who are your clients on the B2B end?

Rajeev Nannapaneni: It's a little unfair to answer that question, but I think you will see the benefit of the earnings and the partnership. I think we'll speak about it as we go along. But, as of now, I think we're negotiating with everyone. I think, premature to say that.

Darshita: So, the understanding is for CTPR currently, we will start working on the B2C opportunity first with the rabi season coming up, and then eventually, maybe in the second half of CY'23, we will have some revenue coming in from the B2B as well?

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Rajeev Nannapaneni: No-no-no, we are working both of them parallelly, at the same time, we will get benefit of B2C and B2B starting from the December quarter itself. It will scale up a bit in March, and it will peak in June,, because that's when the kharif is. You will see a very good growth slowly, but I think startups slowly in the December quarter, it will improve in the March quarter and it will peak in June quarter. I think that's my expectation.

Darshita: Like, are we expecting any kind of backlash coming in from the MNC any more or we're clear on that?

Rajeev Nannapaneni: I will just clarify the legal position and legal update. I think we won the single best order. And we've also announced that they have challenged this in front of the double bench. The order has been reserved. So, let's see how that goes. But we are very confident about our position. And we believe strongly that I think we have a good legal position and that we are not infringing. And I think the single judge order should be upheld by the double bench. I think that's our personal belief.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital. Kindly proceed.

Nitin Agarwal: Just sort of taking on CTPR again. Have there been any more generic lunches apart from yourself in the market so far?

Rajesh Chebiyam: I think from what I understand, a lot of people are working on it, I think I heard about three, four companies working on it, but the only one that I've seen in the market so far is Best Crop.

Nitin Agarwal: So, again, was the litigation position different than us?

Rajesh Chebiyam: I don't know exactly what their position is. From what I understand, what is available in the public domain is that they also launched and what I also understand their legal position in terms of the process patent has not been resolved yet by the single bench judge. I think they have launched it at risk and their legal position not resolved. I would believe our position is cleared by the single bench,

so I think we are in a better position I would believe in that count, and we also believe that we have the inventory, as you all know, we have the materials, I think we're good to go, and I think it's still a limited competition product, so I think there's enough money for everyone. As I said, the strategy clearly is doing both B2B and B2C. So, we're hedging our bets. So, I think we're very excited.

Nitin Agarwal: Secondly, on US business. So, you've talked about how there was a very limited contribution from Lenalidomide this quarter. So, I guess effectively till the time next cycle starts, I think we're done with our contribution share of Lenalidomide. I think for Q3 also there's not much one should expect in this account?

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Rajesh Chebiyam: I think so. Q3 will be primarily driven by the base business. So, I think there will be some improvement in the base business from this quarter hopefully because of the CTPR numbers. So, I think we should do better in Q3 than Q2, but the contribution from Lenalidomide will be minimal. So, that will not have an impact on the earnings. But you'll see the benefit of that possibly in Q4 when we get our fresh quantity and Q1 of next year. So, I think Q4 and Q1 will be like what we had in the previous Q4 and Q1. I think my sense is that I think these quarters

will be extremely full and Q3 and Q2 will be a little mellow compared to Q4 and Q1. And because of our agro business, that also will complicate things a little bit because generally kharif and rabi is where most of the sale happens. So, our agro gets the sale from those seasons, will be primarily driving the sale, because we don't have much of an international business, we don't get a consistent revenue in all markets. So, in a way, Q4 and Q1 will be very exciting for two reasons. One is Lenalidomide, the second is Agro. I think that's how the earnings are going to be. There'll be a certain amount of seasonality, but I think all investors understand that. I think considering the nature of our business and the way we do things; I think you have to take a 12-month earnings.

Nitin Agarwal: When you look at this quarter, so effectively, whatever EBITDA that you generate, bulk of it is base business, recurring business, nothing, is that a fair assumption to make?

Rajesh Chebiyam: Absolutely, correct. This is actually a good example of a quarter where we had known practically very little on Lenalidomide and we had deferred shipment of Glatiramer. So, that's why the API sale was slightly lower. And I think everything was stripped off. Still, I think we had a very strong core business, which was what we got, and which is going to improve next quarter because of CTPR. So, I think, yes, that's a fair assumption. I think it's stripped off the big jackpots, yes.

Nitin Agarwal: When you look at the base business apart from the CTPR launch, what other things can one sort of look forward to over the next 12 to 18 months?

Rajesh Chebiyam: I think CTPR is going to drive the earnings for the next few months clearly, I think that's going to be the overwhelming one. In terms of other launches, I think we're very excited about subs are doing extremely well, Brazil and Southern Canada have done extremely well. Now, if we look at the consol numbers, almost 40% or 50% of profitability is coming from the subs. If you look at the differentiation between the standard and the subs, I think a good amount of earnings are coming from the subs. So, I think we should look forward for further growth in the Brazilian business and the Canada business. So, last quarter, if I recollect I think Canada was about

6.5

million and I think Brazil was a little less than 3 million. But I see these numbers improving dramatically in the next two quarters. So, this is about 9 to 10 million business, which should increase to 15 million I think in the next two quarters, that's our expectation. That's what we need to look forward for in addition to CTPR on the base business.

Moderator: The next question is from the line of Bino Pathiparampil from InCred Capital. Kindly proceed.
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Bino Pathiparampil: Rajesh, just a quick question on generic pomalyst in the US. You had approval in 2020, but now the FDA website shows discontinued. What's the update on this product?

Rajesh Chebiyam: This has been approved and we have a launch date sometime in the future, two years from now. The exact date we can't reveal because of the confidentiality agreement. It's just that it's not an active ANDA, pre-clinical stage like that, but the launch will happen in due course and we have a settlement date in the future which I will -.

Bino Pathiparampil: So, the FDA website shows discontinued doesn't mean anything?

Rajesh Chebiyam: It doesn't mean anything, that's my understanding is, because we're not running the product, I think that's what happens. But, I can tell you from our position is that we have a full approval and we can launch it, and it is determined by the launch date, which is already signed and that's it. So, I think sometime in the future, we will launch it. The exact date we will reveal I think when it comes closer to the launch.

Moderator: Next question is from the line of Nikhil from SIMPL. Kindly proceed.

Nikhil: I have just three questions. Rajeev, one on CTPR. So, in the initial press releases, which we had said, the whole molecule size was Rs.2,000 crores. And in the recent press release, where we had launched a combination, it said it was Rs.800 crores. So, this Rs.2,000 is your CTPR and there is something more over the combination or Rs.2,000 crores includes everything, combination, pure, everything.

Rajesh Chebiyam: It's like this, Rs.2,000 crores is plain and Rs.800 crores is combination. So, two together, I think it will be less than Rs.3,000 crores. So, what happened was, we launched CTPR first, that's why we announced that first and we launched the combination later, so I think that's why we announced that later. But together it is little less than Rs.3,000 crores. I think that's our market estimate based on our market intelligence.

Nikhil: We have launched both pure as well as the combinations now?

Rajesh Chebiyam: That's absolutely correct.

Nikhil: Secondly, on the domestic part of the business, you mentioned that we are looking for acquisition. If you can just help us understand not on exact numbers, but what is the size or kind of acquisition you would be looking at? Our current domestic business is around Rs.400 crores. Would you look to see that with acquisition, we cross Rs.1,500 crores kind of a domestic business scale or would we look at smaller acquisition, maybe not exact numbers, but just some sense on how you are thinking?

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Rajesh Chebiyam: We are looking at a smaller one right now, Nikhil. We just need to fill some gaps in our portfolio. We're looking at something around Rs.100 -150 crores worth of sale at this time, those are the assets we're looking at, I think large. Rs.1,000 crores and all will become a very large acquisition. And am I ready for something like that? The answer at this time, no. I think we'll probably do a smaller one and we'll see how that goes. And I think as I said,

we're actively looking at couple

of transactions, hopefully, we'll be able to close something almost with due diligence. So, I think that's the near term plan.

Nikhil: The subs you mentioned scale up, I think it would be a pretty significant scale up when if we say the subs would be doubling their revenue in the next few quarters. So, is it more driven by increased market share in the molecules we had launched or is it like some more new molecules which we will be launching, just some sense, what drives this?

Rajesh Chebiyam: We got some tender orders and some government orders in one particular sub, and also we have good launches in terms of new molecules. We launched, for example, Apixaban in Brazil, we launched Apixaban in Canada. So, driven by new launches and some one-time that have been driving. So, overall, the subs are doing well. As the other caller asked me about the base business, I think what has happened is, the subs have taken up the slack of the decline in the standalone. So, I think that's where we are getting a good traction. And I think in my view of the businesses also that we need to go global and add multiple territories in multiple countries with pipeline so that we globalize our business and bring about more stability in our earnings. I think we started this endeavor about three, four years ago. And I think a lot of the things that in terms of globalization that we've done and spreading the risk actually played out well subs are contributing. And also we've done one more launch in Australia. I think, just to give a flavor, huge launch of course, but again, it's the first wave generic from us and Sandos are the only generics which have launched Lenalidomide in Australia. So, we don't have front end presence in Australia. So, we did it through our partner. So, we're trying to globalize our business, use the filings that we do in as many countries as possible so that we get a better return on R&D. I think that's how this business is going to be.

Nikhil: On Revlimid, Australia, there was some issue with respect to the settlement agreement. So, what's the sense because we were quite –

Rajesh Chebiyam: It's all done. Both Pyrulitamide and Revlimid have success and we have a fixed launch date for both Pyrulitamide and Revlimid, Pyrulitamide has already been launched, Revlimid also will happen soon. We can't disclose the date because of confidentiality. But I think as soon as the launch happens, we will also disclose that as well once we are closer to the launch, it's all sorted.

Moderator: The next question is from the line of Cyndrella Carvalho from JM Financial. Kindly proceed.

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Cyndrella Carvalho: Rajeev, if we look at the pure domestic business, how is the onco performing? If I look at the IQVIA number, we are seeing a much faster growth than what is reflected in our numbers. Where is the gap if you can highlight?

Rajesh Chebiyam: IQVIA numbers for Natco or IQVIA number for the industry you are saying?

Cyndrella Carvalho: Natco.

Rajesh Chebiyam: IQVIA and all are not a true representation of anything because the problem is them with capture the free goods properly. See, what happens in our business is, this ex and then there is bonus. So, we give higher bonus. Technically, your volumes are higher and it shows higher sale. That doesn't necessarily mean that you have higher revenue, right. So, that's why the difference between what you see in IQVIA and what you see in our actual stated numbers. What really matter is the numbers which we get, right, in terms of cash flow. I think generally IQVIA is not very accurate like th

e specialty business that we do. It's good for like more mark brand, it's not so good for the most specialty pharma.

Cyndrella Carvalho: On the onco side, how we are seeing the traction, are we seeing –?

Rajesh Chebiyam: Things are stable now. I think onco is doing reasonably well. If you look at my numbers, in this quarter, I think about Rs.55 crores was onco in terms of the sale. Onco has been fairly stable. We have a couple of good launches coming up by end of the year and one big launch, there is a court verdict pending on a product called Eltrombopag. Delhi high court has reserved the verdict on that. So, if that gets cleared up, then that will be a very good addition in domestic, and then there are a few other products that we are launching. Overall, exciting, good, but as I said, obviously, to get good growth in our business, we need to expand the scope of the doctors that we are covering. Because we cover limited specialty doctors, we are unable to grow and I think we need to get out of that, I think the only way we can do that is to buy either building ground up or you need to do an acquisition. In my mind, I believe an acquisition is what we need and then add R&D portfolio in the acquired domain of doctors and increase the sale, I think that's how you get.

Cyndrella Carvalho: Just on the subsidiary side like Pinda, Brazil, China and other Asian markets, how should we look at it from key launches perspective, anything that we should be looking at in terms of key launches that the subsidiary or the other EMs that you would like to highlight?

Rajesh Chebiyam: I think I mentioned about Apixaban launch in both the key markets, and I mentioned about Pyrulitamide launch in Australia. And again, the other gentleman asked me about Lenalidomide. So, that also the launch will happen and we will announce it when it happens. So, these are the major ones and we have other smaller products and a good set of filings that we have done. So,
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I think we are excited. I think we have a consistent pipeline coming through. I think we believe that we should grow these businesses.

Cyndrella Carvalho: That should be over 18 months timeframe or a little longer than that?

Rajesh Chebiyam: In the next few quarters, we'll announce as and when the launch is happened. Yes, I think that's what we have good traction in the subs.

Moderator: The next question is from the line of Harsh Bhatia from IDFC Mutual Fund. Kindly proceed.

Harsh Bhatia: You spoke a little bit about the size of the domestic assets that you're looking at. Just to clarify, would it be fair to assume that your existing base of MRs around 300 to 400, that would be

enough to sort of help the acquisition or would you have to add more MRs?

Rajesh Chebiyam: We need to probably add more MRs for the segment we aspire. It depends on what acquisition will come through. See, where are we present? Let's answer that question first. So, we are present in oncology, we are present in gastro, and we're present in cardio again specialist cardio, not your general condition cardio, we are only present in these three segments primarily. So, we add let's say a brand again, we want to give too much away because nothing has come through. Unless you close an acquisition, I can't answer this question. So, if you buy outside these three segments, then you need to add reps. If you buy within these three segments, then you don't have to add reps. You're asking a very hypothetical question, but I think I'm very clear that either we enhance the strength of this portfolio or we add additional portfolio in terms of a therapeutic are

a
so that we can expand our business depending on what we could close.

Harsh Bhatia: In terms of valuations, because we are seeing a pretty -?

Rajesh Chebiyam: When we do the deal, we will know. I think we will disclose it. These are all things that we can only talk about when we close the transaction. I think premature to say at this point of time.

Harsh Bhatia: Anything on the inventory side? In last quarter, we had almost Rs.100 crores of inventory. So, this quarter, we have some around –

Rajesh Chebiyam: In terms of standalone inventory, Rs.665 crores is the inventory in our books as of 30th September 2022, of which about Rs.110 crores is the agro inventory. So, I think it's a fairly reasonable amount of inventory we are carrying. I think we're good to go.

Harsh Bhatia: Includes raw material, intermediates and the finished product.

Rajesh Chebiyam: Finished products and all. And generally, supply chain has become very painful now post-COVID as you know, and I think what you could buy deliveries for three months, four months earlier, now it's a six to nine month cycle. So, if you want to plan a launch or something, you
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need to have a six-to-nine -month head start. So, I think because of that, I think the inventories have been a little bit on the higher side, but we are trying to do things we can reduce, but I think broadly that's the situation.

Moderator: The next question is from the line of Karthik Mehta from Klay Capital. Kindly proceed.

Karthik Mehta: Can you throw some color on how Revlimi d market share or other launches will impact? Very specifically, the fact you mentioned that Q4, Q1 is when you and your partner would or at least you would be recording the sales and is it possible to have some color on when is the inventory reset in terms of increasing market share -- is it after six months at the start of the calendar year?

Rajeev Nannapaneni: I think we will get additional point, Karthik, as I said earnings of that will reflect in Q4 and Q1. I think we are ready with the product good to go.

Karthik Mehta: Every year, it will be in that Q4 open year '25 as per the settlement, is it fair to assume?

Rajesh Chebiyam: That's correct, because one year expansion is March 1st, cycle is around that. Like the others are booking in September because they launch in September, right. Everybody has a different cycle because of their launch date.

Karthik Mehta: So, just trying my luck here, is it safe to hazard a guess that everybody's reset clauses after 12-months or is it -?

Rajesh Chebiyam: I can speak about myself. Don't answer others. And I think based on what Teva has told us, this is what our information is. And other people you ask them.

Moderator: The next question is from the line of Ritika Agarwal from Value Quest. Kindly proceed.

Ritika Agarwal: My first question is on CTPR. What is the kind of market share pick up we expect in the next one, one and a half year? And secondly, what is the competition that we expect again in the similar kind of time period in CTPR?

Rajesh Chebiyam: I think we should take a good share. I think my view is that internally, we have been very conservative, I think 10% to 20% share at least we should get or even more if we're lucky, but I think that's the minimum we're targeting. And it's a very good product. So, I think we should get good traction. Competition -wise, my expectation is obviously Best Crop, we already mentioned, we are already there, and maybe another two people will join. We will have a limited number of suppliers, it will not have too many suppliers, but the market is

so large, I think there's enough money for everyone with the scenarios at least for the next few quarters for sure. And we have a very good head start and have a very reasonable legal positions, I think we're in good shape. How much we will make? Again, time will tell. I don't want to hazard a guess. But when market
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formation happens, I think we will give you more insight. But if you ask me instinctively, the answer is that I think we should do well, I think that's our expectation.

Ritika Agarwal: Secondly, can you talk a little more about your pipeline in the US going ahead post-Revlimid?

Rajesh Chebiyam: Again, US is going to be a super competitive business... again, these are my personal views, I don't necessarily subscribe to general wisdom, but I still believe that we need to deliver at least three, four very large FTF type of products or complex generic type of products to be competitive in the US. The more common products you do, the more competitive it is, there's less value in that business. So, you need to have a mix of both. And I think our target internal I think I said this in the past, if we're able to deliver another three, four products like Revlimid in the next decade, I think your whole decade is set. So, I think we're working in that endeavor. We're primarily focusing on oncology, peptides and oligopeptides. We've done two other filings recently, and we believe both are interesting FTF products subject to confirmation of FTF position, I think we can speak about that. But I think the R&D focus is on that track, and I believe that we'll be able to deliver.

Ritika Agarwal: What's our cash balance currently?

Rajeev Nannapaneni: Cash, cash equivalents right now as of end of Q2 is about Rs.1,000 crores and borrowings about Rs.82 crores, of that Rs.50 crores of foreign bill discount associate.

Moderator: The next question is from the line of Tarun Shetty from Haitong Securities. Kindly proceed.

Tarun Shetty: Any update on (Inaudible) 36.44

Rajesh Chebiyam: We don't have an update on (Inaudible) 36.45 at this time.

Moderator: The next question is from the line of Nikhil from SIMPL. Kindly proceed.

Nikhil: Just one follow up on the acquisition. Rajeev, what I'm trying to understand is that if we look at like a small acquisition of say Rs.100, 150 crores, what kind of a scale advantage or what we plan to achieve from such an acquisition out, because even at Rs.100, 150 crores considering the size of the domestic market or even our current size, it won't materially change the way the business profile is? I'm just trying to understand, what's the idea behind a small acquisition and even when we have a good cash balance, and we see cash only accruing for us?

Rajeev Nannapaneni: You're asking a very complex question. I'll split the question into two parts. What's the point of buying a smaller brand? I think the question is, you are buying a smaller brand, because you're

getting access to a market that you're not present in. I can't give too much away, but let's say you're operating in a segment ABC, and you want to enter segment D, Rs.100 crores acquisition
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allows you to enter a segment D, which gives you access to the doctors, the stockists and the therapeutic segment. So, you build a business by brick -by-brick. You can't say that I buy a house in one shot. You either take an approach of buying a house, or you do it by brick -by-brick. This is approaching the brick method. So, you're getting that therapeutic segment that you're not there. I think that's how you

build businesses, you add a country, you add a therapy or you add a product, that's how you have to do. So, to your specific question of what am I looking at? So, I answered it directly what I'm looking at this time. So, you asked a bigger philosophical question. Is Rajeev want Rs.400 crores going to Rs.500 crores will not make much difference, how do you take it to 1,000 or 2,000, which means that you need to do a very large acquisition, which is, let's say, which will double our revenues or something very substantial. Even that it is something that we are looking at, but at this time, you have to get the right asset, and these are not easy acquisitions to do, and they won't happen overnight. I believe there's something like that has to be done so that we can increase our scale. To answer the question, yes. Is it going to happen now and the next quarter? That's a bit much to us. But at a philosophical level, yes, I agree with you that because we have to build scale, and that's the only way you're going to compete in this business. And I think at some level, we have to do a very large acquisition, which would help build scale. Hopefully, we'll be able to speak about that over a period of time.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital. Kindly proceed.

Nitin Agarwal: Rajeev, on the filing that you mentioned in the US, by when do you get a sense about first-to-file status on these products?

Rajeev Nannapaneni: I don't know. Both of them we filed. I believe that we have an interesting position. So, first, you have to wait for the acceptance of the ANDA and then we'll know what is accepted, then we'll have clarity whether we have an FTF. Both of them are on same pipe. So, typically, acceptance and all takes about 60 to 90 days. So, we'll hear about it in the next few weeks hopefully if all goes well, assuming we end up with an FTF, I'm assuming we have a chance, but again, until you file and get the acceptance, you can't confirm that. But to answer your question, in the next 60 to 90 days.

Nitin Agarwal: If you probably answered it earlier, I missed it, but if you look through the US pipeline beyond FY'23, how many, "plus \$10 million, \$20 million launches" that you think broadly speaking that you are going to have over the next three, four years?

Rajesh Chebiyam: \$10 million launch you are saying or \$100 million launch you are saying?

Nitin Agarwal: \$20 million plus launches?

Rajesh Chebiyam: In our pipeline you're saying already which we have filed?
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Nitin Agarwal: Yes, ones that you already filed and which you can probably get approval over the next three to four years?

Rajesh Chebiyam: Yes, sure, I can run through the one. I think they are in our investor presentation. The 10, 15 million type of products I think you have Carfilzomib Kyprolis. We have first-to-file on one particular channel and we have a shade first-to-file on the biggest strength. Then you have Losanta, then we have Trabectedin then we have Idelalisib which is another one that we filed. So, these are like some of the ones that we have publicly disclosed and I think these will play out in the next few days.

Nitin Agarwal: Secondly, you talked about a significant delta in the subsidiaries. These are again, what, largely driven by Revlimid and Copaxone launches or something else drive the subsidiaries?

Rajesh Chebiyam: There is a different portfolio and different products. I think Revlimid is big in Canada as well. So, that's a significant one. Brazil is driven by a few other products; Everolimus and (Inaudible) 42:33. So, there are differe

nt products in different territories.

Nitin Agarwal: Lastly, on the agro bit, so barring the CTPR launch in India, if I get it right, you said you are also looking at exploring opportunities for exports on CTPR registrations in overseas markets? And how do we look at the agrochem piece beyond CTPR for India as well as overseas?

Rajesh Chebiyam: I think we need to build a reasonable size in domestic will CTPR and again we're also expecting reasonable orders from exports, plus, we have other product ideas, pipeline we have. We have about five to seven products, we have pipeline for agro business, which will play out in the next few months. But these filings will be done in the next few months. So, once we do the filing, I think we will update the market. So, we've not done the filing. That's why we're not talking about the pipeline. But to answer your question in short, we have other products similar to CTPR, which are interesting, which I believe will bring value.

Nitin Agarwal: And on these products, your strategy is again driven around figuring out loopholes, leveraging loopholes in the regulatory processes or litigation regulatory -driven opportunities even in the newer molecules?

Rajeev Nannapaneni: I think our strategy will be driven primarily by the science of the product where we are doing interesting product or driven by patent litigation, which is what our strength is in that area. Also, Nitin, like we are focusing also on molecules which are what we term as 93 applications, which are a little bit more unique first time, so which differentiates us than the common.

Nitin Agarwal: But Rajesh, we're not looking at partnerships here, just what probably most companies have been doing, we're looking at –
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Rajesh Chebiyam: We are doing that. No, CTPR also we have said that. I think 50 to 60% revenue, we're getting from partnerships only, I think 35% to 40% is our brand. So, we are –

Nitin Agarwal: What I meant is from the innovators.

Rajesh Chebiyam: See, we just commenced in the path. I think generally we are a very aggressive generic company. When you're in a very aggressive generic company, you can't do innovator alliances, you can't have it both ways, you can't say that I will go up to your patent, but I will also supply product to you, it doesn't work like that. You have to choose one camp. My belief is we are an independent aggressive generic company. And I think you have to stick to your core strength. I think if you're doing innovator business, then you can't be aggressive on patent, you have to let go certain portfolio or you need to let go the whole concept of doing patent challenges. So, that's not the business we are in. And I think I'm very clear in my mind. I think we will go after anyone we believe that there's a patent weakness, and we believe that is evergreen. I think that's the business model we have chosen and we'll stick to that.

Moderator: The next question is from the line of Ahmed Madha from Unifi Capital. Kindly proceed.

Ahmed Madha: On CTPR, just one clarification. The double bench you said is this year. Is there a possibility of the innovator getting a stake, because we have planned sales in (Inaudible) 46:03, is that even a possibility?

Rajesh Chebiyam: I don't think so. Again, obviously, the hindsight hearing has happened, order has been reserved, I think we believe very strongly in our position and I believe I think it will have the single bench order will be upheld. I believe a legal update as soon as the double bench decide that.

Ahmed Madha: So, we will go ahead and start building inventory for the current

season also?

Rajesh Chebiyam: I think that's the idea. I think we have enough stock for the next rabi and I think we're trying to build stock for kharif as well because this inventory won't be adequate, that's correct.

Moderator: The next question is from the line of Cyndrella Carvalho from JM Financial. Kindly proceed.

Cyndrella Carvalho: Just one question on the capital allocation. We understand the part from organic acquisition perspective. But, is there any other thought process that you carry apart from building the product basket in various geographies that also we have understood. But is there anything because that will be a significant cash flow coming to us in these coming two to three years?

Rajesh Chebiyam: Can you rephrase that question please?

Cyndrella Carvalho: I just want to understand what is the capital allocation plan -?

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Rajesh Chebiyam: Capital allocation plan for the cash that's coming in the next few months, did I understand your question correctly? Okay. I think we'll do some dividend, about 20% 25% dividend we're doing, so that is anyway going to be done. And anyway we're doing some small level acquisitions, which will not be too much stress on the balance sheet, but however we can use that. But I think that's been the near term plan. And some of the cash flow that's coming through, we're also investing in R&D in capital and also doing interesting para-IVs. I think, broadly a little bit in dividend, little bit in accumulation of cash or keeping it for an acquisition and within R&D. I think that's more or less what's the plan.

Moderator: The next question is from the line of Darshita from Antique. Kindly proceed.

Darshita: I wanted to understand the manufacturing capacity we have currently for agro? And I suppose we will be manufacturing the technicals and then probably formulating the product as well or are we selling the technical directly in the market?

Rajesh Chebiyam: Primarily, we are manufacturing the technical and the formulation, both facilities are ready. So, this is a separate facility that we've built in Andhra Pradesh. So, it's running and it's good to go. What we will sell more and less and all, I think time will tell. Again, we're trying to close contracts depending on different customers have different needs. But I think as much as possible, we're trying to sell the formulation, but we'll see how it plays out.

Darshita: And what is the capacity for technical?

Rajesh Chebiyam: Capacity, to service the 20%, 25% market share, I think we're extremely comfortable. I think we have enough capacity both in the filling line and also on the technical side.

Darshita: So, this will be a dedicated plant or will it be an MPP, as you mentioned that we have another five to seven products in the pipeline, so will we be able to do –

Rajesh Chebiyam: We can do other products. It's a multi -product capability. But this is going to be the key product, this is the product that's going to drive the revenues.

Darshita: I just had one question on the Best Agro bit. Are we challenging them, because I suppose we have the 90 registration for the product, and we should be ideally given up of about three years from the central insecticide board. Are we challenging like Best Agro in terms of being able to sell that product in the market at all?

Rajesh Chebiyam: What do you mean by challenging? I don't understand.

Darshita: I mean, given that we have an NCE registration, how are they selling their products in the market, what kind of -?

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Rajesh

Chebiyam: We are challenging them means we are competing with them. I think that's how I look at a challenge.

Darshita: Challenging in terms of like from legal perspective?

Rajesh Chebiyam: Not with them. Our challenge is only with FMC, not with Best Crop.

Moderator: The next question is from the line of Narendra, an individual investor. Kindly proceed.

Narendra: I have two questions. One is, in the past, we talked about filings in China. So, are we pursuing them or stop doing that? Another question is on expenses front. Is there any one-off expenses in employee cost or other expenses?

Rajesh Chebiyam: To understand your first question, you said, are there any filings in China. We actually have multiple filings in China and we actually got one registration in China. I think we got registration for Oseltamivir Capsules in China. We didn't do so great in the tender. I think we got some small orders, but nothing large. China business is also interesting provided like every generic business, you have to be in the first wave with a unique product. It doesn't work in any market. That's the only USP that works. So, I think to answer your question, we are active in China, but through partnerships of course, and we have about five or six products that we're actively pursuing registrations, out of which one came through. So, your second question was on about salaries and other expenses? What was the question? I didn't understand your question.

Narendra: One-off expenses like only those expenses?

Rajesh Chebiyam: One-off expenses in this quarter? No.

Narendra: Will it be recurring?

Rajesh Chebiyam: In terms of employees, I think we already did the charges already, I think whatever for VRS employees a lot of the VRS was reflected in the previous quarters. This quarter doesn't reflect any VRS numbers. Other expenses and all, it depends on the product. Sometimes if we do an interesting filing, there could be a pop of 20, 30 crores in other expenses. But otherwise, nothing, this is the fairly normalized other expenses. But sometimes, yes, you could have a pop, if you're doing an allocation for a particular R&D project. But to say that, it happened based on the project. For this quarter, it doesn't have, that's the best way I can answer your question.

Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Rajesh Chebiyam: Guys, thank you for your questions and thanks for your time to interact with us and have a good day and bye-bye.

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Rajeev Nannapaneni: Thank you, all.

Moderator: On behalf of Nuvama Wealth, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2023

13th February, 2023

Corporate Relationship Department Manager – Listing
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Dear Sir

Sub: - Transcript of earnings conference call held on 10th February, 2023
Ref:- Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements),
Regulations, 2015
We are herewith enclosing copy of the transcript of the Company's earnings conference call for Q3 FY23 held on 10th February, 2023. This transcript is also uploaded on our website www.natcopharma.co.in.

Thanking you

Yours faithfully
For NATCO Pharma Limited
Ch. Venkat Ramesh
Company Secretary &
Compliance Officer

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"Natco Pharma Limited
. Q3 FY '23 Earnings Conference Call "
February 10, 2023

MANAGEMENT : MR. RAJEEV NANNAPANENI – DIRECTOR AND CHIEF
EXECUTIVE OFFICER – NATCO PHARMA LIMITED
MR. RAJESH CHEBIYAM – EXECUTIVE VICE
PRESIDENT - CROP HEALTH SCIENCE – NATCO
PHARMA LIMITED

MODERATOR : MR. KUNAL RANDERIA – NUVAMA WEALTH

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Moderator: Ladies and gentlemen, good day and welcome to NATCO Pharma Limited Q3 FY '23 Earnings Conference Call hosted by Nuvama Wealth. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Kunal Randeria from Nuvama Wealth. Thank you, and over to you, sir.

Kunal Randeria: Thank you, Vivian, and good morning, everyone. On behalf of Nuvama Institutional Securities, I welcome you all for NATCO Pharma's Q3 FY '23 Earnings Call. So with us today we have NATCO Pharma's senior management team represented by Mr. Rajeev Nannapaneni, Director and Chief Executive Officer; and Mr. Rajesh Chebiyam, Executive Vice President, Crop Health Science. Over to you, Rajesh, for opening remarks.

Rajesh Chebiyam: Thank you, Kunal. Good morning and welcome everyone to NATCO's conference call discussing our earnings results for the third quarter of FY '23. During this call, we may be making certain forward-looking statements or statements about future events. And anything said on this call, which reflects our outlook for the future must be reviewed in conjunction with the risks that

the company faces.

I would like to state that the material of the call, except for the participant questions, property of NATCO, cannot be recorded or broadcast without NATCO's expressed written permission. We'll begin with the results highlights and followed by an interactive Q&A session. So, again, we hope you have received our financials and the press release that was sent earlier. It's also available on our website.

NATCO recorded consolidated total revenue of INR 513.3 crores for the third quarter ended 31 December 2022 as against INR 590.7 crores for the same period last year. That had a one-time licensing fee revenue. Net profit for the period on a consolidated basis was INR 62.3 crores as against INR 80.4 crores same period last year.

For the nine months ending December 31, '22, the company actually recorded a total revenue of INR 1,884.8 crores as against INR 1,433.2 crores same period last year, reflecting almost 31.5% growth. And on the net profit side, the company recorded INR 439.5 crores as against INR 220.5 crores, reflecting almost 100% improvement in PAT. On the segment and revenue split, this has already been shared with you. We'll pause here and we'll take questions. Thank you.

Moderator: The first question is from the line of Tarang Agrawal from Old Bridge Capital.

Tarang Agrawal: A couple of questions from me. One on the employee cost, I believe there's a INR 29 crores one-time VRS. Is this one-time? And if so, excluding the VRS, the employee cost ends up being INR 77 crores for the quarter, which is materially lower than the previous quarters?

Rajeev Nannapaneni: VRS, I have to check that number, Tarang. Give me a moment. Let me just check and find out.

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Tarang Agrawal: Okay. I'll just take my second question till then. How should we look at accretion in the agrochemical business from here on?

Rajeev Nannapaneni: Let me answer the VRS question. I think that is for the year that charge has happened. In this particular quarter, it doesn't reflect that INR 27 crores charge from what I understand. And so, the consistent salary is what's been shown in this quarter. Okay? And the second question is, how is the agro division? Agro division is doing very well. Even though it's off-season, we couldn't launch because the court clearance took us till October.

So I think we had a good reasonable start. I think we had about little less

than INR 10 crores of

revenue in that division. I think we feel that it should do very well. I think this quarter, in the January to March quarter and, of course, the coming kharif we'll do extremely well. And our thinking is that, we should do about INR 150 crores to INR 200 crores in this division, which is so far has not contributed any revenues, so this will happen this year in the next 12 months and I think we're very confident. I think everything looks good.

Tarang Agrawal: So, Rajeev, I mean, in terms of your conversations with your B2B customers and the way you must have firmed up your channels. I mean, all of that is in place, correct?

Rajeev Nannapaneni: I think B2B customers are all lined up and I believe I think B2B customers will not -- will make up probably 25% to 30% of sale. I think 65% to 70% of sales will be our direct label, our own label. And the real value is in your own label, Tarang, not selling to B2B customers. And I think we are seeing good traction, we have launched all the combinations, and some of the combinations we are the only product other than the innovators. So, I think we're in very good space and I'm very excited. I think this quarter you will -- we'll see some uptake because of the UP sugar season, I think, and then, of course, the kharif in the next quarter.

So, as you know, in agro, I think a lot of the sales happen in the kharif season. So a lot of the sale will get reflected in this quarter and the next quarter, I think. It will be lumpy in Q4 and Q1 of next year. So I think that's where things are going.

Moderator: The next question Chetan Doshi from Tulsi Capital.

Chetan Doshi: See, of late, if you see last five years of revenue from pharma, there is no big growth coming, except for one-time sales in the current year first quarter. And secondly, our margins are getting suppressed year-on-year, if you see. Now, this development of pesticide is definitely a good idea, but that is how the company is looking for making up the losses or they are planning to have some new development going on in pharma also where high-margin business they are expecting?

Rajeev Nannapaneni: Okay. To answer your question, see, if you look at our earnings five years ago, lot of it used to come from one or two products, it used to come from Tamiflu and little bit from Glatiramer and used to come from few -- and doxorubicin. Practically the earnings of those three products have declined dramatically, as you know. Oseltamivir has completely vanished. Doxorubicin has come down by 85% to 90%. So if you look at, let's say, our balance sheet for 4, 5 years ago,

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almost 40% to 50% used to come from these big one-time products. So we actually had to redo the models completely. So essentially what we did is, we have built subs in Brazil, we have a sub in Canada, we have built our ROW business, we started the agro business. So essentially, if you look at that business, we have actually build back the same business that we had about five years ago with a more steady state revenue and on top of that we have Revlimid. So I think it's a very dramatic transformation.

I think in terms of what we have done in terms of building a more sustainable wider business. So when you build a sustainable wider business in multiple geographies, which don't have that extra supernormal profit, obviously, the margins are going to be low and there's no way around it. And if you look at this particular quarter, for example, Revlimid is very -- there's no -- very little revenue, but still it's a very steady state revenue that we have, and revenues are equal to what we have, let's say, made about 3, 4 years ago when we had all the one-times. This is without any one-time. So -- but you need to understand something. Okay?

I mean, I say this all the time, but I'll repeat it one more time. The growth in business d

oesn't

happen from base. The growth in this business happens from your super extraordinary pharma mix. I challenge you on this, on any pharma company that look at a ny company's balance sheet, your base business gives you that minimum margin, which pays the bills and they get normal profit. If you want to get growth, you want to get something special, you need to have something interesting, and that interesting product is what delivers that bump in the earnings. Without that, you'll never have steady growth in earnings or extra profits.

That's the nature of the business because of the competition that is there in this business, because what has happened is, if you look at a product where there are multiple competitors, there's not too much margin to be made in a lot of our key markets, especially the US or even our export business. That's the structure of the business and in a way, I think Street has to get used to it, and even more so pronounced in our balance sheet compared to other people, but more or less that's a structure of the business and this is -- it's across the sector, in my personal opinion. Okay?

Tarang Agrawal: So, in pharma sector, you are not looking for any big growth coming in next 2 to 3 years?

Rajeev Nannapaneni : I'm not saying there is no growth. I think you didn't understand what I'm trying to say. I think what I'm trying to say, you will get growth from your base business and you will get growth from the filings for which you have -- where you have the niche complex filing where you'll have an asset. And these will drive the earnings is what I am saying. If you want earnings growth, it will come from that, not necessarily -- base business cannot contribute for all the growth. It will come from the niche limited competition filings.

Tarang Agrawal: So we are planning to get into some specific areas where we can look for good volumes and margins, both. So some development is going on, on that subject?

Rajeev Nannapaneni : No. What I'm trying to tell you is -- I'm telling the exact opposite. What I'm saying is that, you will get business through diversification and multiple countries that will contribute to some

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percentage of your growth. But the real growth will come from when you do the niche and the small -- what you call, high-value small-volume products, that's where the real value will come from. So example, we have a lot of Para IV filings and I think we have publicly disclosed.

We are trying to do some couple of FTFs over and above what we already have. And if we deliver like another 3, 4 FTFs, then this whole decade is set. I think our whole concentration is doing more niche hard-to-do generics where we see a lot of value, while we build our base business by expanding our geography.

Tarang Agrawal: One last question, regarding this pesticides...

Moderator: Mr. Doshi, sorry to interrupt, sir.

Tarang Agrawal: One last question, please. See, in this pesticides business, you have written in the presentation is biopesticides, you mean to say that is biodegradable product?

Rajeev Nannapaneni : No. I think that is specifically referring to a particular product. So we have a product called pink bollworm which is a pheromone. So pheromone is, it interferes with the mating of -- it's a naturally occurring product, which interferes with the mating of the insects. Because it interferes with mating of the insects, it reduces the eggs that are laid on the plants, so therefore, there will be less infestation on the plant. It was specifically referring to that particular product.

So the core product, which is driving the earnings which is chlorantraniliprole is not a biopesticide, it is a regular pesticide. I think the flavor of the presentation was trying to tell you

that in addition to this, we're also working on products which are bio image.

Rajesh Chebiyam : The Centr

al Insecticides Board actually categorizes the pheromone under the biopesticide, so that's why we're in that. Okay?

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal : Rajeev, now on Revlimid, how should we expect the next couple of quarters? We should start seeing a profit share booking from next -- from Q4 through Q1, like it happened last time?

Rajeev Nannapaneni : Yes, absolutely correct, Nitin. So I think Q4 and Q1 will -- is our expectation and most of the profit share will be booked. We'll -- we already shipped the quantity for our Q1. So I think -- so we'll have a very good Q1 and Q4 and we'll have a very good year. So our expectation is that, this year, overall as a company, I think, we should do about INR 2,700 crores to INR 2,800 crores in top line, and this year PAT also should be I think closer to INR 700 crores this year. I think that's our expectation. Probably our highest revenue and highest PAT in the history of the company. And I think lot of it will be helped by Revlimid that we're going to get in this particular quarter.

Nitin Agarwal : You said INR 700 crores of profit and about -- is this for '24 you meant right or '23?

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Rajeev Nannapaneni : '23 March.

Nitin Agarwal : And lastly on the agro chem business, beyond CTPR, how should we think about this business in terms of launches and all incrementally going forward?

Rajeev Nannapaneni : I think, Nitin, CTPR is going to be the base of the business. I think CTPR will set up the business, and this should be the anchor that will allow us to build a larger portfolio. CTPR, its combinations itself, I think there's lot of scope in the next 2 years to build out the business. We have other products in pipeline and we will launch them over next period of next few years, and some of them involve patent litigation as well. So, I think to give you a timeline and what products and all, I think we'll disclose that over a period of time, but I think we are very excited about this possibility. And I think it has a lot of value.

Nitin Agarwal : And do you have, Rajeev, a sense of where the size of the business could be in the next 3 to 5 years overall agro chem piece for you?

Rajeev Nannapaneni : I think next 12 months I think I've stated I think what our expectation is that, this business should do about INR 150 crores to INR 200 crores. Over a period of time, I believe that this business can grow to about INR 400 crores to INR 500 crores, with mostly branded India business driving it and eventually the export also picking up. So I think that's our expectation of this business in the next few years, but I think, to start with, I think this is the number that we are working with.

Moderator: The next question is from the line of Venkat from 3Sigma Financial.

Venkat: Mr. Rajeev, we have been seeing that competitors are able to perform better in the domestic market from the growth point of view, while we are seeing challenges in growth is the problem with pricing or the sales, so what is actually limiting our growth compared to our competitors? And more so in oncology and other divisions, where we have -- where we historically had great leadership position actually?

Rajeev Nannapaneni : Domestic, I think it's always been a challenge for us because we have always done a limited segment. I think we always done a niche segment. I think that's for the challenge, because we did a niche segment I think our growth has been limited. I think now we've expanded the portfolio. Now we are covering GPs, we are doing cardio, we're doing diabetes, which were not done in the past. So I think we launched this division and we have expanded our field force. The benefit of that we will see in the next few years.

Onco has been a lot of competition. I think once you are more spread out in multiple divisions then the impact

of a particular segment and the pricing of a particular segment will not impact the balance sheet as much. And we're also looking for an acquisition, Venkat. I think it will take some time. I think we are working on different acquisitions, which allows us better reach and a more deeper portfolio.

We have cash on the books. I mean, we have almost INR 1,030 crores of cash on the books and we have very little debt except for working capital debt, we don't have any debt at all. So, I mean

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-- and we're getting more cash coming forward the next year. So I think we'll find something to plug the gap and I think it is going to be a combination of expanding field force and an acquisition, which will drive growth in that business. Okay?

Venkat: Yes. So the other question I wanted to have is, I'm sure you must be doing a competitive analysis on the sales effectiveness. So I'm hoping that periodic reviews in the right tooling is being provided for the sales representatives in the absence of that, the effectiveness may not be really so much actually because for comparable size company also, we are seeing better returns, better sales from other companies. I just wanted to make a comment we're not expecting any response from you, but we see an observation that I have made actually ?

Rajeev Nannapaneni : Certainly, I think, Venkat, we could have done much better. I think I don't -- I generally don't run away from the question, so I'll answer it directly. It is what it is. I think we could have done much better. And I think -- but Venkat, you need to structurally also understand our -- we are -- we do domestic, it's not that we don't do domestic, but our strength is the regulated market. If you look at our facilities and all, we specialize in doing patent litigation abroad, we specialize in doing hard -to-do generics.

When you do a hard -to-do generic, typically, these are all niche peptide products where the value proposition is not so big in India. It is big outside India. And if you look at our balance sheet, most of our revenue comes out of US and regulated markets. So it's a challenge, when you do well in that, that sometimes you miss this. I think in hindsight I wish we could have done more things in India, but I think we are fixing it.

See, Venkat, the way I look at this business is, I think we need to build a more diversified business, I think part of that challenge is, you want to build this organically it takes time. It doesn't happen over a period of time. I mean, for example, the agro initiative we've taken it about 3 years. Now we are seeing light at the end of the tunnel. We believe that that business is going to increase by INR 150 crores to INR 200 crores. I think we are trying organically to build these businesses, but again, I like to build businesses with high -value and high -margin and bring something special to the table compared to -- as a company culturally, Venkat, I think we never done well selling a commodity.

We always do well selling something niche or something first in the country -type of portfolio, it's a different DNA. I mean, I don't want you to compare us, we are not an apples -to-apples comparison with our competitors. But I think, for example, we have done extremely well in the regulated market, and we are able to deliver these niche filings all the time. So I think you got look at the success at a larger context.

Venka: But one question is, most of the -- rather US has become very competitive market even, when I look at the pharma landscape, [inaudible ...] people are focusing on the domestic market and that's why things were centered around the domestic market...

Moderator: Venkat sir, we are not able to hear you clearly.

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Rajeev Nannapaneni : I understood the question, Venkat. But I'll tell you I'm exactly d

oing the opposite of what the industry is doing. So we are making money in US, when nobody is making money in the US and people are making money in India, we're not making as much money as in India. So I think even in the US, Venkat, I think, it's just -- the thought has been flawed too many times. I think there is ways of making money in the US, but you need to have a very clear strategy on how to make money. And you cannot make money by doing a commodity.

I'll tell you, for example, just for the sake of explanation for all the benefit of the callers today. You could never make money in atorvastatin in the US, because there will be so many competitors on that generic and they'll never make money as a supplier of atorvastatin in the US, but if you have a brand of atorvastatin in the US, in India you will actually make a lot of money because you have a reasonably well -priced product. So what works in India, what works in the US are completely different.

So to succeed in the US, you cannot be trying to sell atorvastatin what model you have in India, you can't replicate that model in the US, you got to do something niche, something which has a difficult patent challenge, first-mover advantage or difficult chemistry, that's way you make money, which is what we're good at. So to say that, US is a bad market and all, US is bad. I mean, that matter -- even India market is also bad in lot of the segments. You have to find that sweet spot. And I think that's where the value is. And I think that's what you need to judge a company on, rather than trying to -- I mean, any business is bad if you look at it at a very macro level, but there always sweet spots that need to find, that's where the smartness is, isn't it. Okay?

Moderator: The next question is from the line of Prakash Agarwal from Axis Capital.

Prakash Agarwal : Sir, three questions. First one in US, you mentioned business is profitable, no doubt, you are into

niches, no doubt. I mean, post -Copaxone and Revlimid, we haven't heard the next level of products that your R&D team has been delivering in the past. So how is the next 5 years looking in terms of product approval, development work going on, filing expected, if you could just give some color there?

Rajeev Nannapaneni : I mean, we have other Para IV filings. I think we've publicly disclosed them. And I think some of them like ...

Prakash Agarwal : I was just saying as exciting as the tool you have delivered in the past.

Rajeev Nannapaneni : Yes, fair enough. Okay. You want a jackpot. Yes, I think we have done other filings, Prakash.

Again, I'm not at liberty to disclose at this time what other filings we have. I think we have done few other filings in this financial year. Hopefully , we're FTF on this. I think once we get a confirmation on that we'll speak about it. I think we have as exciting product as Revlimid coming up in the next -- by end of this decade. And in due course we'll reveal this pipeline.

And I think I'm very bullish about this business, and there are enough niches that we can exploit and you need to get like 2 or 3 of these ideas right to take care of your earnings till end of the

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decade. So I'm very confident and Prakash, in my personal view, I think we will disclose in due course. And I think very confident that we'll be able to deliver.

Prakash Agarwal : And secondly on India business, you mentioned that we're also looking at M&A. But, I mean, 2022 if you look at calendar year, that was the most busiest year in terms of M&A, be it derma acquisitions, licensing of cardiovascular products like sacubitril. Did you see these assets where you are considering them or you are looking at separately different kind of acquisition? Some color will help ?

Rajeev Nannapaneni : We've looked at different assets, Prakash. I think a general comment is that, the valuations of domestic as

sets have gone up dramatically because of the nature of the atmosphere at this time, right? I mean, in terms of the -- in general, excitement in that assets. But there are a lot of assets coming, Prakash, and I'm hopeful that we'll be able to consummate some deal in 2023. I know we missed an asset in '22. We can only do one acquisition, which is the front -end in the US that was the only acquisition we could close. But otherwise, we couldn't -- we tried very hard.

I think we looked at different assets, unfortunately we couldn't close. But there is enough traction in the business. I think we believe that we'll be able to close something. There's a lot of assets that are there, and people are re -doing their portfolios. So, there are lot of opportunities. So I think we'll be able to hopefully strike something in '23.

Prakash Agarwal : But with a similar focus of higher margin and low field force, will that the focus continue or ...

Rajeev Nannapaneni : I think that's the idea, Prakash. That's what we're trying to do. And again, also a fair return on capital, Prakash, which is the most important thing, right? So, again, you don't want to bid something so high that you don't make any money at all. So I think you need to have -- just because everybody is doing it, I don't want to do a bad deal, right? I mean, nobody wants to do a bad deal. Doing no deal is better than doing a bad deal, right? So I think we'll find something. I'm confident. You have to be patient. You have to wait.

Sometimes -- see, I am not under pressure in that sense, right, because we have steady earnings going forward because of the steady cash flows and the portfolio that we have, and we have enough cash on the books. So it's not for lack of money, right? So it's just the right opportunities, just wait and you'll get the right one, yes, which will do the same.

Prakash Agarwal : No, totally understand that but it just that the India business both on onco and the HepC is declining quite a bit, now stabilized, but still, I mean, growth is clearly missing in your domestic portfolio ?

Rajeev Nannapaneni : I think it can be fixed. I'm not worried about it. But we'll fix it. I think we have the resources to fix it. We have the cash to fix it. We have the strategy to fix it. So you just have to be patient, my friend. That's all I can say. That's the only answer I can give. We will do the right deal at the right price and we'll bring the right value for our shareholders. And sometimes you should not just get caught up in the frenzy, right, then you do a bad deal and it affects everyone, right? So I think just had to do at the right time. I think just be patient, that's all I can say.

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But I'm working on it clearly. I think it's a very strategic asset and I think as the gentlemen said, I think we are trying to redo the business in a way that our dependence on the US also reduces.

Right now we have businesses pivoted very heavily towards US and I think as we become a bigger company, I think it's important that we diversify away from US. I mean, the agro initiative is part of that and also the acquisition and domestic asset is also part of that.

So as of now, if you look at the balance sheet, we'll probably do INR 400 crores in domestic out of INR 2,700 crores of top line, so domestic is like 15% or whatever that number is, yes, 15% to 16% of the top line. So like coming forward next year, hopefully, we'll be able to bring that up to -- because of the agro revenue, we can bring that up to 20%, 25%. In the long run, I think we are objectively thinking that we should make this business about 30% to 35%, which is more or less consistent with our larger peers, but that transformation Prakash will take time. It can't happen overnight, because we are limited towards the US and doing niches.

To transform yourself to something else, it takes that -- it takes a 5 - 7

to 7-year cycle, it doesn't --

you can't change your earnings tomorrow because you want to, right, it takes the process. You just have to be patient with us.

Prakash Agarwal : And just last quick one on Revlimid. So it would be fair to understand with market share increasing the delta of your revenues will increase or it would get offset by the incremental competition, little bit price declines, et cetera, for next year. How...

Rajeev Nannapaneni : See, I don't want to speak about it, Prakash, because I don't really know. We will know in the Q4 and Q1. I think I'll probably give you more ideas in the coming quarters when we do the Q4 earnings. And as of now, I don't want to guess anything, but I think it should do well. I think our expectation is that, it should do well. We will -- I think we will speak more about it during the next quarter earnings.

Prakash Agarwal : And this agro INR 150-odd crores is for '24 or '25, I mean, revenue expectations?

Rajeev Nannapaneni : I think in the next 12 months. So a lot of the sale of agro -- again, this is another very lumpy business, it happens in Q4 and Q1. And little bit in Q2. So most of the sale will happen between Q4 and Q1. I think Q1 will be the biggest quarter for that business.

Prakash Agarwal : Okay. So this calendar year, basically?

Rajeev Nannapaneni : Yes. So when I'm saying 12 months, I assume -- see, the problem is 12 months will include 1 quarter from the previous year and 1 quarter for the next year, right? And then you have 2 kind of easy quarters, right, because of the way the business is. And we don't have any export business to bring consistency in revenue, so it's primarily driven by India right now. So the lumpiness will continue, Prakash, Q4 and Q1 will always be strong for two reasons, one is because of Revlimid and because of agro. And then the other 2 quarters will be a little slower, because those two are missing. So that's how the balance sheet is going to be. And the way I think it, it's going to be like this for the next few years.

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Moderator: The next question is from the line of Nikhil from SIMPL .

Nikhil Upadhyay : Rajeev, I have three questions. One is -- so continuation to the previous participant question, when you said that our FY '23 guidance is INR 2,700 crores to INR 3,000 crores on top line and INR 700 crores on PAT. And if I just adjust for last year that inventory write-off and all. So what are you building in terms of pricing for March '23 when you say INR 700 crores? So is it like a significant price erosion or is it like a smaller volume offtake in March quarter and a larger offtake in Q1?

Rajeev Nannapaneni : That's my expectation, Nikhil. That's our expectation. I don't know let the quarter end I think. But this is what -- I mean, I'll just make an estimate based on how the earnings are going to be, but that's our expectation. Yes, that's correct.

Nikhil Upadhyay : And secondly, one of the competitors on the agro chem side had mentioned that the patents for the product are valid till '27. So this should remain a limited competition market. And we had also mentioned in previous calls that we are open to do B2B business. And what we see is that, there are a lot of people who have submitted their files to the government for approval .

So how should we understand? So should it remain a 2, 3 player market? Or would we be open to more licensing and allow competition? Because in a way if we allow competition by B2B we are killing our own margins in this product. So how will it...

Rajeev Nannapaneni : It's not like that. Structurally, the business is not like that. The domestic market doesn't work like that, Nikhil. I think -- okay, let me answer your question. The patents which are there till 2025, okay, and I think we litigated and we won. Okay. That's the first thing. And there are very few people who are lit

igated and won and you're right that there are only 2, 3 suppliers in the market right now, right? Therefore, in that sense, it's a limited supplier market, so that is where the value is coming from.

Typically what happens is, these 2, 3 competitors, including us, will have our own brand, which we sell and we'll get a certain amount of market share. And certain percentage of the market which cannot be serviced by you give it on a P2P basis. But B2B value also remains with you, because you are selling the technical or the formulation to that person. So it doesn't destroy value, because some people are strong in certain markets, some people are not strong in certain markets. So it is a fairly well set model. I think everybody does that. I think you do little bit yourself and you give some to third -party, that's the structure of the business. It happens in domestic also, where -- even domestic formulation in pharma also the same thing happens. There will be some companies are very strong regionally and some companies which are strong in certain geographies or certain segment of doctors. So it doesn't destroy value as long as a limited number of suppliers and the number of suppliers are limited because of the patent thing. So I don't agree with the characterization that it will hurt you completely. It does hurt you a little bit, but on a net -net basis, you always gain because of the superior access you got.

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Nikhil Upadhyay : So net -net, on a ROCE basis if you look at the whole product as a profile of B2B and own product basis, would you say it the ROCE profile of this business will remain in a 25%, 30% range or would you be similar to our domestic market kind of ROCE profile? Because it's a 3 -, 4-year approach, we have taken, right? So in a way we are defining the pricing ?

Rajeev Nannapaneni : It will be bit fairly profitable. How much money you 'll make, I think we can -- and we're expecting about 20%, 25% margin, I think that's what I'm expecting but net margin after expenses after everything on a broad scale INR 100, we're expecting about INR 25, INR 30. But let's see how it looks. So far, it looks good. We have some high -cost inventory that we initiated yet but I think when it -- [inaudible ...], I think that's sort of margin is very reasonable, yes, I think so.

Nikhil Upadhyay : And last question on the subsidiaries. Now for last 4 quarters, the subsidiaries are at a run rate of INR 80 crores sequentially and this is to some extent supported by Revlimid tenders in Canada. Do you see that this run rate can be impacted when the new tenders will come in or when does the new tender in Canada come in or any idea if you can provide?

Rajeev Nannapaneni : It can come earlier and some tenders are for 2 years around. So it depends on -- I don't know exactly which tender is when, but it will hold up. See, if you look at our earnings also -- see, there is a netting off effect that is there, but actual subsidiary revenue is INR 169 crores this quarter. So if you look at our PAT as well, nearly 40% of PAT is coming from the subsidiary and it kind of shows what we're trying to do is to diversify our revenue, diversify geographies. So to answer your question, it's a fairly steady state revenue and I think it will hold up a little bit, but not for long. But again, you need to come up with some other product which can offset the loss that you had, but subsidiaries itself is contributing a significant part of our sales.

Moderator: The next question is from the line of Arun Malhotra from CapGrow Capital.

Arun Malhotra : I wanted to ask a couple of things. We have mentioned that Para IV 11 products have been approved. What is the size of this opportunity for these 11 and for the 19 products where -- which are still in litigation?

Rajeev Nannapaneni : 19 products are there in the litigation, 11 products are approved.

I don't know...

Rajesh Chebiyam : What we said in the presentation that were 19 Para IVs are in the pipeline, like this is as of March 31, 2022, right? So we usually consolidate and update once in a year, not necessarily quarterly. And the market size varies depending on the product. There are some which is \$1 billion opportunities, some are in the...

Rajeev Nannapaneni : Because -- see, just because you do a Para IV it doesn't mean it has value, my friend, because sometimes there are joint filers, so let's say there are 8 filers and everybody is doing a Para IV, then really -- it doesn't really have much value. I think Para IV is just an indication that you're challenging your patent, but doesn't necessarily mean you'll make a -- just because you're doing a Para IV doesn't mean that you'll make money on that particular product because if there are a

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lot of competitors it doesn't really matter, right? So what you need to do is, judge the filing by the product. I mean, the product has limited competition then it has value. So I think that's how you have to look at.

Arun Malhotra : And 11 approved, what does that indicate? Any opportunity size where we could have some color?

Rajeev Nannapaneni : I think we have -- the presentation has the products where we have sole FTF and much shared FTF. I think we can -- I mean, it's there in the presentation, I think, for example, just to give a flavor, I'll give -- I can't recollect all of them on top of my head, but for example, carfilzomib on one strength we shared a t FTF, but on one strength we are the sole FTF, on Bosentan suspension we are the sole FTF. So every product has its own sort of dynamics. So, I mean, this is not the right time to go by product -by-product, but broadly I think that's how it works.

Rajesh C hebiyam : Just want to add one point here, just to clarify your question. See, we have roughly around 26 commercial products in the US, right? Of that, what we're suggesting in the presentation is about 11 of them are approved. So that means, some of them a re launched and Para IVs are generally a higher value because limited competition and possibly first to filings. So that's what we're trying to indicate...

Rajeev Nannapaneni : I think we'll give more clarity in the presentation next time, where we believe there is limited competition, which are shared. I think that will give better color to the pipeline. We'll do.

Arun Malhotra : Yes, that would be helpful for us in estimating the future revenue.

Rajeev Nannapaneni : Yes. Sure thing. I think we've made -- clarify that in the presentation, I think, Rajesh, I think will address that in the presentation.

Arun Malhotra : Yes. Second is, can you throw some light on current Revlimid pricing scenario in big ways?

Rajeev Nannapaneni : I don't want to talk about it at this time. I think we'll speak about it, I think, in the coming quarter. And it will have a better idea on what things are. Generally we don't give up your commercial strategy and we don't speak about...

Arun Malhotra : Not our strategy, I'm saying how the prices in the industry are? Or how the prices are?

Rajeev Nannapaneni : I can't answer that question, my friend. I'm sorry, I can't answer.

Moderator: The next question is from the line of Rahul from Investore .

Rahul: My question is, what about the manage ment of the overall profitability, because we are losing something in this quarter. So are we going to make up it completely in the Q4? Or still there will be some pretty downfall in the profit?

Rajeev Nannapaneni : I think I've answered this question earli er. So I think I'll repeat that question. I think the way our nature of our business is like Q4 and Q1 will be lumpy and Q2 and Q3 will be on the lower side.

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We look at the earnings on an annual basis and t

hat's how we look at it and it's going to be like

this going forward as well because agro is also going to significantly contribute to the base business. And lot of the sale comes from kharif and little bit in rabi, so that's the nature of the business.

And I think if you look at the 9 -month earnings, I t hink the press release can addresses that, our 9 months earnings, we did about INR 1,884 crores of revenue and we have a profit of INR 442 crores. So I think we have given a guidance that going forward we'll do about INR 2,700 crores based on how Revlimid goals and a PAT which is probably closer to INR 700 crores, a little less than INR 700 crores in that case. So what we're implying is that...

Rahul : I have only one doubt there. See, I understand your business because I have been investing from last 24 mon ths in your pest company. So my thing is, are we going to pull the losses of other quarters into these so that if this is going to be substandard?

Rajeev Nannapaneni : I didn't understand your question, my friend. I am not able to understand your question. I didn't get it at all again. Can you say that one more? Could you rephrase that question, please?

Rahul: Yes. See, the quarter of Q4 I understand it will be [inaudible ...] growth. But at the same time, the value of that particular quarter should not get dozed up because of the previous 2 quarters, right?

Rajeev Nannapaneni : I don't understand your question.

Rahul: For example, Q2 didn't do well and Q3 didn't do well means there will be a lot of pressure on Q4, right? So it should not depreciate my Q4, are there any plan for that? That's what I'm asking.

Rajeev Nannapaneni : I think Q4 I think the guidance addresses that question, no, I think our expectation is that, i t will do well. And I think that's our expectation.

Moderator: The next question is from the line of Yogansh Jeswani from Mittal Analytics.

Yogansh Jeswani: Yes. Sir, lot of participants have asked you on CTPR. So just a few more follow -up on it. So in CTPR if you think the other companies have also come in and they have also come in with 20%, 25% discount to the pricing and I think Best Agro is one which is very upbeat about their CTPR launch. So given the market already has 2, 3 players and we innovator.

So how are we looking at this market in terms of the INR 150 crores guidance that you give?

How competitive it is when I get in next 12, 16 months? And how are we differentiating

ourselves? How are we presenting? Because out of the other competitors we are the only company who is not an ag chem company ?

Rajeev Nannapaneni : See, again, I'll tell you, if you want to start a business and somebody comes and tells you that you have an opportunity to launch a product where the market size is almost INR 3,000 crores and there will be only 2 or 3 suppliers, would you like to start a business in that manner or would

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you like to start a business where you have 30 competitors and you're competing with -- for the same size? I think this is probably the best possible position that you could start from. I know we are not an established player, but we have a reasonable network we have built over the last 2 years. We did a lot of hard work, building infrastructure, building the sales force and the manufacturing capability and we have a very good quality product. And we're getting good traction. And I think I'm giving this guidance after going into the market, and I think we should do well. And this is probably the best possible scenario that you could enter the market. And then you asking me a chicken and egg question. So when do you -- then if you say that you are not a player in this business and you can never enter that business then, right? So I think it's probably the best scenario that you could enter. I think that's the way I can put it. And this sort of limited competition

doesn't happen all the time and I think we're setting ourselves up for that and I think that's what we specialize on.

When we enter a market we don't try to be the -- we always like the only show in town or the only 1 or 2 shows in town so that your chances of success are much higher compared to a situation where you're dealing with 40 or 50 competitors. This is probably the best chance for us to do well because of the limited amount of competition. And the market is big enough also, no. See, INR 3,000 crores, I'm actually saying not even 10% market share. We're not asking for beyond that, isn't it? We're not going and saying that we want more than that. So it's a very conservative estimate and I don't think it will be hard to meet, okay.

Yogansh Jeswani: No. I think I came across a little wrong in that sense. So, no, I'm not saying that this is a bad way to enter the market. In fact, this is a very good way to enter the market and CTPR has been a very good launch. What I meant to ask was the -- we are the -- out of the players, which are there in CTPR, we are the only player who is not an ag chem company.

So if you could just share your thoughts here? Your way of how you have entered the market, what kind of regions you have tapped in? The INR 150 crores guidance that you gave, out of that, how much will be the B2B part and how much will be the B2C part that you will do? And next say -- how much of that we still share between B2B to B2C, that's what I wanted to understand?

Rajeev Nannapaneni : Yes. Sure. I've already answered the question and you have missed it. I think 65% to 70% we're expecting from B2C and about 25% to 30% expecting from P2P, yes, principal -to-principal.

Yogansh Jeswani: And in terms of differentiating, is it solely based on price or is it also based on the combinations that we can offer in CTPR?

Rajeev Nannapaneni : It's a combination. See, again, you mentioned other competitors. I think the other competitors not launched all the combinations. Some -- I have launched all the combinations. They have launched only 1 or 2 of the combination. They have not launched the combination. So that way there is a differentiation between us and them, right? So it doesn't mean just because another competitor has come doesn't mean that he'll offer the whole portfolio, there he'll be able to supply

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that particular market on time, doesn't mean that he has a full basket. We could be missing on someone else. And always traders play one against the other, right? So I think there is enough market for everyone. I think the market is good enough for everyone. I think it's large enough for everyone. And I think you can make your mark.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal : Rajeev, I think you answered this question partially before but how should we look at the subsidiaries incrementally going forward? The subsidiary businesses, again, largely dependent on how revenue scales up in these or are there more than -- more products which can meaningfully scale these businesses?

Rajeev Nannapaneni : I think there are lot of launches in both the subs. I think Brazil has about 5, 6 launches in the next 12 months. Canada also has some very good launches coming over the next few months.

We are trying to diversify the portfolio and we have lot of filings and we're doing litigation in these markets. So I think the idea is to build a more diversified model. I'm not concerned about a drop in price on one of the products affecting the profitability, because we have a fairly diversified portfolio. Yes.

Nitin Agarwal : And secondly on the newer filings on the US that you've done, by when do you think you will get clarity from the FDA in terms of your first -to-file status on some of these products?

Rajeev Nannapaneni : In the next few months, hopefully i

n the next few months. Next 2, 3 months.

Nitin Agarwal : And how many in numbers are products that you are banking on could be meaningful for you, that you've done...

Rajeev Nannapaneni : I think I have 2 products -- 2 to 3 products. We will know whether we have FTF shortly. With all 3 are filed, Nitin, what I'm saying, I have filed all 3, but we just don't know what the FTF status is. So we will know shortly.

Moderator: The next question is from the line of Mr. Choudhry, a Farmer.

Choudhry : I'm a farmer industrial investor. First question is about CTPR. I understood from the market that you are only offering small packs up to 150 ml. Whereas -- I am from Ballari area, farmers do buy a lot of large packs 600 ml of Coragen. Okay? That's one thing. And second, I also understand --. Hello?

Rajeev Nannapaneni : Which territory are you from, I'm sorry, which state? Which state are you from, I'm saying? Which state?

Choudhry : Ballari, Karnataka. As I was inquiring with your people in Anantapur, they told me that they're essentially giving out, I mean, the largest packs are about 150 ml. Okay? Whereas the demand is quite strong for 600 ml packs in cotton belt, which I think would be your primary consumer. Okay?

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Rajeev Nannapaneni : Just one moment. I'll get Rajesh to answer that question. Rajesh, can you answer that?

Rajesh Chebiyam : Mr. Choudhry, so till today we have launched the 10 ml, 30 ml, 60 and 150 ml. We are also offering the 300 and 600 ml, it's just on its way.

Choudhry : And I also heard that you people don't have a network in Karnataka as of now. Is your network limited to only Andhra and Telangana as of now?

Rajesh Chebiyam : No. I think the last quarter has been focused on building the team. So we do have some people who have started very recently. We are expanding. So the goal is in the next 1, 2 months, we'll have the full team in place in Karnataka.

Choudhry : You plan to cover the entire cotton belt Maharashtra and Madhya Pradesh and South?

Rajesh Chebiyam : So we are covering everything. So we are covering all the states. Karnataka, especially, our team is just getting onboard.

Choudhry : With regard to the other part, B2B, I noticed that the other -- one big player like UPL has grown mainly in B2B business, because technical competency, okay? And NATCO is a new entrant in agri business, but has a tremendous amount of technical competencies. Could you think in terms of expanding your business by building a large B2B portfolio and also utilize that to service your area of chosen area within India?

Rajeev Nannapaneni : Yes, sir. I think the idea is that only. I think our idea is that about 60% to 65% we want to do on our own direct customers, but 30% to 35% we're targeting on B2B as well. We have lined up quite a few customers. I think about 5, 6 customers we've already lined up. So we will get sale from both. I think the guidance that we gave of INR 150 crores in this business is based on the assumption that these customers are already onboarded. So I think we're fairly confident because we already have onboarded these customers.

Choudhry : Yes. But that is limited to only CTPR. I was talking about introducing other products which are complex where the APIs are probably imported or...

Rajeev Nannapaneni : We are working on a pipeline, Mr. Choudhry. So this is just a start. It's the first product we have launched -- first real product we have launched and has made a lot of bang. But we have a pipeline going forward the next 5, 6 years, we have a steady pipeline every year and -- but this is the most important product in the pipeline. I think that's why this is getting more attention. But yes, we have a steady pipeline and we are hoping to build a large business, not only directly to the customer, but also to third-party. We're very cognizantly working on that. Absolutely

olutely correct.

Choudhry: Could you give some color on your Brazil subsidiary's performance?

Rajeev Nannapaneni : Brazil subsidiary you said? Okay. Give me one moment. Brazil subsidiary last quarter did INR 38 crores of revenue.

Moderator: The next question is from the line of N K Arora , an Individual Investor.

N K Arora: All the people, all the companies which have lost generic Revlimid in USA, they have volume restriction. So does that mean there is no intensified prices on them by anybody to anyone?

Rajeev Nannapaneni : I think Teva markets the product, Mr. Arora. So there is erosion in the price, no question on erosion. So -- but I think the product should do well. I think there is enough money to be made on the product.

NK Arora: And secondly, sir, as we discussed in the previous call our volume share is in mid -single - digit. On 7 March onwards it will be in double digits. So we had a significant increasing profits like every year as our volume raises.

Rajeev Nannapaneni : I think so, sir. That's our expectation. That's correct, sir. Yes, absolutely correct. So this will be my last question yes. These are all? Okay.

Moderator: Sir, the next question is from the line of Nikhil from SIMPL.

Nikhil Upadhyay : Just one question on the Revlimid case, if you can just educate us what is the thing and how do you think -- so can it blow out in a large way or what's your understanding?

Rajeev Nannapaneni : I think Teva is handling the case, my friend. So Teva is the ANDA holder. So they are handling the case. At this time, it will be very premature to say anything. So that's something I can't comment at this time. Yes.

Nikhil Upadhyay : And you won't be able to comment that even if -- so I'm just trying to understand that if it goes adverse because the profit share is between 3 players, whatever the penalties or whatever the payments have to be done and all the 3 will have to do or how will it evolve like would it be...

Rajeev Nannapaneni : At this time, I can't comment. I think we are confident about our position. And at this time, I can't say anything beyond that.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to the management for closing comments.

Rajesh Chebiyam : Thank you all. Again, any questions related to what was discussed during today's call, please feel free to reach out to us. We'll be more than happy to address those. Thank you all, and have a good day.

Rajeev Nannapaneni : Thank you.

Moderator: Thank you. On behalf of Nuvama Wealth, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jun 2023

1st June, 2023

Corporate Relationship Department Manager – Listing
M/s. BSE Ltd. M/s. National Stock Exchange of India Ltd
Dalal Street, Fort "Exchange Plaza", Bandra – Kurla Complex
Mumbai 400 001 Bandra (E) Mumbai 400 051
Scrip Code: 524816 Scrip Code: NATCOPHARM
Dear Sir

Sub: - Transcript of earnings conference call held on 30th May, 2023
Ref:- Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements),
Regulations, 2015
We are herewith enclosing copy of the transcript of the Company's earnings conference call for Q 4 FY23 held on 30th May, 2023 . The transcript is also available in the website of the company i.e. , www.natcopharma.co.in .

Thanking you

Yours faithfully
For NATCO Pharma Limited
Ch. Venkat Ramesh
Company Secretary &
Compliance Officer

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"NATCO Pharma Limited
Q4 FY '23 Earnings Conference Call "
May 30 , 2023

MANAGEMENT : MR. RAJEEV NANNAPANENI – DIRECTOR AND CHIEF
EXECUTIVE OFFICER – NATCO PHARMA LIMITED
MR. RAJESH CHEBIYAM – EXECUTIVE VICE
PRESIDENT – CROP HEALTH SCIENCE – NATCO
PHARMA LIMITED

MODERATOR : MR. KUNAL RANDERIA – NUVAMA WEALTH
MANAGEMENT

NATCO Pharma Limited
May 30, 2023

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Moderator: Ladies and gentlemen, good day and welcome to the Q4 FY '23 earnings conference call of NATCO Pharma Limited Hosted line Nuvama Wealth Management. As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touchstone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kunal Randeria from Nuvama Wealth Management.
Thank you, and over to you, Mr. Randeria.

Kunal Randeria: Thank you, Michelle, and good morning, everyone. On behalf of Nuvama Group, I welcome you all for NATCO Pharma's Q4 FY '23 Earnings Call. With us, we have NATCO Pharma's senior management team represented by ; Mr. Rajeev Nannapaneni, Director and Chief Executive Officer; and Mr. Rajesh Chebiyam, Executive Vice President, Crop Health Sciences.

Over to you, Rajesh, for opening remarks.

Rajesh Chebiyam: Great. Thank you, Kunal. Good morning everyone, and welcome to NATCO's conference call discussing our earnings results for the fourth quarter and the full year of FY '23, which ended on March 31, 2023. During this call, we may be making certain forward-looking statements or statements about future events. And anything said on this call, which reflects our outlook for the future must be reviewed in conjunction with the risks that the company faces. I'd like to state that the material of the call, except for the participant questions, is the property of NATCO, cannot be recorded or rebroadcast without NATCO's expressed written permission.

We'll begin with the results highlights and then follow with an interactive Q&A session. As always, I hope you have received our financials and press release that was sent out earlier. This is also available on our website.

For NATCO has recorded consolidated total revenue of INR 2,811.7 crores for the year ended on March 31, 2023, as against INR 2,043.8 crores for the last year, reflecting roughly around 37.6% growth. Net profit for the period on a consolidated basis was INR 715.3 crores as against INR 170 crores for the last year. The increase in revenue and profits for the year was driven by business growth in the U.S. market and growth in Canada and Brazil, where we have our subsidiaries. Our Crop Health division started off well and with strong potential growth for coming years. For the fourth quarter, which ended 31st March 2023, the company recorded a net revenue of INR 926.9 crores on a consolidated basis as against INR 610.6 crores during Q4 of last year. Profit for the fourth quarter on a consolidated basis was INR 275.8 crores as against a loss of INR 50.5 crores the last quarter prior year.

We have shared the segmental split in our press note. I will not reiterate the numbers, but we will take the Q&A for now. Thank you.

Moderator: We have the first question from the line of Rashmi Sancheti from Dolat Capital.

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Rashmi Sancheti: Sir, my question is on domestic business. We've seen pressures in FY '23, but how many product launches we've done in FY '23 for the full year, mainly in the cardiac and diabetic segment, if you can grow some light? And for FY '24 and '25, how should we look at the total domestic business? Will it be still under pressure? And be like a flattish growth or it might be some sort of growth coming in? That is my first question.

Rajeev Nannapaneni: Domestic is doing well. As of this year, I think the numbers obviously are a little lower than last year. We had a onetime return of one particular COVID product. So that's the reason why. We have a run rate of about INR 100 crores per quarter in that business. I know it's not grown. I mean, we are also

-- I mean, we're looking at different things that we could do.

One is an acquisition what we've been talking about that. I think we are looking at those assets.

And also, I think, organically as well, we have about 10 to 15 launches a year. In terms of what I call how many products we have launched last year? We've launched total about 11 products last year. And I think -- does that address all your questions?

Rashmi Sancheti: Yes. So sir in '24, we will be able to see growth, right?

Rajeev Nannapaneni: I think so. I certainly think so. I believe that we should grow about 8% to 10%. And I think because we have cash on books, we are looking at some strategic opportunities. Hopefully, we do a small acquisition. We can -- I think we are internally targeting in -- acquisition plus organic growth, I think we should compound that business around 20%, 25% the year. I think that is the internal target. And I think we're working on that target.

Rashmi Sancheti: Sir, and on the API business, are we using it more for the capital consumption or that our business has only dropped and how should we look forward for the API segment? And my last question is that what is the buyback effect has already coming? Or it will be coming in FY '24 balance sheet?

Rajeev Nannapaneni: Okay. So yes, let me answer that question. API business has degrown slightly. But this year, I think it should do well. Our internal projection is that, that business should grow around 20%, 25% this year. The second question you had was on the buyback, correct? Yes. So in fact, I think a lot of the buyback has happened in the April, May month. So we have closed the buyback. So we have bought back almost 35 lakh shares. So our equity was INR 18.25 crores. Now it has dropped to INR 17.91 crores. So 2% of our equity -- nearly 2% of equity has been bought back and it has happened in the April to June quarter.

Moderator: The next question from the line of Atharva Bhutada from Purnartha.

Atharva Bhutada: So after Revlimid sales slow down, there is heavy price erosion. How will the company look forward to increase the international sales?

Rajeev Nannapaneni: We have multiple pronged strategy in international business. One is I think we have subs, which we didn't have, which gave substantial amount of revenue. And I think we look at this year's balance sheet, subs have contributed nearly INR 555 crores of revenue. If we net off the sub

transfer, the actual sale is INR 375 crores. But if you look at the front -end sale that we have had,

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we had about INR 555 crores. And the major highlights are, Canada as an almost CAD 40 million. Brazil, I think, has done 20 million -odd. I think the subs are doing extremely well. The future of the business is the subs.

As you have seen in our press release, I think we're setting up a sub now in Colombia and a few weeks ago, we're setting up a sub in Indonesia. And we're also looking to buy an asset in the U.K. So I think that's the strategy that we're doing on the international business. We try to globalize and use the R&D pipeline that we have to extend a multiple number of markets so that we strengthen the businesses.

And a couple of -- we have very good filings that we have done in the last few months. I mean, it's very hard to get sole FTFs and all, as you know, it's a very competitive business. But I think we've pulled out olaparib, Lynparza first -to-file. It's a joint venture with Alembic. Another good filing we have is the Ozempic filing with Mylan on semaglutide. That's a diabetes product, which is doing extremely well. Some of the strengths are shared first FTF. But a particular trend we've sole FTF. So that's another very good one. So in the last 12 months, we delivered 2 sole FTFs, so it will be very interesting. So I think the way this business works is honestly, I mean, you have to plug it along and

build a

global business and keep trying different things. And over the next -- I mean, we're spending very aggressively on R&D. We look at the cash that we have generated. I think we've spent a lot of it on R&Ds. Our raw material consumption is high. Our other expenses on bio studies and chemicals are high. And so we're putting whatever surplus we have back in R&D, and hopefully, we're able to strengthen our pipeline, yes. Okay.

Atharva Bhutada: Two more questions. One was regarding DASH...

Rajeev Nannapaneni: 1 more my friend. Let's give everybody a chance. So yes, 1 last. Pick up -- you're speaking soft. You can speak a little louder please.

Atharva Bhutada: Okay. So I had a question on DASH. So you bought DASH. So I just wanted to understand how are you going to scale it up -- like on the sales force in the U.S.?

Rajeev Nannapaneni: DASH is our U.S. trend and set up. DASH, right now, what we're doing now is whatever pipeline with ANDAs that we have, which have been dormant in our pipeline. So as you know, a lot of our old strategy was doing partnerships. So some of the older ANDAs, which we are not active, we use DASH to relaunch those products.

So I think the sub should -- I mean, right now it's not making money, but I think we believe in the next 1, 2 years, you'll see the benefit of our own front end. And some of our products will go through the subsidiary. I mean some complex generics are doing through partnership, but we're going to do a mix. I think some will keep with our own sub and some we are launching through partnerships. Thank you. Next caller, please.

Moderator: We have the next question from the line of Anuj Momaya from Ideal Investments.

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Anuj Momaya : So first question is what is the inventory scenario in the agrochemical business?

Rajeev Nannapaneni: Agrochemical specific inventory. I think we've non- liquidated a lot of the inventory we sold about INR40 crores last year. So as of now, to be precise on what's our inventory on Agro, it will be about INR 100 crores change. I don't remember exactly on the dot; yes, it's in that region, INR100 crores, INR 110 crores region.

Anuj Momaya : But we are confident of able to liquidate...

Rajeev Nannapaneni: Agro sales happens only in June and September quarter. It's the Kharif...

Anuj Momaya : The Kharif season, we'll be able to liquidate this?

Rajeev Nannapaneni: I think so. I think so, yes. We are -- we believe they'll be able to liquidate. The traction is very good. I think we got the approval very late. And by the time we could set up the whole sales channel and all, we didn't have a chance to exploit the opportunities that we could have. Now that I think everything is clear, we have set up everything.

We're present in all the major states and all the sales channels are well oiled. So I think we should do it. And I think a lot of that inventory you will see will go away in the next few months, yes.

But you have to remember, like because by March, this inventory will be higher, but a lot of this 70% to 80% sale happens within June and July. So we need to stock up at March and then we get it liquidated between June and July.

Anuj Momaya : My second question is on Revlimid. So we had, I think, a step up in the market share in the year 2. So this quarter is the only supply that you have booked or even the profit share has been accounted for? Or will see the profit coming in the next quarter?

Rajeev Nannapaneni: We have booked the supply. And I think we also booked -- we had to pay a raw material supplier a little bit, so -- as part of a pre-agreed agreement. So that is booked in the raw material. We have not sold all the quantity. I think we have sold about 1/4 of what we got allocated so far. So we still have 75% left, I think, around that in that region. So I think we'll sell it off, I think, in the next few -- couple of quarters -- June and...

ple of quarters -- June and...

Anuj Momaya : We'll be recognizing the profit share along with that?

Rajeev Nannapaneni: Yes, absolutely correct. Yes. I think -- but we have a lot of it still left. So I think we will do well in June, and I think some spill in September. I think that's our expectation.

Moderator: The next question is from the line of Ritika Agarwal from ValueQuest.

Ritika Agarwal: My first question is on gross margin. So this quarter, we've seen a significant gross margin decline Q-o-Q as well as Y-o-Y. Any major reasoning for this?

Rajeev Nannapaneni: Yes, sure. I mean -- so I think as the gentleman asked me earlier. So there was a onetime INR 50 crores charge to our -- we had to pay our supplier for the success of our first -to-file. So I think that was a pre-agreed in the contract. So that is reflected in the consumption. And additional

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INR40 crores, INR 50 crores, I mean, we had a lot of R&D and bio studies that we have spent.

And then we have some regular stock write-off and all. So I think it's part of the course, I mean...

Ritika Agarwal: So this onetime INR 50 crores charge is for Revlimid is what you alluded?

Rajeev Nannapaneni: Correct. Absolutely.

Ritika Agarwal: Okay. Secondly, I think the cash flow, we see some intangible asset purchase of INR 50 crores, what would that be?

Rajeev Nannapaneni: Intangible assets is about INR 50 crores -- that is the goodwill on the acquisition of DASH.

Ritika Agarwal : Okay. Sure. And lastly, what would be the net cash on our balance sheet currently?

Rajeev Nannapaneni: As of March 31, 2023, the cash is INR 1,089 crores. And we have a borrowing of about INR 165 crores, of which about INR 95 crores is foreign bill discounting. And INR 165 crores minus INR95 crores, so INR 70 crores is the actual bank borrowing.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal: Just following up on the previous question about the expenses. Even if you account for the INR50 crores one-off you talked about in the raw material costs, I mean, versus our historical numbers and raw material is a little on the lower side -- I mean the raw material consumption is a little on the higher side. So anything else that you want to just highlight given the fact this is such a large component of U.S. sales in this number?

Rajeev Nannapaneni: No, I think -- see, there are 2, 3 things, Nitin. I think what we're doing is actually -- I get to ask this question even on the last call as well. So I think the question that NATCO is facing is -- what do we do with our surplus, right? And I think I have decided that I'll use the surplus for spending money on bio studies and new exhibit batches. I think because of the strength of the balance sheet, we're using this money for strengthening our pipeline. I think as cumulative, I have told the other caller as well, that we've delivered 2 interesting FTFs. So I think this is where you have to spend your money on. And I think a lot of the money is geared towards exhibit batches and bio studies. I mean that's where we're spending our money.

Nitin Agarwal: So how much did we spend on R&D this year on the revenue front? And how much would be for the quarter, if you can give this number?

Rajeev Nannapaneni: I think, see, there's 2, 3 generally, but R&D is about 7% to 8%. And the exhibit batches and all are reflected in the consumption and other expenses.

Nitin Agarwal: So 7% to 8% of the revenues we booked this year is R&D?

Rajeev Nannapaneni: Yes, absolutely.

Nitin Agarwal: These are on these elevated R&D -- revenue numbers?

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Rajeev Nannapaneni: Yes. On the higher revenue number.

Nitin Agarwal: Yes. So I think we had about INR 2,700 crores revenue. So about INR 200-odd crores is what

t we

spend in R&D this year, roughly?

Rajeev Nannapaneni: I think, just let me get my numbers, yes. Just give me 1 second -- I think 8% of our revenue is what we have spent on R&D as of this year.

Nitin Agarwal: Okay. And secondly, on the crop protection, barring the inventory liquidation that you will do on CTPR. Any more colour on how do we see this business over the next 2, 3 years?

Rajeev Nannapaneni: I think the business should do well. I think we just got started. I think we did only INR 40 crores last year. But this year, I think our projection is that we should do about INR 150-plus crores. I think -- we're targeting INR 200 crores, but I think INR 150-plus crores, I think conservatively is what we're looking at. We have other products -- and I think a lot of these filings have been done this year. And I think this year will be the year of CTPR. I think the full value of CTPR, I think, will to realize in this financial year. And subsequent years, we have a pipeline. And I think we are hoping that this business grows to about 10% of our sales. I think that's the stated goal internally.

Moderator: The next question is from the line of Rajat Setiya from iThought PMS.

Rajat Setiya: With regards to our base business, which you have been mentioning in the past few calls that it is generating a PAT of around INR 40 crores, INR 50 crores on a quarterly basis? How was that number in this year? And could you quantify the total number for the full year last year?

Rajeev Nannapaneni: I think that's a fair estimate. I think it's the same number. I don't think it's any different. I mean, I think it's in the same range.

Rajat Setiya: Okay. And how you see this base business, which is basically ex Revlimid, I think everything else. How do you see this business growing over the next 2, 3 years?

Rajeev Nannapaneni: I think that's what we are trying to talk about. I think what we're trying to do is spend money on R&D so that we can strengthen our subs. And hopefully, that business takes off and then that can strengthen our base. So we are spending our money on doing more filings. I think, for example, our stated goal is, U.S. we need to file 8 to 10; Canada, we need to file about 8 to 10; and then Brazil, we need to file 8 to 10, which are the 3 key markets.

And in addition to that, we had to launch about 10 products in India. That's a stated growth. In terms of where do we see this growth coming from? We personally believe I think once we strengthen this business and build a pipeline, including a combination of both FTFs and the base business. I think we have mentioned about 2 FTFs that we had achieved in the last 12 months. I think we target similarly another. I think the key here is you build a strong pipeline in multiple markets, and then you target about 8 to 10 FTFs or niche or hard-to-do generics and somewhere in that, I think you will get some success. I think that's the strategy.

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Rajat Setiya: Sure. So in this base business, do you expect any products wherein profits can further fall because of price decline or competition?

Rajeev Nannapaneni: Which product you're talking about?

Rajat Setiya: Not any specific...

Rajeev Nannapaneni: The base you're saying?

Rajat Setiya: Yes. Because this base business -- I mean, the business as a whole used to generate 400 -- minimum INR 400 crores of profits in a 5-year time period. Continuously it has done that. But now it is probably down to INR 200-odd crores. So now can it further go down? Is what -- in the immediate future...

Rajeev Nannapaneni: I don't think so. I think if you look at it, we've built a sub business, the subs are doing about INR 20 crores, INR 25 crores of quarter. And I think -- and I think that has done well. I see another big change is the Agro. See, Agro is losing about INR 45 crores, INR 50 crores a year. So we won't

lose INR 45 crores, INR 50 crores this year because obviously, because the launch is there and the full-year advantages there. And so these are major changes.

And then domestic in combination with the acquisition and growth of 10%, I think we should be able to see some positive cash flow. The objective is that we build this business back to about INR 100 crores type of PAT minus the bigger products. So I think that's the objective and we

have the pipeline, we have the filings. I think we are confident that we'll be able to pull this off in the next few months.

Rajat Setiya: Sure. With regards to the acquisition, you mentioned that with the acquisition growth in the domestic business can be 20%, 25%. So are we targeting this INR 50 crores, INR 60 crores kind of acquisition? Isn't that too small?

Rajeev Nannapaneni: If you look at -- I mean, we will get different acquisitions. We've not closed anything. So I can't really comment specifically on a particular transaction. I think that's the objective, I think, yes. We're looking at such transactions.

Rajat Setiya: One small question on the subsidiary side. In this quarter, if we just reduce the -- if you just deduct stand-alone numbers from the consol numbers. So the EBITDA for subsidiaries coming

around INR11 crores. So is there -- I mean it has declined a lot. Is that understanding correct?

And what is the reason if that so?

Rajeev Nannapaneni: I don't think the EBITDA is INR11 crores for the subsidiaries, and that's not -- if I can read my numbers in my sheet here -- the profit of the subs for Q4 is INR 28.97 crores.

Rajat Setiya: You're talking about EBITDA?

Rajeev Nannapaneni: Yes, this is PBT, boss -- PBT -- offline, you can speak with our IR and get a clarification, yes.

Moderator: The next question is from the line of Ishita Jain from Ashika Group.

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Ishita Jain: What was the percentage R&D spend in FY '23? And what is your guidance for the next 2 to 3 years?

Rajeev Nannapaneni: I think last year was about 8%. And I think we believe we should spend -- I want to spend about 10% this year. I think that's our guidance.

Ishita Jain: Got it. And what is the time line on semaglutide? Is this an FTF? And if you're going to do semaglutide, are we also looking at Wegovy and Rybelsus?

Rajeev Nannapaneni: We're looking at everything. But as of now, I don't want to speak about that. I can only speak about the 1 that we have filed. Time line, I can't give it. All depends on the patent litigation. So I can't answer that question.

Ishita Jain: Understood. And just 1 last. You mentioned that there is 1 product that is not partnered, and we're going solo on it. Are you disclosing what product that is and its timeline, if any?

Rajeev Nannapaneni: I don't know which one I'm talking about. Generally, I'm saying some products we are going solo, and some we are not partnering. But as a general strategy, not specifically one particular product. If you've seen our investor presentation in quarter 4, to give you an example, like Lonsurf, we are litigating -- it's a shared FTF, it's with us.

We have first filed on Zydelig/idelalisib. We've sold FTF, and which is we're doing it ourselves. So I mean, these are examples where we're doing it ourselves. So it all depends on the product because some of them are already partnered with us in the past. So the contracts were obligated. The newer ones are doing a mix of direct and partnership.

Ishita Jain: Got it. So in these direct ones, we are expecting to set up from tend. This is mostly for regulated market, right?

Rajeev Nannapaneni: Yes. But the frontend is always there. I think we spoke about DASH Pharmaceuticals I think that's the frontend.

Moderator: The next question is from the line of NK Arora, an individual investor.

NK Arora : Congratulations, sir, for a good set of numbers. I just wanted to note th

at what would be the

likely percentage growth in revenue and profits for the next financial year?

Rajeev Nannapaneni: Thank you, Mr . Arora. I think we should do well, Mr. Arora. I think we'll have very good growth this year. How much and all, I don't want to say it at the beginning of the year because I think once the year progresses and maybe in the next call, I will give some -- we can get some clarity on how this year. But I think very clearly, it will do much better than this year.

What percentage growth? I don't want to say anything right now. I want to reserve that comment for now. But we'll do well. I think we'll do extremely well. I think that's our expectation because of our launches in the U.S. and also because the adverse turnaround. And I think with the stabilization of our subs and also domestic also should be stable. I think all these factors will contribute and I think we should do well.

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Moderator: The next question is from the line of Ahmed Madha from Unifi Capital.

Ahmed Madha: Just I wanted to understand that this year, for the subs, we did INR 550 crores topline. So last year, FY '22, how much was that number?

Rajeev Nannapaneni: I think gross is INR 555 crores and INR 375 crores is the net because you have to deduct the sale that we send from India to the sub. Give me a moment. I don't have the -- I only have the net number. It's INR 181 crores.

Ahmed Madha: INR181 crores. Got it, got it. And the second question is on the nature of the INR 50 crores charge which we took. So can you explain little, I mean a little more clarity. What was the INR 50 crores charge for?

Rajeev Nannapaneni: INR50 crores charge is what we pay the raw material supplier for enable. So we said that if we get success in our product, we will share a certain amount of money with them. I think as part

of the pre-agreed agreement, we have paid them that INR 50 crores, to our Indian supplier.

Moderator: The next question is from the line of Cyndrella Carvalho from JM Financial Limited.

Cyndrella Carvalho: So coming back to the guidance part, you are saying you might take some time more for us to come up with a growth guidance. However, just to confirm, the volume share increase has been already taken for every month and that will meaningfully play out in the first and the second quarter. Is that correct understanding, Rajeev?

Rajeev Nannapaneni: That's absolutely correct. Absolutely correct.

Cyndrella Carvalho: Okay. And any colour on the U.S. environment that you would want to provide excluding the generic Revlimid part?

Rajeev Nannapaneni: I give a general perspective, Cyndrella. I think what you need to understand is you cannot ignore U.S. U.S. is 50% of the U.S. generic business. I think any company which is operating in this space has to be present in the U.S. Regarding the challenges in the U.S., I mean, you're going to have some good years, you're going to have some bad years. And I think you need to be pleasant and you need to play in the game. I think that's when you get the opportunities.

And the real value in the U.S. is when you do hard-to-do generics or niche generics. And I think that's always been in the position of NATCO and I think that's where you get the upside. And that's how you do this business. And I think you have to be present, you have to have a basic portfolio, you need to have a pipeline and somewhere it will get a hit somewhere. And I think what -- it's a waiting game. We just have to be patient and you just have to wait. And somewhere in your pipeline, you will get at it.

What that hit us and all? I mean, I can only make an educated guess and I can speak about it in a call. But what will come through? Nobody knows. But I think it's still a good business and I think you can't discount that away.

Cyndrella Carvalho: Okay. I was asking more from a pricing environment,

do you see...

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Rajeev Nannapaneni: Pricing environment -- competitive -- in a way I've answered your question. Let me replace that in a way that, I mean, hopefully, you can understand what I'm saying. In a multi-generic source, there's no money. It's the honest truth. And I think there's -- that's the way it is, and that's the nature of the beast. What I'm trying to say is that you have to be present in the business, and there are always opportunities where somebody else doesn't turn up and then suddenly you get an upside.

Or you do a initial hard-to-do generics, there's money to be made. The environment is what it is.

I mean, you can't change it. And I think we have spoken many times about this -- the consolidation of the buyers, the number of Indian suppliers that are there. It's a very competitive business. But you need to find a sweet spot and that's the trick in the business here.

Cyndrella Carvalho: And on the subsidiary side on the Canada and Brazilian, would you like to help us understand how should we look at FY '24 and '25? Number of launches, anything improving there? In terms of profitability, how do you see the subs performing?

Rajeev Nannapaneni: I think the subs have done well, and I think we're very happy how they have done. It's -- I think we expect that this business will grow around 15% to 20% in the coming year. And I think we've spoken about the numbers. I think we did about CAD 40 million in the front end. I think 20 million, 21 million in Brazil, I think. So I think that should grow around 15% to 20%.

Cyndrella Carvalho: And are 4 launches in the subs, how are they performing? Have you able to get approval for all the core launches? Are we still awaiting some key approvals?

Rajeev Nannapaneni: Which sub meds? I'm sorry...

Cyndrella Carvalho: Canada and China also...

Rajeev Nannapaneni: I think we have a steady pipeline. I think we filed about 7 to 8 products. I think we do litigation. So I can't specifically tell you which product, when and all. I think top of mind, I can't answer that question. But I think we are expecting that we'll grow around 15% to 20%. I think that I can answer that much.

Moderator: The next question is from the line of Rusmik Oza from 9 Rays EquiResearch.

Rusmik Oza: Sir, just to correct myself, we have sold around 25% of our allocated share of Revlimid and 75% is still pending. Is it right?

Rajeev Nannapaneni: Absolutely, right.

Rusmik Oza: And can you give us a little bit of understanding, out of the 75%, how much could come in June quarter and how much could come in the September quarter?

Rajeev Nannapaneni: A lot of it will come in June and I think some of it will come in September. I mean a lot of it will be captured in June and the September quarter. I think that's our expectation.

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Rusmik Oza : Okay. And sir, has more players enter this space from here to Jan '25 or maybe FY '25, '26, any colour on what kind of market share you want to retain or gain in this Revlimid product?

Rajeev Nannapaneni: It all depends on how the market plays. And I think, you can aspire for something. But how the market plays up. I can't predict the pricing environment a few years down the line. I can't answer that question. Sorry.

Moderator: The next question is from the line of Rohit from iThought PMS.

Rohit : Sir, in the answer to earlier participant's question on your base business, you mentioned that the target is to get to from the current profitability of about INR 40 crores, INR 50 crores -- to about INR100 crores. What is the broad time line that you're thinking on this? I mean is it in the next few quarters? Or like how are you thinking about this?

Rajeev Nannapaneni: I think it will take time. I think our view is that Agro should do well. So -- I can really tell you, I mean, we i

n and all, it's very difficult to answer those questions. But I think what I can tell you is the Agro should do well. I mean, I can tell you what factors will get you that number. I think agro should do INR150 crores, INR 200 crores. Domestic has to grow around 15%, 20%. Our subs have to grow around 15%, 20%. So when you say building a base business, then you need to have the whole base growth and your multiple country strategy should work. So I think you just have to keep watching. I think I expect in the next 1, 1.5 years, 2 year s, I think that's the aspiration, I think, based on these assumptions.

Rohit : Sure. And just slightly longer term in terms of -- I mean, obviously, our strategy is to sort of go for some shots and we've done very well in the last decade or so in that regard. Moving ahead, I mean I don't know if you can share, but as you move beyond 2025, 2026 calendar year, how do you see -- I mean if you can talk some of the opportunities? You were quite bullish on the pipeline in the last 2 calls. So if you can talk a bit about that, whatever you can share, that would be helpful to think about what can be the next big thing for NATCO beyond Revlimid?

Rajeev Nannapaneni: I think we spoke about that. I think, I gave examples of semaglutide, I gave example of olaparib. See, I think you need to understand. I think our company has the innate ability to identify good opportunities and deliver. And I think we've done that successful in the last decade And we reached a stage, if we did, with the pipeline. The problem with this -- doing this hard- to-do generics, complex generics, which are linked with litigation, is you can't give time line that this launch will happen at this particular date and at this particular time because a lot of factors that play a role.

So I think what I can do is file, I think, objective internally is that we should file 7 or 8 or 10 of these. And hopefully, we get 3 or 4 right, I think you have said, I think let me -- okay, I'll challenge you the other way. I think you can't tell the timing, but if you get it right, it will be -- you'll do well. I think that's how you have to look at this. And if you look at the competitive nature of the generic business, you need to understand that you have to deliver these niches, and that's where you get the kick in the earnings.

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Otherwise, you won't. To say that -- I mean, people keep asking me on base business growth and all. Base business will only get to you like -- will be very meager earnings. It's not going to change the needle dramatically. And I think you need -- that is important. I'm not saying it's not important. But you also need to deliver the niches.

And if you don't deliver the niches, you'll never get that growth. And I think that's where we're good at, and I think that's what our focus is on. And we did a balance of scores, the base -- but when you do a product where they are like 15 generics, I mean, how much money can you truly make? You can't really make much money. And the same impact everybody is having in our business today. I think because of the high base effect.

Even if you get 10 or 20 of these launches where you're in a hypercompetitive market, it's hard to do well. You need to deliver something special as well. I think you need to balance it out. And I think we need to look at the business in 2 ways. You've got to have your niches and your hard-to-do genetics that you need to deliver and also you need to build the base. I think you've got to judge the company on both. I think that's how I would look at the business.

Moderator: The next question is from the line of Mitesh Shah from Nirmal Bang Securities.

Mitesh Shah: I have a question about R&D. You said 10% of sales. So it would be like almost this year, 8% would be around INR 200-plus crores, then you're expecting would be INR 350-plus cr

ores R&D
next year?

Rajeev Nannapaneni: I think it depends on how we do well. But I think I want to spend more than INR 300 crores, I think that's the objective. I want to spend 50% more than what we did last year. But I think -- it all depends on cash flow. See, I measured the R&D based on the cash flow we have, right? I think we have good cash flow, we spend more. If you have less cash flow, then you can spend less and then try to do more partnerships. So I think it's all comes to on flow...

Mitesh Shah: Got it. And about -- Revlimid again, that you said you sold 25%. So that you supplied or that is booked profit by the partner?

Rajeev Nannapaneni: It's the sale that was booked by our partner.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal: Rajeev, on the R&D, now the R&D spend that we are taking are almost all of them towards the U.S.? Or there is a considerable amount you're looking to spend now towards the non-U.S. market also?

Rajeev Nannapaneni: No, I think we're spending in all the major markets, Nitin. We are -- I'll give you an example of what I'm trying to do. And I think we'll get a feel of what we're trying to attempt. So let's say, we're doing this 1 particular oncology product. I don't reveal the name, but to give you an idea of what we are trying to do. So the bio study for this will cost you about at least \$2 million. So if you want to do a bio study for Canada, it's \$2 million. If you want to do a bio study for Brazil,

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it's \$2 million. If you wanted to do bio study for Europe, it's \$2 million. So 2 plus 2 plus 2, \$6 million. One product, I'm spending \$6 million.

The reason I'm doing that is because I believe this is a very niche smart product. And I think our expectation is when the launch happens, we'll do well with it. Will I be right? I don't know. But these are gambles that we're trying to make. So we're spending \$6 million on products. We've identified 5 products and -- which are difficult to do. Then suddenly down \$20 million, \$25 million of R&D money in this.

But I think, again, it comes back to the original question, Nitin. What do you want to spend your money on? Do you want to spend on simpler ANDA where you know for sure, they're going to be 15 people or do you want to spend on an ANDA where for sure there will be only 2 or 3 guys, but the entry barrier is higher? I'm choosing the latter as opposed to the former. I think -- will I be right? My sense is, I'll be right because, again, you can always argue that there's volatility in the earnings.

But I believe the real value of the business is there. And I think if we do it well spread over multiple geographies, I think you will get a very consistent set of earnings. I think that's what I believe -- personally believe. And I think that's -- and you have to chart your own course. And I think it's very important that we don't spend money on things where you believe that there's going to be a lot of competition because India, what is the point of spending money on something that is not going to make too much money, right?

So I mean, you can always have the basket strategy and I think we can always play that argument. But the value in the business doesn't come basket, Nitin. I completely -- basic basket is required, of course, when we go to customers, and it is absolutely understood. But the real value in the business is doing the hard generics. It's not in the meat. I know this is a little different from conventional business, but I strongly believe there's no -- I think you'll never get a bump on your earnings before that.

Nitin Agarwal: No, that's accreditable. And secondly, just on that, you mentioned that you're looking to do 10 filings in U.S., then in Brazil and Canada. So I presume there will be a significant overlap in these products, right,

typically?

Rajeev Nannapaneni: I think that's where the synergy comes from them, Nitin. So you spend, let's say, \$3 million, \$4 million of the exhibit batch and you spent \$2 million, \$2 million, \$2 million on the bio study. So suddenly, you're spending \$10 million, but you're getting 3 markets. And each of these countries request -- requires you to do with the local R&D. So I think that's the challenge. So that's how we do this.

Nitin Agarwal: And lastly, on -- in terms of your filings or rather possible launches over the next maybe 2 to 3 years, what is the visibility in terms of incremental launches that -- which could be, say, \$20 million-plus launches, which can happen? How many such launches we can do over the next -- I mean, do you have visibility on over the next 3 years or so?

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Rajeev Nannapaneni: Some we do and some we don't. I mean the smaller launches, I mean, we have a settlement on Tracleer, which is -- I don't know on the sale of the product. It's below \$50 million type of product. And then we have a settlement on idelalisib, which is also below that size. So I think we meet our pipeline of these. And I think we'll update our investors in our investor presentation to start these filings.

But these -- I mean we can't discuss the pipeline, what you call the time we launch because the bond is confidential. But I think we'll disclose it in our presentation. But we'll let move the needle, Nitin? Yes, a little bit, but not enough to cause a disruption of the earnings. I think our base has become so large that \$10 million doesn't make too much difference. So you need to have a whole pipeline of these ideas.

Nitin Agarwal: And just last one. On the base products, which are there in the U.S. except Revlimid, I mean, have you seen any change in the dynamics or any improvement or any competitive dynamics on the existing products except Revlimid in the U.S.?

Rajeev Nannapaneni: I think the products where you are niche and all, they're doing well, Nitin. I think where there's a limited amount of competition, I think you're doing well. Products where you have multiple generics, there's enough competition from India. I mean, people say the pricing environment has changed and all. I'm not a big believer in it. I think somewhere in 1 product here and there you'll see, but overall, the -- in a multi-generic environment, you can't make money, Nitin.

Just it's occasionally you'll get money here or there. It's a mathematical possibility. But I -- personally, I don't believe it. I know it's contrary to everybody what everybody says on the street.

I do not believe that we can make money on these products. You will have it as a basket. So maybe pay for the factory overhead or something like that, but these are not disruptive or great product, which we think tends to make money. I disagree with that position.

Moderator: The next question is from the line of P.D. Gupta from Investors Forum.

P.D. Gupta: Sir, now specifically I want to know what is the contribution of Revlimid in our top line as well as bottom line for the quarter and year ending March '23?

Rajeev Nannapaneni: I will not answer that question, Mr. Gupta. I don't want to answer because it's competitive information. I don't want to answer that question.

P.D. Gupta: Not available, sir. So, can I try to get it on the phone?

Rajeev Nannapaneni: No, no, no. I'm not going to answer. I think a lot of times we will be asked. It's just giving away competitive information. I don't want to...

P.D. Gupta: No idea, sir. One more thing, sir. Actually, other companies are also entering U.S. in Revlimid recently. I was going through a detailed report on Revlimid in U.S. And I got 1 information in that, that during the calendar year, not financial year, calendar year 2025, the contribution of our NATCO Pharma will be around USD 1.1 billion. Is it correct?

Calendar year?

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Rajeev Nannapaneni: I don't know. I don't want to judge pricing situations on that -- I can't answer that question, Gupta Ji sorry.

P.D. Gupta: Is it possible?

Rajeev Nannapaneni: I do want to answer your question. You're asking me to predict what happens in the future, which I refuse to do that. I'm sorry, I can't answer that question.

Moderator: The next question is from the line of Rajat Setiya from iThought PMS.

Rajat Setiya: So sir, with regards to Revlimid, were we able to sell our allocated volumes in the first 12 months?

Rajeev Nannapaneni: Last year's quantity you are saying or this year's quantity you are saying?

Rajat Setiya: First 12 months, the first 12-month cycle that began...

Rajeev Nannapaneni: That's all done all. That's all done.

Rajat Setiya: So we were able to sell completely whatever we were allocated, right?

Rajeev Nannapaneni: What was allocated last year, it's done and dusted. What we're selling now is this year allocated.

Rajat Setiya: Okay. And for this year, do you expect the volumes to be -- I mean, is it safe to assume the volumes can be 2x of the last year?

Rajeev Nannapaneni: It will be better than last year, and our earnings, hopefully will be better as well. It all depends on the pricing, yes, but I think we should do better.

Rajat Setiya: Okay. I mean, in terms of volumes we know where we are going to hang, which is probably 1/3 of the overall market, and we started with somewhere mid-single digits. So going by that, is it not safe to assume that we'll be doing 2x of the volumes? 2x volumes over the last year?

Rajeev Nannapaneni: I can't answer that question. I can't give any guidance.

Rajat Setiya: Regards to the -- again Revlimid only, with regards to booking the manufacturing sales in

Revlimid. So did we do that in Q4? Or did you do that in Q3?

Rajeev Nannapaneni: We already booked the manufacturing in the last financial year. Manufacturing and the raw material cost...

Rajat Setiya: For the second year, I mean, did you do that in Q4 or Q3? Second year of Revlimid?

Rajeev Nannapaneni: I think we did part in Q3 -- I don't remember exactly. We did some in Q3 and some in Q4. And in Q4, obviously, the expense of book, but I can't reflect much, but it's somewhere in between.

Moderator: The next question is from the line of Cyndrella Carvalho from JM Financial Limited.

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Cyndrella Carvalho: So just wanted to understand, initially, we were looking to acquire, do some acquisition in domestic market. While now you're saying that you want to invest more in the R&D side globally. So is there any change in any thought process from the...

Rajeev Nannapaneni: I'm saying both, Cyndrella. I'm not saying only R&D. I'm spending money looking at acquisition and also looking at R&D, both. I never said that -- it's not -- both.

Cyndrella Carvalho: Understood. And is there any update on the local -- domestic side, are we looking at any of the brands? Is there anything...

Rajeev Nannapaneni: We're looking at different transactions. Hopefully, we're able to get something. I think as of now, not much.

Cyndrella Carvalho: And the idea, again, remains around INR 150 crores to INR 200 crores kind of piece that we are looking at in terms of acquisition domestically? The size?

Rajeev Nannapaneni: We're looking at different transactions. I don't want to answer that question directly. I think we're looking at different sizes. I think we'll come back once we consummate something.

Moderator: The next question is from the line of Mitesh Shah from Nirmal Bang Securities.

Mitesh Shah: Sir, I just have 1 question on the Revlimid. Revlimid, what is the pricing scenario versus last year and this year that you already now booked 25% of the fees?

Rajeev Nannapaneni: It's doing well.

I think I can't answer that question directly, but we are happy with things. I think things are okay. And I think we should do well.

Mitesh Shah: Okay. Got it. And again, following the last participant questions. I think as you said that the competition increasing and most of the players are looking for the specialty or the complex products. So do you think so that the -- still the opportunities are large for the complex or diminished products or it will be eventually competitive, again, like the normal one and the opportunities will be reducing?

Rajeev Nannapaneni: See, the question is you can look at something, doesn't mean that you'll deliver. The difference between looking at something and deliver it. So I think the guy who delivers is where the person will do well. And I think there's a lot of gap between delivery and looking. So I think that's where -- that's what's going to separate people who are successful, who are not. But coming back to what the gentleman said and I want to reiterate it again, you need to do the niches. Otherwise, you'll not succeed and get meaningful earnings growth.

And I believe unless you do specialty top generics, I think the business has very little value.

Again, it's my personal view and everybody doesn't agree with me because, obviously, different people have different models. But in my personal view, if you're going to be in the generic business and you want to be a global player in the generics business, you got to do the niches and hard-to-do generics. And sometimes, the predictability of the launches will be difficult to judge, but that's where the real value is.

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Mitesh Shah: Got it. Actually, sir, my question is mainly regarding the -- your past history is always you're finding out the gap and you're targeting those gap. So it would be like a similar gap you can be see in the future or it will be narrowing down because of the competition?

Rajeev Nannapaneni: I mean just coming back to your original question, I think, do you see more people doing and therefore, the opportunity is dwindling? No, I don't think so. There's enough opportunity. You just have to be patient. You got to spend the money and I think there is an opportunity. I don't

feel so negative. I -- but previously, the entry barrier for this money, the money that you're spending is also very large, right?

I mean I just said a few minutes ago, we had to spend \$6 million or \$8 million to get a global launch of 1 particular product on just a clinical trial. I mean these are the ones that we need to do, and I think that's where the real money is. And I think these products surprisingly does hold

up. I mean, not all the time, every time, but the mathematical probability of our success is much higher in these sort of products and that's how we need to structure your business.

Moderator: The next question is from the line of Anmol Soni from SUD Life.

Anmol Soni : Yes. Sir, you have said on the call that you have booked around INR 50 crores of cost against 1 FTF. So what is the revenue contribution regarding this?

Rajeev Nannapaneni: I think we -- this is regarding the supplier of the API. I think we've -- I've said that I will not answer that question. Yes.

Anmol Soni : Sir, but what will be the revenue contribution?

Rajeev Nannapaneni: I'm not answering that question, my friend. I'm sorry. I don't do a split of the products. And we don't because you're just giving away where you're making money, I think, and how you make money. I've been asked this question many times, I'm not answering that question.

Anmol Soni : Okay. And on Revlimid, you have said that 25% has been sold right now. So is it from the date of launch or is it from the calendar year or financial year?

Rajeev Nannapaneni: From the date of launch.

Moderator: The next question is from the line of Ritika Agarwal from ValueQue

st.

Ritika Agarwal: I have 2 questions. Firstly, on the API business, we've seen a very good growth on a Q-o-Q basis, almost 70% growth, from INR 40 crores, INR 50 crores run rate to now INR 70 crores plus. What led to this kind of growth? And what is the driver on what we are guiding 15% to 20% growth going ahead in this business?

Rajeev Nannapaneni: I think we have confirmed orders from our customers for various products that are there from that division. So based on that guidance, I think we feel confident that we should be able to do that business. And there were some delays in some supplies of 1 particular product, that's the reason why it got shifted to the Q4. I think that's the reason why there was a drop in Q3. But I think now we are more comfortable, and I think we should do well.

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Ritika Agarwal: Sure, sir. Sir, and does API involved CDMO also? Or is it a pure API supply?

Rajeev Nannapaneni: It's pure. I don't believe in CDMO business because I think if you want to be an aggressive generic company, I think you can't do CDMO. Personally, I'm a big fan of CDMO because -- I mean I'm a little hard for my comment, but I think there's a reason for that also because if you want to be an aggressive successful generic company, you need to go after every patent.

And if you're doing CDMO business for multinationals, you can't -- you don't have the flexibility. I mean there's other people who do that business, and we have done well with it, but that's their strategy. But my strategy is to go after patents. In my personal view, I think it doesn't work. You can't play both sides. You've to choose a camp. So I don't -- firstly, to answer your question, it's a straight API business. It's not CDMO.

Ritika Agarwal: Got it. Sir, second question again, subsidiaries, we've seen a very good growth from INR 80 crores kind of run rate from that 4 quarters to now INR 117 crores, INR 118 crores. So what led to this growth? Whether you're launching this quarter? And again, we are expecting some 15%, 20% growth going ahead? Or would it be led by new launches again?

Rajeev Nannapaneni: Absolutely because of new launches. I think we had some very good launches in Brazil. I think that had made a lot of difference. And we won some good orders in Canada as well, some tenders as well. So the business looks consistent. And I think we -- to answer your question, it is because of new launches, some new approvals and I think in some tender orders that we have won in some countries.

Ritika Agarwal: So, Sir, could you point out which are these launches that we are looking ahead going ahead?

Rajeev Nannapaneni: Generally -- we generally say, we don't give away the product because generally -- see, I'll tell you why we don't give away products, because sometimes the big ones we do mention, I mean, for example, in Brazil, I think, apixaban has been the biggest product that has done extremely well. But we don't give away the pipeline because it's for competitive reasons. Generally, you don't give away our portfolio, so...

Ritika Agarwal: That's helpful. Just last question. Where are we in the domestic acquisition front. Anything that you can comment or anything, yes.

Rajeev Nannapaneni: Hopefully, I'll be able to close something this year. Yes, hopefully I'll be able to close something. I mean, I've been saying that for the last 2 years. I know I've not delivered. So I'll be honest with you. So hopefully, we'll be able to get something this year, yes. Okay?

Moderator: Sir, can we take 1 more last question, please?

Rajeev Nannapaneni: One last, yes.

Moderator: The next question is from the line of Rajat Setiya from iThought PMS.

Rajat Setiya: Yes. With regards to our agri business, what's our strategy to grow this business over a 4-, 5-year time period, given the only product that we have, which is CTPR, may start seeing

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competition and contribution may start coming down from here? So what sort of growth strategy here?

Rajeev Nannapaneni: No, I think CTPR is a good start. I mean, you need to understand CTPR is -- it's like 15% of the whole agro business. So I think it's a very important launch. This sets up the base for us to launch other products. I think it's a very strategically important launch. So that cannot be diminished. However, of course, we have to move past CTPR. We have a list of almost 6, 7 products, which we are working on.

And all of them are first time indigenized. And we're not revealing the pipeline. I think all are under review in the CAB and I think we'll reveal in the next 12 months when we are coming closer to the launch. They are all very exciting products, all first time in India, indigenously produced. So I think I'm very excited. But generally, what happens with these sort of products, I mean, I know we have -- we obviously, as a public company, we have to disclose what we are doing. But you can't give away your pipeline because that kind of gives people a heads up. And I think you don't want to do that. And -- but once the right time comes, we'll reveal the pipeline. But to answer your question, we have a list of about 5, 6 products that we expect to launch in the next 2 years based on the success. Some of them are litigation driven, some are not. So I think it is a mix of both. But I think we are very bullish about the opportunity there.

Thank you, sir. Thank you so much.

Rajat Setiya: Sir just 1 small -- in terms of market size for these molecules, what is the range for the smallest and the largest?

Rajeev Nannapaneni: I think we are looking at ranges between INR 50 crores to INR 400 crores. Thank you so much. Thanks for arranging everything, Kunal. Thank you so much. Thank you all.

Moderator: As that was the last question for today. I would now like to hand the conference over to Mr. Rajesh Chebiyam for closing comments. Over to you, sir.

Rajesh Chebiyam: Yes. Thank you all. Again, I appreciate all your questions. As always, the questions and the recordings will be shared. These are -- these would be available shortly. So thank you all, and have a good day.

Moderator: Thank you very much, sir. Ladies and gentlemen, on behalf of Nuvama Wealth Management, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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Corporate Relationship Department Manager – Listing
M/s. BSE Ltd. M/s. National Stock Exchange of India Ltd
Dalal Street, Fort “Exchange Plaza”, Bandra – Kurla Complex
Mumbai 400 001 Bandra (E) Mumbai 400 051
Scrip Code: 524816 Scrip Code: NATCOPHARM
Dear Sir

Sub: - Transcript of earnings conference call held on 10th August, 2023
Ref:- Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements),
Regulations, 2015

We are herewith enclosing copy of the transcript of the Company's earnings conference call for Q 1 FY24 held on 10th August, 2023 . The transcript is also available in the website of the company i.e., www.natcopharma.co.in.

Thanking you
Yours faithfully
For NATCO Pharma Limited
Ch. Venkat Ramesh
Company Secretary &
Compliance Officer

NATCO Pharma Limited
August 10, 2023

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“Natco Pharma Limited
Q1 FY '24 Earnings Conference Call ”
August 10, 2023

MANAGEMENT : MR. RAJEEV NANNAPANENI – DIRECTOR AND CHIEF
EXECUTIVE OFFICER – NATCO PHARMA LIMITED
MR. RAJESH CHEBIYAM – EXECUTIVE VICE
PRESIDENT – CROP HEALTH SCIENCE – NATCO
PHARMA LIMITED

MODERATOR : MR. KUNAL RANDERIA – NUVAMA WEALTH

Moderator: Ladies and gentlemen, good day, and welcome to the NATCO Pharma Limited Q1 FY '24 Earnings Conference Call hosted by Nuvama Wealth Management. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions

after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I would now like to hand the conference over to Mr. Kunal Randeria from Nuvama Wealth Management. Thank you, and over to you, sir.

Kunal Randeria : Thank you, Karen, and good morning, everyone. On behalf of Nuvama Group, I welcome all for NATCO Pharma's Q1 FY '24 earnings Call. With us, we have NATCO Pharma's senior management team, represented by Mr. Rajeev Nannapaneni, Director and Chief Executive Officer; and Mr. Rajesh Chebiyam, Executive Vice President, Crop Health Sciences. Over to you, Rajesh for open remarks.

Rajesh Chebiyam: Yeah. Thank you, Kunal. Good morning, and welcome, everyone, to NATCO's conference call discussing our earnings results for the first quarter of FY '24, which ended June 30, 2023. During the call, we may be making certain forward-looking statements or statements about future events. And anything said on this call, which reflects our outlook for the future, must be viewed in conjunction with the risks that the company faces. I'd like to state that the material of the call, except for the participant questions, is the property of NATCO and cannot be recorded or

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rebroadcast without NATCO's expressed written permission. We'll begin with the results highlights and followed by an interactive Q&A session.

So we hope you received our financials and press release, which was sent yesterday. These are also available on our website. So for the quarter, NATCO had recorded consolidated total revenue of INR 1,160 crores for the first quarter, which ended June 30, 2023, as against INR 918.9 crores for the same period last year, reflecting a growth of roughly 26%. Net profit for the period on a consolidated basis was INR 420.3 crores as against INR 320.4 crores same period last year, showing a growth of 31.2%.

The company had made a provision of INR 51 crores during the quarter towards pending patent infringement litigation cases for its products in India. And as a disclaimer, this is without admission of either the liability for infringement or validity of such patents. The company also

incurred a one-time special incentive to employees of INR 17 crores. So -- but for these one-time expenses, the profits would have been higher for the quarter. Major drivers for the business during the quarter were from formulation exports. We had a strong growth in domestic business of both pharma and agro, and we continue to see very steady sales from the subsidiaries.

We'll pause here. We'll take your questions. Thank you all.

Mod erator: Thank you very much. The first question is from the line of Kaushik Mohan from Ashika Stock Broking.

Kaushik Mohan: Sir, my question is basically on the margin front. Are we able to sustain these margins or -- is this a cyclical in nature because of the Revlimid product that we have it currently?

Rajeev Nannapaneni : I think we'll have a good quarter, I think coming Q2 as well. I think we should probably have a similar quarter. I think by Q3, I think it will slow down a bit. Again, things will pick up in Q4.

Kaushik Mohan: Sir, how about the margin -- will it be in the same control, like our operating margins are currently around 45.6 percentage plus. So how about these margins?

Rajeev Nannapaneni : I think so, as I have said the Q1 and Q2 will -- I think Q2 also were excellent -- I mean, I can't exactly estimate exact numbers until the quarter ends. But I think our sense is that we'll have a similar quarter like Q1 and Q3 it will -- I think will be -- will taper off. And I think Q4 things will pick up.

Mod erator: The next question is from the line of Yash Tanna from Ithought PMS.

Yash Tanna : And congratulations on a good set of numbers team. So my first question is what contributed to the good recovery in the domestic business for the quarter? And is this a new base for us?

Rajeev Nannapaneni : I think we are -- oncology is doing very well, and I think that's the good news. And we had one one-time order. So that also brought about a good jump on the sales. But it's partially driven by growth and partially driven by a one-time order.

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Yash Tanna : How big was this one-time order, sir?

Rajeev Nannapaneni : Top of my head, I can't recollect. I think there's a split between the both, I can't recollect the number.

Yash Tanna : On agro side, it seems a little bit tepid. So what is the reason for that? And what do we expect for the full year going forward?

Rajeev Nannapaneni : Well, I think the season just started. I would say we have gone from INR 1 crores to INR 45 crores. I don't think that tepid, it's a fairly good run. We had -- we exactly had no sale in that division. So I think it's the first time we actually -- the first June quarter, we had that type of sale. So I would characterize it as a good start. And even Q2, my expectation is that we should do better than what we did in Q1. And I think we're on target to do that INR 150 crores to INR 200 crores revenue in the Agro

division.

Yash Tanna : INR150 crores to INR200 crores?

Rajeev Nannapaneni : For the annual year, yeah. I think both the CTPR and CTPR combinations are doing extremely well, and we're very happy with the feedback that we're getting. And so we're running ads in larger position Telangana as of now. And also, we intend to run Marathi ads for the State of Maharashtra in the next one month for our agro products. So I think we're doing well and we're very excited how things are going.

Yash Tanna : Right. And sir, just one more question, if I may. This is a little bit broad question. So what do we think is our next big bet post Revlimid in the pipeline by -- so do you see Revlimid playing

out for us? And currently, we are doing about INR 300 crores of base profit, plus Revlimid profit.

So post 2026, how do we sort of compensate for Revlimid profit?

Rajeev Nannapaneni : I mean, we are obviously thinking beyond Revlimid. I think we have quite a few products. I think it's there in the investor presentation. Now that you brought this up, and I'll lay out the big ones. Number one, I think semaglutide we have a good filing on one particular strength. We are

-- we believe we are sole FTF. We have a partnership with Mylan on that. Then we have a filing called olaparib, which we have a joint venture with Alembic where we are sole FTF. It's an oncology breast cancer products and other indications as well. So that's a very good product. Then we have the new one that we filed recently called [F-Diacritinib].

It's not so big right now. It's about 40 million, 38 million to 40 million if I recall properly . And but if the product goes into, let's say, 100 million, 150 million or 200 million over the next few years, there's a huge opportunity there. There we are sole FTF, hopefully we are sole FTF and what we call. And 100% of the profit is with us because this is done through our own sub and where we are fronting the litigation. And then we have -- these are the really big ones. And then we have Imbruvica, but of course, we have lost the appeal, so we need to see where we can go from there.

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And then we have mid-level smaller ones, we have Kyprolis and Tracleer, where we have one strength Kyprolis and Tracleer, it's a smaller product, but they're like 30 million, 40 million, 100 million type of products. So there we have first to five . So we have enough in our pipeline, my friend. I think I named quite a few ideas. But I think if you pull up another five, six ideas, I think you'll see some consistency going into the next decade. I think that's why we are spending our money on, and I think that's what we're focusing on.

Moderator: The next question is from the line of N.K. Arora, an Individual Investor.

N.K. Arora: Sir, first thing I want to now till June 30, what percentage of Revlimid has been sold?

Rajeev Nannapaneni: I think for competitive reasons, I'm not answering that question, but I think we'll have one more good quarter like similar to this quarter. And I think that will taper off. I think that's the best way I can answer that question.

N.K. Arora: And secondly, sir, now that we are already 4.5 months into the year, can we have a ballpark figure or range of the annual profit this year we'll have?

Rajeev Nannapaneni: Good question. It all depends on multiple factors. I think I'll go past INR1,000 crores comfortable. I think that's just a feeling I get. How much more will go to INR1,100 crores or INR1,200 crores it all depends on how the year ends. But I think conservatively, I want to say we'll go past INR1,000 crores. But how much more than INR1,000 crores, I think it all depends on how the market plays out. So that's a little difficult to guess. But I think in that range, I think is what I feel. I think INR1,000 crores to INR1,200 crores range is what my expectation is, depending on how things go, I'm talking

about profit after tax.

Moderator: Next question is from the line of Hussain Bharuchwala from Carnelian Asset Management.

Hussain Bharuchwala: Sir, I just wanted to understand on the agrochemical front, how do you think that the agrochemical will shape up. So CTPR is one of the products, which we have been able to capitalize on. But how are you planning to grow this field, because you said you have identified five, six products in the field so how big growth can be and how big the agrochemical piece can be in the overall scheme of things can be in the times to come?

Rajeev Nannapaneni: Yes, let me answer that question. So I think we have started as well. I'm very happy how we started off. I think we're expecting about INR50 crores, INR200 crores this year. And I think we have a pipeline for next year as well. And we also see organic growth in CTPR in India. And

also, we are doing registration outside India as well. So we have filed this in Brazil.

We are filing it in U.S. So we're doing other markets as well. So we are filing our agro portfolio outside India. So the export business might take two to three years from now. But overall, I think my expectation is business should grow to around INR400 crores to INR500 crores in the next three to four years. And that's our expectation. And it will be a good solid business and contributing solidly for our both bottom line and top line.

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Hussain Bharuchwala: Just to add a follow-up question. So what will be the EBITDA margin that you would expect from this size of the pie, this side of the pie to be -- will be EBITDA accretive and how -- what would be the range EBITDA range from the agrochemical space?

Rajeev Nannapaneni: I think it will be close to our base business. I think it should do well, and I think it will sort of similar to our pharma business as well because we're doing branded. We're going directly to the customer. We do third party, but most of us -- 90% of our sales comes from direct customer interaction. And I think we are focusing on niches and the high-value products.

So again, see what margin you will have in the future only time will tell. I mean I can't really answer the question like that. But I think our expectation is that it should be a good margin,

similar to our pharma business. I mean that's our expectation based on certain assumptions we have made on our pipeline and our price evolution.

Hussain Bharuchwala: Got it. One question. On your Cardio and Gastro, so you plan to expand on the Cardio and Gastro front, so how is that space -- that piece shaking up? And you had also planned an acquisition which around INR1,000 crores. So how is the acquisition, how is the acquisition -- how is that shaping up? Are you in talks with someone? Can give some light on that, sir?

Rajeev Nannapaneni: We're looking at acquisitions both in India and outside India to expand our business. I think we have recently announced in UK, we're buying a company. So we are doing an asset purchase of this company, so that it can trend in UK.

We're always looking at transactions. We have a good amount of cash in our balance sheet. We don't have much debt. So I think I think we'll do it when the time is right. I mean to say, we look at opportunities all the time. We're looking at different things. Hopefully, we'll succeed at something.

Hussain Bharuchwala: And sir, on cardio and gastro front, if you can give some color as to what type of products and how are you scaling it up or can give some?

Rajeev Nannapaneni: The business is doing well. They're all going around 10% to 15%. And I think both the divisions are doing well. We have a good pipeline. I think we're going at the market price.

Moderator: The next question is from the line of Sapna Jhawar from Kotak Life Insurance.

Sapna Jhawar: Yes. Sure. So Rajeev just wanted to understand more on the capital

allocation perspective. You did mention about some acquisitions in India as well as UK. So intending UK, we also acquired Dash sometime back front -ending, front to front -end U.S. I presume. So I mean is this model changing where we now would want to go front -ending in every market versus the partnership that you're following earlier? If you could just share some details on that?

Rajeev Nannapaneni: Absolutely correct. Absolutely. I think we spoke about this in the past call, so I'll just repeat that again. I think the business is getting more competitive. And I think in a lot of markets we want -- actually the big markets we want to go front -end directly ourselves. I think that's what we're

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evolving. But however, for complex generics, which require a substantial amount of R&D, we're still doing alliances.

But for some products which are not that complicated or which are -- where we feel we can spend the money, we are also going directly. Like a few minutes ago, I spoke about [inaudible] that we filed. There we don't have a partner, and we have kept -- we're keeping 100% of the economics. So I think it's a case-to-case basis, but broadly, yes, I think we're going direct. Yes. That's correct. You're absolutely right.

Sapna Jhawar: But if I were to understand a couple of years back or you were of the view that you were probably on even a deterioration phase, specifically for generics and going front -end in that market would actually not be really beneficial. So is there a change in your view or is the market changing structurally there?

Rajeev Nannapaneni: It's not that. I think see, the business is always difficult. I never thought you just had to find the sweet spot and the right product to do. I never said I think we'll not do it. I think it's a question of your -- the problem is when you do front -end is you need to burn money, right? I mean, so what happens when you do front -end?

You got to burn money before the subsidiaries is stabilized to earlier people would fund you for your legal and your partnership that you had to spend. So there's more expense on your balance sheet. So that's sort of stuff. But obviously, we'll make more money when the launch happens.

And I think we have the comfort now to do these things because I'm willing to let lose that money to build that business. So I think that's -- I mean, it just gives me more comfort because

we're more comfortable compared to, let's say, a few years ago. We evolve your situation, right, so I think?

Sapna Jhawar: Sure. So just one last bit of the same question. Now I'm just trying to understand with the substantial amount of cash that we have, a certain portion would go into acquisitions, building the front -end. But would we also be extending our domestic franchise apart, I mean, the one where we diversified from Onco to Cardio diabetes, do we intend to acquire anything here and expand this franchise? Will it completely go into agro or will it be an export -oriented focus in terms of capital allocation?

Rajeev Nannapaneni: Good question. I think what we have done is we did a buyback. So we spent, I think, INR210 crores plus the tax. I think it's about INR250 crores on buyback. We are giving now INR125 crores dividend. So I think this is what we have done in the near term. In spite of the buyback and the dividend that we gave, we're still sitting on about little less than INR1,400 crores of cash and cash equivalent shares. So I think this cash -- this is as of July 31 is the cutoff if you take that as a -- as of July 31. So we'll see. I mean we always look at all opportunities.

I mean, we have been giving money back at the same time, trying to prudently spend money on acquisitions where we have gaps and spending money on R&D, just expensive money on R&D

so using that the cash flow to spend on more complex generics and more products. So I think

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that's what we're doing. To your question, will we do a big acquisition? We're looking honestly, I'm looking.

I mean, I don't want to do anything in a hurry. I think we do the right one. I think I'm being conservative, yeah, I might be conservative, but what's the idea, right? I mean, you do it when you think the valuation is right. And I think what we're doing now in terms of building value, I think is good enough. And I think acquisition also is important, but we'll do it well and at a larger capital allocation. So I think I want to do it, but I'm comfortable.

Moderator: Thank you. The next question is from the line of Cyndrella Carvalho from JM Financial. Please go ahead.

Cyndrella Carvalho: Sir, thanks for the opportunity Rajeev how are we looking at the US market, do you see any benefit coming to us from these [inaudible]

Rajeev Nannapaneni: Cyndrella I must apologize. I didn't understand anything, a lot of static. Can you repeat that question one more time, please.

Moderator: Sir, this is the Chorus Call operator. I'm so sorry to interrupt. Ma'am, I would request you to please use the handset mode while speaking.

Cyndrella Carvalho: Yeah I'm sorry, is this audible now?

Moderator: Yes ma'am. Thank you. Please go ahead.

Cyndrella Carvalho: So, sorry. I'm repeating my question. I'm asking Rajeev, is there any shortages, opportunity in the U.S. markets coming to our basket, do you see many companies have moved out of the market, any scenario emerging for us from a U. S. perspective right now, do you envisage or overcoming two quarters, three quarters, do you see anything coming our way from these kind of shortages scenario?

Rajeev Nannapaneni: I think your question is whether do we see any opportunities in the shortages in the U.S. at this time. Honestly, Cyndrella, I mean, we see sometimes for like a short period of time and it goes away very quickly. So, you can't build a business model on shortages. I don't think -- again, I'm telling you we have a slightly contrary view than what people would normally say. You will get some opportunities here and there. We've got not many. Honestly, we don't have too many of those opportunities. Sometimes we get, but not really.

But the pricing is competitive in a multisource environment and the real value, again, I'll repeat it that again, I've said this many times over many years. The real value is always doing the niches and the hard to do generics where they're limited amount of competition. That's where the real money is. Everything else is -- it will be -- is not as sustainable as what a niche and a complex [inaudible] between the two.

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Cyndrella Carvalho: And on the domestic base organically, are you seeing planning any products or are there some products which will come over the years that you see in terms of filing organically not from an inorganic opportunity?

Rajeev Nannapaneni: Cyndrella I didn't understand what you said. I'm so sorry. If I paraphrase what you said, you're saying -- I didn't understand you honestly, I don't want to paraphrase you. Could you say that again? I'm sorry, I apologize.

Cyndrella Carvalho: I'm saying from an organic perspective are we looking for some products from an organic basket in domestic market?

Rajeev Nannapaneni: I think we have a good -- if I understand you correctly, I think we have a good pipeline in our organic growth, and I think we're launching about 15 brands, 20 brands. So, I think we're doing well. We have a couple of very first time generics in India especially oncology pipeline has done very well. So, I think we're bullish, and I think we'll grow at the industry rate, yeah. Next caller, please.

Moderator: Thank you. The next question is from the line of Abdulkader Puranwala from ICICI Securities. Pl

ease go ahead.

Abdulkader Puranwala: Yeah, hi. Thank you for the opportunity. Sir, first on India front. So on India, I mean, what's the outlook there? I mean, how much of this run rate what we have seen in this quarter is sustainable and what are the kind of launches you have planned for the remainder of FY '24?

Rajeev Nannapaneni: I think I said -- I think that some of the growth is captured by a one-time and there's a general growth. I think I always said that the growth is around 10% to 15%. I think that's the guidance I would like to give over the base of business last year. In terms of pipeline, I think oncology is doing very well for us.

I think that's a segment that we've always done well and we're doing well. We continue to do well. And the other segments also are improving. And we have a good pipeline of products, about 10 products to 15 products that we have planned. And I think that business should do well.

Abdulkader Puranwala: Sure, sir. And sir, secondly, on your profit guidance, what you gave almost INR1,000 crores to INR1,200 crores for this fiscal. And if I try to sync this with your earlier commentary, with said that Revlimid for Q2 would be a little better and then you expect a pickup in Q4. So, ideally with the kind of run rate you have already achieved and there were certain one-offs in this quarter as well. So I mean, there seems to be a bit of a conservatism in your numbers. So, am I missing something over here or the guidance is a bit of a conservative year?

Rajeev Nannapaneni: There's probably uncertainties in life, right? He's asking me to predict something that will happen 6 months from today, so which is very difficult to do. So, what I can -- I'm also human, right, so I can tell you, there are a lot of multiple factors that play. So, I stand by what I said. So, I mean there are a lot of things that could happen.

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So you can't -- you can only make a guesstimate of what it is. I'm only trying to make an estimate based on what I know, right? But again, there is still in this financial year, there's still another 8 months left, right? So it's tough to judge. But I pretty much stand by what I said. You can't really predict the future literally.

Abdulkader Puranwala: All right, sir. Wish you all the best. Thank you.

Moderator: Thank you. The next question is from the line of Nikhil Jain from Galaxy International.

Nikhil Jain: Thank you for the opportunity. I have a couple of questions. So first, I just wanted to understand, if you can give a little bit of perspective on the Revlimid pricing scenario in the market and competitive intensity is the same? Has it changed? Anything changed in the market or is it like going the way it was going last quarter and earlier?

Rajeev Nannapaneni: I think we're doing well, my friend. I mean, generally, I don't speak so much detail because of competitive reasons. But I think the product is doing well. I think -- and overall, our business is doing well. We're happy where we are and I think all our -- domestic has done well. Our -- first time our agro has been profitable. So, I think we were losing money earlier. So I think now we're making money.

So that's been a reasonably good swing. And our subs -- I think we're investing in our subs and the subs have also been stable earnings this year -- this quarter. So I think overall, I think the sector is doing well, and I think all our businesses are doing well. I think our U.S. front-end is the only business have been losing money at this time. So I think, hopefully, we'll be able to fix that in the next few quarters.

Nikhil Jain: Okay. Second one was on Lonsurf. So have you already launched the product and how do you see that distributing?

Rajeev Nannapaneni: It's an FTF, but it's a shared FTF. So it's there in our investor presentation. I think litigation is still ongoing. Top of my head,

I don't know where we stand on the litigation. I think there's two separate litigation. One litigation got done. There's another litigation for which trial date has not been set. No, there is no clarity on the launch at this time. It's too premature.

Nikhil Jain: So the approval that we received, so that is irrespective, right? So the litigation is what will drive the amount?

Rajeev Nannapaneni: It's a different approval is different. What we did is we got the approval. The litigation is still not resolved.

Nikhil Jain: Right. Okay. Fair enough. And third question was just a last one. On the domestic side, so let's say, two years down the line, three years down the line, do we let's say kind of give guesstimate of where we would be in terms of the top line on that particular business?

Rajeev Nannapaneni: You mean, domestic?

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Nikhil Jain: Yeah.

Rajeev Nannapaneni: I think, again, stated goal is about to grow around that industry rate about 10% to 15%. So I

think we believe, I think we can achieve that. We get an acquisition obviously, we'll get a little more bump. But yeah, I think that's the expectation. Thank you.

Moderator: Thank you. The next question is from the line of Tarang Agrawal from Old Bridge Capital. Please go ahead.

Tarang Agrawal: Hi, Rajeev and team. Good morning and thank you for your time. Three questions from me. On crop production, right, is your current strategy revolving around CTPR and combinations only or are there something on top of that? And how much of that business do you anticipate to sell through your own channel and I mean, a percentage would help?

The second what's the cash on books on 30th June and purely from a capital allocation standpoint, would you be willing to lever your balance sheet to drive inorganic growth and the third?

Rajeev Nannapaneni: Tarang, don't ask so many questions. Let me answer the first two, then we'll come to that. Okay. So let's start with the agro. Rajesh, do you want to answer the agro question?

Rajesh Chebiyam: Yeah, Tarang, as of now, our business is predominantly built on CPPR and all the combination products. So, we have 10 products in pipeline actually on commercial mode right now and half of them are CPPR related. So -- and majority of the business is through our own branding and channels. Roughly around 10% we are going through P2P, okay? We have interesting things in the pipeline. Next financial year, we expect at least somewhere between 5 to 10 launches, which we have -- these are unique differential products.

Rajeev Nannapaneni: And to answer your question on cash, I don't have the number for June 30. I think we have a number for July 31st. So, we have about INR1,386 crores in cash, including cash and shares and we have a debt of about INR104 crores mostly for bill discounting. That's it. I think I've answered all your questions.

Tarang Agrawal: Will you be willing to lever your balance sheet, Rajeev, to drive inorganic growth?

Rajeev Nannapaneni: Inorganic effect?

Tarang Agrawal: Yes.

Rajeev Nannapaneni: Will I lever borrow these things.

Tarang Agrawal: Yes.

Rajeev Nannapaneni: No, I won't lever to answer your question. The reason is I'm conservative. I think we take a lot of long-term debts. I never -- a big fan of borrowing a large amount of money to do an acquisition. I think we'll do it with the cash flow we have and I think we have a strong enough

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balance sheet and if the right opportunity comes, I'll never say never. But I think if you put me on the spot and ask me this question, I'll say no.

Tarang Agrawal: Okay. Just a last question. How is the base business for exports done ex-Revlimid, I mean, if we were to strip out Revlimid from now and the base, how has that business done?

Rajeev Nannapaneni: I think we're doing well.

I think the agro, for example, as earlier was losing about INR10 crores, INR12 crores a quarter. I think this quarter has turned profitable. So, that's good. The subs are doing about INR130 crores of sales, INR129 point something. So that has done well, primarily driven by Canada and Brazil. So, I think those have been the star performers among the subs. And I think the domestic has been stable. The API has been stable. So, I think overall, I think we are happy where we are.

But I think we are trying to build a pipeline, which will -- the money we have using the cash that we have strengthening our filings in all these markets and expanding our geographical spread. We are thinking about 8 markets, 10 markets we have to be in front -end. I think right now, we are front -end in India, U.S., Canada and Brazil.

I want to add another 4 countries to 5 countries. So I think Colombia setting it up, UK, we're setting it up now Indonesia, we've already spoken and maybe another one or two countries, we will probably do. So, that will cover the 10 major countries in the world. If you are present, I think you'll cover most of your [inaudible] I think that's the strategy.

Moderator: Thank you. The next question is from the line of Bharat Celly from Equirus Securities. Please go ahead.

Bharat Celly: Yeah, hi. Thanks for the opportunity. Rajeev, last quarter, you were mentioning that we have done almost like 25% of the volumes, which were re -assigned for the Revlimid. So, how it has been for this quarter, have we done almost like 50%, 60% overall?

Rajeev Nannapaneni: I didn't want to answer that question, but it's for competitive reasons. I think I've answered that question indirectly. I think we are expecting a good -- we had a good quarter, and I think we'd expect to have an equally good quarter in Q2 and then we'll taper off in Q3. I think that's a reasonable answer at this time.

Bharat Celly: Sure, sure, sure. And just wanted to get some sense on how do you see the pricing environment?

Let's say, probably next year could also be good, but entering the third year FY '25, do you see the price erosions to be material in this product, considering that the competition landscape will be going up?
Rajeev Nannapaneni: I don't know, Bharat, honestly, I have no idea. I think it's the same question, I think indirectly the other person asked me, what are your earnings going to be? It's tough to judge. I think you take it by the quarter and see how things go. I think I mean generics is the way it is. I mean, it's a very competitive business. There's always pricing pressure. I don't think I can answer that question.

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Bharat Celly: Yeah. Right. And the last one from my end. So actually, you have even mentioned right now. So, what we have been hearing.

Rajeev Nannapaneni: Sorry. Say that again, Bharat.

Moderator: Mr. Bharat Celly, we are unable to hear you?

Bharat Celly: So actually, we have been hearing from some of the peers as well that the overall pricing environment in the U.S. is actually changing, and we are seeing some of the price cooling off.

So how do you see the overall U.S. market behaving like have you seen any green shoots there and are you seeing some structural changes right there?

Rajeev Nannapaneni: I have a different view. I think it's a very competitive business. I think structurally, what has happened is the distributors have a lot of hold on the companies. And in a multisource environment, even if there are shortages once in a while, you won't get that sort of advantage. You might get business, but you don't get great pricing, honestly. And you can't build a business model in a multisource generic, you can't.

I think you need to have a mix of doing complex generic, admixture and para force and mix it up with a multi-source. You need to have both, of course, because you need a basic basket. But

end of the day, basket also doesn't matter after a point because end of the day they only care about the price.

So I think that's how Western markets are. I think -- again, I said this at the beginning of the call. I think if you believe USD100 is the amount of profit pool that's there in the next 10 years, I think USD60, USD70 will come from the admixtures and the complex centers. And 30% to 35% will come from the more multi-source generic. And you need to be present in both. And at the same time, you need to know where you put your money.

Bharat Celly: But have you seen any of the distributors getting a bit on the back foot to give better pricing considering they are trying to ensure on the supply side?

Rajeev Nannapaneni: Personally, I'm not that -- it is not -- I will not characterize that there's a dramatic change in the behavior. Maybe sometimes you'll see in one product here and there, but that's not enough to say that there's a change, not enough to say a change. No, I will not say that. I don't believe that because it's structurally difficult.

See, understand the business, my friend, I think you will see who are we competing with, we are competing with fellow Indian companies, right? And you look at the balance sheets of other

Indian companies. All of them have healthy balance sheets. We're not like the Western generic companies who leave out with the exception of Sando.

All of them are heavily leveraged and either not interested in generics or are doing well to do work in generics just because they have a legacy business, they have this basket and they sell. And you're competing with that type of competitors who don't mind selling things at low margin

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just because they make money in other businesses that we do. So -- and all family-owned businesses.

So everybody looks at long term. So it's very difficult to compete. Honestly, I think it's a very competitive business and I think you need to have -- you cannot just do a basket and make money. I think you can't look at the world like that.

Bharat Celly: That's helpful. Thanks a lot.

Moderator: Thank you. The next question is from the line of Prashant Nair from Ambit Capital. Please go ahead.

Prashant Nair: So a couple of questions. Firstly, on semaglutide, could you give a sense of what the market size is for the 8-milligram version?

Rajeev Nannapaneni: I think its strength is doing well. I don't have the number, my friend, honestly top of my head I don't

have the number. I'll come better prepared next time. I don't have the number. I have to look up the IMS and come back here. This time, I don't have.

Prashant Nair: Sir, no problem. And second, I missed your reply earlier on the M&A question. So, if you could just give a sense of what are your key priority areas to plug from an M&A perspective, if you have to rank them, say the top three areas, which you would like to plug?

Rajeev Nannapaneni: I mean there are -- what are the gaps in our business, right? I mean, let's answer that question.

So the gaps are probably -- I mean we're not present in the RoW markets, the key RoW markets.

So, I think we have a front -end not a large front end in any other key RoW markets that we have won.

Domestic market, obviously, is a big gap that we have, because we're not present in all the territories.

So -- and operating in multiple countries, I said, about 8 to 10 countries we need to operate so that we get scale in this business.

And whatever you spend on R&D, you get a better bang per buck.

I think these are probably the three areas that you want to focus on, setting up more subs in key markets, filling a gap in a market where you're not present at an international level and three,

where we have a gap in the domestic. I think these are three areas we want to focus on.

Prashant Nair: And just one follow-up question on the India

part. So when you're looking at assets in India, are

you primarily looking at brands or are you looking at, say, brands along with manufacturing and sales force. So how do you think about that?

Rajeev Nannapaneni: Brands is what we're looking for, I think in segments that we are not present, at except

manufacturing because we have a reasonable amount of manufacturing in our set up. I'm not

saying we have a very possible therapeutic area, but I think we have reasonable amount of

footprint in manufacturing. I mean obviously, there are gaps in our manufacturing tool in terms

of -- like, for example, we're not there in antibiotics. I'm just giving you an example or we are

not there in PNL space. But having said that, I think domestic itself is not a manufacturing play,

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more of a brand play. The manufacturing, even if you don't have you can always get a CMO to do it for you because the ecosystem for the domestic manufacturing is quite good. So that's not the challenge. I think the bigger challenge is possibly with the branding business is where the real value is.

Moderator: Thank you. The next question is from the line of Harsh Bhatia from Bandhan AMC. Please go ahead.

Harsh Bhatia: Just two questions from my side, purely on the domestic side. One, at the macro level, if you're talking about 10% to 15% organic growth, how should we look at the split between price, volume and new launches? So that's the simple first question.

On the second aspect, purely from the domestic oncology business, if you could give us some incremental flavor for the last five, six quarters because there is a certain aspect of the market itself shrinking where a certain aspect of us losing out on some market share in certain products.

So how are you thinking about these two things, right? Because going forward, again, the growth element has to be driven by the market is also growing. And we also taking back incremental market share. So maybe little bit your thoughts on this?

Rajeev Nannapaneni: I don't know if we can answer your question at the level of detail you're asking, but I think I'll

tell you what I'm thinking about at a high level. I mean, if you want to get growth, I mean you

need to have good launches. So launches will obviously contribute to 50% of your growth. So

you need to have good launches. That's probably 50% of us.

Two, gaining share on molecules. Sometimes you do, sometimes you don't. It depends on the

molecule and the intensity of the competition. But overall, if you see, I mean, our portfolio is

not the type that you could take price increases on. I mean it's not like a steady-state diabetes,

cardio-type of portfolio, like we don't raise MRPs so much.

Most of our portfolio, we never raise MRPs because it's very price-sensitive for our portfolio.

So I think that's how we're looking at it. But I think what really matters is another challenge, and

you see this in the data that you have, is that the volume increase is low in the market, a lot of

the older product. A lot of it is coming from price increases. So if you want growth, I think a formula of that is you need to have very good new launches and your core business has to be

growing. And some businesses will not grow. But overall, I think mixing up with some core

business like you have cardio, diabetes where there's a better uptake because you'll now start and then maybe some new launches, which will drive growth. I think -- and that's how we look at it.

Harsh Bhatia: Given that the price increases are not there in this area of the business, the oncology part of it, it would be fair to say that the prices are not revised downwards as well, like in a general scenario excluding the COVID period.

Rajeev Nannapaneni: Could you rephrase that question? I didn't understand what you said. Could you say that one more time, please, don't mind?

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Harsh Bhatia: Yeah. Sure. To clarify what you were saying is that we don't take any price increase on the portfolio. Would it be fair to also say that the price revision -- downward price revision would also be completely absent? Like there is no price reduction that usually takes place in the oncology domestic portfolio. Rajeev Nannapaneni: Price erosion means what happens there tend to be very high discounts so there's always pricing pressure. It depends on the product. So to answer your question, yes, there's always pricing pressure. The price increase portfolio that happens generally happens in the more retail -driven products, which are sold at your neighborhood pharmacy. It doesn't happen with the hospital type of products because you're competing with other companies, which are also bidding in tenders. So it's not a strict comparison. You can't compare. It's apples and oranges. It's not a literal comparison. It's a completely different business. Does that make sense? Does that answer your question?

Moderator: Thank you. The next question is from the line of Keshav Mishra, an Individual Investor. Please go ahead.

Keshav Mishra: My question is just on the NRC -2694 trial, which is due February '24. Just wanted to understand what that drug is? And if everything goes well, are we looking for partnerships, some kind of partnership for Phase 3 trials. And going forward, I mean, is NATCO looking to allocate some capital on building NCE pipeline as well? Thank you.

Rajeev Nannapaneni: I think we have a reasonable set of NCE pipeline. I think this particular one we got US FDA clearance to do a trial there. So we're doing it on patients in the US as we speak. At this time, it's premature, my friend. I don't want to say anything at this time. I think once we get some data, I think we'll talk about it. Yes, I think we are doing it in our core strength, which is oncology. So at this time improvement are, my friend, I don't understand want to say anything.

Keshav Mishra: Yeah, agree, sir. Sir, on the longer -term strategy, right, I mean, would there be -- do you have some plans of capital allocation on NCE side as well?

Rajeev Nannapaneni: We're doing a little bit of capital allocation. That's correct. It's already done. I think 2694 is funded by the balance sheet. Generally, we don't talk about things where we don't reach a certain stage of progression. I mean, that's where we -- then we can give a -- some sort of perspective on where it's going. I think once we make some progress, I think we'll come back to you. I think where we make significant progress we'll come back to you. I think it's too early to comment at this time.

Moderator: Thank you. The next question is from the line of Karan Mehta from Nirzar Securities. Please go ahead.

Karan Mehta: I just have one question. So can you provide the breakup of market share for CTPR between us, FMC and Best Agro?

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Rajeev Nannapaneni: The market is still evolving Karan, at this time. I don't have the answer to that question. I -- maybe after the season ends I'll tell you because the first true season we have launched. So at this time, it's premature. I don't have an answer to that question.

Karan Mehta: Okay. Can we comment on our share for CTPR?

Rajeev Nannapaneni: I mean, good question. We are expecting about 10% to 15% market share. I think that's our internal target internally. But I think, again, you don't want to throw a number that you can't hold up. So let me see how the season is, and I think we probably need to see some market data, and I'll come back to you. But I think that's the targeted market share.

Rajesh Chebiyam: I just want to add one more thing, Karan, so yes, absolutely what Rajeev just mentioned. We have to go through the season before we realize where we end up. But overall, our brand

and

product reception has been very good. In fact, after FMC, the big name which hovers around is NATCO's brand. So let's see. All our CTPR products are doing fairly well. We have the individual as well as the combination products. So in a way, the combination products, we have less competition as well. So those are doing quite well.

Moderator: Thank you. The next question is from the line of Vishal an Individual Investor . Please go ahead.

Vishal: Hello, Rajesh. Do we have any impact of the ongoing over -pricing policy of the Indian government on the domestic front?

Rajeev Nannapaneni: Could you clarify your question, Vishal, like our DPCO case against us, is that what you're trying to say?

Vishal: On the domestic front, there is some over -pricing policy of the Indian government for which there are a lot of litigation pending, do we have any such effects on our balance sheet?

Rajeev Nannapaneni: No my friend. We don't have any claims from DPCO in our balance sheet at this time. We don't have any claims.

Moderator: Thank you. The next question is from the line of Yash Tanna from I Thought PMS. Please go ahead.

Yash Tanna: My question is related to our press release on 26, July, we filed an ANDA for the brand, Balversa. And this product, I believe, J&J in their recent conference call, they mentioned that this product could be more than a \$1 billion opportunity for them based on some new indication that they have received. So how are we thinking about this product? And where are we in terms of approval or launch timelines or something like that?

Rajeev Nannapaneni: It's very early stage. I think I will not put any numbers to it because I don't have the answer to that. The last number I've seen was about \$40 million, but I think it's a good product. And as I was saying, I think a few minutes ago, when somebody asked me, I don't recollect the name who asked me. But if the product grows well, we have the sole FTF on this. So I think that's a good

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position to be. And at this stage, we just filed the product, so the review is ongoing and the litigation is also at very early stage so very early to comment.

Moderator: Thank you. The next question is from the line of Devang Shah from iWealth Management. Please go ahead.

Devang Shah: Sir, just one clarification. When you say that quarter 2 and quarter 1 would be two similar quarters do you mean that they go the same EBITDA margins and sales as well?

Rajeev Nannapaneni: I think that's our expectation. Let me see how the quarter ends. But I think our expectation is that we should have a good Q2 as well.

Devang Shah: Okay. And sir just wanted to know regarding the capacity utilization.

Rajeev Nannapaneni: Say that one more time, my friend, repeat, please.

Devang Shah: Sir just wanted to know regarding your capacity utilization.

Rajeev Nannapaneni: Capacity utilization in the company you're saying as in all? Typically, we run around like 60% typically 60%, 65% because our portfolio is very niche. So I think I don't do too many commodity products so on that reason.

Moderator: Thank you. The next question is from the line of Rusmik Oza from 9 Rays Equiresearch. Please go ahead.

Rusmik Oza: I just wanted to know if you provided INR51 crores for any potential litigation -- so does it meet any of your required amount or will there be any further provisions made on -- similar to this in the next few quarters? One.

And two is, in the last two quarters, we had a little one-off this quarter also we had some INR17 crores incentive. Is there any one-off likely to come in the next one or two quarters?

Rajeev Nannapaneni: INR17 crores incentive is obviously linked with the success of the company. So I mean, obviously, you get to reward your employees. So we just stated what we have done. Regarding the patent litigation, I think this is something that

has been there for a long time. I think that we launch at risk and we're very aggressive litigator.

And I think a lot of times, we have won our cases, some cases are still unresolved. And I think what we did is we looked at the whole portfolio that we launched at risk and we made an assessment that if you were to settle, we were to lose a case or something were to happen, what would be the financial risk. And all these issues are very difficult to judge because each case has its own merits and it's over multiple products.

So I think after much analysis, I think we start with that auditor, and I think we came up with a number that INR51 crores should cover, I think, most of the liability. I mean will it cover or are

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we exceeding the liability? Will we exceed that number? Probably not. I think it probably addresses most of the liability. I think that's our sense.

Again, we're making an estimation about something that we don't know anything about, right? You're asking me to make an estimation about 8 or 10 lawsuits that we have where we are running at risk. So it's very difficult to judge. So I think these are fair. We use a fairly reasonable mathematic model. So I think, to answer your question, I think it covers most of the risk, I think, if that's our concern.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference back to the management for their closing comments. Thank you, and over to you all.

Rajeev Nannapaneni: All right. Thank you all. Again, a very good set of questions. We will have all of these also uploaded in the website once we have the transcript. Thank you all, and have a great day.

Moderator: Thank you. On behalf of NATCO Pharma Limited, we conclude today's conference. Thank you all for joining. You may now disconnect your lines.

Call: Nov 2023

21st November, 2023

Corporate Relationship Department Manager – Listing
M/s. BSE Ltd. M/s. National Stock Exchange of India Ltd
Dalal Street, Fort “Exchange Plaza”, Bandra – Kurla Complex
Mumbai 400 001 Bandra (E) Mumbai 400 051
Scrip Code: 524816 Scrip Code: NATCOPHARM
Dear Sir

Sub: - Transcript of earnings conference call held on 15th November, 2023
Ref:- Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements),
Regulations, 2015

We are herewith enclosing copy of the transcript of the Company's earnings conference call for Q 2 FY24 held on 15th November, 2023. The transcript is also available in the website of the company i.e., www.natcopharma.co.in.

Thanking you
Yours faithfully
For NATCO Pharma Limited
Ch. Venkat Ramesh
Company Secretary &
Compliance Officer

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“Natco Pharma Limited
Q2 FY '24 Earnings Conference Call ”
November 15, 2023

MANAGEMENT : MR. RAJEEV NANNAPANENI – DIRECTOR AND CHIEF
EXECUTIVE OFFICER – NATCO PHARMA LIMITED
MR. RAJESH CHEBIYAM – EXECUTIVE VICE
PRESIDENT – CROP HEALTH SCIENCE – NATCO
PHARMA LIMITED

MODERATOR : MR. ROHIT BHAT – BATLIVALA & KARANI
SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to the Natco Pharma Limited Q2FY24 Earnings Conference Call hosted by Batlivala and Karani Securities India Private Ltd. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rohit Bhat from Batlivala and Karani Securities, India Private Ltd. Thank you and over to you, sir.

Rohit Bhat: Thank you. Good morning everyone and welcome to Natco Pharma Q2FY24 Earnings Conference Call hosted by B&K Securities. From Natco Pharma management, we have with us Mr. Rajeev Nannapaneni, Director and Chief Executive Officer and Rajesh Chebiyam, Executive Vice President, Crop Health Sciences. We'll request Rajesh to give brief opening remarks about Natco's 2Q results before we open the floor for Q&A session. Over to you, Rajesh.

Rajesh Chebiyam: Thank you, Rohit. Again, good morning and welcome everyone to Natco's conference call. During this call, we may be making some forward-looking statements or statements about future events and anything said on this call which reflects our outlook for the future must be reviewed in conjunction with the risks that the company faces.

I'd like to state that the material of the call, except for the participant question, the property of Natco cannot be recorded or rebroadcast without Natco's express written permission. So, I'll begin with the results highlight and then interactive Q&A session. We have uploaded the financials on our website as well.

Hopefully, you guys have seen it. To summarize, Natco has recorded consolidated total revenue of INR1,060.8 crores for the second quarter of FY24 that ended on September 30th, 2023, as against INR452.6 crores for the same period last year, reflecting a growth of roughly 134%. The net profit for the period on a consolidated basis was INR 369 crores as against INR 56.8 crores same period last year, showing a significant growth of over six-fold increase from the prior period. Company business was strong during the quarter due to growth in formulation exports and also increased sales in our domestic agribusiness. The rest of the business is stable. Specific segmental revenue split has been also shared.

I will not go into the details. We'll open up the floor for the Q&A. Thank you.

Moderator: Thank you very much. The first question is from the line of Mr. Saumil Shah from Paras Investments. Please go ahead.

Saumil Shah: So congratulations on a good set of numbers. So I wanted to know the impact of eight observations for our Kothur plant on our revenue for the current quarter. And by when we can clear these observations because it's almost a month now?

Rajeev Nannapaneni: The inspection happened in the month of October, as you're aware. So on November 8th, we have responded. You're given 15 working days to respond.

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So on November 8th, we've answered the given our reply to the observations and our rectification and remediation plan based on the observation. Typically what happens is it takes about 90 days for them to make a classification of the observation. So I think 90 days starts from November 8th.

So that's on the FDA side. In terms of impact, I think the impact will be minimal because I think the company has always done this mitigation with their top products. As you're aware, I think all our top revenue items, our top five, six revenue items have an approval from our Vizag side in addition to the Hyderabad Kothur side. Lelanomide also, which is the biggest revenue item,

is also having approval from both Vizag and Hyderabad. Except for two strengths, which are 2.5 mg and 20 mg, which is about 7% of the total lelanomide. So even that also we have done the batches. It's on stability, started stability. So we believe if you do 90 days stability and it's a procedure called CB30. If that is also done, then even that can be moved. That was already on the way, so that is also planned. Overall, I think our impact will be minimal. So I think let's wait for the classification of the inspection and we'll make a decision.

But as we plan every project, I think we always have a two-side strategy for all our top five.

Saumil Shah: Okay. So even if this, I mean, currently since the observations are there, so the production has been moved to the other plant?

Rajeev Nannapaneni: No, the products are already being made in Vizag, most of the products. And some products have not been moved, but we already have approvals from Vizag. So it's a little bit of both. So some products we have approvals, but they're not moved. Some products we have approvals, we're making in Vizag.

Saumil Shah: Okay. And in the previous call, you did mention to achieve, say, INR 1,000 crores to INR1,200 crore's profit for the current fiscal. So, but what would be the, I mean, for next financial year, how much can we grow?

Rajeev Nannapaneni: I don't think there'll be much impact. I think I still stick to the same guidance. I think that range we're able to achieve. I don't see a problem.

Saumil Shah: Okay. And for the next financial year, can we grow 20 %-25% above this?

Rajeev Nannapaneni: Next financial year, I think it will all depend on how the pricing environment is. I think we'll give more color to it, I think, closer to the end of the year. But we are expecting that we should do well in the following couple of years. I

think that was the general broad trajectory of the business. And so I think, yes, I think we'll speak more in detail about the actual growth, I think, closer to the end of the year. But overall, I think, yes, the impact will be minimal.

Saumil Shah: Okay. Okay. And so there were, recently there was some news article that even Aurobindo has entered in the space. So how much that can impact overall our business?

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Rajeev Nannapaneni: Aurobindo has entered into what? Oncology business? Revlimid, you're saying? Okay. I think a lot of players in Revlimid, there's already, it's all factored in. I think our earnings projections are so in the competition. So it's all factored in, my friend.

Rohit Bhatt: Okay. That's it from my side.

Moderator: Thank you very much. The next question is from the line of Yash Malhotra from JM Financial. Please go ahead.

Yash Malhotra: Hi, sir. In your last quarter presentation, there was a key molecule in your pipeline called Semaglutide. Can you throw some color on its progress?

Rajeev Nannapaneni: Semaglutide, it's a good question you've asked. This was not filed in Natco. It was filed from a CMO side. Okay. First question. To answer your first part of your question. The review is ongoing. I mean, it's very early days at this time. So I can't give you any update at this time. And our partner here is Viatris.

Yash Malhotra: Okay. And what steps are we as a company undertaking in order to have a better FTA track record henceforth?

Rajeev Nannapaneni: I think we have a good track record. And I think we have, it's, GMP is a constant improvement process. And, when observations come, you need to take yourself to the next level and meet the regulators' expectations. I think we are engaged and we are cognizant of what is required. And I think we'll do what it takes to get it done.

Yash Malhotra: Sure.

Rajeev Nannapaneni: Next caller, please.

Moderator: Thank you very much. The next question is from the line of Marsal. Please go ahead.

Marsal: Yes. Hello. First of all, we didn't find a PPT presentation for the Q2 results, neither in your website nor in the announcement. So can you please make sure the next time the PPT is submitted?

Rajeev Nannapaneni: Yes. Usually what we do is, within 24 hours after the board meeting, we upload and we usually incorporate certain questions that come from the call as well and we do it. So it will be done within an hour or two after this call.

Marsal: No, sir. Actually, what happens is 99% of companies announce or like upload the PPT prior to the con call so that the analyst investors can go through the PPT and can accordingly frame their questions and the avoidable questions can also be avoided because a lot of answers we can find in the PPT itself. So can you please ensure that prior to this one, prior to the con call, at least a few hours before, like this must be uploaded?

Rajeev Nannapaneni: No problem. I think we'll take your advice. Thank you.

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Marsal: Coming to the question, in view of our key products, how do you see the progress or how do you see the growth in the current part of December, vis-à-vis September quarter. If you can just talk about three key brands?

Rajeev Nannapaneni: Which product particularly, sir? Can you tell me exactly which product? Key products you're saying, in the company's portfolio you're saying?

Marsal: So like for that, I need to open your, this is like a Q1 PPT before the...

Rajeev Nannapaneni: I'll tell you which one are the important ones. I think we can run through them. Obviously, Lenalidomide is the biggest one. So Lenalidomide, I think, we have already, we don't have much quantity left for December. Most of it is sold. Lenalidomide will take off again starting from March. So the December quarter will not be as strong as this quarter. And again, March, things will pick up. And regarding other products, I mean, Glatiramer is doing very well. I think it's very stable. And we'll see how things are. We have very good market share.

And overall, our RoW business, Brazil, Canada is doing extremely well. So we are happy where we are progressing. Our subsidiaries are doing almost this quarter growth sale of INR136 crores. So and they're all profitable and we're doing well. These are three major items that drive the earnings. And agro has done extremely well. I think it's a business that we had almost very little

turnover. And now this quarter, we did almost INR100 crores for the half year. So all business segments are doing well at the core.

Marsal: So, like we expect that like our financial performance during December Q3 will be a bit better than the September or will it be like say, downward?

Rajeev Nannapaneni: It will go, it will be not as strong. I already answered the question. I, what I said will not be as strong as September because typically we don't have because the agro season is not there because Kharif is over. Second thing is, we don't have much, Revlimid sale is not there. So as much so. So basically it will be a little weak, but I think things will pick up again for March quarter.

Marsal: Okay. And the last question that like, do you feel like, like, do you see any new product launch during this December quarter or the March quarter?

Rajeev Nannapaneni: Any big product launches you're saying, in the December, March quarter?

Marsal: Any new product launch?

Rajeev Nannapaneni: No, there are no big launches per se, at this time. No, not in the next few months. No.

Marsal: Okay. Thank you.

Moderator: Thank you so much. The next question is from the line of Nitin Agarwal from Dam Capital. Please go ahead.

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Nitin Agarwal: Thanks. Rajiv, can you provide some sense on, the growth outlook for the non-US geographies for the next couple of years? I mean, what could be the drivers, and any particular geography

which is looking particularly robust from a growth perspective?

Rajeev Nannapaneni: In terms of Brazil and Canada are doing extremely well. I think, give me a minute, I'll just take out the numbers. So if you look at the last quarter specifically, I think Brazil has done INR34 crores and Canada has done about INR60 crores - INR61 crores. So these two segments have done very well. And so we expect that these businesses will grow another 25% a year. That is, I think, the one growth driver in the business.

Another growth driver has been the agro -business. The business that we started off with almost zero. So last year, I think we did about INR40 crores. And I think this year we're doing about INR150 crores - INR160 crores. So a minimum to INR200 crores. So I think these are the major drivers on the non-US business.

Nitin Agarwal: And in terms of these geographies, you talked about Canada and Brazil. Are there any major approvals which are possible or likely over the, which can have a meaningful impact on these geographies from a revenue perspective over the next two years, three years?

Rajeev Nannapaneni: I think the business is steady. I think it's ramping up very well. We have some approvals which are pending in the next one year to one and a half year, which we are expecting. So next one year, one and a half year, we're expecting good approvals. I think the benefit of that you'll see in the financial year '24 -'25. I think nothing before '24 March that I can think of. But definitely in '24-'25, we have some very good filings. We generally don't state the products because of the confidentiality nature of the business, because of the strategy. But I think we have some good launches lined up in the '24-'25.

Nitin Agarwal: And last one, on the R&D front, any sense on, any color on, any large filings, big filings possible you've done this year or looking to do in the second half of the year?

Rajeev Nannapaneni: I mean, we are trying another two, three products. I think we are trying for a few other FTFs. They're all in the initial stage. But any of those filings will be happening on the financial year '24-'25. Nothing in the next four months, five months.

Nitin Agarwal: Okay, thank you.

Moderator: Thank you so much. The next question is from the line of Sagar Doshi from Fintuit Investment. Please go ahead.

Sagar Doshi: Okay. Sir, just wanted to ask, like, we have a good year -on-year growth. So, specific region of drivers for it. So, I don't want any guidance, but what's the sustainability of the revenue or the profit jump that we have this year? So, next year or, let's say, in the next two years, will we be at least able to maintain this rate or what would it be?

That's the first one. Second is, how dependent are we on Rivlimid? What is the total revenue that we get from it and the growth that drives it?

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Rajeev Nannapaneni: I think, see, Revlimid is important. For every other company, I think everybody is doing well with this product. In terms of the growth in the next couple of years, again, it's all a function of

the general, what do you call it, price erosion. I think optimistically, I think it should do well for the next couple of years, '24-'25, and '26. But, again, only time will tell and how market formation happens, but that's our sense.

Regarding our pipeline, post -Revlimid, I mean, we have a lot of other big filings. I think we have spoken about them in the past. I think Semaglutide is one big filing that we have. I think another good product that we have is Olaparib. These are all products which are under review at this time. So, we'll see how things go. But I think our sole FTF pipeline is in public domain. We have Bosentan, we have Carfilnat, so we have Ibrutinib, so Erdafitinib. So, I think these are all very good filings, and I think some

of them are already approved, and some of them are under review. So, I think we are very clear where the growth is going to come from, and I think we have lined up our core manufacturing, and we also have a backup strategy for all manufacturing. I think company strategy has always been to have two sides for all important products. I think this has been ingrained in our system for the last five years, six years. So, I think in that sense, I feel secure about the filings, and at the same time, I also feel that there is a reasonable amount of upside in the future.

Sagar Doshi: Okay. So, can you just tell me the percentage that Revlimid contributes as on today?

Rajeev Nannapaneni: I didn't understand, my friend. Can you say that one more time? I'm sorry.

Sagar Doshi: The revenue percentage that we generate from the Revlimid sales as on today?

Rajeev Nannapaneni: Revenue percentage, generally we don't give sale numbers, my friend. I think generally we don't for competitive reasons. Obviously, it is impactful. I'm not going to say it has a reasonable impact, but I think it does.

Sagar Doshi: Got it. Thank you.

Moderator: Thank you. The next question is from the line of Aman from Astute Investment Management. Please go ahead.

Aman Vij: Good morning, sir. My first question is on our USA portfolio. So, you have talked a little bit on the Semaglutide side. If you can just talk about the impact of this product. Will it happen in the next two years -three years, or do you think it is five years away? And the more important question on this part is also, there is this Semaglutide opportunity that is coming sooner. So, are we going to participate in this Victoza and kind of opportunity, sir?

Rajeev Nannapaneni: I don't have a filing on Victoza. That's the easy answer. We don't have a participation. I don't even have a filing. So, I think we are not participating in Victoza. Semaglutide, it's early days, my friend. I think the reviews in early days, the patent litigation in early days. As you know, this is a very good product. It's done extremely well. You are aware of that. So, I think we are very excited about it whenever it actually happens. I just found it to be very premature to give a

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timeline. I would refrain from doing that. Once it develops, I think we will give you some time to come. As of now, it's too premature.

Aman Vij: Sure. You missed that part on the Saxenda. On that, are we planning or have we filed?

Rajeev Nannapaneni: Which product? I'm sorry?

Aman Vij: Saxenda. Victoza, you said we are not doing Liraglutide, but Saxenda.

Rajeev Nannapaneni: I don't know this product my friend. I -- it's not in our -- it's not that we have -- nothing I have disclosed. We only disclosed Semaglutide. We have done both Ozempic and Wegovy. I think that's what we have done. The diabetes and weight loss.

Aman Vij: Both are through Viatris relationship only?

Rajeev Nannapaneni: Yes, yes, that's -- that Viatris is our partner on this product. Yes. Correct.

Aman Vij: In both the cases?

Rajeev Nannapaneni: Yes, that's correct. Absolutely correct.

Aman Vij: Sure. My second and final question is on Humira, sir. Is there any -- given it is becoming off patent just few months back?

Rajeev Nannapaneni: These are not my products my friend, these -- Humira is -- you said Humira right, it's a monoclonal antibody, it's not in our pipeline.

Moderator: The next question is from the line of Chetan Doshi.

Chetan Doshi Congratulations for the good set of numbers. My question is that this agri business. You said it is seasonal. So first half you have done almost INR100 crores. The question is how much is this contributing to net profits and what are your targets for the next financial year where we want to grow as far as this product line is concerned?

Rajeev Nannapaneni: I think we have a very

good pipeline. So I think this year, it will -- we'll have some sale in the

Rabi. So usually it's about 60- 40 split. So I think 60% comes in kharif and 40% comes in Rabi

so I think that's where we are. This product -- this profit right now is on the lower side. Earlier

it was not profitable, now it's profitable. It's on lower side because we had a lot of high-cost inventory from the earlier years

which we couldn't sell for a long time and finally, we're able to get rid of it as we speak.

I think the costing has gotten much better now. I think there's good diverse set of raw material supplier. You will see a very good profit run in the next year. I think that's what our expectation is. In terms of growth, I think we'll probably settle between INR150 crores to INR200 crores in this financial year. On that, I think we are targeting that we should grow compounded by another 25% in the following year based on the pipeline that we have.

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Moderator: The next question is from the line of Ketan Athavale from RoboCapital.

Ketan Athavale: I just had one question. Is the current quarter EBITDA margin sustainable in the long run?

Rajeev Nannapaneni: I've said -- I've already answered the question. I'll repeat my answer one more time. I think the current quarter EBITDA will not be -- the next quarter will not be as strong as the current quarter, but it will pick up starting from March again.

Ketan Athavale: This was for the consol level?

Rajeev Nannapaneni: I'm sorry, say that again.

Rajeev Chebiyam : Consol level. Yes.

Rajeev Nannapaneni: Yes. Yes. Consol level. That's correct.

Moderator: The next question is from the line of Ritesh Oswal: from Opal Industries.

Ritesh Oswal: Congratulations for good numbers. Please provide some colors on inorganic growth acquisition?

Rajeev Nannapaneni: Inorganic growth. Good question. I mean, we're looking at opportunities all the time. So we are opening up subsidiaries in multiple countries. Our cash has improved dramatically now. I think as of December -- I mean, your -- already the numbers are there on there, but I think we received a reasonable amount receivable. So as of October 31, we have almost INR1,657 crores in cash or cash equivalents. And we have about INR108 crores of foreign bill discounting borrowing. So net cash level, I think we're almost at INR1,550 crores. So I think our cash would have increased and going forward by end of the year, also, I think it will go up reasonably well. So I think we have the cash. We're looking at opportunities. I think we're just trying to see what the right one is. But I think certainly, I think we're looking at. Yes, as of now, I don't have any deployment plan. But yes, I think we're looking at different options.

Ritesh Oswal: In antibiotic sectors?

Rajeev Nannapaneni: I'm sorry?

Rajeev Chebiyam : Antibiotic.

Ritesh Oswal: In antibiotic sector?

Rajeev Nannapaneni: Antibiotic, you said? No, no, no, not antibiotic. No, not in antibiotic. No.

Moderator: The next question is from the line of Yajash Mehta from Kotak Mahindra AMC.

Yajash Mehta: Just wanted to know, obviously, you mentioned that the September quarter is expected to be weak -- the December quarter is expected to be weak compared to the September quarter and you'd be expecting a recovery in March. How do you see H2 post vis -a-vis H1 going forward?

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Rajeev Nannapaneni: So could you say that -- I understood most of it. I didn't understand the last sentence, last -- can you say that one more time please, the last sentence what is it...

Yajash Mehta: Yes. So how do we look at the second half of the financial year compared to what we've seen things. How do we see things pan out for the first half of the financial?

Rajeev Nannapaneni: I mean I said December will be a little on t

he weaker side and things will pick up March. I think

we have given a guidance that -- I've given a range guidance, I think our expectation is that we'll do more than INR1,000 crores -- between INR1,000 crores to INR1,200 crores of PAT this year.

Yajash Mehta: Okay.

Rajeev Nannapaneni: Exact numbers and all -- I mean and I don't have a crystal ball my friend. I can only make an estimate on how things are. But I think that's our expectations. Yes. Yes. Okay.

Moderator: The next question is from the line of Saumil Shah from Paras Investments.

Saumil Shah: Sir, as we know, there is a fixed percentage for Revlimid sales for each year that we can do. So can we know for next year, this percentage will be higher than the current year or it will be similar to the current year?

Rajeev Nannapaneni: It will increase my friend. It will increase.

Saumil Shah: And...

Rajeev Nannapaneni: It is all in public domain. I think it will increase to almost -- by end of the term, it will increase to almost one third of the total sale of the innovator.

Saumil Shah: So next year, we can go up to one third?

Rajeev Nannapaneni: No, no, no. By end of the term, by end of the term, it will go to one third.

Saumil Shah: Okay. And when is the end of the term?

Rajeev Nannapaneni: I think by -- in the next -- I think by 26th March, I think 26th January I think...

Rajesh Chebiyam : Yes. Yes. It's all right. Yes. 2025 end.

Saumil Shah: Okay. So -- and currently, can we know, I mean, how much of that -- I mean, if it goes to one third, currently, we are at single digit? Or how is it?

Rajeev Nannapaneni: I generally don't give that information my friend, we generally don't give yes, it is bound by confidentiality. That's all we are allowed to say.

Saumil Shah: Okay. And can we know this is the second year for this product for us?

Rajeev Nannapaneni: Yes. Yes.

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Saumil Shah: Second year. Okay. Okay, that's it from my side, yes.

Moderator: The next question is from the line of Yash Malhotra from JM Financial.

Yash Malhotra: Sir, if you could throw some light around the volatility and litigations in the U.S.A. As per my knowledge, you currently have another one in New Jersey filed yesterday.

Rajeev Nannapaneni: Which particular product?

Yash Malhotra: The same one an antitrust case.

Rajeev Nannapaneni: That we've already spoken, and I think we are defending our position. And I think we believe that the lawsuits are without merit.

Moderator: The next question is from the line of Hussain from Carnelian Capital.

Hussain: Just wanted to understand, apart from CTPR, we have some other products in pipeline in the agrochem side, so can you give some color on those products?

Rajeev Nannapaneni: Generally, we don't give a pipeline until it is at a mature -- where we're very close to marketing approval. But we have a very good pipeline. We're expecting at least 2 to 3 unique products in the next 12 to 18 months in the agro division.

Hussain: And secondly, we were doing some relaunches of our product with our subsidiary Dash. So any progress on that front, if you give some highlight on...

Rajeev Nannapaneni: Your -- is your question that you have launched some older products through Dash Pharmaceuticals -- our wholly owned subsidiary. Is that the question?

Hussain: Yes, yes, yes.

Rajeev Nannapaneni: Yes, we have launched, yes. We have launched some products. It's doing reasonably well, but still a business that is losing money at this time because it's still in early stage. That's the only subsidiary that loses money. Otherwise, the -- all other subs make money. But it's a journey so it will take at least 1.5, 2 years before excessive turn. We just acquired it so I think -- and lot of the pipeline that we have is older pipeline so it is not such a profitable portfolio but I think over

a period of time, I think we should be able to introduce new products and newer launches where it will turn around.

Hussain: And lastly, on the domestic front. So on the onco side, how is the business shaking up, can you give some color on the overall domestic business?

Rajeev Nannapaneni: I think domestic has been stable. I think if you will look at it, I think we have done well. If you look at our half year numbers, I think we have grown around 10%, 12%. So I think it's fairly stable. I think I'm happy where we're going. Unfortunately, only missing piece is that we have done an acquisition, which we have been talking -- valuations, but yes. But otherwise, the business has been stable.

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Moderator: The next question is from the line of Marsal.

Marsal: Yes, just going through this current investment, we have portfolio about INR305 crores and hardly about INR20 crores -- INR21 crores is only invested in the equity or the growth mostly in mutual funds. Remaining our almost, you can say, INR284 crores, which is more -- which is about, you can say -- which is about 92%, 93% is invested in the bonds or debentures yielding hardly 8% return. You know that like our inflation is 7% plus like. So like getting 8% return is like nothing. So -- and if you also see this for example market perspective, even the provident fund or the government provident fund or the PF trust they are also like allowing up to 15% investment in the, like you can say, market equity oriented. So, like...

Rajeev Nannapaneni: No, no, let me answer your question, no, just -- so our portfolio -- I think let's understand what

we have and what we don't have. See, what we have in India is most of it is invested in fixed deposits in banks and financial institutions. Our average yield is about -- it depends on its tenure, but average yield is about 7.5% to 7.75%. I think that's what the average yield is for the India rupee deposits. But we also have cash in our offshore sub, which is giving a return of about 5% to 5.5% because dollar deposits only give you that much. So I think that's the -- where the variation is coming from. I can assure you; I think this is probably the most conservative investments we have done, and we have not -- we are getting a reasonable return for the cash that is there. I think that's -- yes, that's it.

Marsal: No, no, actually the point is that currently, we have invested only 7% in the growth oriented scheme predominantly the shares of Laurus Labs, What we are, like, suggesting that if you can increase this threshold, say, from 7% to 20%, 15% in the equity, because, like, the way the market is now booming and the way this, like, India macroeconomic factor, like, it will be \$7 trillion economy, so I think equity is doing, like, reasonably good, whereas we can fetch 22% to 25% return per annum. So, if you could consider, like, this allocating, like, bigger chunk for the equity, I think it will increase the stakeholder value.

Rajeev Nannapaneni : I understand your question. Now I understand what you said. See, the thing is, our equity exposure is very low. I think our equity exposure is only 5%, 6% of our total cash exposure.

Laurus and all, because of a relationship, we bought them at the IPO. Those shares have been there for many years. It's -- I mean, our job is not to do equity stock market investment. Our job is to invest in pharmaceutical research and pharmaceutical manufacturing and pharmaceutical acquisition.

I think that's always what the -- our mandate is. I think that's what we're looking at. If we don't have a great idea, we just put it in fixed deposit. I think that's what we actually do. I agree with what you're saying, but again, I also disagree with you because the mandate is very clear that it has to be invested in our core business not in equity. Thank you.

Marsal: No, sir, I respect it, but let

me just add something more here. The mandate we respect, the only thing we are saying that, like, I'm not saying to go into, like, this pure equity. We can go through the mutual fund growth scheme and those are liquid also. Suppose, for example, if you go to any target to acquire something, then this investment in mutual fund can be liquidated within three

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days' time maximum. So, like, there's no, like, issue that, like, there's no barrier that the funds will be blocked forever. No.

So, like, because the point is that if you invest in equity growth scheme of mutual fund, you will get a dividend also, plus there is market is booming, so we'll get, like, our NAV will also be higher. So, if you could consider to invest through the mutual fund route, wherein we will not be bothered day-to-day, like, about the market, like, this ups and downs. Just, like, let mutual fund work out. So, just be considered to hike to some more exposure in the mutual fund, please.

Rajeev Nannapaneni: Yes, sir. I think we will consider what you said and I think maybe we can consider an exposure, but as of now, I think, Yes, let me, we'll just have a review and then we'll come back with some thoughts, Yes. Thank you.

Moderator: Thank you. The next question is from the line of Rishikesh Patole from Batlivala & Karani Securities. Please go ahead.

Rishikesh Patole: So, just last year, same quarter, was pure base business without revenue and even without the aggregate scale-up and we had reported margins in the range of around 22%. So, is that the right way to look at the business ex- of revenue?

Rajeev Nannapaneni: I mean, yes and no. I mean, it's a very complicated question what you're asking. When we have good revenue, we also spend more on R&D as well, right? So, I mean, we, and when we have, it's -- I mean, I can't answer your question, honestly. It all depends on, see, we budget based on our surpluses and we plan our R&D investment based on that. So, if you -- and your R&D is measured based on -- I measure, I pay for my R&D costs, what it will spend based on, how the surplus is going to be. So, I, honestly, I can't answer your question, my friend. I do not know how to answer your question. Thanks.

Rishikesh Patole: Just to -- what was the R&D number for 2Q, this year?

Rajeev Chebiyam : I don't give for quarter-to-quarter. Generally, like last year, 8% to 10% of our revenue is spent on R&D, that's correct.

Rishikesh Patole: And that would be the same trend going ahead?

Rajeev Nannapaneni: I think we're maintaining the same flow, yes. Correct.

Rishikesh Patole: Yes, sure, that's it from my side.

Rajeev Nannapaneni: Okay, thanks.

Moderator: Thank you. The next question is from the line of Ketan Athavale from Robo Capital. Please go

ahead.

Ketan Athavale: Thank you for the opportunity. Sir, I'm new to the company. So, can you just outline how have we doubled the margin percent year -on-year? And you said that after, I mean, in Q4, we will pick-up the margins again. So, will the margins sustain in the subsequent years?

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Rajeev Nannapaneni: I think we have spoken about it in the past. I think, I mean, short answer is that, yes. I think based on our product launches and based on the expectation of the price erosion, yes. I think that's we expect at least for the next couple of years based on the pipeline, I think we should be able to hold up, yes.

Ketan Athavale: And what has led to increase in margin over last year, Q -o-Q?

Rajeev Nannapaneni: I think we had some good launches. I think we had a [inaudible 0:37:15] doing well. Our agribusiness is doing well. I think Revlimid also has done well. So, I think all of them together has helped -- improved our margins.

Ketan Athavale: Okay, got it. And this cyclicity

, I mean, is this a seasonality that the margins will go down in Q3, or is this only for this year?

Rajeev Nannapaneni: I mean, I can only, I can't talk about every year. I can only talk for this. I can only tell you what's happening in the next quarter. I think the gentleman asked, how will your Q3 be compared to Q2? And I think we have said that Q3 will not be as strong as Q2. But however, things will pick-up from Q4. I think that's what we have said. And we have set the guidance for the year. And I think that number, I think we already set. That will be between INR1,000 crores to INR1,200 crores PAT. That is what we have said. I think that's what we'll end up with for the year.

Ketan Athavale: Okay, so can you give PAT guidance for next year also?

Rajeev Nannapaneni: I don't want to give right now. I'll give you closer, I think, if I have -- let me see how the year goes. And I think closer to the end of this financial, I think we'll speak about that. Thank you. Okay.

Ketan Athavale: Got it. Thank you.

Moderator: Thank you. The next question is from the line of Nikhil from SIMPL. Please go ahead.

Nikhil: Yes, hi. Good morning and congrats for a good set of numbers. Two questions, Rajeev. One is on the domestic piece. Now, probably at the current run rate, we are back to where we were three years or four years back when there was the price hit and everything impacted the domestic business. But in the interim, we had launched some more products and we had launched into, I think maybe if I'm not wrong, around 10 products to 15 products we have launched. How do you see the domestic business growing organically for us from here? Would it be more driven by more new launches or do you think that the current launches or pipeline which is there in the market has seemed to scale up? That is one.

And second question, if you can spend some light on, see, if you look at it, since the Revlimid revenue has started coming in, our R&D expenses have increased significantly. And I know that is

R&D investment will basically help us provide us a pipeline for future. But if you can just share, how should one understand this pipeline evolving? So is it like, are there a large number of opportunities which are like a \$1 billion or \$500 million kind of opportunities which we are

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targeting? Or are these opportunities where they would be needed for a clinical trial, such kind of opportunities?

And once Revlimid goes off, probably by FY '25, FY '26, would this R&D spend taper down significantly or how do you think about the investment in the R&D over the next two years, three years?

Rajeev Nannapaneni: Okay. The way this business works is whatever money you make, let's start with the domestic. Domestic is going reasonably well. I think organically our expectation that we go around 8% to 10%. And if you're able to add an acquisition, then obviously there will be a higher growth. Regarding R&D money, I mean, without spending money on R&D, you cannot build a pipeline. I think whatever this pipeline that we got is because of the money that we spent.

And I think a good amount of surplus that you're generating, you put it back in R&D so that we can sustain for the future. And I mean, our first fives are already in public domain. So I think, I -- so they have, obviously the timeline, so when they'll actually happen, it all depends on the patient's get outcomes.

To answer your question, do we have a pipeline for '26? Yes, of course we have. And I think we have a lot of products. They'll all come at different times, but we are excited about what we have.

The question is, if you have more ideas like, which are highly valuable, which can give very large amount of revenues, the answer is yes. I think, see, I tell you, it's a very simple business in a certain sense. I mean, if you do four or five of these in

the next seven years, eight years, I think

you're set. You don't have to deliver many of those. I mean, you can deliver three, four complex products. I think you're set.

This business, I believe if the big things are right, at least three, four big things are right, you're probably covering 50%- 50% of your EBITDA. Maybe sometimes you might have shortages and maybe you might come across a little bit of a -- the only way this business works is only two ways. One is you do the complex and deliver those. And two, you do a global strategy where you do an R&D and you do as many countries as possible. That's the only way you build a sustainable model. Otherwise, it doesn't work.

Nikhil: Rajeev, one question.

Rajeev Nannapaneni: Answer your question?

Nikhil: Yes, Partly, and what I'm trying to understand is, see, last 15 years , 20 years, we've built a model around finding these kind of opportunities and going for it. But over longer terms, as the complexity increases, say, more products or more launches going towards biosimilar or such kind of products, would you say that at some point as a company, we would have to move towards -- we would have to change our business model or we would have to keep on moving up the value chain. How do you see over a longer term? So probably, next five years, this model can sustain, but over...

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Rajeev Nannapaneni: See, there are enough opportunities in the area that we're doing. We also do a lot of peptide chemistry. We do a lot of complex oncology products. We do newer forms of -- new types of chemistries, which a lot of people are not doing. So in that sense, there is still a little bit of play available in the complex genetic space.

Regarding biotech, which is a separate question, it's a skill set we don't have internally, I think.

I'll be honest with you. We're trying to build it through small investments, opportunities. But

again, it's a skill set I don't have. There are enough opportunities in the setup that we have.

So I don't think there are lack of opportunities based on the way we look at it. But however, saying that, obviously, biotech is the future. I mean, it's just not monoclonal antibody. You have CAR -T Therapies, you have Gene Therapy. There's a lot of things that are happening in the

pharmaceutical business that you can participate in. And these are the technologies of the future.

I mean, you need to be part of these. I agree with what you're saying. How would you participate?

I mean, that's the question that you might ask. I think at this time, my personal view is that we don't have the skill set internally. But if somebody is doing it, maybe we can probably collaborate with them by investing or co -investing. I mean, for example, I would say... and again I'll give an example of one of our friends. I mean, for example, Laurus Labs has an investment in an IIT Mumbai startup. And they recently got approval for a CAR -T launch for an oncology product.

So, I mean, something like that, I mean where you take a substantial minority in state and you participate in the upside. So, there are different models. I mean, you can weigh them. Or in the ideal world, you want to own

100% of it and do it. But again, you have to weigh whether you

can do or deliver or whether you want to do a collaborative approach. But I mean, that's how

you want to look at it. Okay?

Rohit Bhatt: As a percentage of our current R&D investments...

Moderator: Thank you so much. The next question is from the line of Robert Joseph.

Rajeev Nannapaneni: Okay, fine. You can conclude your question.

Moderator: The next question is from the line of Robert Joseph from Retail Investor. Please go ahead.

Robert Joseph: Yes, sir. Congratulations for the good set of numbers. And especially growth on the agrochemical business. Sir, actually, I have only one question. During your last AG

M, you were

answering a retail investor. During that time, he was asking about the... Because our market cap was consolidating for the past five to six years in the same space.

So, is there any action you are going to take regarding the increasing of the market cap of the share? You told that time that you may consider issuing a bonus for the last time, sir, in order to reward them. So, do you have any ideas still regarding this issue of bonus, sir?

Rajeev Nannapaneni: As of now, no, my friend. I can't answer your question at this time. We look at different options. We have done a buyback. We have reduced equity by about 2%.

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Robert Joseph: Okay, sir. Thank you, sir.

Rajeev Nannapaneni: We have given a reasonable amount of dividend. And I would like to say that our financial performance has been very strong. And as I also said, we have a good amount of cash in our books. The company is in the pink of health. So, beyond that, I can't answer your question I mean, Yes. But I think you just have to articulate our position that this is what we are doing. And this is the pipeline. And this is how we are going forward. I think that's all I can do.

Robert Joseph: Thank you. Thank you.

Moderator: Thank you. The next question is from the line of Harish Swaminathan. Please go ahead.

Harish Swaminathan: Thank you, Mr. Rajiv. I really admire your stewardship of this company. And I'm very proud to be a very long-term shareholder. Just two points I wanted your view. One relates to buyback and one relates to dividend. Now, the last buyback was on the market method. So, long-term shareholders didn't really benefit out of it. Though the equity capital came down, so our holding became more powerful. But the tender method would have been much more beneficial for long-term shareholders. Because A, you get the money. B, it is tax-free. And C, it is very equitable. So, considering that you earn 7% to 8% on your INR1,600 crores. And considering that you might not need that entire amount for a potential acquisition. So, in case you are considering any future buybacks, particularly if you can time it with respect to this Q3 seasonality, so that people who are not really believing the company can, of course, pay the price. Now, the tender method of buyback, I feel, could be considered. Many progressive companies are doing that, including Infosys. And recently, Granules did it. So, it's like a form of dividend, but it helps us, number one. And there is a time limit that is now over for you to consider the next buyback. But I leave it to your better judgment.

And the second point is on dividends. Now, I understand that we want to, at some point, even out this seasonality thing. But you see the way we pay out dividends. We pay much less dividends for Q2 and even less for Q3 and very high for Q1. Because that's where your good revenues come in. Now, one way would be, just my thought, is to, as a measure of establishing our intent towards removing the seasonality, to look at the dividend in a more equitable or equalized manner.

Because otherwise, what happens is today, many in the market think that nothing, a positive shock is not going to come for the next three months. So, people trade in and out. Whereas very long-term shareholders like us, we bear the pain and we hope for a better tomorrow. But we also bear this pain because of the seasonality thing. So, these are my two thoughts. And I once again want to put on record my admiration for your integrity and the way you have handled this entire piece. Hats off to you. Thank you very much.

Rajeev Nannapaneni: Thank you, sir. Thanks for your kind thoughts. I will take both your suggestions under advisement. I think in the future, if at all, we consider a dividend payout. And or a buyback, I will definitely way on your suggestion and we'll do what inside support for shareholders., okay.

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Harish Swaminathan: Thank you.

Rajeev Nannapaneni: Thank you.

Moderator: Thank you. The next question is from the line of Saumil Shah from Paras Investments. Please go ahead.

Saumil Shah: Sir, as you mentioned that Q3 won't be as strong as Q2. But if we compare it as I mean, Q3 to Q3 of previous year, can we expect growth in that term?

Rajeev Nannapaneni: I don't want to answer that question, my friend. Let me just see how this quarter goes. It's so early to answer that question. I think I can't answer that question. I'm so sorry. Let me just see how the... Because I'm right halfway into the quarter. So I don't know how the orders will be booked. So, I think... I can't answer that question. I'm sorry. I refrain from doing that. I'm just premature, Yes. Thanks.

Saumil Shah: And one more suggestion as the previous participant. I mean, in future, if we do a buyback, please do it through shareholder. So that shareholders could benefit and not through the open market route.

Rajeev Nannapaneni: Got it. Got it. I'll take that under advisement. Absolutely.

Saumil Shah: Because in last five, six years, I think our market cap has been stagnant. So, shareholders have not benefited. Yes.

Rajeev Nannapaneni: Absolutely. I'll take that under advice.

Saumil Shah: Since we have so much of cash in hand and if we don't have any opportunity for acquisition, then please do a

buyback in this way.

Rajeev Nannapaneni: Yes, sir. Absolutely. I'll take that under advice. Thank you, sir.

Saumil Shah: Thank you.

Moderator: Thank you. The next question is from the line of Ritesh Oswal from Opal Industries. Please go ahead.

Ritesh Oswal: Thanks for the opportunity. What's your view on carbohydrate chemistry? Are we entering in this phase?

Rajeev Nannapaneni: I'm sorry. What chemistry?

Ritesh Oswal: Carbohydrate chemistry. Are we entering in this?

Rajeev Nannapaneni: I don't know. I don't know what that means. But I'll just have an evaluation from a technical team. We are not in – not them -- I'm not a technical person, my friend. So, I'm sorry you caught me off guard. But I'll just check what this means. I don't know what it means.

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Ritesh Oswal: Okay. I'll send you an email.

Rajeev Nannapaneni: Okay. Thank you. So, I'll take the last question for today.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for the closing comments.

Rajeev Nannapaneni: Thank you. Thank you so much. Thanks for your comments and thanks for your questions. And I appreciate the suggestions given. And we'll take that under advisement when we make our next set of decisions. Thank you everyone. Thank you.

Rajesh Chebiyam: Thank you all. Have a good day.

Moderator: On behalf of Batlivala & Karani Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

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Sub: - Transcript o f earnings c onference c all held on February 15, 202 4

Ref:- Regulation 3 0 of the SE BI (Listing O bligations an d Disclosure R equirements), Regulations, 2015

We are herewith enclosing copy of the transcript of the Company's earnings conference call for Q3 FY24 held on February 15, 2024. The transcript will be available on the w ebsite of the company i.e., www.natcopharma.co.in.

Thanking y ou

Yours fa ithfully

For NATCO P harma Limited

Ch. V enkat Ramesh

Company Se cretary &

Compliance Officer

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Febru ary 15, 202 4

MANAGEMENT : MR. RAJEEV NANNAPANENI – DIRECTOR AND CHIEF
EXECUTIVE OFFICER – NATCO PHARMA LIMITED
MR. RAJESH CHEBIYAM – EXECUTIVE VICE
PRESIDENT - CROP HEALTH SCIENCE – NATCO
PHARMA LIMITED

MODERATOR : MR. HRISHIKESH PATOLE - B&K SECURITIES
PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the NATCO Pharma Q3 FY '24 Post Results Earnings Conference Call hosted by Batlivala & Karani Securities India Private Limited. As a reminder, all participant lines will be in the listen -only mode and there wi ll be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star and then zero on your touch -tone phone. Please note that this conference is being r ecorded.

I now hand the conference over to Mr. Hrishikesh Patole from B&K Securities Private Limited.

Thank you, and over to you, sir.

Hrishikesh Patole: Hi. Good morning, everyone. On behalf of B&K Securities, I welcome all to the Q3 FY '24 Earnings Conf erence Call of NATCO Pharma.

Rajesh Chebiyam : Good morning, everyone. Thank you, Hrishikesh. Again, welcome, everyone, to NATCO's conference call discussing our results for the third quarter of FY '24, which ended December 31, 2023. Our discussion during this call will include certain forward -looking statements, which are

predictions, projections or other estimates about future events. While these forward -looking statements exemplify our judgment and future expectations, please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied.

NATCO Pharma undertakes no obligations to publicly revise any forward -looking statements to reflect in future events or circumstances. I'd like to state that except for the participant questions, property of NATCO cannot be recorded or rebroadcast without NATCO's expressed written permission. We'll begin with the results highlights, and then we'll follow up with an interactive Q&A session. So, we hope all of you received financials and the press release that we had done earlier, including a presentation. These are also available on our website.

So first of all, we are very excited to state that NATCO has achieved a big milestone in its evolution by surpassing INR3,000 crores of revenue and INR1,000 crores of PAT year -to-date, and we have 1 more quarter to go. So, I think we are quite pleased with the results.

For the third quarter of FY '24, NATCO recorded consolidated total revenue of INR795.6 crores as against INR513.3 crores same period last year, reflecting a growth of 55%. Net profit for the period on a consolidated basis was INR212.7 crores as against INR62.3 crores during the same period last year, showing roughly about 3.5x growth. The company has shown strong growth across businesses compared to last year and is confident of its strategy going forward.

Very briefly on the segmental split for the quarter, for Q3, API clocked INR46.3 crores.

Formulation domestics, INR99.4 crores. Formulation exports, which includes pro fit share and foreign subs, was INR605.6 crores. Crop health clocked INR14.1 crores. The rest were in operating, nonoperating income. Thank you, all. We'll open up for questions.

Moderator: Thank you very much. The first question is from the line of Abdulkader from ICICI Securities. Please go ahead.

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Abdulkader: Congrats on good set of numbers. So, my first question is with regards to your guidance for FY '24, where earlier you had stated -- or we were expecting profits of close to INR1,000 crores to INR1,200 crores. So, sir, I mean, since you already achieved that in the 9 months, are we revising it or holding to the guidance?

Rajeev Nannapaneni: Sure. As of now, I mean we're looking good. So, my expectation now is that -- again, we have to see how things work out. But it looks like we're going to be on the higher end of the expectation. We are hoping to go past INR1,200 crores PAT, I mean

that's our expectation. And our sales as well, I think, will probably be a little less than INR4,000 crores. I think that's our expectation where things are.

Abdulkader: Okay. And sir, just to have a better understanding of your Q3 numbers. So on the face of it, it more looks like in the export business has driven the quarter. But within that, how have your subs at Brazil and Canada performed as well as in the U.S., if you could throw some light there?

Rajeev Nannapaneni: Certainly. I mean the subs have done well, Abdul. And I think, specifically, all the subs together, out of the total sales, I think INR163 crores has come from all the subs and primarily driven by Canada and Brazil. And this quarter, we had a onetime tender order that we executed in one of the markets. So that was one of the reasons why the sub has done well. And so that also has improved the emerging market profits.

Overall, it's a very balanced quarter. I think we got profit from all the major markets. And also all -- Glatiramer also did well this quarter. And overall, even though lenalidomide contribution was on the lower side, still we had a pretty good quarter. I think we're very pleased how things went.

Moderator: And the next question is from the line of Purvi from Kotak Securities.

Purvi: Yes, sir firstly, congratulations on a strong set of numbers. Sir, I have 2 questions. First is on the Kothur facility. If you could just give us an update as to where do we stand with the FDA? And secondly -- yes. Secondly, on the tax rate. If -- for the past 3 quarters, we've seen that to be in the range of 16% to 17%. How should we expect this for the full year of '24, '25 and '26?

Rajeev Nannapaneni: Sure thing. Okay. I'll start with the tax rate. The tax rate, I think, will be around at the same rates. Our expectation is that we will be around 16%, 17%, I think that's my expectation, will continue even going forward. Regarding Kothur, we replied to the FDA about the corrective action that we have taken post inspection. And we've not received a classification as of now.

So as of now, we're still waiting for a classification. And we believe that we have done all the remedial measures based on the observations and we're still awaiting the classification. And yes, that's about it. And as I said in the past and I'll just reiterate it again. We have always implemented our risk mitigation strategy on our top products. And I think we are there. Yes. Thank you.

Moderator: And the next question is from the line of Ashish from JM Mutual Funds.

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Ashish: Yes, sir, 2 questions. So first on the AgChem business and our long-term vision to also set up the business in the international market. And secondly, on the M&A. So earlier, we were wanting to add M&As to our portfolio with revenues of somewhere between INR1,000 crores, INR1,200 crores. So an update on that.

Rajeev Nannapaneni: So I'll start with the AgChem. I think usually December is a slower season. So the sales have been on the lower side. Overall, far for the year, Rajesh, can you give us an update on how much you've done so far for the last 9 months?

Rajesh Chebiyam : Yes. So just to add to that, Ashish. So year-to-date, we have done roughly around INR110 crores, right? So as Rajeev was just mentioning, the sector itself has been facing quite a bit of headwinds during this year. Starting from broadly the weather pattern and the El Niño effect has caused quite a bit of disruption in some of the key crops, right?

I mean if you look at our key products of CTPR and related to CTPR, now there's been failure in the Soybean crop, cotton crop has failed, poor rain. So, the South -- Rabi has also been impacted. And so we've seen multiple issues. And Q3 is generally expected to be on the lower turn anyhow seasonality wise. I think broadly, that's where we are.

Rajeev Nannap

aneni: And I think on the guidance, I think we thought we are in the range of INR150 crores to INR200 crores. Looks like we're going to be on the lower side, not on the higher side because of the slightly lower offtake in the agro division this year. But overall, I think we're fairly excited about how things are. And our foray into international markets, we have started registration of our key products in the major markets in U.S., Australia and Middle East. So, I think things are moving well -- and Brazil as well.

So I think the impact of that we'll probably see in a couple of years. And regarding the acquisitions, I mean, we're looking at a big one. I mean that's what I think, instead of doing a smaller one, I think we're looking for a big, large one. We are scouting and we're looking around. And as I stated, we're looking in the Emerging Markets. So we're looking hard. And I don't have an answer whether we have a deal on hand right now. But we're working hard.

But the company has become stronger now, I think As on December 31, our cash position and investments are at INR1,929 crores and our borrowing is about INR129 crores, including foreign bill discounting. So I mean net cash we're at INR1,800. So we've gone up a little more from last quarter. And so I think we're in good shape. That way, I mean, to execute a transaction. To answer your question, do we have a transaction we're going to close? we're looking hard, I think that's all I can share at this time. But hopefully, we'll be able to consummate something in the next 12 months, that's our expectation. Yes.

Moderator: And the next question is from the line of Anuj Momaya from Ideal Investments.

Anuj Momaya: Congratulation on good set of number, Rajeev. So my first question is on the U.S. market, ex of Revlimid, how are you doing in those products? Or can you give some light?

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Rajeev Nannapaneni: We're doing well, ex of Revlimid. I mean, Copaxone is one of our biggest products. So, we have very good market share on it, we are the number one generic on that. And the other products Everolimus does well. Lanthanum does well, Lapatinib does well. I mean all the portfolio is doing reasonably well. I think, overall, we are happy with our business and all our key products, we supply from both the sites, both from our Vizag and our Hyderabad sites. So, it's fairly stable. And things are well. In terms of U.S. business, I mean, going forward as well, Our strategy continues to be to get those key critical complex products. We have delivered good complex filings, You are familiar with our semaglutide filing and some of them we have sole FTF on some strengths and some of the products and idea is that we'll deliver Olaparib, and we've spoken about that. These are some of the big filings we have in the near future and going forward, we have a stated goal. I think this next 12 months, we'll deliver at least 2 or 3 products, which are as interesting as the ones I just mentioned. So, I think we're working on them. Hopefully, in the next 12 months, we're able to announce something positive by achieving a filing. The strategy is still -- again, I've said this for many times, I'll reiterate again. The way U.S. is going to work is we got to do the complex generics. I think that's where the real money is or the FTFs. Otherwise, the regular products, it's harder to make money.

Anuj Momaya: Yes. And my second question is on this domestic formulation. So, we have been flattish around INR100 crores of quarterly run rate. So, is the oncology piece of business flat or the non - oncology? Can you throw some light how are we doing on the domestic front because that has been lagging for quite some time now?

Rajeev Nannapaneni: Good question. I mean, yes, we are lagging. I think there's no running away from that. I think we have a reasonable pipeline. We have

some couple of very interesting products that we're working on. We believe that will drive the growth. But then the launches are not in the near term. I think I mean that's a challenge. Overall, the business has been stable. I think oncology volume-wise is growing. I think we're doing all right. Again, as I said, I think one big challenge we have in this business is what do we acquire to increase our portfolio because we're only strong in the mid-segments, we are not strong in the more volume, large, coverage, general GP segment. I mean we looked at different acquisitions and I think I always found them to be very expensive and the return on capital expectations that I have is honestly it's not meeting. And whatever deals that I've seen are slightly better than the lending rates of a bank. So that's why I'm unable to close a transaction, I'll be very honest with you and that's why we are stuck. But I think we have a reasonable pipeline. I think my expectation is that, that business will grow. Our expectation is that it will grow around 8% to 10%. But the strength that we're seeing in our export business, we're not seeing it in the domestic business, I think clearly, yes.

Anuj Momaya: But the growth is coming from Oncology, or the non -Oncology means of business?

Rajeev Nannapaneni: Oncology is driving the growth. I mean, most of the portfolio is still -- I think 60%, 65% of the portfolio is still oncology here. Yes. Okay.

Moderator: And the next question is from the line of Saumil Shah from Paras Investments.

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Saumil Shah: Sir, congratulations on a good set of numbers. Sir, in the previous call, you mentioned that most of our Revlimid quota was done for this year. And next quarter, there won't be much quantity left. But still the performance for this quarter in terms of sales was very good. So, does that mean that our other products did really well in this quarter?

Rajeev Nannapaneni: I think the other products did better. We got some tail on the Lenalidomide. But, a significant part of the profit came from non -Lenalidomide for this quarter. I think that's our position, that's correct.

Rajesh Chebiyam : Yes, as mentioned earlier, the Emerging Markets have done fairly well here.

Rajeev Nannapaneni: And also, we had few hits in onetime tender and all. They're all non -U.S. Revlimid driven business.

Saumil Shah: Okay. And that performance can continue further for the next quarters, non -Revlimid?

Rajeev Nannapaneni: These are onetime, so I think they're done. So again, next year is a new year again, you bid for new business, and you see how things go. But overall, I mean the Emerging Market piece - the other products have done fairly stable. And we obviously have Lenalidomide, starting from March will get a new allocation. So, I think we're expecting that things will be better starting from March.

Saumil Shah: Okay. And sir, if my understanding is correct, that from March '24 to Feb '25, that would be a third year for Revlimid, correct? And the contribution to overall sales from this product will increase compared to the previous year? So can you please guide on the EBITDA margins. Will it be similar to the previous year? Or if the sales increases, will the margin will also increase?

Rajeev Nannapaneni: Good question. I don't have an answer. So, we'll just see how the market spawns. We'll have more color, when once some quantity goes into the market. We're optimistic that we'll do well.

Again, the extended erosion all is very hard to judge. And I think we have to speak to our partners, Teva, and get more clarity. But once we get more clarity, hopefully, in May, when we have our March quarter numbers and the annual for the financial March '24, I think we might be at a better place to answer that question. At this time, it's too premature.

Saumil Shah: Okay, sir, any guidance for

or the next financial year for revenue or profit?

Rajeev Nannapaneni: Not today. I'll guide you for March '24. '25, I'll -- I think maybe in the next call, I'll have more clarity, yes.

Moderator: And the next question is from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal : Rajeev, on the U.S. market, which -- I mean, are there any -- over '25, '26, do you see any of those P4 launches coming through for you?

Rajeev Nannapaneni: I can't speak about dates, Nitin, because they're all bound by confidentiality. I think I'll give you a general picture of what Paras IV you can expect in the next few years. I mean, Bosentan 32mg, Carfilzomib 10 mg, we have sole FTFs. So those are probably coming in the next few years.

And then we have Olaparib, and then we have Semaglutide. So, I think those are the big P ara IVs. And then we have trabectedin as well and pomalidomide. So, these are all there in our investor presentation. But these are the ones that will play out in the next few years.

Nitin Agarwal: Okay. And in terms of the new filing that you talked about potentially that can come through over the next 12 months. I mean these would be what, a potential impact from a monetization perspective, this would be FY -- post FY '30 event?

Rajeev Nannapaneni: Depends on the patent litigation. So, it's very hard to judge, it'd be tough. I think what we are trying to tell our investors in a lot of our interactions is that we continue to pursue the complex pipeline. And our idea is that you need to focus on these complex products. And you got to do peptide products, oligopeptides, difficult delivery systems, harder to do generics, and that's where the real value is.

I think we have a stated goal, internally in the R&D that we have to deliver. We start seeing, about 3 or 4, and if we succeed even at 1 or 2, then it adds a really disruptive launch in the next few years. So, I think the idea is that we have, let's say, 3 or 4 good complex generics coming up in the next 5, 6 years and then maybe we make it like 6 or 7, then there will be more consistency in our delivery rather than the lumpiness that you're seeing in our earnings.

So, I think we should be able to generate and we don't need many of these very good products. I mean, if we deliver 6, you're set for the whole decade. that's the idea. I think we're trying to bring more pipeline with the R&D spend that we have so that we can bring more consistency in our complex pipeline.

Nitin Agarwal: Okay. And secondly, on the RoW subsidiaries, which are there. What kind of outlook do you have on this sort of piece over the next couple of years?

Rajeev Nannapaneni: I think Brazil and Canada are our best subs in the RoW. I think both are doing extremely well.

So, we're very happy how things are progressing. And each of the subs are filing 7 to 8 products, I think it's a stated goal that we have. So, they continue to be strong. And we are looking at more markets. We're starting a subsidiary in Colombia and Indonesia. We're looking for a good acquisition in the RoW business. So, our sense is that we have to grow this business.

And whatever pipeline that we're building for, Canada and Brazil, extend it to as many countries as possible. And I think that's where the value of the business is. and that's how it's going to be. I think you've got to have a reasonable pipeline. The only thing going to make money in this business, one, you have complex generics, difficult-to-do products. Two, we have global reach. And you have a steady, branded generic business. I think these are the 3 ways you can make money. And I think out of these 3, you need to get at least 1 -- at least 2 things right and I think that's what will get you home. Okay.

Moderator: And the next question is from the line of Viraj from MoneyGrow India.

Viraj: It seems like w

e've had a great quarter, and the worst is behind for NATCO. I've been tracking this business for a long time. Just a question on Imbruvica and Pomalyst. Can you speak a little

bit about those 2 please? Because I think those are some of the bigger market opportunities out there for you?

Rajeev Nannapaneni: Certainly. I mean, Pomalyst, we have launched in a couple of markets. I think we launched it so far among some geographies obviously, we have a reasonably nice generic in India. I think we're the #1 generic of Pomalidomide in India. We have launched it in Canada and Australia so far.

So those are 2 markets that have opened up. So that is doing well. Now U.S., we already have a launch date. But it's a shared FTF. So. I don't know how big this product is going to be in the U.S. for Pomalidomide.

Viraj: When you say shared, is it on one power player or multiple players?

Rajeev Nannapaneni: I think there are multiple players. I don't remember the exact number, but I think it's a shared FTF. It feels like 4 or 5, but I don't want to say something -- where I'm not certain -- just get the feeling it's many. But how many, I don't recollect exactly. Other than Pomalyst, Imbruvica We have lost the appeal. So, we're just looking at what we can do and we're just making our evaluations on how we can deal with the legal situation. So, at this time I can't comment, but we'll come back with what we probably need to do, yes.

Moderator: And the next question is from the line of Bharat from Equirus.

Bharat: So sir, are we quantifying the onetime tender opportunity which we have got for this quarter?

Rajeev Nannapaneni: No, I generally don't do a split for competitive reasons. But we just give a general view but we don't discuss the quantification or speak EBITDA wise split.

Bharat: Sure. And sir, any outlook on the U.S. market, how it is happening. Because from the prior commentary, we were understanding that there has been volume growth, pricing has started getting better. So how are you looking at this market at this moment?

Rajeev Nannapaneni: I mean business has been stable, I'll be honest. I think business has been fairly stable. All the products that we have had, stable revenue and stable pricing. There's no doubt in that. But having said that, again, I'll reiterate what I've said a few minutes ago, is that the real money in the U.S. is not coming from selling large volume or vast volume. I think you get real value when you do complex generics. And that's where the real money in the business is. And I think that's my sense, yes.

Moderator: And the next question is from the line of Rohit from iThought PMS.

Rohit: Yes. Congrats on good numbers. My question was on the NCE that we were -- that we had NRC -2694. If you could just talk a bit about that, I think we were under Phase II trials. So, if you can share anything and also overall -- the overall strategy around NCE for us as a company, if you can share over the next 4, 5 years if there is anything that can happen there?

Rajeev Nannapaneni: I think NRC -2694, we got permission to do Phase II in the U.S. So, we have a couple of sites in the U.S., and then we're doing some work. In India also we got DCGI clearance to do a Phase II, and it is for a niche indication. I think it's premature at this time to talk about it. But I think

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once it's made good progress then we can speak about it. But at this time, I would like to say that it's in an early stage. -- But we're doing Phase II. And in addition to this, I think we have another 2 products that we are looking to do Investigational New Drug (IND). But at this time, it's premature. I think maybe in the next quarter, I'll give you more updates, yes.

Moderator: The next question is from Hussain from Ambit Asset Management.

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Hussain: So I had 2 questions. The first one was with regards to our \$2 million investment in Cellogen around CAR-T therapy program. And if I recall in the last con-call also, you alluded to some investments in this area, which would make sense for NATCO. So, would it be fair to say that these types of investments would be the way ahead for us in Indian market compared to, say, typical outright brand purchase? And could you talk more about this?

Rajeev Nannapaneni: Sure. Okay, fine. Outright brand purchase which is another big, and I mean, I know I'm contrary to everyone what state believes and our guys love. But I think the return on capital is very low. And I think the growth of these brands are not so large that justify the valuations. But having said that, what we're doing with Cellogen is essentially, they have a very promising molecule in CAR T-cell therapy.

And you probably know, I mean, this is the new technology that has come in treatment of cancer, and it's a very exciting technology. And I think we realized that we don't have the know-how in our system to do these projects, but I also believe that this is going to revolutionize cancer therapy.

So, we felt that it's good to be at least part of a startup, which is working on this. And we have started with a \$2 million commitment, but I know, if things go well, I think we can always bump up our investment in these sort of assets. And certainly, I think gene therapy and CAR T-cell are going to be big things in pharma. And a lot of the innovation is happening in this space.

And I think you need to be in this space clearly. And if we don't have the know-how internally, then you probably need to capture it through an investment and then maybe you get a feel of how things are going and then maybe if you're comfortable with how things are, then maybe you can do a larger investment and take it forward, yes. Okay.

Hussain: Understood. And sir, my last question is with regards to Semaglutide, and pardon my lack of understanding here. But just wanted to get a sense of like what could be the timeline with regards to the development and then the filing? And then will it be like -- like just an assumption, if you could just help us understand it. Is it a 3-year or a 5-year timeframe that we are looking at?

Rajeev Nannapaneni: The litigation is ongoing. I mean, I think the compound patent is in like early or after 2030, I think, I don't remember exactly again. I don't want to say something that I'm just working with top of my head, I don't have any actual patent expiry numbers with me. But I think Mylan is handling the litigation, they have challenged different patents. It depends on the outcome of the patent litigation and also, it's a complex generic.

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So, I think the review time will be longer than your normal product. They're answering all the queries. So -- at this time, I can't answer any timelines and any guidance on launch date or on the litigation. But we're just sharing what's in our pipeline, and we have an exciting product. And in some strengths, we have FTF. So, I think it's a good opportunity if we're able to put it off as and when it happens.

Moderator: And the next question is from the line of Omkar Kamatekar from Bonanza Portfolio. Please go ahead.

Omkar Kamatekar : Yes, so my first question is with respect to capex . Approximately, what is the amount of capex that we have incurred in the current year? And what will be the steady -state capex which we are going to incur in the next couple of years? Because you've added approximately 50% capex in the last 4 years, from INR2,100 crores in FY '19 to now, as of FY '23, 57% capex has been -- of gross block has increased. Is most of the capex done? Or we still -- there will be another round of capex ?

Rajeev Nannapaneni: It is always maintenance capex, just you have

to replace things and you're always buying some

new instruments and upgrading your plants. So far this year, we've spent for 9 months INR282 crores in capex . So, I think that's fair. It's not been large like in the earlier years because earlier years, we did a lot of capex . We built a lot of new facilities. We built a fresh facility in Vizag. We built the agrochemical facility, and we did significant expansion in our existing facilities.

Right now, I think we're okay. I think we are comfortable. I don't see any large capex, that's why you see the cash is increasing in the books because we're not spending so much in capex here.

Omkar Kamatekar : Got it ,. So, my question was with respect to so the point was because of this increased capex our fixed asset turnover, gross block to turnover had gone down and we'll be close to 1 by the end of this year, FY '24, close to INR4,000 crores of turnover. So we'll be slightly above 1.

Historically, before the round of capex , we were above 1.3, 1.4. So would those be the levels that we'll be reaching? So , what will be the maturity time for these capacities to reach optimal level, so we might see 1.4, 1.5x the gross block turnovers?

Rajeev Nannapaneni: I think we are running optimally , because a lot of our investments to do with products that we're trying to launch 7, 8 years ahead of time. I mean if we look at our business, we're working on stuff, which is like going to happen in the next 7, 8 years . I mean, for example, we're working on Oligopeptides . I'll give you an example. We did a significant capex for the Oligopeptide block.

And hopefully, we'll get a filing through in the next 12 months. So, what will be a pay off on an Oligopeptide , maybe 5 to 8 years away. So , it's a treadmill, I mean you can't think of it like that I've done something, and I quickly return tomorrow. Pharmaceuticals is like everything that you do, you got to wait 7, 8, 9 years for things to happen. So, it's a cycle.

What you make, you make today and then you invest and then you go for the next cycle. So, I think that's how it is, I don't know if I've answered to your satisfaction, but I think that's how you want to think about it, yes.

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Omkar Kamatekar : Yes, yes understood. No, I got the gist of it. And finally, with respect to the free cash flow, what was the free cash flow generation for the period -- for the 9 months or 6 months or whatever, if you could share, free cash flow?

Rajeev Nannapaneni: Free cash flow, I think we already said no? Our PAT is about INR1,000. So, you want an EBITDA or how do you want the number if I can ask?

Omkar Kamatekar : Free cash flow. So that would be operating cash flows minus the CapEx for the year, so if it is available or...

Rajeev Nannapaneni: Yes, I don't have everything on hand, what I have I'll tell you; I mean 200 I already told you about the capex first.

Rajesh Chebiyam : So, we're about from an EBITDA perspective, YTD is about INR1,340 crores and capex is INR282 crores.

Omkar Kamatekar : So maybe I'll back calculate, or I could take it off -line...

Rajeev Nannapaneni: Yes, yes, I mean the numbers are broadly , I mean you can work it out. INR282 crores is the capex. And then what was the EBITDA, Rajesh?

Rajesh Chebiyam : INR1,340 crores.

Rajeev Nannapaneni: INR1,340 crores, then you do the calculation. And then dividend, I think we paid this year, I think, almost INR9.5. I don't recollect. Yes, around there. So broadly those are the numbers about 15% dividend we have paid, yes. Okay.

Moderator: The next question is from the line of Shyam from Ladderup Finance Limited.

Shyam: My first question is with respect to the revenue from the U.S. So, the revenue is in line with what we are doing in previous quarters and year -on-year or it has grown or declined? And the revenue from Revlimid, the tailwind that we have

received from it?

Rajeev Nannapaneni: Could you rephrase that question? I didn't understand what your question is. Can you rephrase that and say it again, please. I didn't understand what you're saying.

Shyam: Sure, sir. Sir, I just wanted to know that how was our revenue in terms of U.S. -- in terms of the U.S. So it was in line with previous quarters and -- or it has declined or grown?

Rajeev Nannapaneni: I think if your question is on a year -on-year basis, we have done better than what we did last year in the U.S. And it is driven by, obviously, Revlimid and other products that we have. If the question is are we better than last year. Yes, absolutely. If you compare our 9 months for last year and 9 months this year, I think we've definitely done much better than what we did. I think our last year profitability for the whole year was INR715 crores. This year, we have done INR1,000 crores profit for 9 months. So, we're definitely doing much better. Does that answer your question?

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Rajeev Nannapaneni: Some things happen because of how the sale is done for different products. So, it's very difficult to if you say compare it with last quarter, this quarter, then it becomes very difficult to compare.

I guess you got to take a more multiple quarter view on a year -on-year basis, then you can see a better trend. I think the trend on a Q -on-Q basis is difficult for our type of company.

Shyam: Okay. Okay, sir. And sir, any development in our FTFs coming forward? Any specific molecule?

Rajeev Nannapaneni: Our stated goal is we want to have about 3 or 4 smart FTFs. We want to take it to 6 or 7 in the next 2 years. I'm hoping again it's all subject to how our execution and how everything works that we're able to pull off another 3 or 4 very smart FTFs, which can give you more consistency in our earnings, yes.

Moderator: And the next question is from the line of Sayan Mukherjee from Nomura.

Sayan Mukherjee : Just a small clarification here. I mean, for Semaglutide, is it a partnered product or you have your own filing and you will sort of have the 100% of the economics here?

Rajeev Nannapaneni: No, we won't have the 100% economics. It is partnered and it is with Mylan.

Moderator: And the next question is from the line of Purvi from Kotak Securities.

Purvi: Sir, question is in regards to the Red Sea crisis. Sir, we've been hearing that the freight costs have escalated a lot. So are we experiencing any issues? Or can this be a worry over the next 1 or 2 quarters? That's one. And the other one was on the raw material front that if you could just give us a number as to how much is our dependence on China for the raw material? And as we know that there's a depletion situation that's going on there, so how do we see this also having an impact on the raw material prices over the next 2 or 3 quarters?

Rajeev Nannapaneni: I think, overall, the freight rates have gone up, Purvi. I think from what I understood in our conversation with my supply chain head, there's been 50% to 60% increase in the freight rates and even the airline freights have also gone up dramatically. So, there's a lot of disruption that's happening in the supply chain. Having said that, I think we don't see any supply challenges. Things have been fairly stable. I think -- at least our key products, I think we're able to manage reasonably well.

But to answer your question, yes, there has been a significant disruption in the supply chain because of the Red Sea issue. And regarding China and all, we see a lot of stability in the raw material pricing as of now from China. I think from what I understand, I think things have been fairly stable. Now we have to see what will happen because of what's happening. But as of now, I think things have been fairly stable, yes.

Purvi: Sir, just an ancillary to this as to how much is the inventory

for the raw material that we usually carry?

Rajeev Nannapaneni: Right now, my closing inventory for consols is INR675 crores is the total inventory of the company as of today, as of March 31, 2023.

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Purvi: Sir, just wanted to allude to Red Sea crisis situation. Have -- what is the kind of impact that you

can see on the margins that can come in?

Rajeev Nannapaneni: What do you see in the margins? There is some increase in raw material prices, and there's some delays in delivery and there is overall general freight cost increase. So, your logistics cost, other expenses have gone up dramatically. But our portfolio relatively is less affected because our portfolio is a very high -value portfolio. And lot of the stuff we send by air and it's all small volumes.

So, the impact it will probably see on balance sheet will be not as significant maybe compared to a company whose portfolio is more high volume and low value. I think the impact will be much more. But having said that, I mean, in fact there is impact, of course, we can't run away from it. But relatively, the impact is less on a firm like ours, yes. Okay.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal : Rajeev, on Agrochem now, how are you thinking about contribution of this piece over the next 2, 3 years to the overall business?

Rajeev Nannapaneni: I have some very exciting launches, a lot of first -time generics lined up in the next 12 months, subject to how litigation is going to be. I think it's a very good business. I believe that it's right now this year, we may end around INR150 crores to INR160 crores, depending on how things go. A little lower than we thought, but I think we still did very well for someone who is completely new in that business. This business has a potential to go to INR300 crores to INR400 crores brand, and a lot of the brand loyalty is from farmers once you deliver a very high -quality product. We're doing a lot of ad campaigns and I don't know if we've seen some of our regional channels. I mean we run ads regularly, especially in Tel ugu and Marathi, I think, which are big Agrarian states, Maharashtra and the Tel ugu state of Andhra Pradesh and Telangana we have done strong agrarian campaigns in the regional channels. So, to bring consumer to buy our products. So, I think we're doing well. I think it's a very exciting business.

And I think right now, we are not making so much money in that business. I think once we have a lot of high-cost inventory that we are just selling off. Once the raw material prices stabilize and we're able to establish our brand, I think it's going to be as interesting as like a branded generic piece in India. that's my vision and my view of the business, yes.

Nitin Agarwal : And how important a role you think exports will start playing in this business as you go forward?

Rajeev Nannapaneni: Exports also would be exciting. But exports won't kick in for the next 2, 3 years. And I think some markets are opening up in the next 12 months, but I think the major markets will open in the next 2, 3 years. Overall, it will be a counter bet. our expectation is that. But our core strategy will be driven by the India branded business.

Exports may contribute about 30%, but the India brand business is where I think we see a value. We see this business can scale up to INR400 crores to INR500 crores if we include export, too. But it will probably play out in the next 3 to 4 years subject to launch , our ability to launch these

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products and able to be there in the first phase of market formation. I mean these are the 2 most important things in this business, or any business for that matter, right? Just like generics and pharma, you need to be the first wave, otherwise, you do n't

make money.

Nitin Agarwal : Right. And secondly, on your -- you made up -- taken a partial stake in the Singapore -based entity. So when you are doing these partial stake sort of buyouts in some of these companies, what are your thought process behind these?

Rajeev Nannapaneni: I mean it's like a strategic investment. I think one of the gentlemen asked me about the CAR T-cell therapy. CAR T-cell is something that it's as a skill set, I don't have internally, so there we invest so that we can get a see through on how that business goes and then invest with the promoter and see to hopefully bring a successful product in the market.

So generally, these are all strategic so that we learn more about that business where we are not present. That one, we invested a little while ago. It's actually a very small investment because we had a clause which protected the dilution , antidilution clause on the valuation. That's the reason why the stake has gone up. But otherwise, it's actually a 2%, 3% investment but actually went up to 7% because of the dilution protection.

But usually, the value that comes from these assets are typically, if they give you a manufacturing advantage or if they give you a technology platform that you're not present in, so I think that gives you a portfolio that you don't have internally. That's how you want to think about these assets.

Nitin Agarwal : And last one, what's been your overall assessment, if you can, on how the competitive dynamics or the pricing dynamics or in general, the market dynamics in Lenalidomide has really played out over the last 2 years since it's been around?

Rajeev Nannapaneni: I think we've done well, and there's been significant erosion. But also, we have done well. we're

happy where we are. We have to see how the future holds. I think that's how I want to look at it.

Nitin Agarwal : And if you can please squeeze in that. Is there any other geography where this could be an opportunity, lenalidomide is an opportunity for us, barring U.S., where we are doing right now?

Rajeev Nannapaneni: I mean we do well in Canada. We launched this in Australia, too. And I think we are looking at 1 or 2 other RoW markets. But these are the key markets that we are present at this time.

Moderator: And the next question is from the line of Saumil Shah from Paras Investments.

Saumil Shah: Sir, even after giving such a good performance for last 2 years, but still, street is not giving us the desired valuation to our company. So, it seems it's mainly because of dependency on 1 particular product, Revlimid. So, I mean, can you please give your thoughts that post then '26, once this product is open for all, how shall we look at Revlimid numbers?

Sir any -- I mean just your thoughts since you are in the business since long.

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Rajeev Nannapaneni: Okay. I mean you asked me a very difficult question, so I'm trying to be as diplomatic as I can, see my sense of the business, I can answer like this, every company goes through a cycle where you make money on one product, and it falls away. And I think the way you need to judge a company is what pipeline do you have and what's going to be the next big product. See for example, if you look at our history, right? I mean, we made money on Tamiflu. It held up earnings for many years, almost 3, 4 years.

Now it's fallen away. The way this generic business works is there's always that 1 or 2 products, which always will contribute a good amount of profit, and it will fall away. And because you're in the first wave, you'll make money and then falls away, then you have to keep replacing it with a newer product, which gives you the same amount of margin.

And I will challenge you that if you look at any of the leading pharma companies today, there will always be that 1 or 2 products which will always give you that extra earning

s compared to the core portfolio. It's true for us. It's true for everyone, and that's how we want to look at it. And to answer your question directly, I mean, you just have to judge it on the pipeline.

I mean honestly, that's all. All I can do is tell you like this is what we are filing, and we believe that these will come. And whenever they come, there will be a reasonable upside, I think that's how we must look at it. And just have to judge the company by saying, what else are you probably going to file, in this year, will you deliver another 1 or 2 interesting filings so that you bring about more consistency.

But that's the nature of the generic business. You have to assume that when you enter something where you're the only generic, you will make slightly higher profit. But eventually, it all falls away. So, I think that's true of every molecule.

Saumil Shah: Got it. And any big launch, I mean, similar to this particular product? I mean are you expecting in 1 or 2 years similar to Revlimid?

Rajeev Nannapaneni: 1 or 2 will be difficult to judge. But I think our investment position is very clear. I think we have an interesting pipeline. I mean we have Semaglutide. We have Olaparib.

Rajesh Chebiyam : Yes. Just want to add on that, Saumil, it is very important to look at the investor presentation where we highlight the sole first to file, these are the list where the value that can come back to us, would be much significant

Rajeev Nannapaneni: I think we have spoken about mid-sized opportunities like Kyprolis, and then Tracleer. So, I think you just have to build this pipeline and then you have to do a geographical spread so that you bring in more extension to your product portfolio in multiple markets. And that's how you make money in this business. And hopefully, you're there in the first wave so that you make more money. That's how I'd look at it.

Moderator: And the next question is from the line of Viraj from MoneyGrow India.

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Viraj: Rajeev, given the cash flows on your books and the high cash flow generation in your business, despite the targeted acquisition, do you think you could see some corporate actions such as a buyback down the line? Because I think The Street, having followed your company and business model for a long time, I think The Street is massively undervaluing you probably as the cheapest mid-cap stock for the metrics that you deliver on your business model.

Rajeev Nannapaneni: As of now, we're looking at it, I have not made up my mind. I think I'm preserving all the money, and hopefully, we're able to deploy it for an acquisition. I think we're giving a reasonable amount

of dividend. We've done a buyback in the past. and I think recently only we had done a buyback.

Rajesh Chebiyam : Yes.

Rajeev Nannapaneni: So as of now we're looking at all options. I think we have to see how things go. We'll see how the year goes, and we have more cash, and we don't have any smart ideas on how to deploy it, then certainly, I think we can consider. I think all options are open. We are considering every option at this time.

Viraj: Fantastic. The second question is, there was a spike in earnings in the September quarter. Was there an anomaly then? Sorry, I'm just catching up.

Rajeev Nannapaneni: No. I think the earlier quarters were led by Revlimid, I think we had a reasonable contribution from the Revlimid, yes, I think that's the reason why.

Viraj: Okay. And that Revlimid has seen pricing pressure since then Q2 versus Q3?

Rajeev Nannapaneni: I think we have seen lesser contribution from this quarter. And I think we're hoping that it will be higher contribution in the coming quarters.

Moderator: And the next question is from the line of Omkar Kamatekar from Bonanza Portfolio.

Omkar Kamatekar : Two clarifications. What is the percentage of R&D, the R&

;D spends that we tend to do on an

average basis, what is for this current year? And what are we plotting it for the -- for years ahead?

Rajeev Nannapaneni: I mean it depends on the portfolio. And I think we strive to spend about, minimum about 6% to 8%. But sometimes, some years, it goes to 8% to 10%, depends on the year. But exact number for this year, I don't have it on hand. So, I can't answer that question, but I'll give you clarity I think in the next quarter at this point.

Omkar Kamatekar : No issues. And with respect to what is -- the contribution of Revlimid in the total revenue, is that available? What was the percentage that can it go?

Rajeev Nannapaneni: We're not doing that measure. We're not answering that.

Omkar Kamatekar : Okay, no issues. And then I have 2 questions. Firstly, whenever you -- so whatever acquisition that you are targeting, what is the metric? And what is your thought process behind this acquisition? And what are the key points that you're looking at? And secondly, what are the major risks that you foresee with respect to any markets that -- be it domestic or international

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that could have a material impact on the operations or the outlook of the business? That's the 2 questions.

Rajeev Nannapaneni: I mean in terms of metric, in terms of return on capital, I have very high expectations. I think we usually look for higher teens or 20% is my expectation. I don't like doing 10%, 12% transactions.

I'm not a big fan of those because my hurdle has been so high, it's been difficult to do transactions. But I think we are sharp and we're patient.

In risk and all, I mean, you can always have currency risk, obviously. And there's always in our business, inspection is a big risk. So, I think these are the major factors that play a role. And pricing risk is always there. I think it's something you want to look at it. I mean these are probably the 2, 3 factors that play a big role.

Omkar Kamatekar : Sure, understood, understood. With respect to the acquisition, what you said was with return on capital or the overall return on investment that you're speaking about?

Rajeev Nannapaneni: Return on Capital, I think that's what we target. But again, you can target a lot of things, but what we will end up is something else. But that's what we would want to target.

Omkar Kamatekar : So the targeted company should have at least 20% or more return on capital employed and that should translate into our business...

Rajeev Nannapaneni: Honestly, our investment should be such that will allow us to make that sort of return. I think that's how we like to think of products. I mean you have to weigh it based on the situation. My last question, so whoever the caller is, yes. Thank you.

Moderator: Yes. The next question is from the line of Shyam from Ladderup Finance Limited.

Shyam: Sir, just a couple of follow-up questions. In terms of agrochemical, what we are producing is similar to what PI Industries and Chambal Fertilisers are offering in the market? Or what we are doing is something different from the domestic prevalence?

Rajeev Nannapaneni: My model is not same like PI, I mean I can tell you that upfront. Our portfolio is generally a patent challenge portfolio, meaning we try to be the first generic of that particular molecule in India. So, a lot of the portfolio we have launched is, in fact, usually the first generic or the first wave of generic. And our model is not to work with innovators. We always challenge patents; we have very aggressive challenges patents. So, it's slightly a different model. So, it's not like theirs.

Shyam: Okay. Okay, sir. And sir, my second question with respect to Revlimid. Since we have increased quota in this year. So, is this spreading the quota over the quarters, or we will see the similar allocation of quota that we've seen last year, last

t calendar year?

Rajeev Nannapaneni: I think it will be spread out, and again I'll give you more color to it in May, –when the March numbers are there. So, we'll have more clarity on how they're thinking about it. Because we are not selling this product, Teva is selling our product. I think we'll have some conversations. And I think, hopefully, we'll get some guidance on where we're going with our product, okay.

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Shyam: Sir, how this quarter is going on for this product?

Rajeev Nannapaneni: I think March is, we're launching our quota. So, we are expecting that we should do well, yes. Yes, again, thank you so much, everyone. I appreciate the time that you spent in interacting with us. And I thank you, and good day, yes.

Rajesh Chebiyam : Thank you all.

Rajeev Nannapaneni: The questions and the details will be uploaded once they are available.

Moderator: Thank you. On behalf of Batlivala & Karani Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: This transcript has been edited to remove any grammatical inaccuracies or inconsistencies of English language that might have occurred inadvertently while speaking.

Call: Jun 2024

June 4, 2024

Corporate Relationship Department Manager – Listing
M/s. BSE Ltd. M/s. National Stock Exchange of India Ltd
Dalal Street, Fort "Exchange Plaza", Bandra – Kurla Complex
Mumbai 400 001 Bandra (E) Mumbai 400 051
Scrip Code: 524816 Scrip Code: NATCOPHARM
Dear Sir

Sub: - Transcript of earnings conference call held on May 28, 2024

Ref:- Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements),
Regulations, 2015

We are herewith enclosing copy of the transcript of the Company's earnings conference call for Q 4 FY24 held on May 28, 2024. The transcript is also available in the website of the company i.e., www.natcopharma.co.in.

Thanking you

Yours faithfully

For NATCO Pharma Limited

Ch. Venkat Ramesh
Company Secretary &
Compliance Officer

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"Natco Pharma Limited Q4 & FY24 Earnings
Conference Call"

May 28 , 2024

MANAGEMENT : MR. RAJEEV NANNAPANENI – DIRECTOR & CHIEF
EXECUTIVE OFFICER , NATCO PHARMA LIMITED
MR. RAJESH CHEBIYAM – EXECUTIVE VICE
PRESIDENT (CROP HEALTH SCIENCE), NATCO
PHARMA LIMITED
MODERATOR : MR. HRISHIKESH PATOLE - B&K SECURITIES
PRIVATE LIMITED

Natco Pharma Limited
May 28 , 2024

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Moderator : Ladies and gentlemen, good day, and welcome to Natco Pharma Q4 and FY '24 Earnings
Conference Call hosted by Batlivala & Karani Securities India Private Limited.

As a reminder, all participant lines will be in the listen -only mode, and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance
during the conference call, please signal an operator by pressing "*" and then "0" on your touch -
tone phone Please note that this conference is being recorded.

I now hand the conference over to Mr. Hrishikesh Patole from Batlivala & Karani Securities
India Private Limited. Thank you, and over to you, sir.

Hrishikesh Patole: Hello. Good morning, everyone. On behalf of B&K Securities, I welcome you all to the Q4 FY
'24 Earnings Conference Call of Natco Pharma.

I hope everyone is in good health and doing well. On behalf of Natco today, we have with us

Mr. Rajeev Nannapaneni – Director and CEO; Mr. Rajesh Chebiyam – Executive VP, Crop Health Science.

I now hand over the call to Rajesh for the Management's Opening Remarks , post which we will open the session for Q&A. Over to you, Rajesh.

Rajesh Chebiyam : Thank you, Hrishi. Good morning, and welcome, everyone, to Natco's Conference Call Discussing our Earnings Results for the 4th Quarter of FY '24 and the Full Year Results , which ended March 31, 2024.

Our discussion during this call will include certain forward -looking statements, which are predictions, projections or estimates about future events. While these forward -looking statements exemplify our judgment and future expectations, please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. Natco Pharma undertakes no obligation to publicly revise any forward -looking statements to reflect future events or circumstances. I would like to state that except for the participant question, the property of Natco cannot be recorded or rebroadcasted without Natco's express written permission.

Now let's start with the earnings details. We hope you received our Financials and Press Release . Also, the Investor Presentation was updated earlier today . These are also available on our website.

The Company has recorded its highest ever consolidated revenue and profits during this financial year. This is a result of decades of our diligence and focused strategy on niche high potential molecules. For the full year, FY '24, Natco has recorded consolidated total revenue of Rs. 4,126.9
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crores as against Rs. 2,811.7 crores for the last year. This is reflecting about roughly 47% growth. The net profit for the period on a consolidated basis was Rs. 1,388.3 crores as against Rs. 715.3 crores the prior year, showing a growth of almost 94%. Our business on the domestic front had a one-time charge of roughly Rs. 90 crores, the details of which was communicated in our press release. We will discuss this further during the call. Our revenue split as well has been disclosed in our press release.

So, with that, I will pause here, we will take questions. Thank you.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Viraj Mahadevia from MoneyGrow India. Please go ahead.

Viraj Mahadevia : Congratulations Rajeev, Rajesh and the entire team at Natco for the excellent results and for proving the naysayers wrong. Given that you have delivered Rs. 380 crore PAT in Q4 after the exceptional cost of Rs. 90 crores, can we assume given Revlimid ramp-up underway, Rs. 400 crore PAT per quarter is sustainable for the next 1 to 2 years? I mean within a 5% tolerance on either side. Is it in that ballpark?

Rajeev Nannapaneni : I will

not give you the quarterly updates like that. But what I can say is like this, okay? This year, we did about Rs. 1,388 crores profit. I think going forward next year, we at least see if all goes well and there are not too many surprises, we should do greater than 20% growth for the year.

Viraj Mahadevia: Perfect. That's exactly what I was looking for. If that is the case, the stock trades on FY '25 ex-cash at 10x PE per my calculations, very cheap by any standard, given your Rs. 1,000 crore cash on books.

Rajeev Nannapaneni: No, it's not Rs. 1,000 crores. Actually, we had some tax payments and some vendor payments to make But actual cash flow is Rs. 2,000 crores. . As of May 26th, we have Rs. 2,000 crores of cash and investable liquid assets and Rs. 116 crores of debt. So, that's the actual thing to say.

Viraj Mahadevia: So, approximately Rs. 2,000 crores of cash and an incremental Rs. 3,000 crores of free cash flow per my calculation in the next 2 years. So, even with an acquisition plan, which you have suggested in the past, are the promoters and Board not considering a buyback?

Rajeev Nannapaneni: Well, I am thinking about it, I have not made up my mind. I think if we get a large enough acquisition then I don't want to do a buyback. But if we are unable to close a large acquisition, then maybe we can consider a buyback. I have not made up my mind as of today. I think we will decide as the year unfolds, yes. But I think that's the thinking.

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Viraj Mahadevia: Do give it some thought. Promoter group obviously is at 49 -odd percent. So, even a small buyback would add a lot of confidence.

Rajeev Nannapaneni: We'll do what is right for the Company . Yes, certainly.

Moderator : The next question is from the line of Siddhant Singh from Green Portfolio. Please go ahead.

Siddhant Singh: Sir, I wanted to know about your investment in Cellogen. We are very optimistic about the

development and all. But how you are planning to leverage this collaboration? And what is the time frame you are expecting that it will get completed and how it will impact our financials?

Rajeev Nannapaneni: See, CAR -T therapy is something that we don't have a skill set in-house in Natco. As you know, we are strong in oncology, but we don't do biologics, and neither are we doing the newer therapies like CAR -T. And I feel biologics, anyway, we have not participated in that. So, I feel the newer technology like, CAR -T, I don't want to miss. I think, if you don't have a skill set in-house, then you are going to invest in a Company which has the skill set, so I think that's why we have done it. We feel that a lot of the oncology therapy is going to go to CAR -T. So, it's a modest start. I think we have the option to invest more, depending on how things go, but it's a modest start. So, let's see how things go. It's a very early stage. I can't get into time lines and all, but I think we are excited, and I think we see that there are a lot of opportunities in this area.

Siddhant Singh : Sir, as also previous participant also asked about the acquisitions that you will do in future, if you will get a chance. Like, sir, are there any specific geographic areas or any product line, which you are focusing on or looking to explore in the future?

Rajeev Nannapaneni: I have said this in the past as well. I think the acquisition space is to strengthen our base business. So, we have the money to do it and primarily, we are looking at a RoW business. So, we are looking at different options. As of now, we are not able to close anything, but we are hoping in the next couple of years, we are able to find something that will give us a strong base. So, to answer your question, yes, we are looking at an acquisition and, in the RoW, I think that's what we are looking at.

Siddhant Singh : And last question is about how do you see t

he top line for FY '25 and EBITDA margin like what

we can expect? Like previously, you did what you had mentioned . So, what can we expect for FY '25?

Rajeev Nannapaneni: I think we believe that we shall be able to grow top line wise also more than 15% to 20% and even on earnings growth, also, we are looking at about 20% comfortably. We think based on certain assumptions and price erosion assumptions. But yes, again, we will know, but I am optimistic that I think we are able to hold this.

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Moderator : The next question is from the line of Nirali Shah from Ashika Stock Broking. Please go ahead.

Nirali Shah : Congratulations on the strong set of numbers. My first question is regarding Revlimid. So, in the previous earnings call, you did mention that with your beginning from March 2024, we will have a new allocation for Revlimid and noting that exports are driving growth. Could you provide some insight on the contribution of Revlimid to overall sales for 4Q? And also, how should we look at it in the Financial Year ' 25 as well? So, do we anticipate any significant moves to revenue from this in the upcoming years?

Rajeev Nannapaneni: Again, we can't predict the future of what trajectory of pricing is. But overall, Revlimid is obviously a good portion of our earnings this quarter. Overall, our RoW business has also done well. Brazil has done extremely well. Canada has done well. Brazil, I think direct exports and our subsidiary exports are almost \$25 million to \$26 million a year. Canadian sub has done nearly CAD 40 million. So, overall, our RoW business is doing well. I think this year, we have some very good orders from Egypt and Saudi. So, we are working very hard to diversify our RoW business and I think the endeavor has gone well.

In terms of split and all, we don't do it for strategic reasons. But I think I have answered your question. I think a good portion of it is coming from Revlimid. And so this year, based on the orders that we have and overall business prospects, I think we have given guidance. I think that covers your question.

Nirali Shah : Yes. And my second question is about the agri business. So, as far as I understand, the second half of the year is typically a little bit weak compared to the first half. Then how should we use this segment for the first half of FY '25? Any guidance would be helpful.

Rajeev Nannapaneni: We wanted to do about Rs. 140 crores to Rs. 150 crores. I think those are our estimations, we fell short and by about Rs. 25 crores, Rs. 30 crores. The monsoon was bad last year and we had some returns and so we had to make a call do we take the returns and go forward or just carry on with the stock? So, we just thought that it's better to be prudent to just take a hit and clean it up and go forward.

Overall, I think it's a good business. We build a reasonably brand business in a very short duration of time And in terms of guidance and all, I will let you know, I think maybe a round June quarter, we can give you a specific guidance of how the business is going. I think our internal estimation is that we should do well. I think we should have very good growth.

Very specifically, I will tell you, , in June where we see things are going and truly this is our first year of operations. So, this is our second true year of operations. So, we will have a better idea of how things are. A lot of it is contingent on the fact that we have some new launches we are planning. So, once we have clarity on that, I can give you better guidance. But we are very

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optimistic about a lot of the first-time generics that we are trying to launch in the agro business. And I think the business in over a period of time should do very well.

Moderator : The next question is from the line of Hrishit Jhaveri from Pi Square Investm

ents. Please go ahead.

Hrishit Jhaveri : Congratulations for the great set of numbers and meeting the guidance which you provided. I just wanted to understand with so much cash in hand, do we have any significant CAPEX plan this year?

Rajeev Nannapaneni: It's nothing large, I mean we expect that we should spend about Rs. 300 crores to Rs. 350 crores a year is what we are spending in a year. I think more or less we will spend that just for maintenance CAPEX to make sure that what they are making and sometimes we just start to add a few things, just to maintain and build orders that you have. We are not building any new sites. But in the existing site itself, we are expanding capacity. I think that's more or less what we are doing at this time.

Hrishit Jhaveri : And sir, I just wanted to have a brief about how is the demand shaping up for the export customers, like all the geopolitical crisis, Red Sea crisis, has this affected Natco or not?

Rajeev Nannapaneni: Not so much because our model is very different compared to everyone else. I don't do commodities, I don't do volume products. Our whole model is only doing niche and a lot of our shipments are by air, and compared to the value, the air freight component is not a significant portion of the costing. So, it does affect, of course, I mean, logistics cost has gone up, but it doesn't have the level of impact that it may have on someone who does more volume products. So, yes, there is impact but nothing dramatic.

Moderator : The next question is from the line of Rohit from Ithought PMS. Please go ahead.

Rohit: Congratulations on really good numbers. So, two questions, sir. One was anything that you would like to share on the NCE that you have. That was my first question.

Rajeev Nannapaneni : So, we have 1 NCE, which is doing Phase II in the U.S. at this time and it's in the early days, so I think I will refrain from giving any guidances or any idea. So, we are doing Phase II this information is available in the public domain. It's early stage, and we are targeting, type of oral cancer specifically. So, we will see how things go. At this time, I don't want to comment.

Rohit: The other 2 questions I had were one is, you said 20% growth. This is on the basis of excluding the exceptional or on the reported numbers. That was one. And then I have one more question after this.

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Rajeev Nannapaneni: I didn't get your question. Please repeat it?

Rohit: So, I was saying, we reported Rs. 1,388 crores of profit this year, and you said 20% growth on this, but we also have like one-offs of around Rs. 90 crores. So, I mean one should adjust the one-off and look at the adjustments or the reported number is what I wanted to ask. That was my first question. And I have one more after this.

Rajeev Nannapaneni: One-offs, That's a very tricky question. I will give you a straight answer. See, one-offs happen in any business. I mean, so you have a different one-off in a different year. So, Rs. 1,388 crores assume the one-off. I mean, in my mind, I am starting with a clean slate and hopefully I will not generate another one-off, but anything can happen, right? So, we always budget for that. So, if you make one bad inventory decision, you'll have one bad currency risk. So, I mean, there are so many moving parts, so it's very tough to judge. My assumption is Rs. 1,388 crores whatever else happened and 20% growth assumes everything and so we can only make a projection, so on.

Rohit: And my last question is I mean, so next year or I mean, next financial year, is when Revlimid goes off patent and we could see a substantial decline in earning. I know this question has been asked many times, and we are now very close to that date. So, I mean, how does the management think about the business? We have a pipeline, I agree but just from let's say, FY '27 onwards,

how do you think building that base which is going to be a big gap to fill, so if you can share some thoughts.

Rajeev Nannapaneni: Again, see that challenge everybody faces. I think we all have very good products. I mean we had this in history. If you look at Natco's history, we always had these big products. Glatiramer used to do extremely well, but now it's declined a bit. Tamiflu used to do extremely well and then over a period of time it declined. So, we just have to keep finding something new. That's the challenge that I face and everybody faces. I think in markets like our business and

pharmaceutical business where everybody is well financially geared, there's very little money that you could make in a product where there are multiple suppliers. So, we can only make money in the niches.

Now I have said this many times, I will repeat it one more time. Unless you get niches right, you can't have earnings growth. So, I think I have been saying this, and I will say it again. What do we have to replace it? I mean, Sema glutide . I have said that we have FTF on that product. So, on certain strengths, we have FTF and Wegovy we also have FTF. So, in circumstances, we have sole FTF. So, I mean, that's probably one big idea. Then we have other first -to-files like Yondelis, Trabectedin , Olaparib. I mean we all have to see how these things work out. But the trick is that you have over 3 or 4 of these and in the next 2 years, you build another 2 or 3 ideas, then you have about 6 or 7 ideas and hopefully, we will be able to generate consistently something every year. You'll have 1 or 2 years where you'll have a bit of a gap. But you have
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got to accept it. I mean you just can't fight it. You have to keep building the pipeline and hopefully you are able to make an acquisition, which strengthens your base business and that's how you have to look at it. There is no other way.

Moderator : The next question is from the line of Amey from JM Financial. Please go ahead.

Amey S : Congratulation to Rajeev on good set of numbers this quarter. The first question I have on the division, which we are talking about. First, why RoW market? What is your thought process there? And will it be a front -end acquisition? Or you want to do some acquisition related to technology, which could help you maybe build your R&D? but if you can give some clarity on the thought process of the EM?

Rajeev Nannapaneni: Emerging Markets are very interesting , They are very consistent. They are a lot like domestic. I mean, there you have local brands and you have a sustainable business. You have a distribution arm, which is consistent and large and gives you stability in earnings. I have my own views on this. I personally believe this is the market to go to. It will give you more broad -based earnings and consistent earnings. Acquisitions in India are very expensive , I don't think they will give you the return on capital that you deserve and I think you need to go out.

Regulated markets, we are already fairly saturated in that business, and we have fairly strong presence in it. So, I think the only gap is the rest of the Emerging Markets and this is the way to go and I believe that this is the way forward. This is how I see it in terms of acquisitions of the area where valuations have not run away compared to our home market.

Amey S : So, should we expect you to consolidate your presence in existing RoW or we would see new markets coming up?

Rajeev Nannapaneni : Anything is open. I mean we look at different aspects all the time. I mean unless you close something you can't really stay at a particular position like you asked me. But we are looking at things. I mean, again, I don't have an answer to your question, but you asked me what I am going to do with the money. So, this is what I feel we should do with the money, and I am giving you

my reasons for it.

Amey S : And the next question I have is on the filings. Last quarter, we had said there would be interesting filings over the next few months. Have they already been done, or we are still in the process of filing this project? And will those be a near -term opportunity post Revlimid, or would we be part of?

Rajeev Nannapaneni: I mean, we are looking to file a few products this year. Hopefully, we are able to pull off a couple of FTFs. Again, I don't have any news for you. I mean, we filed one recently. We filed a product called Rimegepant for migraine. But it was like, I think, 7 or 8 filers on day 1. So, it kind of
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takes away the charm. So, I mean, unless you file and look at the position, I mean your patent position, number of filers who have filed on that day, you can't tell whether you have a unique position. So, we keep trying, as I said a few minutes ago, with the other person who asked me. We just have to keep filing different things, and hopefully, we will get something.

Amey S : But generally, we do have idea, right, on this? Because the product we talked about is oral solid ODT basically largely. So, maybe there could be a possibility of filing but maybe if the complex injectable is there in the R&D or something like that.

Rajeev Nannapaneni: We have umpteen number of ideas. I think it's not the lack of ideas. It's only about execution. I was just saying, right, if we pull off another 3 ideas in the next 2 years, we have done a great job. So, then add for your pipeline post '27. So, that should be the objective. And I mean, if you ask me, if I look at my R&D pipeline, I have at least 5, 6 ideas. But by the time you file, you should hope that somebody doesn't file. You should also hope that you will be the first to file.

There are so many moving parts, so it's very difficult to judge. In this business, you are competing with the few played by the molecule. You are probably competing with about 4 or 5 guys, you have to beat. So, in a way, it's easy, right? If you are able to get 4 guys, you win the race, right? But at the same time, your execution capability, your timing, and your science plays a big role and as I said, if you are able to pull off 2, 3 of these ideas, I think you have done well. So, let's hope.

Moderator : The next question is from the line of Bino from Elara Capital. Please go ahead.

Bino Pathmarampil : Congrats again for a great year. I am just thinking beyond Jan '26 on Revlimid. Does the distribution agreement and profit share agreement which you got, continued beyond the settlement date of Jan '26 in pretty much the same term?

Rajeev Nannapaneni: Yes, we have an arrangement with Teva that will continue.

Bino Pathmarampil : And the profit share will be pretty much earlier same term.

Rajeev Nannapaneni: Yes. I mean for the U.S. market. We are working with them in the U.S. market.

Moderator : The next question is from the line of Tarang Agrawal from Old Bridge PMS. Please go ahead.

Tarang Agrawal : Just 1 question. The 2 years that Revlimid has come through, how is the pricing traversed say from the first time that you launched till say Q4 of FY '24? And in the short term, in the next 20, 21 months, do you have a view on the stability of pricing?

Rajeev Nannapaneni: I can't answer that question. It's strategic. .

Tarang Agrawal : Maybe not the future looking, but how was it traversed in the last 2 years?

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Rajeev Nannapaneni: It goes by the market dynamics. I think that's the answer I can give you.

Moderator : The next question is from the line of Nikhil from SiMPL. Please go ahead.

Nikhil : Yes. Congratulations on good set of numbers. Three questions. One is if we look at Revlimid, we had this Canada launch based on the tender. If you have to draw parallels between ho

w the

Canada market behave for Revlimid and how U.S., would there be any parallels which can be drawn in terms of how much pricing? Or would you say it would be completely different because it's a REMS product. So, the whole idea was that the pricing erosion once it goes up and may not be the way most molecules happen. So, are there any parallels, which can be drawn between Canada and U.S.?

Rajeev Nannapaneni: See, you know that we don't market the products in the U.S. Teva decides the strategy and Teva decides the pricing. Every market is very unique. You can't draw parallels between any. Canada is a completely different market. I mean, how the product is distributed and how the tender cycles work. So, to answer your question, no, you can't draw parallels, it's a different world, 2 different countries, 2 different markets, 2 different strategies and different marketing partners. So, nothing is comparable, honestly. Every market is unique in their own way.

Nikhil : Second question was on Crop Sciences business. So, we had a couple of products on Pherom based, and there were more on the pipeline and even CTPR combinations and all. Now, 1 year down the line, we have done the launch. What do you think could be changes which we need to bring into our execution? And one of the reasons for going into Crop Sciences was the idea was that this will provide some stability to the base business and can be scalable and very profitable. So, are there any changes to that assumption from where you begin and today, how you see the business?

Rajeev Nannapaneni: I think we have done well with the CTPR combination. Pheromone has not taken off as well as we thought. I think it's a lot of appreciation for the product, but I think the pricing has been on the higher side because of the cost of goods being high. So, the adoption has not been as strong as we would like to because at the end of the day, India is a very price-sensitive market. Overall, we are trying to expand our portfolio. So, we are present in multiple segments so that we can have a larger sale and we are trying to increase our portfolio and try to do a lot of unique launches.

I think we are doing well. I mean, started off well, it's a reasonably large brand business. I mean, to build Rs. 100 crore brand business for a business that you are not aware 3, 4 years ago, it's a pretty laudable achievement. I think things are going as per our expectations. But it will take another 2, 3 years for the business to get established. I think things are on track, that's my sense.

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Nikhil : And last question. See, Rajeev, you have always talked about that acquisitions in India are pricey. And we have seen this happening in the market. And if you look at the nonregulated market acquisitions, the amount of cash which we are generating, even after this acquisition, we will have some cash. So, when you are thinking about deployment beyond 2030 and the whole idea for us has been looking at opportunities in oral dosage. But do you think that at some point,

we may look at changing our line of approach maybe towards more biosimilar or completely different technology for products beyond 2030? Just how do you think about the pipeline beyond say for R&D beyond 2030 kind of business? So, do you think there can be a large investment here?

Rajeev Nannapaneni: See, I will tell you, every business goes through a churn, what worked 5 years ago, won't work anymore. You need to sort of reinvent your business every year, every moment, you have to reinvent yourself. See, what I did 15 years ago, if I do now, it won't work. Similarly, what you are doing now won't work in the next 10, 15 years. So, is your question that, we have to constantly reinvent ourselves? Absolutely correct. So, I think my sense is, yes, you need to work on your molecules, you need to go to newer markets. So, what

we are doing what is easy, which

is going to newer countries, expanding geographically, and going front-end compared to the model, which was distribution model. So, I think we have moved up the value chain. So, that's a big change that I made in the last few years compared to what we have done in the past.

We continue to invest in more complex generics, drug deliveries, oligopeptides, that type of product. So, it's another thing we are doing. Another thing that we are talking about, like, for example, CAR-T is another area that we are investing in. So, you have got to keep your fingers in different pies. You got to constantly keep investing. I am just giving you a flavor of what we are doing. But I see as of now, we are trying different things. We are trying on e NCE. We are trying hard to do generics, we are trying geographical expansion. So, we are trying different things. We are trying 5, 6 ideas.

Eventually, you land somewhere and based on that, you see something clicks, then obviously, we will go to the next level as a firm. But I take your point. I mean, yes, you are absolutely right. You just have to keep reinventing yourself. You are absolutely right that the future drugs are all going towards rare diseases and biotech. They are not sticking to the chemical tabs, absolutely. I think you need to reinvent yourself absolutely.

Moderator: The next question is from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty: Congratulation on good set of numbers. So, I have 2 questions. First question is related to the domestic business, given we have taken Rs. 35 crores cash and there was some change in the business model. If you can give more color on it? And if you can also give information whether the impact is over or we are going to see in Quarter 1 as well. And since we were doing quarterly sales of Rs. 100 crores in India business, advance is Rs. 35 crores. We are still running at the Natco Pharma Limited

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rate of Rs. 85 crores or something. This is just a quarter-on-quarter basis, or we would be able to maintain this Rs. 100 crores quarterly? This is something which we want to do.

Rajeev Nannapaneni: It's a onetime charge because we just changed a few things and the way we are distributing. I think the run rate is still 95% to 100%, There's no change in that. Absolutely there's no change in it. You can see even if we take the reversal, our annual sale is nearly close to Rs. 400 crores in spite of the reversal. So, I think there's no change in that. We are consistent. The business is doing well. The secondaries are doing well. We believe the business is growing around 8% to 10%. We are looking at some jackpot ideas here as well. I mean, hopefully, we will be able to execute a couple of good ideas. But no, I don't see a challenge. I think the base business is fairly consistent. It's one-time.

Rashmi Shetty: And we will be able to grow 14% to 15% from this level, whatever we have done around Rs. 386 crores in FY '24?

Rajeev Nannapaneni: I think so. Yes, I would believe so. I think the way things are going, yes. I would believe so.

Rashmi Shetty: And my second question is related to gCopaxone. In the U.S., if you can comment more on how the sales were during the year, whether the market share is steady, you are seeing any sort of price erosion or any erosion in the market share if you can comment on it.

Rajeev Nannapaneni: It's been consistent. I think it's done well. There are only 2 generics, Sandoz and us. So, Mylan has done extremely well with this product. But as you know, a lot of the multiple sclerosis patients have moved to the oral formulation as opposed to the injector formulation. There's been a slight decline in the consumption of this product. But overall, it has its position, and I think it's doing reasonably well. It's been steady as of now.

Moderator: The next

question is from the line of Kunal Randeria from Axis Capital. Please go ahead.

Kunal Randeria: Rajeev, earlier you used to mention that the base business PAT was around Rs. 200 crores to Rs. 250 crores annually. So, does it still stand? Or is it higher or lower than what you had previously mentioned?

Rajeev Nannapaneni: Sorry, I didn't understand your question, Kunal. Can you rephrase that question? What is Rs. 250 crores? I am sorry. I didn't understand what you said.

Kunal Randeria: The base business PAT, profit after tax, you used to mention it should be around Rs. 200 crores,

Rs. 250 crores. You used to mention this, maybe 2, 3 quarters back. So, just want to understand, whether it still holds or is it better or has it gone down a bit?

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Rajeev Nannapaneni: . I think it's improved, but there are a lot of other R&D expenditures that were there. So, I mean, I can't really tell you like this quarter, we are doing this much; or that quarter, we are doing that much. But I would say, I mean, honestly, I don't have an answer to your question. It is probably around maybe Rs. 350 crores to Rs. 400 crores PAT, I would believe, yes. I think around that. If you put me on a spot and ask me like this, I can't answer because there's so many moving parts. But if you want me to like, I mean, answer it in a broad sense, yes, it sounds about right, yes.

Kunal Randeria: And secondly, just thinking out loud here, Rajeev, Revlimid kind of settlement was a bit unique in the industry. Do you think that such kind of settlements between generics and the innovator will occur in future also? Or is it that because a lot of generics were also sued, it may just discourage such settlements?

Rajeev Nannapaneni: I don't know Kunal. I don't have an answer to that question.

Kunal Randeria: I just wanted to get broad thoughts on this on the same. Just lastly, Rajeev, I think Kothur plant is under regulatory scanner. Just want to confirm that all the new filings you are doing, are they from multiple sites of business? I want to understand our derisking strategy here.

Rajeev Nannapaneni: I mean, we have 2 sites for the U.S. So, we have Hyderabad, and we have Vizag. So, like Rimegepant that we filed recently, we filed from Vizag. We can use these 2 sites, but sometimes we also use the CMO, because our model is doing niches, right? So, like Semaglutide, this is a CMO. So, it's not that everything has to be done in-house. The way our model works, because we do so many niches, we could always move it around, it is not very difficult. We always for our top products keep 2 sites as a backup.

Moderator: The next question is from the line of Ritika from Valuequest. Please go ahead.

Ritika: My first question is on the U.S. business. So, what are the key launches we expect in the next 2, 3 years? If you could highlight that? And majorly, we will see Revlimid going off patent in FY '26 end. So, what should be the key launches? Or how should we expect which products or how should we expect these Revlimid revenues to offset?

Rajeev Nannapaneni: What are the key launches you are saying in the next few years? Is that what you said?

Ritika: Yes. Yes.

Rajeev Nannapaneni: So, we mentioned that, Semaglutide we mentioned, Olaparib we have mentioned. Carfilzomib, we have mentioned; Trabectedin, we have mentioned. So, I think this is all there in the investor presentation. In terms of size, I mean, Semaglutide is the biggest, and then Olaparib is the next biggest one and then we have Imbruvica, but we must see what happens in the court case. So, Natco Pharma Limited

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then Trabectedin and Kyprolis. So, they all have different levels of values. But we have 5, 6 ideas.

Ritika: In the next 2, 3 years, do you expect any of these products to come to get launched?

Rajeev Nannapaneni: We can't answer

that question directly because the settlements are bound by confidentiality. So, I think closer to the launch, I think we can discuss it. They are all going to play out in the next few years. That's correct. But the litigations are not resolved. So, there's no answer to that question. So, once that are resolved, we can't tell the date because they are bound by confidentiality, but they will open up in the next few years.

Ritika: Last question is on Agrochemicals. You mentioned earlier that if you take 2, 3 years for the business to get established. In your sense, how are we seeing growth from CTPR in the next 2, 3 years and also the overall agrochemical business?

Rajeev Nannapaneni: I think we have a very good pipeline. we are expecting this business. our internal target is that this business has to triple in the next 3 years, we want to go to Rs. 300 crores. So, yes, I think that's the target that we have given. So, let's see how. Hopefully, we will be able to do it in the next coming few quarters.

Moderator: The next question is from the line of Naman Gala from Ventura Sector. Please go ahead.

Naman Gala: Actually, sir, if you could just highlight the different growth drivers for your all the segments till FY '27. And what kind of revenue growth can we see across the segments?

Rajeev Nannapaneni: There are 3 or 4 issues as we will look at. We need to have clarity on some of the niche filings that we have, which we will be able to get in the next few years. So, I think we mentioned the First-to-Files already, and then we will hopefully add a few more files to it. So, that's probably one moving part. The second portion is the base business, how our RoW will do, how well we will scale up in the RoW markets as the second goal driver. Third is the acquisition, I think we

are able to consummate acquisitions. So, that will also strengthen the business. I think these 3 tracks are the most important things that we need to take care of to achieve consistent growth in the next few years.

Naman Gala : My second question would be what would be the employee count for the year? And we can see that the employee roster has come down from 18% to 13.9%. So, can we sustain the current level?

Rajeev Nannapaneni: . I think sustaining the current level of costing on the employees or the number of employees.

Naman Gala : Number of employees.

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Rajeev Nannapaneni: I mean it all depends on how the products do. But I think for now it will hold up and the percentage that you said will hold up. Total, without the contractors in the part, if we remove the contractors, is what about 5,000 employees in the system and if we include the contractors and everyone, I think it's about 5,700 to 5,800. it's my understanding.

Moderator : The next question is from the line of Chetan Doshi from Tulsi Capital Services. Please go ahead.

Chetan Doshi : Congratulations for the excellent set of numbers. And as per the guidance, you have performed very well. So, congratulations to the entire team. So, my specific question is that we have taken a hit as far as API revenue is concerned for the last quarter. So, this is onetime, or this is going to be a regular feature. And the second question is regarding the Crop Health Science, wherein you have underutilized that division. So, you are planning to launch some products and buy some raw material and then it was discarded? What is it that Rs. 30 crores is you have accounted for?

Rajeev Nannapaneni: The hit is a onetime overall, the Rs. 90 crores . So, the domestic, as we explained a few minutes ago, it was a change in the business model. The secondary sale is consistent and close to Rs. 100 crores a quarter. So, I don't see any challenge there. Your question is specifically why we take a hit on the agro. So, what we did was we built some intermediate capability at a third-party site and we

were using it for the launch of the agrochemicals that we are making internally at Natco.

What has happened is there has been a dramatic change in the market environment where the pricing has dropped dramatically for the intermediates and we are not utilizing that intermediate capability. So, because we are not utilizing the intermediate capability, we had to make a provision for non-utilization of that. So, we took a hit on depreciation of amount and certain advance we gave to that supplier. So, I think that's why we took a Rs. 30 crores hit .

Chetan Doshi : So, that is one time . And you are targeting Rs. 300 crores in this segment in the coming couple of years, right?

Rajeev Nannapaneni: Yes, absolutely.

Moderator : The next question is from the line of Sandeep Dixit from RJV Advisors Pvt Ltd . Please go ahead.

Sandeep Dixit : Just a couple. Actually, one question on margins. We have seen a massive spurt in these margins over the last 12 to 18 months. Is this sustainable going forward? Or is it the new of Natco Pharma?

Rajeev Nannapaneni: I mean it all depends on the product mix. I think we have a good product mix, the margins are sustainable. So, I think it all depends on the product mix.

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Sandeep Dixit : I understand that. But I mean, let me look at these numbers. They have gone from 29% in FY '21 to 33% to 43% now. So, obviously, product mixes don't change quarterly or whatever. I presume they change reasonably over, let's say, a few years. So, should we say that these are the kind of margins which we can look for over the next year or 2?

Rajeev Nannapaneni: . Based on the product mix holding up, yes.

Sandeep Dixit : And then, I mean, if you are talking about a 15%, 20% top line growth, stable margins, isn't your 20% profit growth a little conservative?

Rajeev Nannapaneni: There's always something that you never know will happen, right? So, why promise something. The other person asked me, is there going to be another one time. There's always something that will go wrong, right? I mean something has to go wrong, will go wrong. Say less, then you do more, people are happy with you. If you say more and you do less, everybody is unhappy with you. So, I think that's my way of looking at it.

You never know. See, I will tell you some thing. I mean, honestly, when you ask me for a projection, I make it with our best estimate. But there's always so many moving parts that happen in the business, it's tough to sort of guide, I think you can only make an estimate based on what you believe will happen. And there are always so many unforeseen things that happen during the year. Our business as large as ours, you are always going to have surprises. So, that's why you are better to be conservative.

Moderator : The next question is from the line of Deepak Malhotra from CapGrow Capital. Please go ahead.

Deepak Malhotra : I have few questions. First question is regarding the other income. I just wanted to understand the breakup of the same. I mean is it going to be a concurrent feature going forward since we have a bit of cash on the balance sheet, please?

Rajeev Nannapaneni : Other income of Rs. 42 crores that we had in the last quarter. I think Rs. 30 crores are coming from interest from the deposits. I don't have literally itemized breakup, but I would say most of it is coming from interest income from the deposits.

Deepak Malhotra : And before I ask my second question, I obviously want to congratulate, I mean the management team for what you achieved. I think this is quite spectacular indeed. Now most of my questions have been kind of partially answered and just to rephrase, you talked of basically reinventing the business in terms of the growth strategy going forward? And when you set up a target of 15% plus both on sales and PAT, there are still no easy sweet spots when we look at the key Para -

IV

filings, and how complicative the market is. Why you have obviously taken decisions to get into Crop Science business. And you talked of growing the business 3x going forward.

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But since you have already cash of close to Rs. 2,000 crores, and you mentioned the CAPEX of Rs. 350 crores. You also alluded to a possible buyback or an acquisition. While you also made a small investment in Cellogen , cell and gene therapy solutions, what my question is, I mean, how are we really trying to reinvent ourselves and actually achieve this growth? Which key markets are we targeting? And what key therapeutic segments you are looking? Again, you alluded that we are looking at new molecules, which will basically address the new kind of disease and so on and so forth. So, I know it's a little a broad question, but more strategic in nature, Rajeev.

Rajeev Nannapaneni: Nothing is easy. So, I mean, you come back and say that it is easy to find more Para IVs, especially when you are competing with people who all have cash and who all are very large companies, yes, it's not an easy business by any sense. But I think we have proved ourselves consistently over the last decade that we can deliver these complex generics. And we have good execution capabilities. I think there's no doubt in that. We have a knack for finding these niches. I still believe, answering your call that there are enough opportunities. You just have to put your heart and strategize smartly. There are enough ideas that you can execute. It's not difficult. But I think it's a lot of work and you need to have clear line of sight, clear strategy and hire the right resources and to execute the strategy. There are a lot of opportunities. They are harder, yes, absolutely correct, but there are a lot of opportunities.

I gave some color to it few minutes ago. I mean we said we can look at Oligopeptides. We can look at drug deliveries , We can look at niche Para -IVs, hard -to-do oncology products. So, there are opportunities. I mean these are just some examples of what you could do.

Where you see this is going? I mean, I said we probably have to do a geographical expansion, as I said. We have to probably do an acquisition. But these are the 3 pillars we have to build the business and hopefully, we are able to check all the 3 boxes. If we don't get the 3 boxes right, I don't think we can grow. it's very clear. So, we have to get all the 3 boxes, right, geography expansion, niche filings and an acquisition. we have to get all 3 of them right, - at least 2 out of 3 we have to get them right. But that's the challenge of the business, right? I mean that's how it's going to be.

Deepak Malhotra : Yes. Just to pick up on that. In terms of the way Revlimid has been such a staggering success, over the next 2, 3 years, I know it won't be possible to share in terms of the acquisition targets or what exactly you are looking at internally. But how close are we, say, in terms of 2 things: a, in terms of, as you mentioned, about 5 to 6 key Para IV filings you are looking at and making a success just 2, 3 out of 10 over the next 2, 3 years. So, how close are we to that? a, and b, in terms of any acquisitions, , how close you think you are in terms of securing any such deal and fructifying the same, please?

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Rajeev Nannapaneni: We have consistently delivered these complex filings, right? I mean every year, we come up with something all the time. So, as I said a few minutes ago, , the next 2 years, we achieve 3 first to files with limited competition. it's a tremendous success, 2 to 3. Even if we deliver like 1 to 1 and a half idea here, I think we have done a great job. . That's all I can tell you, we are at it, and we believe we are able to pull something off. I mean, unless I show you something I can't come back and say I hav

e done it, right? So, all I can say is we have a good feeling, and we are able to do it. We have a good track record and that's the best way I can answer the question.

Next question. This is my last question.

Moderator : Okay. The next question is from the line of Amit Agicha from H. G. Hawa & Company. Please go ahead.

Amit Agicha : Congratulations for the set of numbers. My question was specifically targeted towards the depth of the Company , which is having Rs. 116 crores. I think so I heard, and we can save by repaying this Rs. 19 crore tax interest which you are paying. Is the Comp any looking out for repaying the debt and becoming debt free?

Rajeev Nannapaneni: Yes, Rs. 116 crores and out of the Rs. 116 crores, honestly, I tell you what the split is, this is as of today, okay? So, Rs. 40 crores is an EPC credit. You can only pay it back on that particular date, You can't prepay it. So, you have to receive a certain receivable which will set it off. Rs. 76 crores is a foreign discounting, which is self -liquidating. So, I mean it's just receivable that you sell , it will get paid in 60 to 90 days. If you set off the formal discounting against the receivables, I think, more or less at a net debt level, it's zero. So, it's not a large amount. I mean these are only used for working capital operations. I wouldn't be too concerned.

Amit Agicha : So, this is almost debt free?

Rajeev Nannapaneni: I mean at a net debt level, we are actually net cash. I will state the numbers, so Rs. 2,004 crores is cash and listed shares and investments and deposits and Rs. 116 crores is the debt we have as of today, yes. That's correct.

So, that's my last question a gain. . Thanks for your questions and your inquiries. And I appreciate the time you guys have spent talking to us. Good day. Thank you so much. Thank you all.

Moderator : On behalf of Bativala & Karani Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2024

20th August 2024

C

Corporate Relationship Department Manager – Listing

M/s. BSE Ltd. M/s. National Stock Exchange of India Ltd

Dalal Street, Fort “Exchange Plaza”, Bandra – Kurla Complex

Mumbai 400 001 Bandra (E) Mumbai 400 051

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rip Code: 524816 Scrip Code: NATCOPHARM

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ub:- Transcript of earnings conference call held on August 13, 2024

Ref:- Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements),

Regulations, 2015

W

e are herewith enclosing copy of the transcript of the Company's earnings conference

call for Q 1 FY25 held on August 13, 2024. The transcript is also available in the website of

the company i.e., www.natcopharma.co.in .

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h. Venkat Ramesh

Company Secretary &

Compliance Officer

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“Natco Pharma Limited

Q1 FY'25 Post Result Earnings Conference Call ”

August 13, 2024

MANAGEMENT : MR. RAJEEV NANNAPANENI – DIRECTOR AND CHIEF

EXECUTIVE OFFICER – NATCO PHARMA LIMITED

MR. RAJESH CHEBIYAM – EXECUTIVE VICE

PRESIDENT - CROP HEALTH SCIENCES – NATCO

PHARMA LIMITED

MODERATOR : MR. HRISHIKESH PATOLE - B&K SECURITIES

PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Natco Pharma Limited Q1 FY '25 Post Results Earnings Conference Call hosted by Batlivala & Karani Securities India Private Limited.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Hrishikesh Patole from Batlivala & Karani Securities India Private Limited. Thank you, and over to you, sir.

Hrishikesh Patole: Thank you. Good morning, everyone. On behalf of B&K Securities, I welcome you all to the

Q1 FY '25 Earnings Conference Call of Natco Pharma. Hope everyone is in good health and doing well. On behalf of Natco today, we have with us Mr. Rajeev Nannapaneni, Director and CEO; Mr. Rajesh Chebiyam, Executive Vice President, Crop Health Sciences.

I now hand over the call to Rajesh for the management's opening remarks, post which we'll open the session for Q&A. Over to you, Rajesh.

Rajesh Chebiyam : Thank you, Rishi. Good morning, everyone, and welcome to Natco's conference, discussing our earnings results for Q1 of FY'25, which ended June 30, 2024. During the call, we may be making forward-looking statements or statements about future events. Anything said on this call which reflects our outlook for future must be reviewed in conjunction with the risks that the company faces. Like to state, material of the call except for participant questions is the property of Natco, cannot be recorded or rebroadcast without Natco's express written permission.

So, I'll begin with the results highlight and then we'll have an open interactive Q&A session. So again, hope everybody received the financials and the press release that was sent out earlier as well. It's also available on our website.

Natco recorded consolidated total revenue of INR1,410.7 crores for the first quarter which ended the 30th June 2024, as against INR1,160.2 crores for the same period last year, reflecting a growth of 21.6% in revenue. The net profit for the period on a consolidated basis was INR668.5 crores as against INR420.3 crores same period last year, reflecting 59% growth in profits. The growth in revenue and profits were primarily driven by export formulation business as our domestic pharma business remains stable.

On the overall segmental split, formulation exports including profit share and foreign subs carried INR1,210.10 crores, formulation domestics INR102.2 crores, API INR39.2 crores, crop health INR15.6 crores, other operating and non-operating income clocked roughly INR43.6 crores. All totalling to INR1,410.7 crores. Thank you all.

Now we'll open up for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Nirali Shah from Ashika stockbroking. Please go ahead.

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Nirali Shah: Hi, good morning. Congratulations on the good set of numbers. I had just two questions. First on the Revlimid front. So, it appears that the contribution from Revlimid is a significant driving factor. Any insight on the market share would be valuable here. And additionally, just a follow-up question on Revlimid, that after January 2026 we have a profit-sharing agreement with Teva, which is what the management mentioned in the last con call as well. Could you provide any estimate of the potential variance in profitability numbers for Revlimid? When we put into perspective a comparison of FY'25 to the post patent expiry scenario.

Rajeev Nannapaneni: It's very difficult to judge. I mean, how the mar-

ket will form over a period. In terms of market

share and all, it's already publicly stated. We start off with a single digit and we go up to one third of the market before January '26. So, I think that answers your share question.

Regarding the price environment and all, it's hard to judge. I mean, market dynamics change.

So, for now it's doing well, and we see that it will do well, in the coming quarter also I think it looks good. Beyond that I can't comment further. Thank you.

Nirali Shah: This being the third year, we are expecting a significant ramp up in the Revlimid, right?

Rajeev Nannapaneni: Could you say that again?

Nirali Shah: This being the third year, we are expecting a significant ramp up in Revlimid contribution?

Rajeev Nannapaneni: Yes. The last year we are expecting to go to one third of the market, based on the agreement that we have. But again, how much we will do and how well we'll do and all, it's all a function of the market at that time.

Nirali Shah: My second question is that we do hold certain FDF status on certain strength of Semaglutide pen, and even for the weight loss indication we have the sole FDF across all strengths. Just wanted to understand the potential opportunity here, again specifically on the market share or maybe some internal targets that we have, what kind of market positioning and any financial impact that we are projecting from these -- the two of these FTFs?

Rajeev Nannapaneni: I mean, we are in a good position in Semaglutide. It's too early to say anything. I think the pilot is still under review. Mylan is obviously our partner here, it's tough to predict when the market formation will happen with the patent litigation pending. So, currently it's very early, to say anything about what the potential is. I think it's a good filing and we're working towards getting the approval, that's all I can say at this time.

Nirali Shah: Okay. Okay. Thank you.

Rajeev Nannapaneni: Thank you.

Moderator: Thank you very much. The next question is from the line of Kunal Randeria from Axis Capital.

Please go ahead.

Kunal Randeria: Hi, good morning. Just Rajeev, if you can shed some more light on how the ex Revlimid business has been performing?

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Rajeev Nannapaneni: I think the domestic has been stable , we're doing about INR100 crores per quarter. I think that's been fairly stable. If you remove the one-off, on an overall base business wise, remember the one-off is growing around 8% to 10%. So, we are fairly happy with how things are in domestic. Our agro business has not done well, we had first year full launch, you know, launch last year and we built about INR50 crores gross, but it's just that we had some returns. So, we prudently made the provisions for discounts and returns. That's the reason why our net sale is only INR15 crores. But I mean it's a new business for us. This is our second full year of operation. So , you know, we will take some time to settle down. But overall, the prospects look good and the season has just started. So, we think that we should do well in the coming quarter.

Our export business has done extremely well. Canada has the highest turnover ever and then if you can give me a moment, I'll just pull up the numbers. So, the subs, which represent a significant part of our RoW business is doing -- last quarter did about INR180 crores and fairly profitable. So, we had a PBT of INR43 crores. That business has done well.

So overall I think we are happy. We are building a reasonable business in RoW in Middle East as well. We are doing reasonable amount of diversification. So, I think we could do better in agro and we're looking for better momentum in domestic, but otherwise the export business has been very stable for us, Revlimid and non Revlimid, both.

Kunal Randeria: So Rajeev, just to clarify, even non Revlimid, there

's been a growth in revenue as well as margins, right?

Rajeev Nannapaneni: Correct.

Kunal Randeria: Got it. And second, just a clarification on Semaglutide. Do we have sole FTF or these shared ones?

Rajeev Nannapaneni: The weight loss one, we are sole FTF. And on the diabetes, some strengths we are sole FTF and some strengths we have shared FTF. The strengths and all, I can't recollect on top of my head, but Yes, I think some strengths we have . I would say 50% to 60% the market value for the -- diabetes indication we have sole FTF, some strengths we don't have sole FTF .

Kunal Randeria: Right. And at this point in time, you know, I know it's a bit early, but could you, I mean, would the launch be in this decade or would it be around 2030 -'31?

Rajeev Nannapaneni: I can't answer that, Kunal. I wish I knew. So, there are a lot of moving parts . We had to get the approval, we have resolution of the court case and there's so many moving parts.

Kunal Randeria: Understood. But would this be more like a 50 -50 kind of profit share agreement?

Rajeev Nannapaneni: No, I think it's little bit higher with Mylan, I don't recollect the agreement exactly with Mylan, and we have some sharing with our contract manufacturer who is Stelis. I don't remember the economics exactly, but I think we'll have substantial. But there's a share between Mylan and us and the n what we are getting, some we have to share with Stelis.

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Kunal Randeria: Okay. So you would be getting a bit more than Mylan, right?

Rajeev Nannapaneni: No, Mylan will be getting the most. I can't recollect. There's a lot of, nuances in the agreement, so I don't want to get into it because such early days , we'll give more clarity and guidance when we're closer to market formation. But yes, I think broadly those are the terms .

Kunal Randeria: Okay, That's great. Thank you and all the best.

Moderator: Thank you very much. The next question is from the line of Arun Malhotra from Cap Group. Please go ahead.

Arun Malhotra: Yes, good morning. Just wanted to check, I know you mentioned on the pricing. To give a sense of the pricing of Revlimid in the U.S., how is it feeling right now? That's one. And second, you said one third of the market share. What would be a tentative market share right now for us in the Revlimid in the U.S. market?

Rajeev Nannapaneni: I can't answer that question for competitive reasons. I think what we have disclosed, I'll repeat that same thing. I think if it scales up, it goes to one third. Pricing and all, it's all handled by Teva. Teva is our front -end partner and again, it'll be -- for competitive reasons because in the end the strategy is there. So, I can't answer that question.

Arun Malhotra: Okay. And any sense on the competitive landscape right now, how many players are there?

Rajeev Nannapaneni: There are multiple players. Everybody has their own market share. I think that's all I can say at this time.

Arun Malhotra: And lastly, on the Agrochem business, that is still not ramped up as per our expectations, what would be our sense here?

Rajeev Nannapaneni: It could have done much better clearly. I would say that we had a reasonable start. I will not say that we're not present in that segment. We have launched with a very aggressive strategy by going after patents and we've been in the first wave launches. I think last year we had about INR105 crores of sales. So, I mean, we're building a brand -new business with farmer reach and building a brand, running TV ads and doing a lot of campaigns. So, it is a reasonable start. I mean, for an upstart, which I had no experience in agro. But I would believe, if you want to build sustainable long -term businesses, you need to wait. I mean, things don't happen overnight. I think my personal view is we have to give it about two years. So, if you give it about two, th

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years from now, I think you'll probably have a INR250 crores , INR300 crores nice, branded business with a stable income. So, to reach that stage organically it takes time, I mean you just have to be patient.

Arun Malhotra: Sure. Thank you.

Moderator: Thank you. The next question is from the line of Saumil Shah from Paras Investments. Please go ahead.

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Saumil Shah: Hi, sir. Congrats on a very good set of numbers. Sir, this quarter with about INR660 crores of profits, so now can we assume INR400 crores, INR450 crores of quarterly run rate for the remaining quarters of the year?

Rajeev Nannapaneni: Quarterly guidance we're not giving, I can't give you such precise numbers. I can say Q2 should also do very well. I think like Q1 it should do well. Overall, for the year we're giving guidance of a 20% growth over last year's number. So last year I think our profit was little less than INR1,400 crores. So, on that, they're saying we'll grow at least 20%.

Saumil Shah: Okay. And so wanted to know about the FDA outcome of the warning letter which we have received for our Kothur plant. I think it was in the month of April. So any update on the same?

Rajeev Nannapaneni: As of now we don't have any update. We continue to supply from that plant into the U.S. market. So, it did not stop any of the supplies. In terms of the filings, the impact has been that we are not getting any new approvals from that site. We have taken a risk mitigation program and we have started moving things out of that plant , which are critical. We have a plan to move everything out.

Some we already moved out. I mean, some of the products we already moved to Vizag, and some we already got approvals after moving them and some we are in the process of moving out. So, in the next few months, while we continue with the remediation work, parallelly we are moving out all the critical filings. I think that's how we're going forward .

Saumil Shah: Okay. But normally, how many days it takes for the FDA's reply? Because I think in one of the calls, if I'm not wrong, you mentioned around 90 to 120 days they tend to reply ?

Rajeev Nannapaneni: No, it takes time. I can't really answer that question. I mean, typically 90 days. I mean, when you receive the observations, giving the answer, so those sorts of things, when a reinspection will happen and all it's very tough to judge. I think we are doing our remediation program. Once we have an update we'll share it with you. At this time, it will be premature to comment on that.

Saumil Shah: Okay. So even if there is an adverse impact, I mean we have the other plant from where we are supplying, right?

Rajeev Nannapaneni: So, what we've done is two things. One is we have the other plant in Vizag and over and above that we have also, like especially injectable portfolio, we have gone to a CMO. So, we have two, three ANDAs we moved out and a couple of oral products also we have moved out, and we refiled from the other site with updated data.

So, we are very actively moving things. Some internally we are moving out and some we are externally moving out. So , both are parallel. So , we are not linking one with the other. While we work on remediation, parallelly the critical filings where we think where 80% of our future earnings are going to lie, I think those we are moving out.

Saumil Shah: Okay. So, but the current Revlimid sales are from both the sites?

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Rajeev Nannapaneni: Initially, I think some strengths were from Kothur and some strengths were from Vizag. So post, we have moved everything to Vizag and we got it approved. We had two strengths which were non-approved from Hyderabad. So those we have moved it to Vizag. So that's already approved and we're already supplying from Vizag.

Saumil Shah: Okay. Thank you. That's it.

From my side.

Rajeev Nannapaneni: Okay.

Moderator: Thank you. The next question is from the line of Ankit Minocha from Adezi Ventures. Please go ahead.

Ankit Minocha: Yes, hi. Good morning, and congratulations on the great momentum in terms of the numbers.

So the question was, I mean in terms of the guidance, we've already done, say INR660 crores of PAT this quarter. Do we feel and are we being too greedy? But do we feel that because the rest of the year then kind of looks pretty much at par with last year, so do we feel that this guidance could be slightly conservative, and we would wish to overachieve?

Rajeev Nannapaneni: Sure. I mean, anything can happen. Generally, I like to say conservative numbers, I don't want to give aggressive guidance's. We can do better. I mean, at least I can tell you, like on, if you ask me for Q2, I think I can have a sense that the numbers will hold up.

So again, market formation is so tricky to tell, right? and how will you end up it's very difficult to judge. So, I mean, you're saying can we do better than that? Hopefully yes. I think that's my expectation.

But again, I prefer to remain conservative. If you put me in a spot and ask me what it's going to be, I'll say the conservative number. but again, you know, there's so many moving parts, so it's hard to judge. But, yes, for now I'll answer for Q2. I think Q2 should do well and then we'll take it from there.

Ankit Minocha: Right. Yes, thank you. That's appreciated. And the previous participant asked about Kothur, but just from a more -- from a slightly higher perspective, is there any risks then, considering that you've mentioned that Revlimid is now largely move to Vizag. Then in that case, in case of anything adverse, which hopefully does not happen, but in case of any adverse regulations on Kothur, then do we have any severe risks then baked into the numbers?

Rajeev Nannapaneni: Whatever has happened has already happened. We can't get worse than we already can. So, it's already all built in. So, the risk itself is the fact that we should move the things out and get them approved on time so that we don't lose the business opportunity. I think that's what I was trying to say. The risk, if anything is, I would say our execution of moving things out and getting it done.

I think that's all it, especially the first two files, we have to move them out and get the batches done quickly. It could be the only risk that will affect the future if we're not able to execute that. That's the only variable that I am worried about. So whatever worse could have happened, it's

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already happened and that's the only concern I have at this time. I think just to make sure that all the good filings we have, we should move it out.

Ankit Minocha: Thank you and appreciate the clarity and the conservative guidance as always.

Moderator: Thank you very much. The next question is from the line of Abdulkader Puranwala from ICICI Securities. Please go ahead, sir.

Abdulkader Puranwala: Yes, hi. Good morning. Thank you for the opportunity. So on the sub part, you just disclosed about the revenues. So in the next two, three years, you know, how should we look at the contribution coming from your Brazil and Canada subsidiary? Any ballpark growth indication if you could provide?

Rajeev Nannapaneni: I think they're doing well, and we have good filings from these subsidiaries. So hopefully they'll continue to grow. See, this business, is essentially the filings that you have. That's what drives your earnings.

The good filings you have, you get great earnings and see, it's a very product specific strategy. I think the more interesting filings you have, the better they do. They're all function of what the market formation is going to be. All we can tell you is that we are doing multiple filings in multiple geographies, and we believe

that the growth will happen.

As of now, as I said, it did 179. It's probably, we had one tender order in Canada, that's why it had a higher sale. But if you normalize it, it's probably INR140 crores, INR150 crores a quarter. But see, I think our idea is to build more pipeline in this and hopefully acquire a business which is outside these four geographies that we are actively present, which is Brazil, Canada, U.S. and

India, and hopefully build a more diversified business so that there is less volatility in our earnings.

Abdulkader Pu ranwala: Understood.

Moderator: Thank you very much. The next question is from the line of Nitin Jain from Fairview Investors. Please go ahead.

Nitin Jain: Yes, thank you for the opportunity. So my question is more related to the payout. So year -on-year there is a decrease. So is this like keeping in mind, you know, we want to conserve cash for acquisitions or something along those lines? If you can elaborate.

Rajeev Nannapaneni: You mean, pay out in terms of dividend you are saying?

Nitin Jain: Yes.

Rajeev Nannapaneni: I think, yes. See, last year -- I'm not able to recollect exactly, but I think INR9 to INR9.5 we paid as a dividend last year. So, this quarter we paid out INR3. I think we will pay out reasonably well. But if you want me to say, will I give out a larger dividend? I don't want to give out a larger dividend. No. I think I want to keep the capital for a possible acquisition. I think that's my thinking. We'll pay out reasonable amount of dividend. But again, I don't want to pay very high

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dividend because I want to keep the money for any possible acquisition if anything would ever to happen.

Nitin Jain: Right, that clarifies. Thank you.

Rajeev Nannapaneni: Okay. Thank you so much.

Moderator: Thank you very much. The next question is from the line of Yash Dantewadia from Dante Equity Capital. Please go ahead.

Yash Dantewadia: Hello. Can I just understand if you're sharing the Revlimid sales for this quarter, like what percentage your sales were? Are you sharing that number?

Rajeev Nannapaneni: We are not doing that. No, we're not.

Yash Dantewadia: Right. And can you -- what is the cash that you have in your books right now post this quarter.

Rajeev Nannapaneni: Without the receivable of Q 1 right now we have about INR2,000 crores of cash in our books.

Yash Dantewadia: Yes. So, what's the plan with the cash? I mean, how are you planning to use the cash?

Acquisitions, are you looking at something actively? Is there something in the pipeline? I mean, where is the next -- what I'm trying to understand basically is where is the next leg of growth going to come from according to you? Let's look beyond FY'26, right? Beyond FY'26, where do you see the next leg of growth coming? Once your exclusivity ends with Revlimid, where is the next leg going to come according to you? What would be your best guess?

Rajeev Nannapaneni: Good question. I think see, the way I look at this business, right, I mean you need to do interesting filings, okay? So, if you leave out, if you look at the next 10 years of our future, I mean, I don't take a one year, two years, we are taking a 10 -year future now.

Yash Dantewadia: Right.

Rajeev Nannapaneni: If you leave out -- so we have Revlimid now, we have Revlimid in the next year. And obviously it's going to, you know, as all products, it all tapers off. So, first question to ask is, what is it that we have, which is, interestingly large? I mean, you'll have the smaller ones, 5 million, 10 million, 15 million, but that's one more than you do. So, the first question I ask myself is what do we have which is worth more than 50 million or 100 million of net present value?

So, to answer that question, I mean, obviously Semaglutide is my number one pick. Then we have subject to the litigation, of course, and the approval

at a point in time. And then second one is

obviously Olaparib, which is already disclosed in the investor presentation. And then another one that we have is Erdafitinib. Again, the product is only 100 million, but we hope that it will become a bigger product over a period of time. And then we have Imbruvica, I mean, we lost the case, but we are trying to see what else we can do to revive it.

So, if you look at the next 10 years, I would say comfortably that we have ideas for about five to six years. So, the question is how do I fill the rest of the three, four years? I think this year,

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like for example, before -- we have done about three filings in this year, and all are FTFs. So is it going to be shared FTF or sole FTF, I don't know. I don't have an answer to that question. So, in the next few months you'll probably hear from us on maybe, hopefully we'll pull off another one or two sole FTFs.

So, in the next two years if you pull off another three or four FTF or interesting ideas, then you have about 10 ideas for the next, let's say eight years. And even if we get half those ideas right, I think you'll do well. The elephant in the room, if it drops two years later, the earnings will drop? Possibly, yes. I will not run away from it. It will. But you can't look at a particular year or two in isolation. You ought to take an eight to 10-year view on this business and if you take a 10-year view and say that for most of the time I'll have these very interesting products, I think I'll be a happy person. Hopefully as shareholders you'll also be happy.

You can't I mean, be obsessed too much about, you know, one bad year. I mean, if you start doing that, then, you know, it takes you away from the larger picture.

Yash Dantewadia: Right. So basically, in FY26 you end up with maybe INR3,000 crores, INR4,000 crores cash, right, by the end of this financial year.

Rajeev Nannapaneni: Will I end up with INR3,000 crores cash by end of this financial year? Possibly, yes.

Moderator: Right. Next question is from the line of Sanjay Kular from Acme Private Limited. Please go ahead.

Sanjay Kular: Yes. Congratulations for giving good results, Sir, you are an entrepreneur. As an entrepreneur, we always see that our wealth should be best measured in terms of market cap. You know, companies like your size which earns nearly INR2,000 crores are quoting around INR80,000 crores to INR1 lakh crores market cap. So what do you think other reasons why we enjoy little less market cap? And what are the measures should be taken to increase the market here?

Rajeev Nannapaneni: I wish I knew the answer to that question. Honestly, I don't have an answer to that question. All I can do is tell you what we're doing in our business, and I can tell you how we see the business and what I see in the future. I think we've been forthright. I tell it the way it is and that's all I can tell you.

Beyond that, I can't answer that question. All I can say is that I am very comfortable with the strategy that we do, and I think we make very good return on capital. If you look at our profitability and our strength of our balance sheet, it is very strong, so.

Sanjay Kular: Sorry, sir, that is the reason I think we should enjoy at least 45 multiple, but we are enjoying just 10, 12. You know, previously mentioned...

Rajeev Nannapaneni: I wish I could answer that question. I have no idea how to answer that question.

Sanjay Kular: Okay.

Rajeev Nannapaneni: Thank you.

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Moderator: Thank you very much. The next question is from the line of Sanjay Satapathy, Ampersand Capital. Please go ahead.

Sanjay Satapathy: Thanks a lot for the opportunity and congratulations once again for a fantastic result. So you have tried to answer this question about cash and its utilization in many ways.

ay. Can I just

ask that if at all that will be the acquisition, will it be more to diversify your revenue stream so that you have lesser volatility or it will be more towards increasing your capability in R&D side?

Rajeev Nannapaneni: I think a lot of the money that we're spending right now is only on R&D. If you look at our numbers, these are all post expensing of all the ideas that we are pursuing. We're pursuing very interesting ideas which are worth millions of dollars and I think we have been consistently able to deliver this pipeline. I think you look at these things in two buckets. One is the R&D ideas, we continue to spend and whatever earning is after expensing all these R&D ideas.

The second portion is consistency of earnings and getting geographical spread. I think that's the piece that we need the cash for. That's where I'm preserving the cash for, so that we get less volatility and more geographical spread so there's more consistency in our earnings.

But the R&D ideas, I mean we continue to spend, and we believe in the next two years we'll be able to accumulate enough ideas which will give you our vision and our clarity of, in terms of the pipeline in the next eight to 10 years and that's what we're working on.

Sanjay Satapathy: My question is that, considering that your R&D unit is already delivering so nicely in terms of products and approvals, will you kind of use this big money to get into more of a capital intensive business like this PLI-driven API or something? I'm just trying to kind of understand your thought process as to where the -- where the acquisition or investment will go into.

Rajeev Nannapaneni: I don't like these commodities type of businesses. It's not our business model. Our focus is always doing niche and high value and difficult to do generics, rare disease products. I think that's the strategy and we get some PLI for that, but it's not like the antibiotic PLI or any of those more mass volume. I think PLI's scheme is different because they want to ensure security and localization of these commonly used products. So, which is not part of our core strategy. So, to answer your question, the answer is no.

I would do an acquisition so that we can strengthen our geographical spread so that we can take our portfolio elsewhere. I think we have gaps. I mean, we're not present in Europe, we're not present in Africa, we're not present so strongly in Southeast Asia. We're not present in Australia. We're not present -- there's so many parts of the world we're not present. So those are the markets you could possibly do. So, fill the gaps. Yes.

Sanjay Satapathy : Understood. Thanks a lot, sir.

Moderator: Thank you so much. The next question is from the line of Nikhil Upadhyay from SiMPL. Please go ahead.

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Nikhil Upadhyay: Yes, hi, good morning. Just two clarifications, Rajesh, you mentioned -- so if you look at our subsidiaries, they've scaled up well. And as you said, we are trying to broadcast it. So if I'm just trying to understand, the current revenue profile both for Brazil and Canada would be across how many products?

Rajeev Nannapaneni: Multiple products. I mean, is it like 10 or more.

Rajesh Chebiyam: Canada has a pipeline of more than, you know, 40 products today.

Nikhil Upadhyay: Revenue concentration for few products? Is there a risk?

Rajeev Nannapaneni: We generally we don't reveal the strategy of which product makes how much money. So, I think that.

Nikhil Upadhyay: No, I'm not asking for which product. I'm just saying, is there a concentration risk on few products?

Rajeev Nannapaneni: Always in any business, there'll always be those three, four products will give you 80% of your profit. So, 60%, 70% profit depending on which market you're talking about, but the idea here is that you spread over multiple

geographies and have multiple products so that the volatility in one or two products doesn't cause too much concentration challenges.

Nikhil Upadhyay: Okay. And second question. See, Revlimid was equally good in Canada. For Semaglutide, is it a similar thing? Like, does it provide good opportunity in markets, except of U.S. also?

Rajeev Nannapaneni: Semaglutide is with Mylan. So, they are doing the strategy for the ex-U.S. businesses.

Nikhil Upadhyay: Okay.

Rajeev Nannapaneni: The major regulated market businesses are all handled by Mylan. I think that's the way the agreement is structured and RoW business, we have some rights, but the regulated market business is mostly with Mylan, the cost rate.

Nikhil Upadhyay: Okay, fine, thanks. Sure.

Rajesh Chebiyam: Nikhil, I just want to clarify one point since it's Canada related, so my 40 number is the number of dossiers filed, right? Today, sales activities are more than 20 products in Canada, just to give you a sense and there's some consultation profile is always there for different countries as Mr. Rajeev mentioned.

Nikhil Upadhyay: Sure. Thanks.

Moderator: Thank you very much. The next question is from the line of Gagan Thareja from ASK Investment Managers. Please go ahead, sir.

Gagan Thareja: Yes. Good morning. Am I audible?

Rajeev Nannapaneni: Yes, go ahead. Go ahead.

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Gagan Thareja: So, two questions, sir. One on Semaglutide, I mean given the current situation where there are shortages, compound pharmacies were allowed to supply. And if you look at the pricing of compound pharmacies, it's around one tenth of the pricing that innovators give. Do you think this is a reasonable -- this reasonably represents what could happen later on when the market goes generic?

Rajeev Nannapaneni: I'm not a big fan of this compounding pharmacy business, I mean I don't understand enough about it, but I don't know enough about it either. So, you'll have some exceptions here and there, but the real value is when you do it as an ANDA.

Gagan Thareja: Okay. So second one, you indicated that, you know, once Revlimid patents expire, there could be a transition period where, you know, there'll be some stagnation in earnings. Just trying to understand, is the base case scenario one of stagnating earnings for a short period of time? Or could we perhaps also look at base case scenario as one where earnings drop, there's a drop in earnings and perhaps it sort of stays down for a certain amount of time before you then recover?

Rajeev Nannapaneni: I mean, obviously, see I can't tell you what the future holds. It's very hard to predict your earnings in a particular year. I think one thing is very clear, I can answer that we are doing well now, and I think we see that the next one and half year we should do well.

Obviously, when your profitable product drops there will be a slight dip. But again, the trick here is that you are able to find something else that replaces it. So, what we can do is we can tell you, like these are the ideas that we have which will replace, you know, and these are the pipeline for the future. So, you're going to have some dips, but overall as I said, you need to take an eight to 10 -year view on your business.

Gagan Thareja: So which would be the critical ones for you to compensate for, you know, from a time perspective and from a magnitude perspective to compensate for Revlimid?

Rajeev Nannapaneni: I think we spoke about that. I touched on the product, and I also mentioned that, you know, there are other filings that we're doing in this financial year. Hopefully that they will also come in.

So, the trick here is we have about 10 or 12 ideas. I think I have mentioned about four or five ideas. Hopefully in the next one and a half year I'll accumulate another five, six ideas. So, we'll have about ten ideas for the next ten year

s and hopefully we'll pull up about six or seven of these ideas, and then you'll have something.

Gagan Thareja: And on the India business, what are your thoughts, sir? I mean, in terms of sustainable growth rate with your current portfolio

Rajeev Nannapaneni: I think we're doing well. I wish we could do better, obviously. But, you know, we have some good launches. I mean, obviously the biggest one is being Semaglutide. We think March 26 is the patent expiry in India. So, I think hopefully the regulatory approval comes on time. So, we'll be in the first wave of launches. So that is probably going to be a very interesting product for us in the domestic space.

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Since we have a low base in our business Semaglutide can actually jump up the numbers quite a bit. So that's probably a major disruption we're expecting in the domestic business in about the next one and half year i.e. March 26.

So, we have ideas. It's not that you just have to just continue with your R&D focus and do these very smart products, and you'll get a breakthrough someday. I think it's all about just keeping the pipeline hot and then pursuing things.

Gagan Thareja: And will you be -- will you need to add sales force for Sema, or your existing?

Rajeev Nannapaneni: So, we actually have a diabetes setup. We have a diabetes and a cardio setup. So, I think we have a division, we have enough coverage. We have already built that ground reps and all. So, it's only a question of launch.

Gagan Thareja: Thanks for taking the questions.

Rajeev Nannapaneni: Thank you.

Moderator: Thank you very much. The next question is from the line of Rajiv Jain from RKCAP. Please go ahead.

Rajiv Jain: Yes, hi. Generally you don't give guidance, but this is probably the first time that you have at least given visibility for the current quarter. I just like one clarification. Like you said that the current quarter looks good. So is it on Y-o-Y basis or also on Q-o-Q basis?

Rajeev Nannapaneni: I was comparing Q-o-Q. I was comparing this Q1 with Q2 And I'm saying Q2 also we should do well like Q1 is what I am saying.

Rajiv Jain: Okay. And at what price would buyback be attractive? Like, if let's say the share price dips to 1,200 will you consider buyback or you don't have it in your plans at all?

Rajeev Nannapaneni: I think we did a buyback already Last year. So that's already done, I was looking at the cash implication. They don't look very good, honestly, from what I can see. But again, as of now I'm just conserving cash for some big acquisitions. At this time, we don't have any plans for buyback. But if something changes, obviously we'll speak about it. But at least my thinking now is, no, not currently.

Rajiv Jain: Okay, sir, okay. That's all. Thank you.

Moderator: Thank you very much. The next question is from the line of Bhumika Jain from Desvelado Advisory. Please go ahead.

Bhumika Jain: Good morning, sir. Hi. My question was, revenue has been increased by 21.5% Q-o-Q. So what are the factors, like geographically and order wise, both, which led to the boost? And it is reoccurring revenue at the base or due to any large order?

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Rajeev Nannapaneni: So, if I understood the question, what is the factor for the growth in the revenue and the profits. Is that the question?

Bhumika Jain: Yes, sir. And is it the reoccurring one or any one particular thing that led to the boost?

Rajeev Nannapaneni: I think we have multiple factors. I think obviously development played a role as well. Yes, I think that's what has driven the earnings and I think things are stable. Overall, our international generics business has done well and so that's one of the many factors why the earnings have been growing here.

Moderator: Thank you very much. The next question is from the line

of Rahul Choudhary, Individual Investor. Please go ahead.

Rahul Choudhary: Hello, sir. My question is regarding the API revenue and domestic formulation. API revenue seems stagnant for many years now. And in domestic formulation, if I am not wrong, you had said last call about some jackpot ideas. So is this amalgamated in the a jackpot idea or is it something else?

Rajeev Nannapaneni: No, I think Semaglutide is one of our great ideas. I think that's what I was trying to tell a few minutes ago. Yes. For domestic, it's been Semaglutide has been one of our biggest ideas that we have, but subject to us getting approval and then getting, launching in the first phase on patent expiry.

Regarding your other question about API business being, you know, not growing. I mean, a lot of API consumption is actually captive. So that's the reason why you don't see that reflection of growth. In terms of output and all, I think it's been fairly occupied and there's a lot of captive consumption. That's the reason why we are unable to service the outside customers. But there's obviously scope for improvement. I think we're always looking at that. I mean, we're trying to add some capacity so that we can service our outside customers and improve our internal capability.

Rahul Choudhary: Right, sir. Sir, my other question was on the 28 products on the Para 4, pipeline. When we say 13 are approved, tentative or fully, it means -- what does it mean, that litigation is ongoing or we've got the final clearance to launch in a particular future?

Rajeev Nannapaneni: Some of them are tentatively approved. Tentatively approved means that they're approved, and they are not given final approval. Some of them we have settlements, and some of them are under review. So, I think depends on the product.

Rahul Choudhary: Right, sir. Thank you very much. That's all.

Moderator: Thank you very much. The next question is from the line of Yash Dantewadia from Dante Equity Capital. Please go ahead, sir.

Yash Dantewadia: Yes. So basically my question was, by end of this year you might have approximately INR3,000, INR3,500 crores in your books, right, in terms of cash. Can you highlight the, for the lack of better words, the shopping environment or the takeover or acquisition environment that is out

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there for your industry, what kind of companies would you look at? Is there something in the pipeline? And basically outline the environment?

You've been a high ROCE company over the last decade. So obviously finding opportunities of that scale in size with high ROCEs might not come at a decent valuation, will obviously be much more expensive on that side. So, if you are a company with INR2,000 crores, INR3,000 crores cash and if you go out to buy companies or take over companies or acquire companies, what is the environment that you see out there with that much cash? Are you seeing any opportunities that might materialize in the next year or two?

Rajeev Nannapaneni: Good. Thanks. Yes, so, honestly it is very tough. I mean, as you rightly said, our sector is, you know, anything that you want to buy is very pricey. It's very difficult to, especially in the domestic's formulation space the valuations are extremely rich but it is what it is, right? So, you need to figure out a way how to do a transaction. Personally, I find it very difficult to find a transaction, maybe I'm too conservative, but we are unable to find anything. Outside India, we are finding reasonable opportunities. I think there's a fairer return of capital there compared to domestic.

But you know, we are evaluating. I mean, I'm not in a hurry to do a transaction. I don't want to do a bad transaction. So, like this, I mean I prefer to leave the cash alone rather than to do a bad transaction. I think that's always my thinking.

Yash Dantewadia: No, that's great.

But when you look at the environment, what would -- what would be a great opportunity? I mean what, what are you looking in terms of ROCE? Like, what -- what is a great opportunity to you that you would go and like to buy? Like would you be able to picture that business and like tell me like this is -- this is the kind of business I would want to buy, or that in which you sector, what exactly I mean, what chemistry? Anything, basically on how you want to raise your cash?

Rajeev Nannapaneni: Spend my money. If you leave out the R&D that you're doing, organic growth that you doing, I would spend my money on only two things. One is on new technologies, companies or startups which will give you something very disruptive, which can have a significant impact on your earnings and something that is extremely disruptive and unique. Or two, buy a business where you have a gap in your portfolio.

Let's say we're nothing covered in a particular market. Let's say, I said a few minutes ago, we're not there in Africa, we're not there in Western Europe. So, if you get an access to one of these markets, then it's worth spending, because whatever you're doing you can extend your pipeline there. I think there's only two reasons I would spend my money.

I would want to get a good return. I will not get caught up in this craziness. I believe that everything is very rich and it's very tough to justify a return on capital, but you got to do it the way you know. I think you can't feel pressure to do a transaction, then you're in a way getting into peer pressure, right? Individually, you will always say that you should never, you know, succumb to peer pressure. So same for businesses too, right?

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You can't succumb to peer pressure to do a bad decision. A good decision is always a good decision. And even if everybody else is doing it, doesn't mean that it's the right thing decision. So, you got to know what you're doing, and as long as you get a fair return of capital and you do it based on what you think is right. Okay?

Yash Dantewadia: Great. Thank you so much for taking all my questions. Have a great day. Thank you.

Rajeev Nannapaneni: Yes. Thank you.

Moderator: Thank you very much.

Rajeev Nannapaneni: Take one final question.

Moderator: The next question is from the line of Ankit Minocha at Adezi Ventures. Please go ahead.

Ankit Minocha: Yes, hi. Good afternoon. So just to follow-up on the previous question and your comments on the acquisition being probably in a different geography or a complementary, is it necessary that this acquisition has to be in the pharmaceutical space? But, I mean considering the current environment for something like your allied business, which is agrochemicals, I mean we could look at environment where valuations are a lot more favorable. So I just wanted to get the management tell that if there is a niche business case in agrochemical case, so could that be viable...

Rajeev Nannapaneni: Yes, I think even agro also we can do. You can do any business. Obviously, we had to stick to our core capability, and it has to add synergy to what we have. So, I think as long as it makes sense, we can look at different levels of diversification. But again, we are, a core healthcare company.

So, any idea that we do will obviously be related with healthcare, and obviously we're doing a bit of agro, so. But it has to be complementary, disruptive, unique, and a reasonable return on capital, I think. Unless it checks all the boxes, you should not be in a hurry to do a transfer.

Okay?

Ankit Minocha: Fair enough. Thank you. And my last question was basically, you spoke about the three large opportunities, whether it was Semaglutide or the other two molecules. How would you put these in scale in terms of what we are seeing currently with Revlimid? Or if I was to look

at those

individual opportunity sizes?

Rajeev Nannapaneni: I mean, these are all large opportunities. I mean, all the IMS data of these products are already there. So, you can make an extrapolation. It all depends on market formation. So, there's lot of multiple factors. I mean the ones that I'm mentioning are reasonably large opportunities. So, when I said reasonably large, I mean something that will make you 50 million to 75 million or 100 million types of upside. So those are only ones I'm talking about. So, assuming that they all work out, assuming we win the litigation, we have a good launch, we get the approval on time, you know, everything goes well.

Ankit Minocha: Right. Thank you so much. Have a good day. Thanks.

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Moderator: Thank you very much.

Rajeev Nannapaneni: Again, let me apologize for the telephone disconnection. I mean it happened three, four times. I sincerely apologize. We're just having a technical challenge. Again, I appreciate the time that you guys have come and engaged with us to ask about what we're doing. I appreciate your time and thank you for coming and thank you so much. Thank you.

Rajesh Chebiyam: Thank you, all.

Moderator: Thank you. On behalf of Batlivala & Karani Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

21st November , 2024

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Dear Sir/Madam,

Sub: - Transcript of earnings conference call held on 13th November , 2024
Ref: - Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015

We are herewith enclosing copy of the transcript of the Company's earnings conference call for Q 2 FY25 held on 13th November , 2024.

The transcript is also available in the website of the company i.e.,
www.natcopharma.co.in.
This is for your information and records.
Thanking you,

Yours faithfully,
For NATCO Pharma Limited
Ch. Venkat Ramesh
Company Secretary &
Compliance Officer

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"Natco Pharma Limited
Q2 FY'2 5 Earnings Conference Call "
November 13, 202 4

MANAGEMENT : MR. RAJEEV NANNAPANENI – DIRECTOR AND CHIEF
EXECUTIVE OFFICER – NATCO PHARMA LIMITED
MR. RAJESH CHEBIYAM – EXECUTIVE VICE
PRESIDENT - CROP HEALTH SCIENCE S – NATCO
PHARMA LIMITED

MODERATOR : MR. HRISHIKESH PATOLE – B&K SECURITIES
PRIVATE LIMITED

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Moderator: Good morning, ladies and gentlemen. Welcome to the NATCO Pharma Q2 FY '25 Earnings

Conference Call hosted by Batlivala & Karani Securities India Private Limited. As a reminder all participant lines will be in the listen -only mode and there will be no opportunity for you to ask questions until the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Hrishikesh Patole from Batlivala & Karani Securities India Private Limited. Thank you, and over to you, sir.

Hrishikesh Patole : Good morning. Good morning, everyone. On behalf of B&K Securities, I welcome you all to the Q2 FY '25 Earnings Conference Call of NATCO Pharma. Hope everyone is in good health and doing well.

On behalf of NATCO today, we have with us Mr. Rajeev Nannapaneni: , Director and CEO; Mr. Rajesh Chebiyam , Executive Vice President, Crop Health Sciences. I now hand over the call to Rajesh for the management's opening remarks, post which we'll open the session for Q&A. Over to you, sir.

Rajesh Chebiyam: Thank you, Hrishikesh. Good morning, and welcome, everyone, to NATCO's conference call discussing our earnings results for the second quarter of FY '25, which ended September 30, 2024.

The disclaimer. During this call, we may be making certain forward -looking statements or statements about future events and anything said on this call, which reflects our outlook for the future must be reviewed in conjunction with the risks that the company faces. I'd like to say that the material of the call except for the participant questions is the property of NATCO and cannot be recorded or rebroadcast without NATCO's expressed written permission.

I will begin with the results highlights and then followed by an interactive Q&A session. So I hope all of you have received our financials and the press release that was sent earlier out. It's also available on our website.

NATCO recorded consolidated total revenue of INR1,434.9 crores for the second quarter of FY '25 that ended on September 30, 2024, as against INR1,060.8 crores for the same period last year, reflecting a growth of 35.3%. The net profit for the period on a consolidated basis was INR676.5 million as against INR369 crores same period last year, showing a robust growth of about 82%.

The company has shown continued strong growth during the second quarter, primarily driven by export formulation business and its stable domestic pharma business. The Board of Directors has declared a second interim dividend of INR1.5 per equity share for FY '24, '25. The revenue split and details have also been communicated earlier.

So we'll pause here and take your questions. Thank you all.

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Moderator: Thank you. The first question is from the line of Ankit Minocha from Adezi Ventures Family Office. Please go ahead.

Ankit Minocha: Congratulations on a fantastic set of numbers. Just looking at Q3 for last year. I think Q3 for last year was sequentially a lot weaker versus Q2 of last year, but then much stronger Y -o-Y with over 50% top line growth. So from what you're saying on the ground currently, should we expect a similar trend for Q3 this year in terms of strong Y -o-Y growth?

Rajeev Nannapaneni: I mean, the quarter is still running. So it's very tough to judge. But most of our revenue in this quarter is a little bit less. So , I think we'll have some tail that's left for the December ending quarter. Again, I can't give you guidance on a number. But overall, we have said that will grow reasonably well and would grow by 20% compared to last year. We will stick to the same guidance. That's about it.

Moderator

r: The next question is from the line of Nirali Shah from Ashika Stock Broking.

Nirali Shah: Congratulation on great numbers. My first question is on Revlimid. So how is the market share for Revlimid evolved in the second quarter compared to first quarter. And as we had mentioned that we are expecting a ramp -up of almost capturing 1/3 of the market share by January. So are there any challenges that you are observing here or everything is going on smoothly?

Rajeev Nannapaneni: So far so good. I mean, things are reasonably well. I think we've done all right. at least for this financial year, we don't expect any challenges. Next year, we'll see. I think once we'll have more clarity maybe around March or April of next year, we'll speak to our partner and try to get more guidance on how things are going to be, and so far, so good.

Nirali Shah: Contribution from Revlimid in second quarter, is it higher than the first quarter or it's in the same line?

Rajeev Nannapaneni: We don't give guidance, it's likely in the same range .

Nirali Shah: Okay. And as you mentioned to the earlier participant about the volume that we have adjusted.

If you could give any percentage on how much of the volume has already been adjusted in the first half and how much is remaining?

Rajeev Nannapaneni: Generally, we don't do that. We don't give that much detail. I think most of it is done. Some tail is left. I think that's the position I am taking.

Nirali Shah: Okay. Okay. And my second question is, what's the progress on high -value product filings that will essentially be bridging the gap post -Revlimid? And also the IP, you can see that Tabrecta has come in as its sole FTF alongside Kyprolis and Jevtana in the shared FTF pipeline. So any color on the all of these 3?

Rajeev Nannapaneni: So I didn't understand the question, so I'll just paraphrase so that I got you correctly. So you're asking me what is the pipeline post -Revlimid? And the second question is you asked, you said something about another company, which product I couldn't catch, could you say that again, please?

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Nirali Shah: Yes. I'm saying post -Revlimid pipeline. So any update on the litigation portion or the filing portion? So we do the huge pipeline post -Revlimid. Any update on that? And if I can ask the second question post this one?

Rajeev Nannapaneni: I mean post -Revlimid, I think, obviously, the biggest one is Semaglutide. So, there are two formulations of Semaglutide, of which one formulation we have is already there in the public domain, and the second one is not settled yet. And the one that is settled, I think two strengths we have sole FTF and other strengths we have shared FTF.

The one that is not settled, we are sole FTF, so that's still under litigation. That's a big one and then in addition to that, another big one is Olaparib. So, this one, again, we're awaiting approval. And the trial is set, I think the trial date is set up in a year after from now or 1.5 years from now. I don't recollect the date, but that's about that.

Then we have some smaller filings like Carfilzomib 10-milligram, Bosentan 32 milligram. So, these are also expected in the next few years. So then maybe another large one where we have 100% of economics is Erdafitinib and Capmatinib. So those are at a very early stage right now. I think these are the major ones. Hopefully, in the next 1.5, 2 years, we expect to file 2, 3 very interesting products. So then, we have a good visibility for the next 8 to 10 years, at least we have 6 or 7 very interesting filings.

Nirali Shah: Understood. And the third that I wanted to ask was that in the IP, we are seeing there's 1 addition to the sole FTF and there's 2 additions to the shared FTF pipeline. I guess Tabrecta is the 1 for sole FTF and Kyprolis and Jevtana in the shared FTF pipeline. So any color on this based on the

time lines or general litigation, anything meaningful?

Rajeev Nannapaneni: No, I can't comment.

Moderator: The next question is from the line of Saumil Shah from Paras Investments.

Saumil Shah: Congrats on a very good set of numbers. Sir, last month, we had given a notification that Mylan and Novo have reached on a settlement for the Ozempic drug. So could you throw some light by when we can expect this product in India market and by when in U.S. market? When do we expect to get FDA approval? Any time lines or your views on the development?

Rajeev Nannapaneni: The launch date is confidential, so we can't answer that question. The review is ongoing with the U.S. FDA. So, at this time, I can't share any timelines. The last question, India launch, I think the compound expiry is in '26. So, if all goes well, we will get the regulatory approval. And I think, if we don't have any other challenges, I think we should be able to launch post '26.

Saumil Shah: Okay. So if no challenges, then by FY '27, we can expect?

Rajeev Nannapaneni: I think so. I think '26 earlier, is the patent expiry. I don't recollect so much but something like that. Assuming we get the regulatory and there are no other challenges, yes.

Saumil Shah: And sir, what is the market size currently for India market?

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Rajeev Nannapaneni: Obviously, right now, the supply from the innovator has been limited. So, we don't really know the true size of the market. Second, once the India generics come, the pricing also will be competitive. So, we're actually creating a new market.

So, I think it will be interesting. But there'll also be enough competition as well. So, I would like to be guarded in saying anything. But it will be a good product. We hope to be in the first phase. And as you know, we have filed it with the DCGI, so the review is ongoing. So, I think I'm

positive. Let's see how things go.

Saumil Shah: So as of now, we are the only ones who've got the approval for India market?

Rajeev Nannapaneni: Nobody got approval, my friend. Everybody has filed it in India. I mean, Reddy's has filed, I know Sun has filed, we have filed. These are some companies I named. I'm not naming everyone.

So, we should assume that most these guys will turn up on the first phase. but as I said, the market is interesting enough, so we'll have to see how things go.

Saumil Shah: Okay. Okay. And sir, how do you see our December quarter?

Moderator: Sorry to interrupt, Mr. Saumil Shah, may we request that you return to the question queue.

Rajeev Nannapaneni: Yes. I got the question. I'll answer it. yes, December quarter.

Saumil Shah: No, but last December, there were some tenders. Let me complete. So last December, we had 1 of revenue due to some tender in last quarter of -- I mean, December quarter. So can we expect any sort of tenders in this quarter?

Rajeev Nannapaneni: I can't answer that question directly. I think December quarter will be weaker than Q2, that much I can tell you and we have some tail that is left. That's the best I can answer. And I think the new guidance we have given that we'll do 20% better than last year.

Saumil Shah: 20% revenue growth, right?

Rajeev Nannapaneni: Profitability growth, PAT growth at the beginning of the year.

Moderator: The next question is from the line of Jash from Dalal & Broacha Stock Broking.

Jash: Sir, congratulations on the great set of numbers. Sir, the first question is the semaglutide for the partnered FTF. Now that we had settled with the innovator, what should be the rough time line for the launch? I'm not pinning you on any numbers. So -- I mean, is it in the next 1 to 3 years, 3 to 5 years or next beyond 5 years? Broader time line. I am not pinning you on any numbers.

Rajeev Nannapaneni: No, my friend, I can't answer that question. It's bound by confidentiality. Sorry.

Jash: Okay. Okay. No issue, sir. And sir, the second question on the sizable launches that we highlighted in the last quarter. I'm talking about Olaparib. So if I heard it correctly, we have already filed and we are waiting for the approval?

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Rajeev Nannapaneni: We have filed the product. Yes, that's correct. And just waiting for review. And then in the last call, we also said that it was filed from our Kothur site, and we moved to the site. We moved it to partner site, we moved it to Alembic site now because of the warning letter we have had. So that amendment also has been filed with the FDA. So hopefully if all goes well, I think, hopefully we will get approval sometime. And then the outcome of the litigation, I think these are two driving factors.

Jash: Okay. And sir, so on the -- so because this is the partner product, what should be the economics for the same?

Rajeev Nannapaneni: For Olaparib, you're saying?

Jash: Yes.

Rajeev Nannapaneni: Olaparib is 50-50 with Alembic.

Moderator: The next question is from the line of Kunal Randeria from Axis Capital.

Kunal Randeria: Rajeev, first 1 on semaglutide. So if you can share how many markets you would be targeting in 2026. Would it just be India? Would it also be Canada and some of the emerging markets? And then secondly, how do you intend to distribute this product because you do not have a sales force strength in a lot of these markets?

Rajeev Nannapaneni: I think the biggest opportunity we see for this product right now is in India and U.S. and Mylan has the rights for the regulated market. So, they'll open up and they actually opened up, I'm seeing some RoW opportunity, but not as much as like what other people are projecting.

I think for our business model that we have had, I think, U.S. is probably the biggest one. And I think second will be India and then maybe regulated market. I think this is the strategy that we have.

Kunal Randeria: But India, you may need to add field force for this? Or you want to partner with someone here?

Rajeev Nannapaneni: Sorry, could you say that question again, please?

Kunal Randeria: In India, do you have the field force to market this? Or do you have to partner with someone?

Rajeev Nannapaneni: I mean we have set it up and we have the setup, we have been covering cardio and endocrinologist for the last few years. The advantage is our own products. So, we're making it ourselves. So, we control a lot of the manufacturing aspect of it. How well we'll do and all, I mean, the market is going to be large enough. So, I think we should do well. I think there is a reasonable opportunity in the front end and the reasonable opportunity in third party as well. So hopefully, I think as long as we're in first wave and if we get it right, I think we should be good.

Kunal Randeria: Got it. Now my second question is on financial. Now so Rajeev, just on your financials. Now if I were to look at some of your international formulation revenue like India or API. So before we

launch Revlimid till date, they have not really grown. While a lot of expenses, like staff cost,

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SG&A has gone up like before. So I do understand that you have been investing for future growth.

But if I were to, for a moment, exclude Revlimid profits from your numbers, would it be fair to assume that the ex Revlimid business will not be making a lot of money for you on the bottom line?

Rajeev Nannapaneni: As you rightly said, the expenses are overstated because we're spending lot more on R&D. For example, this quarter, we spent just on R&D, bio-studies and exhibit batches, we spent almost INR100 crores, INR125 crores.

If Revlimid wasn't there, then I don't think we could have spent so much money on R&D, okay? So if you say we'll be able to do the same amount

of R&D if Revlimid was not there? Probably not. So I think you need to sort of balance the, what it's called, the expenses with respect to the income that we are generating. See, I think in terms of our future, we have a good pipeline. We're going to have years of volatility. I'm not going to come and tell you if a particular product falls off, then obviously, there will be an impact on the earnings.

But we always look for the long-term portfolio and we look at R&D ideas which we'll be rewarding. But in the near term, they don't reward. So, you're going to see volatility. I mean there's no way I can't avoid that situation. But you got to take a long-term view in our business. You will see ups and downs; I think that's how you're looking at it.

Kunal Randeria: No, fair comment. I mean my only point was, since you have the Revlimid cushion, you are spending a lot more. So -- but if I were to just for mathematical sake, exclude Revlimid profits, you would not be making too much money. That was my question, actually.

Rajeev Nannapaneni: I'll have a caveat to that. If you don't have a big product, then you can't spend on R&D also, so then the expenses also get reduced by that much. I mean you can't say that I'll spend like a lot of money, but I don't have a profit. You only spend if you make the money. Both are interlinked, right? So how does that work. That's how it is.

Moderator: The next question is from the line of Bino P from Elara Capital.

Bino P.: Rajeev, I have been just thinking ahead on generic revenue mix. Our revenues are mostly coming in 1Q and 4Q. So when I look forward to FY '26, next financial year, by 4Q the exclusivity will be gone. So practically, we will be -- our Revlimid revenues would be only in the first half or 1Q. So does that mean that FY '26 over FY '25, Revlimid would be slightly lower?

Rajeev Nannapaneni: I don't know, my friend. I have no idea because you also know that our market share will go to 1/3 of the whole market. So, I think that is one factor. What the price erosion next year is going to be is something that I can't judge. I don't have an answer to your question. I can only say, I think this year, we should do well, next year also we should do well. How well we'll do is I don't know. But overall, I would say that we will do well. '27, '28 is going to be a challenge because let us assume that the price erosion is more, again, we don't know how the future holds.

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But obviously, we have to build other pipeline. Hopefully, the other products will start coming in and other markets that we have invested in should open up and we will have the cash on books. So hopefully we will be able to do an acquisition, we can bring some accretive earnings. So, I think that's how we have to look at it.

Bino P.: Understood. So suppose we assume that there is no significant change in price erosion. Of course, you get some volume share increase that you get. Would that first half be big enough to compensate for the 2 legs of Revlimid assuming everything is still the same?

Rajeev Nannapaneni: As I said, I don't have an answer to that question. So, it's very tough to predict what the price erosion will be in the future, right? So, see, you're asking me questions, which are very hypothetical, which only time will tell. I think we'll see how things go.

Moderator: The next question is from the line of Hrishit Jhaveri from Pi Square Investments.

Hrishit Jhaveri: Congratulations for the good set of numbers. I had 2 questions. First, can you give a highlight of the new investment into the eGenesis, the biotech company? What's your plan here?

Rajeev Nannapaneni: I think you know, I think as our investors know, we do a lot of disruptive ideas which can reward very large if the ideas work I think that's always been a focus of the company.

We never think in terms of

f near term. we always think about long term. And I think all our ideas are 5 years, 7 years, 8 years away. But I think when they come big. I think among those ideas, this is one of the very interesting ideas that I saw. as you see this there, they have genetically modified a pig and looking at doing organ transplant primarily for kidney and liver. And so , they see a huge upside if this technology works.

As you know, there's a lot of shortage of organs for kidney and liver, and they're able to demonstrate that it can be safely done, I think the upside is tremendous. So , I think we like investing in disruptive ideas and interesting ideas. And the investment is part of that philosophy. So if it works, the investment is worth multi -fold of what we invested. If it doesn't work, it is what it is. So , I think the idea is always good for those large payoffs. And the idea in the balance sheet is that I have 10 ideas like this that work for the next 10 years. I think your next 10 years are sorted. I think the other person has asked me, what are your next big ideas? Plug in. Right now, we have Revlimid. In between we'll have Olaparib, then we have Semaglutide. Maybe in the next few years, we might have Ibrutinib, then we have Capmatinib and Erdafitinib, which are large ideas. And then we throw in a couple of new R&D areas like . eGenesis investment and so then you have a box of 10, 15 ideas. So even if you're able to pull off 6 or 7 ideas in the next 8 to 10 years, I think you have done a great job. But again, what I say has a high amount of risk. At the same time, the payoffs are very large. Two, there's a lot of volatility because you're going to have a year, then none of these ideas are coming through, then you're going to have some different earnings. But you got to live with it. But if we take a long -term view on these ideas, if they work, we have consistently delivered over

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the last few years. And as you are aware, we delivered, for example, Copaxone or Tamiflu in the past, which have added very trusting sort of earnings. So , I think we can only discuss what we are doing. And as I said there's always an element of volatility.

Hrishit Jhaveri: Understood, sir. And the second question, do we plan any major M&A coming here in the next year. We have a lot of cash on our books.

Rajeev Nannapaneni: Absolutely, we can. I'm just looking for the right idea. I think we are very comfortable right now just spending money on R&D and these sort of start -up ideas. , in addition to that, we also invested in a CAR -T company in based out of Delhi as well.

So I mean, these are the flavors of things that we're doing, yes. Coming back to what you said, we're always looking. I mean we have enough cash on books, and so I think we are accruing more cash. So as of end of September, I think we have about INR2,600 crores of cash. And let's see how things go, yes. So I think it will only increase as the year -end.

Moderator: The next question is from the line of Abdulkader Puranwala from ICICI Securities.

Abdulkader Puranwala : I just wanted to understand the performance of your subsidiaries for this particular quarter. I'm referring to your Brazil and Canadian facilities.

Rajeev Nannapaneni: All the subs together have done INR120 crores of our top line.

Abdulkader Puranwala : Okay. And how would be this against last year same quarter?

Rajeev Nannapaneni: Let me just check. I don't have that number, my friend. Things will be stable, that's all I can say.

Moderator: The next question is from the line of Saumil Shah: from Paras Investments.

Saumil Shah: Sir, would you not like to revise our guidance? We are guiding for 20% PAT growth. And on TTM basis, we are already at 40% PAT growth. So does this mean that kind of this is going to be a degrowth compared to the second half of previous year?

Rajeev

Nannapaneni: No, I think I've been conservative. I think we should do better as the guidance I gave early part of the year, we have done much better than we thought. I'll have more clarity on how the earnings are going to be maybe when our December numbers are there.

So, I don't want to comment right now. I think once we have more clarity on this, sure we will comment. Give me some time on that. But you're right, I think we are going to probably do better than what we have guided.

Saumil Shah: Okay. And sir, we have no filing...

Rajeev Nannapaneni: how much better I'll tell you in the next quarter.

Saumil Shah: Next quarter? Okay. Okay. You are doing a good job. Sir, we have a new filing in this quarter. Sir, the Tabrecta. So , can you please throw some light? You have indicated in your filing that

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we are eligible for 180 days of sole marketing at the time of launch. So, what do you mean by

that? And by when we can expect this launch? Any approximate guesswork?

Rajeev Nannapaneni: Again, the litigation outcome is going to drive it. I think product is about INR110 million, INR120 million. I don't collect the exact sale. And it is sole FTF, and this is going to be marketed by our entity in the U.S. So we get to keep 100% economics. So that's what makes it very interesting. And when the market open up and all, it all depends on the litigation clarity. I think it's too early stage at this point. I'll come back on that.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal: Rajeev, in the past, you talked about looking to scale up your emerging market business. So 2 things, I mean, what are your thoughts on maybe some of the portfolio products that you have for the U.S. right now filings. I mean, which of these -- do you see an opportunity for some of these and all of these products in these other non -U.S. markets? And what other strategies do you have in mind for growing this part of the business?

Rajeev Nannapaneni: Actually, that's the idea in whatever you do and develop in the U.S. market, we're extending to other markets. So for example, we did Olaparib and then we are extending that to Brazil and Canada, for example and other ROW markets. So I think that's how the strategy works because whatever R&D money you spend, you extend it to as many countries as possible.

So I think we're doing filings of these very good products that we have in multiple markets. The strategy is that you should file in at least 7 to 8 good countries and then somewhere -- we'll hit a jackpot somewhere.

Our core areas that we're focusing on in addition to India, U.S., Canada and Brazil, I think we're doing a lot of work in Middle East now, especially Saudi, we have a partner in Boston Oncology and we have our own subs now in Philippines and in Indonesia. So we are looking to extend it there as well. So I think this is where we see a lot of potential. And we've also done some filings in China as well. So these are other markets that we are focusing on. But again, these are all partnered out. So I think there is a lot of potential, absolutely.

Nitin Agarwal: And do you have any numbers in mind for how large you see this business probably becoming this non -U.S. business over a period of time, maybe 3 to 5 years?

Rajeev Nannapaneni: I don't have a number in mind at this time. But I think we are organically trying to build these businesses. But I think we're looking at an acquisition in these markets. At this time, we are looking at a couple of acquisitions in the R oW business. So, it will be in combination with filing and an acquisition, we believe that these businesses should grow.

Nitin Agarwal: Okay. And lastly, on the crop protection . Any color you throw on that?

Rajeev Nannapaneni: It's been a little disappointing. I think the sales -- we have done well overall,

because last year

was the first full year of operations with our core portfolio, we saw a little bit of returns around.

We had to adjust for the returns. That's the reason why the sale was on the lower side. But I think

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we have launched 2, 3 new products which are unique. So , I think we expect that the business should do well. We're hoping that this business will break even starting from '26 March, and '27 March is our target of profitability.

See, a lot of these businesses that we're building, you will have cash flow in the near term. But I think eventually, with time, as we were just speaking about a few minutes ago, I think once these businesses start to make money as the base business become s stronger. So , I think what we're doing is using this opportunity that we have to build these businesses from scratch and secular and then also spend money on R&D so that we can improve our pipeline for the future.

Moderator: The next question is from the line of Abhishek from Oaklane Capital.

Abhishek: So first of all, congratulations on the great quarter. I just want to ask 1 question about the operating margins. So I am seeing that the operating margin has increased to 60% in the last 2 quarters. So do you think these margins are sustainable in the future?

Rajeev Nannapaneni: I answered that question a few minutes ago, but I'll just repeat the answer. I think it all depends on our portfolio and the pricing. If the pricing is good, and we have a good product, it will work.

And I think we said that this year should be fine, '26 a Iso should be fine. But what the future holds, we don't know. It all depends on how the market formation is and what the erosion is. So you could see a dip, but it's the nature of the beast.

Abhishek: Okay. Then what average margin we can expect in this year and the next year?

Rajeev Nannapaneni: No, it will maintain the same margin that we have, I think with this year and next year.

Abhishek: 60%, right?

Rajeev Nannapaneni: Yes. Whatever we have right now, we'll maintain. But I think what future holds again, it all depends on what products we have at that time, what is the nature of the portfolio, what's the nature of the price erosion and all that stuff. So, to answer your question, for now I say, yes, I think things will do well. But again, what the future holds is all contingent on the pipeline and

on the price erosion.

Moderator: The next question is from the line of Rohit from iThought PMS.

Rohit: Sir, just you mentioned to a previous participant in terms of the way you think about the business taking sort of these sort of moonshots and some of them in place payout. So I'm just -- in that context, I wanted to get your sense on some of the NCEs that we have and anything -- any update on the 2694 NRC that we have? Also, if you can share, actually, it was in Phase II trial. So if you can answer these 2 questions.

I mean for the broader context, I mean, do you see your NCE portfolio as like a part of that overall like the moonshot that you're talking about? And do you consider that or it's just too early to say? And specifically on the MCL?

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Rajeev Nannapaneni: Yes, certainly. I mean, this is another moonshot. It's just like our eGenesis investment. I think NRC -2694, there's a clinical trial going on. We're doing the trial in the U.S. at this time. It is for a particular late-stage head and neck cancer indication. It's an early stage. That's why we're not talking much about it.

I think we'll give an update as things go along. It comes back to the same point that I made a few minutes ago. I think our generic filings are -- moonshot is a little harsh word, I would believe. I think there's some method to the madness. It is not moonshot.

But as I said, I mean you have 2, 3 ideas in drug discovery

, and then you have 5, 6 ideas with

your para IV's and then you have 2, 3 ideas in oligos. Between all these 10 ideas, you don't want to be wrong about every product every time, right? You want to get something right.

And I think the idea here is that you build up all these 10 to 15 businesses -- sorry, 10 to 15 products and then even if you get 7 or 8 right over a period of decade, I think you've done a great job. If you look at our profitability, I mean, I can be a little modest in telling that our margins and our profitability is definitely the top 10 pharma companies in India. But again, what you need to live with as an investor is probably the volatility. I think the challenge that we face in our business is that we are not consistent.

I mean we'll have 3, 4 good years and we'll have 2 years of dip, and again then we'll have to 3 good years again but I think that's the nature of the risk that we take. I think hopefully, we build enough of the pipeline with the R&D that we have that we're able to deliver more consistently. I mean that's what we're trying to do. In my personal view, I guess, this is a very a minority view, but this is my personal view that me-to-commodity generic business, it's not going to make money. And the model that we are doing as Indian pharma, where you have everybody filing everything and covering every geography, to expect earnings growth on that portfolio is extremely difficult.

And I believe that unless you pursue what we are pursuing, and obviously, we can do it at different degrees of what we call depth on how you allocate your capital. I don't think we'll ever have earnings. I think if you look at most Indian pharma today, we remove the jackpots, those 2, 3 jackpots or whatever, the earnings growth is minimal.

There's no impact to earnings growth. In fact, it's degrowth. And that's the nature of the industry because the industry is very competitive to nobody has debt. So, everybody is very aggressive, and everybody makes cash flows. I mean, there's very little margin left. So, this is the structure of the business, and I believe that it's the only way the future grows. Did I answer your question exactly?

Rohit: No, no, it does. I mean, I hear what you said. And I mean, of course, you would much better than any of us here. So, I respect your view. I think, sir, just a point on our volatility, I think, I mean, others also fall, but I think given their portfolio and given their breadth of the portfolio, I think the fall is still kind of arrested. And I think that's where we are sort of found wanting, at this stage of our evolution. So I mean that is probably what we all are sort of asking in different ways. So yes, I mean, that's it.

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Rajeev Nannapaneni: Again, you don't want to avoid the elephant in the room. I mean I can't come and say, I should have this much based business and all, you can't create a business that you don't have. You know what I mean, it takes time and it has its own journey.

From the size of the firm that we have grown, we have on the size that we have because of the

disruptions that we've done. And so it is what it is. I mean, hopefully, I think over a period of time, with the cash that we have and with the R&D spend that we'll have, we'll be able to bring that a little more stability. But again, it comes back to the original point, we'll not have growth unless we do disruptive products. But again, I'll reemphasize again. If you remove the big products, the niche products, there's no growth in the business. I think that's the nature of the industry.

Rohit: Sure. Maybe can I sneak in 1 more question. I don't know if you -- can I sneak in 1 more question?

Rajeev Nannapaneni: Yes, please conclude.

Rohit: I mean just on this point on your base profitability. I mean, would you want to sort of share what is that base profitability

today? I know you mentioned that like we are investing a lot. But I'm sure you are also looking at like, I mean, instead of the investment that we are doing in R&D. If we are to look at ex Revlimid or however you want to put it, what's your base profitability today? I mean you would on sort of share anything on that? And how do you see this...

Rajeev Nannapaneni: I can't answer that question because you're asking me what the earnings are going to be 2 years, 3 years down the line. I have no idea. I mean it all depends on what products you have.

I think the whole base profitability concept, you need to remove. I think that it's a wrong notion that people have. You are as good as what products you have. And what product you have that year is what sort of drive your earnings and every year, you need to come up with something new. There's nothing like it's not a cement or steel business that you'll have certain output that you'll get and this business is constant innovation. You need to have new products because whatever you have right now will just vanish.

If you just look at your own balance sheet, I mean, I can challenge you on any balance sheet. If you look at your own core portfolio, whatever you have on your base goes away 30%, 40% of it goes away in 5 years. So just if you ask me, I don't think it's the correct question. I think you need to judge a person on the pipeline, not on the base. Base means nothing. Base erode continuously, especially in the export business. It's brutal. It just erodes away. We just have to keep coming up with new ones.

Moderator: The next question is from the line of Ankit Gupta from Bamboo Capital.

Ankit Gupta: Congratulations for a good set of numbers. So my question was on the sema, Ozempic and Wegovy. So are we done with all the litigations on the Ozempic side for both -- in all device as well as API?

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Rajeev Nannapaneni: I think 1 product we are done with all the litigations. Other products we're not. So one we have settled, one we have not.

Ankit Gupta: But Ozempic is all settled for both API as well as device?

Rajeev Nannapaneni: I think one product we are settled and one we are not settled.

Ankit Gupta: Okay. Okay. Okay. So I think most likely diabetes would be settled is what I can assume?

Rajeev Nannapaneni: I think diabetes is settled. I think the weight -loss is not settled, yes.

Ankit Gupta: Sure. And any time lines for that?

Rajeev Nannapaneni: No, my friend. We can't answer that question.

Moderator: The next question is from the line of Bhagwat from Prosperity Wealth Management Private Limited. Please go ahead.

Bhagwat: Congrats for the very good quarter results. Sir, you mentioned about the EBITDA margin to the previous participant. In fact, my question was on the revenue. So if possible, could you please guide us for revenue growth, say, for the midterm next 2 to 3 years?

Rajeev Nannapaneni: Next 2?

Bhagwat: 2 to 3 years in the midterm?

Rajeev Nannapaneni: I can't think so far, my friend. There are so many moving parts, we can't make that judgment. I'll tell you for next quarter, I can tell you for this year. And maybe in the end of the year, when the year starts with the following year, I think we'll tell you about the following year. I will not give guidance. Sorry.

Moderator: The next question is from the line of Manthan Rastogi from Alpha Wealth.

Manthan Rastogi: My question is what we are doing on our growing our domestic business because it has been on a base line for a couple of quarters now.

Rajeev Nannapaneni: I think it's been stable. Unfortunately, we've not grown. I think we have a good pipeline coming up in the next 12 months. We have a lot of 3, 4 big launches. And obviously, Semaglutide is one of the biggest launch we have. So, I think my expectation is that Semaglutide should really jump start this

business. That's probably the biggest launch we have.

But we also have some smaller launches. So, if you take a 2 - to 3-year perspective, I think the business should do well. We expect the business to compound at 15%, 20%. I know the numbers look flat right now. But I think we take a patient, I think, in 2, 3 years, again, it comes back to what I was saying. It's all about our pipeline. You will only get growth if you have a good product.

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If you don't have a product launch, there's no growth in the business. And it's true in domestic also and it's true for export market. So that's how it works. Without pipeline, you have nothing. And you need to have pipeline where you're backward integrated doing your own manufacturing, only then you have margin. Otherwise, there is no margin also.

So, I think the key here is that we need good pipeline, which allows you to sustain growth, and which I believe we have. Just that you just have to wait until it actually comes. So that's a patient scale you had to play.

Manthan Rastogi: Right. Got it. Just one more question. Are you facing any issues from Canada subsidiary with India, Canada?

Rajeev Nannapaneni: Because of the diplomatic issues?

Manthan Rastogi: Yes, diplomatic issue, yes.

Rajeev Nannapaneni: No, not at this time.

Moderator: The next question is from the line of Rajesh Jain from RK Capital.

Rajesh Jain: I have 2 questions. So the first question is like, what could be the impact of the biopharma on NATCO Pharma business in your assessment?

Rajeev Nannapaneni: As of now, no. Because the biopharma portfolio is not there. We don't have biopharma portfolio on our products. So I don't see much impact. But again, it's more now Trump has come. So, we have to see how and what disruption that will cause in the generic business, we don't know. So we have to be cautious about what's going to happen.

But as of now, specific to that act, no. But what the future holds, I don't know. We'll see how things play out.

Rajesh Jain: Okay. The second question is, how is your agro business doing? And what is the outlook for FY '26 specifically on the agro side?

Rajeev Nannapaneni: I think we believe right now it's doing okay. We're still losing money. If you take us all the one time write-off and all that, I think we're losing about INR40 crores, INR50 crores a year. I think the objective first is that by '26 March, we want to break even. I think that is the internal objective that we have given in the group. So we expect that it will break even I think. So to answer your question, yes, I think '26 March is our target that we should break even in that business.

Moderator: The next question is from the line of Ankit Minocha for Adezi Ventures Family Office.

Ankit Minocha: So you were talking to a previous participant about maintenance of the margin in FY '26 as well. Are you assuming any pricing erosion in Revlimid when you say that? Or it depends on the pricing erosion as you're able to maintain that?

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Rajeev Nannapaneni: I don't know what the answer to that question is. What I said is that we have nearly 1/3 share, and we'll see how the erosion is. Overall, we are expecting that we should do all right. But again, we'll have clarity next year post March earnings, I think we'll have clarity on how the following year is going to be. But yes, we'll see how things move. It's very hard to judge the market. It's all linked with the market erosion, which is not in our control and hard to judge.

Ankit Minocha: Sure. Sure. And secondly, just a general understanding about the industry, the generic industry in the U.S. I mean last year was good in terms of the pricing environment. But are we seeing any acceleration of pricing erosion in the U.S. market is now starting to come in this year? Or do

you feel the pricing environment is still pretty stable?

Rajeev Nannapaneni: Overall, the business, I think you have a good portfolio and breadth of portfolio, you do reasonably well. I think that's one. The second thing is you need to have good pipelines, which are first wave generics, which gives you a good amount of profitability. I think these are the 2 ways that you actually make money in this business. But I think your new pipeline is what drives the profitability. Without that, I don't think you have that push in the audience. So these 2 things are required. I think that's how it works.

Moderator: The next question is from the line of Jash from Dalal & Broacha Stock Broking.

Jash: So just a broader question. By FY '26, we will have about \$400 million, \$500 million of cash potentially. So what is the potential size of the acquisition we're looking? Any broad color?

Rajeev Nannapaneni : Good question. I don't know. We're looking at different levels of transactions. I mean, if the size is bigger, then we can use the cash and give you the combination and maybe debt and then maybe some equity too. It all depends.

I mean, we're looking at one transaction, which is about \$3 million transaction, we are looking at one transaction which is about \$5 million, \$6 million. So I mean, you get different types of transactions. But what you consummate in the end it all depends on if we're able to take you on the price and the diligence goes well.

So we're open to any size of transaction. But I think if you want to range, this is the range. But again, we have not closed anything, so it's very difficult to say that this is going to happen. So it's very hard to judge. But looking at different kinds of transactions because of the cash that we have, allows us more flexibility to do something large. That is clear.

Jash: Okay. And anything on the table right now?

Rajeev Nannapaneni: Sorry, say that again?

Jash: Anything on the table right now?

Rajeev Nannapaneni: We're looking at different transaction. I mean we're not closing anything at this time.

Moderator: The next question is from the line of Rahul Chaudhari, an Individual Investor.

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Rahul Chaudhari: Sir, just picking up on the last caller. So when you said 300 million, you mean USD 300 million range?

Rajeev Nannapaneni: Yes.

Rahul Chaudhari: That's good. Great. Sir, I was just comparing how we did the Revlimid, the deal. Is it fair to assume that the Ozempic and Wigovy in U.S. is losing exclusivity in 2031? As of now, the information is public domain.

Rajeev Nannapaneni: There are multiple patents. I think there's some patents in '31, there are some in '33 and some in '35. I don't recollect the dates, yes. But there are over a period of time.

Rahul Chaudhari: Okay. So we can't do an educated guess and say like in 4 years, how we did in Revlimid, this should also start doing all right, sir. Okay.

Rajeev Nannapaneni: I'll take one last question.

Moderator: We take the next question from the line of Ankit Gupta from Bamboo Capital.

Ankit Gupta: Sir, my question was again on the Ozempic side. Like I think because of the device enrollment, if there is any different in the device with respect to innovators, we might have to carry on human factor study. So do you see any risk in that because it's a big product and a lot of supply constraints are there, and then they are big products. So I just wanted to ask, is there any human factor study, any risk in human factor studies, if there is any differences?

Rajeev Nannapaneni: I can't discuss about the regulatory review questions and all that.

Ankit Gupta: But as of now, you're confident of launching?

Rajeev Nannapaneni: I can say that we'll do what it takes to get it approved. I think our partner Mylan is handling the regulatory assets of this. And whatever it takes to get this approved.

Ankit Gupta: Okay. And you remain confident?

Rajeev Nannapaneni: Yes. We address the right partner, and they have bought a lot of complex endings approved. And I think we are in good hands, and I think we will get it done, yes. Can we conclude, please? Thank you.

Moderator: Sure. Would you like to add any closing remarks?

Rajeev Nannapaneni: No, nothing. Thanks for your interest, and thanks for the call.

Hrishikesh Patole : Yes. Thank you all. Again, the transcripts, once it's available, will be uploaded to the website.

Thank you all and have a good day.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Batlivala & Karani Securities India Private Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

19th February, 2025

Corporate Relationship Department Manager – Listing
M/s. BSE Ltd. M/s. National Stock Exchange of India Ltd
Dalal Street, Fort "Exchange Plaza", Bandra – Kurla Complex
Mumbai 400 001 Bandra (E) Mumbai 400 051
Scrip Code: 524816 Scrip Code: NATCOPHARM
Dear Sir

Sub: - Transcript of earnings conference call held on February 13, 2025

Ref:- Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements),
Regulations, 2015

We are herewith enclosing copy of the transcript of the Company's earnings conference call for Q 3 FY25 held on February 13, 2025 . The transcript is also available in the website of the company i.e., www.natcopharma.co.in.

Thanking you

Yours faithfully

For NATCO Pharma Limited

Ch. Venkat Ramesh
Company Secretary &
Compliance Officer

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"Natco Pharma Limited Q3 & 9 Months FY25 Earnings
Conference Call"

February 13, 2025

MANAGEMENT : MR. RAJEEV NANNAPANENI – VICE-CHAIRMAN AND
CHIEF EXECUTIVE OFFICER – NATCO PHARMA
LIMITED

MR. RAJESH CHEBIYAM – EXECUTIVE VICE
PRESIDENT - CROP HEALTH SCIENCES – NATCO
PHARMA LIMITED

Natco Pharma Limited
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MODERATOR : MR. HRISHIKESH PATOLE – BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

Natco Pharma Limited
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Moderator : Ladies and gentlemen , good day, and welcome to the Natco Pharma Q 3 and 9 Months FY '25 Earnings Conference Call hosted by Batlivala & Karani Securities India Private Limited.

As a reminder , all participant lines will be in listen -only mode and there will be no opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Hrishikesh Patole from Batlivala & Karani Securities

India Private Limited. Thank you, and over to you, sir.

Hrishikesh Patole: Thank you. Good morning , everyone. On behalf of B &K Securities, I welcome you all to the Q3 FY '25 Earnings Conference Call of Natco Pharma. Hope everyone is in good health and doing well.

On behalf of Natco today, we have with us , Mr. Rajeev Nannapaneni, Vice -Chairman and CEO; Mr. Rajesh Chebiyam, Executive Vice President, Crop Health Sciences.

I now hand over the call to Rajesh for the management's opening remarks, post which we will open the session for Q&A. Over to you, sir.

Rajesh Chebiyam: Yes, thank you, Hrishikesh . Good morning , and welcome everyone to Natco's conference call, discussing our earnings results for the 3rd Quarter of FY '25 which ended December 31st, 2024.

During the call, we may be making certain forward -looking statements or statements about future events. And anything said on this call which reflects our outlook for the future must be reviewed in conjunction with the risks that the company faces. I would like to state that the material of the call except for the participant questions is the property of Natco and cannot be recorded or rebroadcast without Natco's expressed written permission.

So, we will begin with the results highlight and then interactive QA session. I hope all of you have received the press release and financials, which was sent yesterday. These are also available on our website.

Natco recorded consolidated total revenue of Rs 651.1 crore for the 3rd Quarter of FY '25 that ended 31st December 2024 as against Rs 795.6 crores for the same period last year. Net profit for the period on a consolidated basis was Rs 132.4 crores as against Rs 212.7 crores same period last year.

During the quarter, the contribution from the export formulation business was lower. However, the company expects healthy growth of business in the ensuing quarter.

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Thank you all. The results are all communicated. Now we will take the Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. Anyone who wishes to ask a question may press "*" and "1" on their touchtone telephone. If you wish to remove yourself from the question queue, you may press "*" and "2". Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Saumil Shah from Paras Investments . Please go ahead.

Saumil Shah: Hi, sir. Good morning. Sir, we have this other income of 76 crores in this quarter. So , what is that for? And if this was not there, we would have ended up doing a loss in this quarter.

Rajeev Nannapaneni: No. Other income is primarily coming from interest income from the deposit that we have and then we had a one -time gain from the sale of land which is announced earlier. So, we had a 90 crore s onetime gain, pre-tax.

Saumil Shah: From sale of land, 90 crores.

Rajeev Nannapaneni: We had a pre-tax

gain, yes. So , the other income primarily consists of the rest of the stuff is part of the business. 90 crore came from the sale of land. From 90 crore gain, the pre-tax gain is what we have from sale of land.

Saumil Shah: Okay. And why , I mean , the performance for this quarter was so weak , this time ?

Rajeev Nannapaneni: We had practically no development. So , I think completely there is no development this quarter. I think that's one of the biggest reasons why there is a weakness in the quarter , we also had a lot of R&D expenses, which were continuing from the previous quarter.

So, I think that's the reason why there is a substantial R&D expense that is there in the books. A lot of these projects that you start, you can't stop and based on your cash flow, there will be a mismatch between your cash flow and the actual expenses. That's the reason why it's a little weak.

It's a soft quarter . I mean, there is no two ways about it. But again, we will get a new allocation next year. I think, as you are aware, we will get almost one -third allocation of the total market as per our settlement and that will start kicking in the next quarter. I think we are confident that we will do very well in the coming quarters. But this is an exceptional quarter.

Saumil Shah: Correct. And so for this current quarter, can we expect , I mean, it would be better than the fourth quarter of the previous year or this fourth quarter of March?

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Rajeev Nannapaneni: It all depends on , as I said, we have been allocated nearly one -third quantity . So, it's all how it's distributed. But yes, I think I am confident that we should do that.

Saumil Shah: Better than the fourth quarter of previous year.

Rajeev Nannapaneni: I don't want to say that. Let the numbers come , we will see . I think it all depends on how much we stock and sell. But I can tell you the next few quarters will be good.

Saumil Shah: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Arun Malhotra from CapGrow Capital . Please go ahead.

Arun Malhotra: Yes, thanks for taking the question. A couple of things. One is Revlimid, can you throw some light on volume, market share currently we have ?

Rajeev Nannapaneni: Right now, we don't have any quantity, my friend. That's why there is no sale in the last quarter . So, we will get one third for next year. That's as per the settlement.

Arun Malhotra: And that will start from the next quarter itself.

Rajeev Nannapaneni: Yes, this quarter, March.

Arun Malhotra: This quarter, yes, sorry. And second, can you also throw some light on the settlement, especially on the GLP -1 opportunity? I know we are tied up with Mylan and we have settled with N ovo.

But what is the total opportunity size for us and where are we? Is there any potential launch possible in 2026 in India?

Rajeev Nannapaneni: I think the settlement date is confidential. It cannot be disclosed. It will happen. I mean, we can't talk about the launch, but it is not going to happen now, that's for sure. I think when it goes closer to the launch, we will speak about it. The opportunity, I mean, we have settled one product. We didn't settle the other product. Ozempic , we have settled. I think t he diabetes one, we have settled. The weight loss, we have not settled. So, one settled. The opportunity, I mean, I think , you know , that opportunity, it is a pretty good opportunity. I don't want to start putting numbers and all. I think it 's a pretty good opportunity for the company. I will limit myself at this.

Arun Malhotra: Sure. What I failed to understand was, can there be a potential launch between U.S. and India? Can it be on two different dates? Because patent expires in 31, 32.

Rajeev Nannapaneni: The India launch, as you are aware, my friend, I think subject to regulatory clearances and other iss

ues, March 26 is the India launch . So, I think India launch will happen next year, subject to regulatory approval and any other issues to be resolved . So, U.S. launch is a date which is, it 's a

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confidential date. I can't answer that question directly. But yes, a s I said, I think in the near term, we will look forward for the India launch.

Arun Malhotra: Sure. And just to confirm, we will have the first six months exclusivity in this .

Rajeev Nannapaneni: It will not be determined right now. We have a First-to-File. It will be determined at a later time. Not at this time.

Arun Malhotra: Okay. And also, one more product you have highlighted in this quarter is Risdiplam , which is a \$3 billion and growing at a much higher rate. Could you also throw some light on where we are in that and when do we get .

Rajeev Nannapaneni: We are First-to-File on that, and I think we have shared FTF. I think there are two filers on day one. So, I think this we are, working with Sun Pharma on this one . So, it's a shared profit on this one. Litigation is just early -stage at this time.

Arun Malhotra: Sure. And also, the cash lying on the books, potential use of it , you have been mentioning about the acquisitions in the past. But any headway there, any leads or any comments you would like to make ?

Rajeev Nannapaneni: We are working on it. As of now, as of December 31st, we have 3,264 crores of cash and shares of liquidity investments and we have about 241 crores of debt . So, net cash would be about 3,000 odd.

Arun Malhotra: And any leads on...

Rajeev Nannapaneni: Regarding the use of it, we are looking at acquisition. As of now, it's just lying as cash.

Arun Malhotra: All right. Thank you.

Moderator: Thank you. The next question is from the line of Chetan Dhosi from Tulsi Capital. Please go ahead.

Chetan Dhosi: Yes, good morning, Raj eev. One question is that we are cash surplus. How come there is this finance cost coming every quarter? And last time the guidance given for the current quarter was somewhat similar to the performance, what w e will be doing in '23 December. But this is where we, you know, where we not...

Rajeev Nannapaneni: Yes, I will answer both of your questions. Your first question is the guidance, and the second question is the other one. What is the other one?

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Chetan Dhosi: The other one is finance question. See, when we are cash surplus , how come the finance cost is there every quarter?

Rajeev Nannapaneni: Yes, I will answer both questions one at a time. First is we thought that there will be some quantity in December. Most of the quantity was sold off in September. I just said for the chargeback, we didn't have any money this quarter since we had no sale. But we did better last quarter, so I think that's what happened. We can make an estimate. We thought it would be weak, but we didn't think it would be this weak. But it is what it is.

Chetan Dhosi: Sorry to interrupt, Rajeev, but con call was in the month after the results of September. And that time you only told that, yes, some sale will come in this quarter, so we will definitely do better than the December '23 quarter.

Rajeev Nannapaneni: That's what I thought. I understand, but after hearing from our partner, they said that we had a charge back and all the quantity was sold.

Chetan Dhosi: Sorry to interrupt, but there is no backup plan from the company that suppose this product doesn't come in, then the other product has to be concentrated.

Rajeev Nannapaneni: You can't do backup plans, my friend. See, I think that question is wrong. I think we are here to state what the present financial position is. You can't have backup plans for revenue. You have what you have. And what you don't have, you don't have. I don't think that question is right.

What you have is what you have. What you book is what you book. What you don't have, you just say that you don't have. That's how business works.

Chetan Dhosi: This Crop Health Sciences ...

Rajeev Nannapaneni: My friend, I will not answer that question the way you, I don't like the way you are asking that question. It is what you have sold, you sold. And what you don't have, you don't have. You have to accept it. That's it. Next caller, please.

Moderator: Thank you. The next question is from the line of Viraj Mahadevia from Money Grow India. Please go ahead.

Viraj Mahadevia: Hi, Rajeev and Rajesh . Very quick question . Just for clarification, just so I understand the Revlimid sales. You mentioned, Rajeev, that in December quarter, you had used up your quota . So, does that mean you had some kind of sales in the early part of the year based on the allocation for the calendar year?

Rajeev Nannapaneni: Basically, all the allocation that we have had, we have sold it off by September end. And we didn't have any further allocation. I think all of it was sold and there was nothing left.

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Viraj Mahadevia: Understood. And this year, you will get a fresh allocation, which is a higher number, for my understanding?

Rajeev Nannapaneni: Yes, it will be about one third .

Viraj Mahadevia: Understood. And will this year be more evenly spread through the year or you can't comment on that?

Rajeev Nannapaneni: I don't want to answer that question. It's such a tricky question because what they sell is what they sell, right? So , we will recognize income based on what we get and you have to live with the volatility. That's the nature of the business.

Viraj Mahadevia: Understood. No, no, absolutely.

Rajeev Nannapaneni: That's how it works.

Viraj Mahadevia: No, I fully appreciate that. I understand.

Rajeev Nannapaneni: Okay. Next question. Yes.

Viraj Mahadevia: Thank you.

Moderator: Thank you. The next question is from the line of Darshil from Finterest Capital . Please go ahead.

Darshil: Hi, thank you. My question is already answered . Thank you so much.

Moderator: Thank you. The next question is from the line of Raghav from Rachita Pharma . Please go ahead.

Raghav: So, what will Quarter 4 be, sir? Like how we can expect the results for Quarter 4 ?

Rajeev Nannapaneni: As I said, we will get one -third allocation of the total market and I think some portion will be sold in Q1. I think we will have clarity from Teva , we will discuss this after when we get the Q4 numbers . At this time, I don't want to predict how much.

Raghav: Recently, you have got another two approvals on ANDA .

Rajeev Nannapaneni: Yes, we had two more approvals, yes. We had approval on Everolimus.

Raghav: You have two more approvals, sir. One with Lupin and one with your marketing partner with Lupin and one with some other company.

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Rajeev Nannapaneni: Yes. This Everolimus product, TFOS got launched and Bosentan the launch date is not announced yet. We will announce close at the time of the launch. It's bound by confidentiality.

Everolimus got launched. I think there are two generics on that product.

Raghav: So that will start from Quarter 4 or quarter 1 of next year?

Rajeev Nannapaneni: No, it launched this quarter. You will see the benefit of that launch in Q4 of this year.

Raghav: Okay, sir. Thank you.

Moderator: Thank you. Ladies and gentlemen, you may press "*" and "1" to ask a question. The next question is from the line of Gagan from ASK Investment Managers. Please go ahead.

Gagan: Yes, good morning. Yes, my first question is, Rajeev, you indicated that the R&D expenditure this quarter is elevated from your steady state or normal run rate. Can you enumerate, I mean, to whatever degree possible, you know, what would be, a

percentage of sales, a normal R&D

run rate and what has been the case in Q3?

Rajeev Nannapaneni: Basically, what happens is, see, we are spending probably about 8 to 10% of our revenue as R&D. So, when your quarter is soft, basically happens, the expenditure that you start doesn't stop, isn't it? Basically, what you are doing, you are making, let's say, a certain amount of surplus. So, based on that surplus, you say that I am going to spend this much money. But because the quarter is soft, basically, what happens is the expenditure seems large relative to the revenue of that particular quarter. But you don't stop spending something just because you are going to have a soft quarter, right? I think that's the reason why you have a mismatch on the earnings. And then you have that dip, but typically, it's about 7% to 8% of our net sales.

Gagan: Okay. Right. And how should we think of, you know, your India business and the EM? You know, perhaps if one takes a three-year view, how are you strategizing for these pieces?

Rajeev Nannapaneni: I think we have some good launches. I think one big launch, as we have spoken about, Semaglutide. Semaglutide is a very big launch. So, we are expecting that it should do well, subject to regulatory approval and clearance. Another launch, which is a very interesting launch, is Risdiplam. In India, we have litigated in Delhi High Court. The judge has reserved the matter and hopefully, if we have a positive verdict, we can launch that as well.

So, I think that's the product that we are looking at. We are hoping that we will be the first generic. So, I think we have some very smart launches. I think if they come through, the domestics should do extremely well. But again, it's all very product determined. I think these two will be the big ones in the next financial year.

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Gagan: The final one from my side on Semaglutide. Can you elaborate a little more, you know, on specifically in India, are you going in for both the injectable and oral solid? And in context of the purchasing power of the Indian consumer, how do you see these two, you know, oral and injectable evolving over a period of time? And are you backward integrated in Sema? So, these are questions on the Sema glutide.

Rajeev Nannapaneni: Sema, I think we have answered that. We had outsourced API. Second is we are focusing at this time only on the injectable. Oral, we are not looking at it this time. We will look at it maybe later. But as of now, no. Injectable is what we are looking at, at this time.

Gagan: Okay. In Canada, you will be there on the first wave?

Rajeev Nannapaneni: Currently, we don't want to discuss about our export strategy. I think Viartis is our partner. Once we have clarity, I think we will discuss.

Gagan: All right. Thanks. Thanks for taking my questions. I will get back in the queue.

Moderator: Thank you. The next question is from the line of Prashant Nair from Ambit Capital. Please go ahead.

Prashant Nair: Yes, thanks. So, my question was similar. I mean, on the R&D spend part, you know, I get what you mentioned. Would you be able to share what your, say, EBITDA margin was on a pre-R&D basis? Just trying to use this quarter to get some sense of how your margins could look on an ex-development basis. So, that was the objective.

Rajeev Nannapaneni: I don't want to get into that sort of detail. I think everybody keeps asking me this question. I think I have answered this question in the past but let me answer it in a very general way. I think R&D expenditure is based on the cash flow that you are going to have, right? So, if you have good cash flow, you spend more money on R&D. If you have less cash flow, then you spend less money on R&D. Or you try to do a partnership deal so that you can offset some of the R&D

expenses.

I mean, we believe that this year we will probably end up with about Rs 1,800 to 2,000 crore PAT. and that's our expectation. We are still hopeful that we will meet that guidance. Even next year, I think our expectation is that we will be able to do that and then the question is, you know, everybody keeps asking me this question is, what is it after March '26, right? So, what is it that we are going to have?

I think we have spoken. We have said that based on how we have other products that are coming in '26, '27. We are also expecting that the emerging markets should do well and we expect that our crop sciences, which is losing money, should improve. So overall, we should probably see

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a drop. I think that's the elephant in the room, I think you have to accept that earnings will drop in March '27. How much will it drop? I think that's the question I am directly indicating.

So, it all depends on how you moderate your R&D expenditure and what kind of stuff that you are going to do. But you should expect, I mean, it's hard to see. I mean, I don't want to put a number to it, but you should expect a drop, a significant drop. But, you know, whether it will end at 50%, 60%, I mean, it all depends on, you know, how that year goes.

But you are asking me to predict my March '27 numbers, which I think is a little difficult. I think we will have more clarity on it from a year from now. But sitting today, I would believe that, yes, I think that's the amount of drop that you should probably prepare for.

Prashant Nair: So, then, yes, just one additional clarification. You mentioned earlier 8 to 10 %. That's on annual revenue, right, that you mentioned that you are spending?

Rajeev Nannapaneni: Yes, absolutely.

Prashant Nair: Okay. All right. Got it. Thank you.

Moderator: Thank you.

Moderator: The next question is from the line of Hrishit Jhaveri from Pi Square Investments. Please go ahead.

Hrishit Jhaveri: Yes, good morning, sir. So, I just had a clarification about the Revlimid. We are expecting one-third quantity this year. Can you give a ballpark market total size out of which we will get the one-third share?

Rajeev Nannapaneni: What is the ballpark size of the market you are saying?

Hrishit Jhaveri: Yes, out of which we will get the one-third of what?

Rajeev Nannapaneni: One-third of, I am sorry, I didn't understand what you are saying.

Rajeev Nannapaneni: Can you rephrase that question if you don't mind? I couldn't catch the question, my friend. Could you repeat that again, please?

Hrishit Jhaveri: The total quantity out of which the one-third quantity which we will get to do business this year, correct, in the Revlimid?

Rajeev Nannapaneni: It's one-third the size of the market, my friend. That's all I can say.

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Hrishit Jhaveri: Yes, but what would be your view on the total market size? Any number there?

Rajeev Nannapaneni: Market size? Then you are asking me to estimate the price erosion. I can't do that I can say one-third of the total volume. I think that's all I can tell you at this time.

Hrishit Jhaveri: Okay, sir. Thank you and all the best.

Moderator: Thank you.

Moderator: The next question is from the line of Dixit Doshi from Whitestone Financial Advisors Private Limited. Please go ahead.

Dixit Doshi: Hello. Yes, thanks for the opportunity. A couple of questions. Firstly, you mentioned that obviously post FY '26, we will see some drop in the revenue because of the Revlimid. But other than the Semaglutide in India, which are the bigger launches you are expecting?

And my second question is regarding the Olaparib timeline, if you can broadly speak about that?

Rajeev Nannapaneni: At this time, we are trying to pilot it in multiple markets. It's v

ery premature to come back with

the timeline on Olaparib. Semaglutide, India, we have already spoken. I think, other product Risperidone we have spoken about India subject to how patent litigation goes. These are the near-term triggers for India. The export business, I think, is doing very well. Brazil and Canada; we are expecting a lot of approvals in our oncology portfolio. So, I think we expect some good launches there. We are doing reasonably well now in the Middle East as well. So, overall, our ROW business is doing reasonably well. I think that will probably drive the base business post '26.

Dixit Doshi: But Olaparib, can it come in FY '27 or is it difficult to guess at this point?

Rajeev Nannapaneni: It depends on which market, my friend. Some markets are open and early, some markets are litigation, so it's tough to judge.

Dixit Doshi: In terms of US?

Rajeev Nannapaneni: I can't answer that question. It's a Para-political question. I can't answer that question.

Dixit Doshi: Okay, fine.

Moderator: Thank you. The next question is from the line of Priyansh Dalmia from Oculus Capital. Please go ahead. Mr. Priyansh, I would request you to unmute your line and speak please. Due to no response from the current participant, we will move on to the next participant. The next question is from the line of Badri Vishal Bajaj from Bajaj Shares and Securities. Please go ahead.

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Badri Vishal Bajaj: Yes, good morning. Thanks for the opportunity.

Badri Vishal Bajaj: Sequential earning of segment-wise revenue in export of formulation products. Basic reason I wanted to know that it has fallen below 25% if you take Q2 to Q3 of 2025. So, reason for this sudden fall, please enlighten us, sir? Thank you.

Rajeev Nannapaneni: Because there is no Revlimid, my friend. I think that's a simple answer. That's the reason why there is a fall. That's a big product for us and it's not there.

Badri Vishal Bajaj: No, it is very significant on our earnings also. That is what. Is it the only reason or any other?

Rajeev Nannapaneni: Absolutely. That is the only reason. That's right. Right on the money.

Badri Vishal Bajaj: Okay, thank you. Thank you, sir. Have a good day.

Moderator: Thank you. The next question is from the line of Prafull Rai from Arjav Partners. Please go ahead.

Prafull Rai: Any timeline you have for the launch of Revlimid, sorry, Semaglutide?

Rajeev Nannapaneni: Which market are you saying?

Prafull Rai: India market.

Rajeev Nannapaneni: So, U.S. you are saying or India?

Prafull Rai: India.

Rajeev Nannapaneni: India, I think our expectation is March '26, subject to regulatory approval and settlement of other issues.

Prafull Rai: Thanks.

Moderator: Thank you. The next question is from the line of Nirali Shah from Ashika Institutional Equities.

Please go ahead. Ms. Nirali, I would request you to unmute your line and speak, please. Due to

no response from the current participant, we will move on to the next participant. The next

follow-up question is from the line of Gagan from ASK Investment Managers. Please go ahead.

Gagan: Yes, thanks for taking the follow-up. Sir, in U.S., barring Revlimid, you have a good pipeline of

24 FT F, if I have it correctly from your presentation. Can you, I mean, to whatever degree you

are comfortable, can you share on the timeline of the launches and what would be the key ones

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perhaps with a three to five-year time frame and what could possibly be a ballpark revenue outcome from these?

Rajeev Nannapaneni: That's a tough one. But what I will do is I will tell you by size what are the biggest ones that we have. So, I mean, obviously all of them will play out over the next 7 to 10 years.

But if you want to start with this year, we have Revlimid a

nd then we have Wegovy and

Ozempic, whenever that happens, But that's the next big one and then we have Olaparib. That's

a very big one. We have Ibrutinib, where we are sole FT F. Then we have Erdafitinib, which is

where we are the sole FTF.

The ones which are shared as sole FT F are probably the most valuable ones and I think that's

what I will look at it. The ones that I mentioned, probably in terms of economic value, are

probably the biggest ones and like mid-level value would be like, you know, Carfilzomib 10 mg

and Trabectedin.

So, I think these are like medium level and Bosentan would be also medium level. But I think

the ones I mentioned earlier are probably the bigger ones. Revenue estimation and all is tough

to judge all these things at this time, but I think in terms of upside, these are the big ones.

Gagan: Would it be safe to say that if we keep Revlimid aside for a moment, on the base business, these products can give you a handsome growth?

Rajeev Nannapaneni: When they happen, yes. Yes, they should.

Gagan: Yes, right. And second one on Semaglutide, India, I mean, how do you see, I mean, what sort of

scale do you see the market getting in the first year and then over perhaps three to five years?

And how does it impact perhaps the other treatment lines in diabetes in the market currently?

Rajeev Nannapaneni: Honestly, I don't know. I think, let the approval come in. I think once we get the approval and

when we launch and we will see how, once the market forms, I think we will be able to make

judgments about the other things that you said. Looks like it's getting multiple indications and

multiple approvals in different settings, and I think it's a very exciting molecule. Honestly, I

don't know, my friend. I think once we launch and once the market forms, I think we can give

you more color on that.

Gagan: I think the innovators are, can I take one more or would you rather that I get back to the queue?

Rajeev Nannapaneni: Yes, sure. Yes, please, go ahead.

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Gagan: So, the innovators have also expressed their interest in launching in the Indian market and perhaps they also want to preempt some of the other companies and establish themselves. Do you see that in any way detrimental to the prospects of Natco or some of the other peers?

Rajeev Nannapaneni: I think the innovator will obviously have his share. I think you can't deny that. But obviously, generics also play a very strong role because of the affordability element. For the record, my friend, the innovator has not launched the injectable product yet in India. I have not seen the product.

Gagan: Right.

Rajeev Nannapaneni: They only launched the oral, which is U.S., but I think most of the market is the injectable. So, as of now, we have not seen in the market because he has so much demand elsewhere that he has not supplied in our part of the world. Okay.

Gagan: Right. Thank you, sir. Thank you. I will get back in the queue.

Moderator: Thank you. The next follow-up question is from the line of Saumil Shah from Paras Investments. Please go ahead.

Saumil Shah: Hi. Thanks for the follow-up. Sir, as you mentioned, we have about 3,000 crores of cash. And probably by next year end, we would end up at around 5,000 crores or maybe around that. So, why don't we, I mean, if we are not getting any options of acquisitions, why don't we do a buyback and reward our shareholders and maybe even promoters can participate?

Rajeev Nannapaneni: Good question. I don't have an answer to that question. We are looking at for a capital acquisition. I think my present position is that we will just look at an acquisition. I have not thought of it yet. This time I don't have an answer to that question.

Saumil Shah: No, because these are just my views. One more reason doing a buyback, I mean, maybe next year,

whenever profits go down, okay, by doing a buyback, we are reducing our equity. So, at least our EPS hit won't be so much. I mean, just my views.

Rajeev Nannapaneni: Yes, of course, no harm in having a view. I personally feel we will make that call then. I don't want to make that call today. Give us some time, I am still looking, and I believe we will be able to do some transactions. So, we will make that conversation. If it is what you just said, I mean, that we are able to do an acquisition, then yes, certainly I think that is the way forward. But for now, I think the idea is that we will use this money for acquisition.

Saumil Shah: Correct, correct.

Rajeev Nannapaneni: It's a good problem to have if you want to look at it.

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Saumil Shah: Yes, and one of the previous participants had asked about the interest cost. I think that question was unanswered.

Rajeev Nannapaneni: Yes, I will answer that. I will tell you. It's simple math. It's 200 crores of debt that we have. About 100 crores is what you call foreign bill discounting. 100 crores are tax payments that we make for the advance tax. Basically, what happens is the borrowing cost of this money is around 6% and the deposits are giving us 8%. So, it doesn't make sense to break an 8% deposit and which you can borrow at 6%. The nature of this money is short-term debt. It's usually payable in 60 days to 90 days. Generally, we get cash flow which pays off this debt. So, that's the reason why we borrow. But it's not a large amount. At a given time, it's not more than 200. That's the reason why we borrow.

Saumil Shah: Okay. That's it from my side.

Moderator: Thank you. The next follow-up question is from the line of Chetan Dhosi from Tulsi Capital.

Please go ahead.

Chetan Dhosi: One thing, Rajeev. This year we are going to make record profits, but our interim dividend is very, very less, 1.25 or 1.5. Are you waiting for much more profits to distribute to the shareholders? On a lighter note, please.

Rajeev Nannapaneni: Again, I will give you my stated position. We believe that we will do an acquisition. I want to preserve the cash for the acquisition. I don't want to give it up and we are giving a modest dividend, I am aware of that. But I am waiting for an acquisition. So, that's the reason why I don't want to use cash on books. So, that's the reason why I am holding on.

Chetan Dhosi: And can you throw some color on the Crop Science business, how it is performing?

Rajeev Nannapaneni: It's doing about 15, 16 crores a quarter. I think it's still losing money. But we believe, I think, next year we should be able to break even. I think that's the objective. So, I think we will probably settle around 130, 140 crores is the next year target at least minimum. So, I think if we are able to do that, I think we will come close to a break even. Based on the portfolio we have.

Chetan Dhosi: Thank you. Good luck.

Moderator: Thank you.

Moderator: The next question is from the line of Nirali Shah from Ashika Institutional Equities. Please go ahead.

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Nirali Shah: Just one question I had. So, how should we look at FY '26 in comparison to FY '25? Just wanted to understand what kind of growth should we pencil in for FY '26? And do we expect fourth quarter?

Rajeev Nannapaneni: It all depends on the price erosion. It all depends on the Revlimid price erosion. So, I think that because it plays such a big role in earnings. I don't know. I think it should do well. I think at this time; we are thinking that we will be able to maintain the same earnings that we have this year. But again, once we have clarity on how much erosion is, I think we can put more color on that. But as of now that's the best case. It's function of the price erosion. So, I think we will have

more

clarity in the coming quarter.

Nirali Shah: Should we take 20% on a conservative basis? So, that is the guidance that...

Rajeev Nannapaneni: I don't want to answer that question. No, I will not fall into that trap. No, I refuse to give guidance. I will tell you when it happens. When the numbers come, we will share the numbers and then we will see how it goes because it's hard to predict at this time.

Nirali Shah: Okay. And just on the fourth quarter, do we expect it to be weaker in the third quarter?

Rajeev Nannapaneni: Say that again, Miss. Say that one more time? Repeat that question, please.

Nirali Shah: Should we expect the fourth quarter to be weaker than the third quarter? Because the first half has been fabulous for our company. So, do we expect fourth quarter to be a little bit more weaker?

Rajeev Nannapaneni: Again, see, we are getting quantity only in March. So, it will be, you know, you only have one month of sale. So, I think Q4 will start off slowly. But I didn't catch the question. Can you repeat it please?

Nirali Shah: Yes. So, I was asking, will the fourth quarter be a little weaker than the third quarter? So, this is, in hindsight, that the first half has been really good for the company. And given that 20% growth on the bottom line, so even if the fourth quarter is weaker than the third quarter, we would still be able to achieve that growth. So, it's just one month away from closing the fourth quarter.

Rajeev Nannapaneni: Again, it's hard to predict. I don't want to come and say something, and again, like I would be caught by a surprise. I can only tell what I know I will tell you. We have a 33% allocation. We will launch it in March and we believe that we should have a good year. How much quantity we sell in every quarter we will just see how the market plays out.

Nirali Shah: Understood. Understood. Thanks.

Moderator: Thank you. The next question is from the line of Manish from Rachita Pharma. Please go ahead.

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Manish: Hello. Rajeevji, good morning.

Rajeev Nannapaneni: Please go ahead. Good morning.

Manish: Yes, you have told about one-third market will be in sales in this March Q1 and Q2. It will increase or decrease in Q4.

Rajeev Nannapaneni: What's your question again? Can you repeat? Your question is Q4.

Manish: You have told that one-third market will be there in Q4.

Rajeev Nannapaneni: One third, yes.

Manish: Revlimid. So, this will be better than Q1, Q2 or it will be decreased?

Rajeev Nannapaneni: I think we have not answered that question, sir. I think what we have said is that we are getting an allocation. It will start off in March and we should do well during the year is what I have said. We have not given how much we will sell in Q1, how much we sell in Q4, how much in Q1 we have not given guidance. We just said that we had one-third of the quantity. That's all we have said.

Rajeev Nannapaneni: And I said it's a function of market share and market erosion.

Manish: And what is the size of Everolimus in Q4 and next year? What size and graph?

Rajeev Nannapaneni: Size of Everolimus? total market is about 120 million. So, there are two generics. And we have a 50-50 share with our partners.

Manish: So, it will be impacting Q4?

Rajeev Nannapaneni: Some portion of it will come in Q4. Yes, some portion will come in Q4. Yes. Some of it, yes.

Manish: Some portion will come in Q4. And what about next year? You are looking good to this product?

Rajeev Nannapaneni: Yes, with Everolimus, yes. We are looking good.

Manish: You are looking good. Now I am ending this question along with one request. Can you look on the investor side also, sir, please?

Rajeev Nannapaneni: We are looking at investors. We are doing what is right for the company.

Manish: We invested in your company, seeing bright future. But the r

esult was very bad.
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Rajeev Nannapaneni: See, I will tell you. Let me answer this question. See, one fundamental thing that you need to understand with us is our company chases big jackpots and sometimes you are going to live with volatility. They are so dependent on one particular event or one or two events happening, it causes huge volatility.

If you are invested in our company and you have been around long enough, you will know that you will have volatility. But you look at it in terms of a long-term view. We have always delivered great earnings. It's just that sometimes you will have quarters which are going to be difficult and you will have probably a year or two when sometimes it is difficult.

But the pipeline and the product filings are always very lucrative. I think in terms of our gross margin, we are probably the best in the industry. But you have to understand that you have to live with the volatility and I have said this many times. I will repeat it one more time. You have to live with volatility and that's the nature of our model, unless you are willing to accept that, you will always see these highs and lows. We are not the company which will deliver 10% quarter on quarter growth, 15% consistent earnings. We are not that type of company and because we chase jackpots, that's the nature of our business. There is always uncertainty. I think that's the way it is.

Moderator: Thank you. The next question is from the line of Raghav from Rachita Pharma. Please go ahead.

Raghav: Sir, any good news for investors side, like in future? Any positive news.

Rajeev Nannapaneni: We will have a good year, my friend. That's all I can tell you. We will have an excellent year. We are hopeful that we will have a good year based on the assumptions that we have made.

Raghav: Yes, not only financial-wise, but also stock-wise, sir?

Rajeev Nannapaneni: I don't control stock price. I can only control, see, my friend, my fiduciary responsibility is to tell you the way it is, what we are earning, what we are not earning, what is our jackpot, what is not our jackpot. End of the day, it is for you to value us based on what we are saying. Okay, next caller, please.

Moderator: Thank you. The next follow-up question is from the line of Gagan from ASK Investment Manager. Please go ahead.

Gagan: Yes, thanks. You indicated that you are looking aggressively for an acquisition. Is it possible to spell out some, you know, give some color on which areas or which markets would be priority for you? How are you largely thinking about the acquisition?

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Rajeev Nannapaneni: One is we want to strengthen our ROW business. I think that's one acquisition we are looking at. Another one, possibly, is also to strengthen our U.S. front end. Because our U.S. front end doesn't give much sales. So, we want to strengthen that portfolio. I think these are two active areas we are looking at, currently.

Gagan: Thank you.

Moderator: Thank you. The next question is from the line of Gaurav Sudhir Shah from Kotak Securities Limited. Please go ahead.

Gaurav Sudhir Shah: Hi, I got a very simple question. I was just looking at the trend. Generally, is it so that the Q3 is a little soft for us? Has that been historic? And what could be the probable reasons for this cyclicity?

Rajeev Nannapaneni: It's very simple. Basically, what happens is you get a quantity allocation in March. So, basically what you do is you sell some portion in March, you sell some portion in June, and you sell some portion in September and if you have anything left, you sell in December. Usually, December tends to be the weakest, June and September tend to be the strongest and March is probably the most moderate month. If you have so enough, I think that's how it works.

rks.

Gaurav Sudhir Shah: Noted. Thanks.

Moderator: Thank you. The next follow-up question is from the line of Dixit Doshi from Whitestone Financial Advisors Private Limited. Please go ahead.

Dixit Doshi: Yes, just one follow-up. You mentioned that next year growth depends on the price erosion on the revenue made as well. Because I was assuming that price erosion will happen only once it goes off patent, post January 26, or price erosion can happen even earlier also.

Rajeev Nannapaneni: It all depends. See, there is some, I don't want to get into the pricing of the product. I think I am putting my caveats out based on what I believe will drive the earnings. It's a function of the market and market formation. That's the best way I can answer that question.

Dixit Doshi: But usually, let's say, historically, in other drugs also, have we seen the price erosion even before the patent expiry? Because right now it is controlled market only. So, why would price erosion happen?

Rajeev Nannapaneni: There is some, I don't want to get into it, my friend. Teva is handling the marketing and there are a lot of other dynamics and other generics are also there. So, I can't answer that question, but there is erosion and hopefully it will hold up to a point so that we can make some money.

Dixit Doshi: Okay, fine. That's it.

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Moderator: Thank you. The next question is from the line of Hrishikesh Patole from B&K Securities. Please go ahead.

Hrishikesh Patole: So, just quickly, what were the subsidiary sales in 3Q and for nine months as well? Can you just provide some numbers?

Rajeev Nannapaneni: Year-to-date sale of the subsidiaries is about 408 crores.

Hrishikesh Patole: 408. And for 3Q?

Rajeev Nannapaneni: Q3 is 109.

Hrishikesh Patole: Okay, sir. And any update you can provide on the Kothur site? Where do you stand with the process?

Rajeev Nannapaneni: I think a remediation action is ongoing. And so, as of now, we are still supplying. But we have moved a lot of the key products to Vizag. So, I think that's where we are.

Hrishikesh Patole: Okay. That's it from my side.

Moderator: Sir, does that answer your question?

Hrishikesh Patole: Yes.

Moderator: Thank you. The next question is from the line of Ashish Kabra, who is an individual investor. Please go ahead.

Ashish Kabra: Yes, sir. Sir, I have just one question related to, sir, at present we have 3,000 crores of cash and by next year as my previous participant told that we will be around 5,000 crores. So, sir, can we take debt also to take these takeovers that you talk about or?

Rajeev Nannapaneni: Possible. We will let the takeover happen and I think we will see how much cash we have to use, how much debt we have to use, all that stuff. We will decide then.

Ashish Kabra: Okay. And, sir, you told that takeover will be from geography-based, but in what sectors that will be? Can you just give some color on that?

Rajeev Nannapaneni: I think one in the U.S. market and one in the rest of the world market, not the advanced regulated markets, rest of the world market.

Ashish Kabra: Yes, but that is like geography front, but in what sectors like formulations or other?

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Rajeev Nannapaneni: Pharmaceuticals. I mean, therapeutic, prescription pharmaceuticals.

Ashish Kabra: Okay. Thank you.

Moderator: Thank you.

Rajeev Nannapaneni: Yes, next.

Moderator: The next question is from the line of Rusmik Oza from 9 Rays EquiResearch. Please go ahead.

Rusmik Oza: Thanks for the opportunity. Sir, my simple observation is, you know, this December quarter, we didn't have sales of Revlimid, and we did 475 crores of revenue. Does it mean that in between March to September, we have done roughly around close to 2,500 crores of Revlimid sales? And

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because the calendar year is end, the last calendar year, if you could just provide us an absolute figure of what kind of revenue sales we did last calendar year, it will help us to understand what kind of growth we will see in this calendar based on one third market share.

Rajeev Nannapaneni: I will not do a split for marketing reasons, for comparative reasons. Second question is, you know that you have one third share. It all depends on the erosion that is going to come. You can't predict last quarter sale with next year sale. So, that is not possible. We will just see how the price erosion is and we will see how to take it from there.

Rusmik Oza: Okay. Second question, sir, on the base business, any guidance you would like to give? What kind of growth you are anticipating for this calendar year or FY '26?

Rajeev Nannapaneni: I think the India launches we have spoken about. I think we are expecting our ROW business also to do reasonably well, because we have a lot of approvals expected, almost 7-8 approvals are expected in this coming year. Canada also we are expecting some good launches and Middle East also we are doing reasonably well. I think we should do well. Again, I don't want to give a particular number, but I think, yes, we should do well.

Rusmik Oza: And any guidance on the agrochemical business? Because that has been quite volatile in the last many quarters. How do you see this panning out?

Rajeev Nannapaneni: We believe I think next year our target is that we should at least break even. We are doing about 60 crores a year right now. Our target is that we should target about 120 to 150 crores next year so that will help us come closer to break even.

Rusmik Oza: Okay . Thank you , sir. That's it from my side .

Moderator: Thank you. The next question is from the line of Vighnesh , who is an individual investor. Please go ahead.

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Vighnesh: Sir, good morning. I have a question regarding the current scenario in U.S. tariff. What my question is, in case the U.S. laid some tariff on import on pharmaceutical products from India, will this impact our revenue? And if yes, what is the strategy we are planning to escape from this impact ?

Rajeev Nannapaneni: I think, as of now, it's premature to answer that question. But it will affect the whole industry I think because a lot of the manufacturing is out of India.

Vighnesh: Yes, sir. This affects the whole industry. But what I am asking is, do we have any specific strategy to escape from this, like expand to some other countries like that?

Rajeev Nannapaneni: The only escape is you need to buy a front -end manufacturing in the U.S. That's the only way you can go forward. That 's the only solution. I think earlier we had said no, we are looking at a front end in the U.S. So, I think we are able to get a manufacturing, that's what will make it interesting. But yes, I think that's the only solution to this for which we don 't have a front -end manufacturing in the U.S. But that's the only solution if at all that problem were to happen.

Vighnesh: So, we are ready to move our manufacturing in the U.S. itself. That's what you are saying, right?

Rajeev Nannapaneni: Some products we can. I mean, you can't do everything, honestly , because it doesn't work out. But yes, I think you have to move some product to the U.S. I think t o answer your question, if there were tariffs and then what is your plan B, that would be your plan.

Vighnesh: Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Arun Malhotra from CapGrow Capital. Please go ahead.

Arun Malhotra: Yes, thanks for the follow -up. Just wanted to ask, what has been the pri ce erosion till now and the limit from day one and number of players...

Rajeev Nannapaneni: I can't answer that question. I am sorry, my friend. If you have any other qu estions, please ask me.

Arun Malhotra: Thank you. That's it.

Moderator: Thank you. The next follow -up question is from the line of Chetan Dhosi from Tulsi Capital. Please go ahead.

Chetan Dhosi: Yes, thank you for the opportunity again. Rajee v, something which you would like to share with the shareholders, which on an immediate basis, some cheer up from the company . See, in spite

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of certain bad things happening, some good things are also happening in the company, which we don't know. If you would like to share something, we will be very grateful.

Rajeev Nannapaneni: I think overall let me answer it. You are asking very philosophical questions. I will give you a philosophical answer. I think what we are doing , see, my job is only to tell you what we are doing. I think we can tell you, like, this is the product that we have filed , and this is what we think the outcome is and this is what is the volatility. My fiduciary responsibility is to tell you what we are doing. That's all I can tell you and I think at the end of the day, we hope that a lot of the strategies that we pursue will work , sometimes they don't work and that causes volatility. It's a n ature of the beast. That's all I can tell you at this time. Yes. Thank you. I will take my last question please .

Moderator: Thank you. The next question is from the line of Rahul Chaudhary, who is an individual investor. Please go ahead.

Rahul Chaudhary: Sir, will it be fair to assume that ex -Revlimid our operating margins would be around 18% to 20%?

Rajeev Nannapaneni: In as of today you are talking about?

Rahul Chaudhary: Yes, whatever other business we are doing. Because, I mean, the numbers talk to me as if I think we are doing like an 18% operating margin if I remove the R&D that you talk about because this quarter is like ex-Revlimid , right?

Rajeev Nannapaneni: Yes, I mean, again, ye s, possible. I think it depends on the quarter, ye s, it's possible.

Rahul Chaudhary: Yes, because, I mean, if you have to forecast, like, asking us to do it two years later, ex-Revlimid . But, sir , domestic...

Rajeev Nannapaneni: See, Rahul, I have answered that question. So, basically, what I have said is that we should do well this year, we should do well next year. But you should pursue soon in '27 that we should see a drop of more than 50 to 60% in our earnings. I think already there it's factored in and I think already there, and I think this has been told many times that we should see it . We have

been telling you that I think you have to accept the volatility because when something big goes away , it is going to impact, and we are very honest about it . I think we have been upfront about it.

Rahul Chaudhary: No problem , sir. Sir, it one more time

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Rajeev Nannapaneni: I will reiterate it one more time that you have to accept that this is how it's going to be . But you have to assume that we have these other products and that some of them will come through eventually and that you will see a period of volatility, but that's the way the business works.

Rahul Chaudhary: Sir, b ut like you said, we have a fiduciary duty also to do what's the best. Last nine years, if you look at the company's market cap and we shareholders, we don't get any salaries or whatever . So, we are working on the capital appreciation. But that hasn't happened . So, do you think the strategy is still working? It must be working because you are earning. Ye s, because for nine years of strategy, you have applied , I mean , that is where we are right now.

Rajeev Nannapaneni: See, Rahul, what I will do is, okay, see, what we are trying to do is, I think we try to maintain the best governance that we have and we try to do the best we can based on what we believe the market is. If you look a

t our earnings, I think we are probably one of the best earnings in the industry in terms of EBITDA . Our earnings will match any of the large r cap companies. The fundamental issue here is that there is an element of volatility that comes in our earnings. And it is the way it is. I mean, I don't have a better answer to that question. But what I can strive to do is that we try to build a business which is more stable at a base level by doing an acquisiti on, which we have not been able to execute, obviously. I will be very honest about it. That's probably one thing you probably didn't get right.

But I think we are trying to see what we can do to get that right. But having said that, in terms of our ability to deliver, I think we are probably the best. You know, we have done as good as anybody else.

Rahul Chaudhary: I think, apart from Revlimid now, what we are all looking forward to is the domestic opening up of Semaglutide market. Because I think that is the thing that is going to replace somewhat the earnings right now . So, where do we as investors get to follow up as to where Natco is in the permission queue? I mean, which is the website or how do we get to know , sir? Because I ast I read that Sun Pharma and you had both applied and I think some waiver you have got because you've already done some g lobal tests and all that . So, how do we track all that?

Rajeev Nannapaneni: So, basically what the DCG I has done is they have asked everybody to do bioequivalent study. So, we ha ve done a bioequivalent study, and we shared that data. Now we are awaiting the clinical permission. Sun and Reddy's, I think, have already started their clinical. I think w e are hoping we will get our clinical permission shortly. I think everything is clear. We are hoping to start. If we start the clinical trial, then quickly we need to dose and show efficacy. Hopefully, we will be able to complete this trial by the end of the year. And then we submit for permission by end of the year. And all goes well, and regulatory permission and all issues resolved , hopefully , we will be able to launch it next year. I think that's the timeline .

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Rahul Chaudhary: All right , sir. Thank you very much, sir.

Moderator: Thank you.

Rajeev Nannapaneni: Okay. Thank you so much. Thank you, everyone. Thanks.

Moderator: Thank you. Ladies and gentlemen, due to time constrain t, we will take that as the last question. I would now like to hand the conference over to the management for closing comments.

Rajesh Chebiyam: Yes, thank you all. Again, great questions. Have a good day.

Moderator: On behalf of Batliwala and Karani Securities India Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your line s.

Call: Jun 2025

4th June, 2025

Corporate Relationship Department Manager – Listing
M/s. BSE Ltd. M/s. National Stock Exchange of India Ltd
Dalal Street, Fort "Exchange Plaza", Bandra – Kurla Complex
Mumbai 400 001 Bandra (E) Mumbai 400 051
Scrip Code: 524816 Scrip Code: NATCOPHARM
Dear Sir

Sub: - Transcript of earnings conference call held on May 29, 2025

Ref:- Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements),
Regulations, 2015

We are enclosing herewith the copy of transcript of the Company's earnings conference call for FY 24-25 held on May 29, 2025. The transcript is also available on the website of the company i.e., www.natcopharma.co.in.

Thanking you

Yours faithfully

For NATCO Pharma Limited

Ch. Venkat Ramesh
Company Secretary &
Compliance Officer

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"NATCO Pharma Limited
Q4 FY '25 Earnings Conference Call "
May 29, 2025

MANAGEMENT : MR. RAJEEV NANNAPANENI – VICE CHAIRMAN AND
CHIEF EXECUTIVE OFFICER – NATCO PHARMA
LIMITED
MR. RAJESH CHEBIYAM – EXECUTIVE VICE
PRESIDENT - CROP HEALTH SCIENCE – NATCO
PHARMA LIMITED

MODERATOR : MR. HRISHIKESH PATOLE - B&K SECURITIES
PRIVATE LIMITED

Natco Pharma Limited
May 29 , 2025

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Moderator: Ladies and gentlemen, good day, and welcome to NATCO Pharma Limited Q4 FY '25 Earnings Conference Call hosted by B&K Securities. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Hrishikesh Patole from B&K Securities. Thank you, and over to you, Mr. Patole.

Hrishikesh Patole: Good morning, everyone. On behalf of B&K Securities, I welcome you all to the Q4 and Full Year FY '25 Earnings Conference Call of NATCO Pharma. Hope everyone is in good health and doing well.

On behalf of NATCO today, we have with us Mr. Rajeev Nannapaneni, Vice Chairman and

Chief Executive Officer; Mr. Rajesh Chebiyam, Executive Vice President, Crop Health Sciences.

I now hand over the call to Rajesh for the management's opening remarks, post which we'll open the session for Q&A. Over to you, sir.

Rajesh Chebiyam: Thank you, Hrishikesh. Good morning, and welcome, everyone, to NATCO's conference call discussing our earnings results for the fourth quarter and full year of FY '25, which ended March 31, 2025. During this call, we may be making certain forward-looking statements or statements about future events and anything said on this call, which reflects our outlook for the future must be reviewed in conjunction with the risks that the company faces.

I'd like to state that the material of the call, except for participant questions, is the property of NATCO and cannot be recorded or rebroadcast without NATCO's expressed written permission. We'll begin with the results highlights and then follow with an interactive Q&A session. So, I hope all of you have received the financials and the press statements that was sent out yesterday. These are also available on our website.

So NATCO recorded a consolidated total revenue of INR4,784 crores for the year ended on 31st March 2025 as against INR4,126.9 crores for the last year, reflecting a growth of roughly 16%. Net profit for the period on a consolidated basis was INR1,883.4 crores as against INR1,388.3 crores last year, showing a growth of 36% in its profit.

Company has recorded its highest ever consolidated revenue and profits during this financial year. This is the result of decades of our diligence and focused strategy. For the fourth quarter ended on March 31, 2025, the company recorded a net revenue of INR1,287.3 crores on a consolidated basis as against INR1,110.3 crores during Q4 of FY '24.

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Profit for the fourth quarter on a consolidated basis was INR406 crores as against INR386.3 crores same period last year. During the quarter, the company took an impairment charge of INR50 crores in the Crop Health Science business related to property, plant and machinery and a chargeback adjustment of roughly INR25 crores in its U.S. subsidiary, apart from incurring higher R&D expenses.

As of today, the company has a strong cash position of over INR3,500 crore as it prepares for headwinds coming from its U.S. business during the financial year FY '26. The company estimates a possible dip in revenue by 20% and profits by 30% due to geopolitical uncertainties and pricing pressure in its core product portfolio in the U.S. and increased R&D expenses. Thank you all. Now we'll take questions.

Moderator: First question comes from the line of Nirali Shah with Ashika Institutional Equities.

Nirali Shah: Congratulations on great set of numbers. I have 3 questions. I'll begin with the first one. Could you update us on the status of the Risdipam litigation? And

are there any upcoming milestones

or any legal proceedings that we should be aware of in the near term?

Rajeev Nannapaneni: On Risdipam, I think we believe, if all goes well, - it will be reserved for order by end of this month. There's only like one last hearing left. I think it will get done today or maximum, hopefully, we'll be able to close everything by end of this month. So, we expect an order in maybe post holidays in June, as Delhi high court is closed.

July, August, we should expect some order on that. Right now, we have not launched the product. We're waiting for the clarity from the 2 Judge bench and then based on that, we'll strategize what to do.

Nirali Shah: So, if the order comes in our favor, within how many months do we look at the launch?

Rajeev Nannapaneni: I think if the order is in our favor and everything is good, I would believe we can launch immediately.

Nirali Shah: Okay. My second one is on the clarity on the progress of NRC -2694. Any timelines or catalysts that we should be tracking?

Rajeev Nannapaneni: At this time, I don't have any timelines, Nirali. So, I think we just kind of updated our NCE and cell and gene therapy ideas. It's there in the public domain in the presentation. At this time, I think what we have done is we have taken a very late-stage cancer subset of head and neck cancer and who have failed the conventional therapy, which is KEYTRUDA. So right now, the trial is ongoing. We're doing it both U.S. and India. I don't want to give any timelines at this time. I think maybe in about a year, 1.5 years, we'll have more clarity on this.

Nirali Shah: We are still on the patient recruitment front or is it done?

Rajeev Nannapaneni: I think we need to get to a number where it is substantial. I think so far, I don't recollect the numbers, Nirali, so I don't want to say anything. But we have done, I think, about between 10 to 20 patients. I don't remember the number on top of my head. I don't remember the protocol also

how many patients we have to do. But once we get to about, 60 to 70, we'll have an idea of where we are. So, we hope that we'll be able to recruit these patients in the next 1, 1.5 years, and we'll have clarity on how it works.

Nirali Shah: Okay. And my last one is on the Trump tariff and the Trump campaign. So, regarding the aggressive drug price cuts and the potential import tariffs, how do we see this evolving in terms of the impact that could be on our business?

Rajeev Nannapaneni: I mean, obviously, a lot of our business is in the U.S. So obviously, there will be some impact. I mean, so far, I think we are okay. So, let's wait. It's a very dynamic situation. So, let's see how things go, and then we can make an assessment of what will happen. It's too early to say anything.

Nirali Shah: In the opening commentary, you mentioned about FY '26. So do we look at it as a softer year for us because of the evolving scenario I'm saying in the opening commentary, you mentioned about.

Rajeev Nannapaneni: Yes. Headwinds, What about it?

Nirali Shah: Yes. So, I'm saying that because of the Trump issues and whatever is going on in the U.S. because of the policies, we do see that our portfolio will be hampered because of this. We do face the headwinds.

Rajeev Nannapaneni: We don't really know what's in store in the future. I think that's what I'm trying to tell you. I don't know what's going to happen, right, in the next few months. once we have clarity on what's going to happen and what their policies are going to be, I think then we can make an assessment of what the impact is going to be.

As of now, we're just waiting for clarity on what's actually going to happen. It will be premature to say anything at this time. So, I would just reserve saying anything. But I would just say that once we get clarity and then I think we can make an a

ssessment of what's actually going to happen, what the impact is going to have.

Moderator: Next question comes from the line of Rashmi Shetty with Dolat Capital.

Rashmi Shetty: Sir, in the opening remarks, if I'm clear, you mentioned 20% dip in the sales and 30% dip in the profit for FY '26, right?

Rajeev Nannapaneni: That's correct. yes.

Rashmi Shetty: Yes. Sir, is this also because you're going to see any sort of erosion in your Revlimid product despite we will be taking the maximum market share, right, this year?

Rajeev Nannapaneni: I think it factors everything in. We should do well in the next couple of quarters. I feel June quarter and September quarter, we should do well. But I think after that, it's very difficult to judge what's going to happen.

We are being cautious, so we gave the guidance upfront so that the investors are aware of how we see the business and I think that's our assessment. Because as I said, there are multiple things happening , this develop ing pricing scenario is very tough to judge.

I mean political scenario is very difficult to judge and also, we have decided to spend a good amount of money on R&D as we have very good surplus. So , we're using the surplus to sort of spend on our R&D budget. So , I think because of these 3 factors, we have made our best guess estimate of what we think the year is going to be.

Rashmi Shetty: And it is also supported by the fact that Revlimid might see higher price erosion compared to this year?

Rajeev Nannapaneni: I think so, At the end of the day, I'm making a guess. I mean based on what's going to happen. But yes, I think we factored best of my knowledge. I think we made an estimate of what we believe will happen, yes.

Rashmi Shetty: Okay. And sir, related to R&D, you said how much of the R&D in this year you have spent for the entire year? And how much are you expecting in FY '26?

Rajeev Nannapaneni: We spent INR373 crores, which is 8.5% of our stand -alone revenue in R&D for the financial year ending March 2025. I would want to spend, I think, a similar amount of money this year as well. We have some very nice projects that we have lined up and I think the really good ones are always very expensive. So , I think that's what we are trying to do. But I think we want to spend about in that range up to INR400 crores is what we're targeting.

Rashmi Shetty: Okay. And one last question on the India business. This year, every quarter, we had done in the range of INR95 crores to INR100 crores. And we are also planning to see some acquisitions

with the cash flow. But till the time the acquisition doesn't happen, what kind of growth we can expect in FY '26? Will it be in the similar range of that 2%, 3% growth? Or we should expect a higher growth this year?

Rajeev Nannapaneni: I think of the publicly announced pipeline, I think the base business should grow around 7% to 10%. But I think the 2 major launches that will drive the growth. I think one is Risdiplam, subject to the court decision and of course, Semaglutide, which we're expecting maybe end of the financial year.

So, these 2 are going to be very critical to the growth. If these 2 come through, I think you'll see much more than 8%, 10% type of growth. But I think getting these 2 right, would probably be very important for us to see very good growth. But I'm optimistic that both will work, subject to, obviously, in Risdiplam, the court decision and Semaglutide once we have the market formation and get the approval, when we have clarity, I think both these products should be very interesting. I believe that our domestic should do well. You'll see much better growth than what you're seeing now for these 2 coming soon.

Moderator: Next question comes from the line of Kunal Randeria with Axis Capital.

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Kunal Randeria: Rajeev, on Revlimid, I thought you would be booking some profit in FY '26 also for the sales that Teva would have made last year. And since Teva's quota has gone up this year, I thought some of it would also be booked in FY '27. So, does that still hold or has the accounting changed?

Rajeev Nannapaneni: I didn't understand your question, Kunal. I'll tell you what I understand from it. I think for the new quota that we got, we booked some amount in the March quarter, which is the January to March quarter in 2025. And this quota, we will start selling, we're selling now, and we'll sell in the June quarter and the September quarter and then I think December, I'm not able to predict what's going to happen. So that's why we're being cautious. In the March for the '26 year, like it will be a lot of competition and there won't be any quantity restrictions.

Kunal Randeria: I got that. Sorry, what I was asking is, see, typically, you manufacture and sell it to Teva and Teva then sells it to the distributor. And once Teva gives you the profit, typically, there's a lag or you recognize it maybe a couple of quarters late. So whatever Teva, let's say, sells in September, I think you book it in December or March. So that was my question.

Rajeev Nannapaneni: I think what we gave to Teva, we already gave. I think the quantity that we were supposed to give, we already shipped to Teva. I think what we are booking now is only the profit share. So, we booked some amount last quarter, and we continue to book in the coming quarters as we go along.

Kunal Randeria: Right. Okay. So, if my understanding is correct, you have already supplied to them. Yes. Just a couple of more questions. Semaglutide, yes.

Rajeev Nannapaneni: Yes. So Semaglutide, yes, go ahead.

Kunal Randeria: Semaglutide, would you be needing some investments to promote it in India and sales force? Or will you be partnering with the larger players?

Rajeev Nannapaneni: We are thinking of both the models, Kunal. I think we are looking at both B2B model and also our own sales force. We have built the sales force to cover this segment. Over the last 3, 4 years, we are actually able to build the sales force to cover the doctors that are required for this product. We have the setup, but obviously, we're looking at both dual revenues. We look at both B2B and our own brand as well.

Kunal Randeria: Sure, and just one more. I was a bit surprised with the impairment in this property plant equipment of the Agrochem business. So, are you kind of scaling back your plans for this business?

Rajeev Nannapaneni: No, Kunal. It's just an accounting entry. It's a noncash entry. Essentially, what it is, is the business has not done well in the last 2, 3 years. We've not made money. So, I think consulting with our auditing firm, I think they assess that we need to take an impairment of this. This can be reversed. Let's say, for example, in '26, the business starts making money, which we hope to, then some of the impairment can be reversed, but this has taken a conservative position and we've been -- I think it's judicious to prudent to do it. That's why we've done it.

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Moderator: Next question comes from the line of Nitin Agarwal with DAM Capital.

Nitin Agarwal: Rajeev, on R&D, how many products have we filed this year? And how many were meaningful

in your assessment in F '25? And how are you looking at '26, '27, if you can?

Rajeev Nannapaneni: Total filings, in the U.S., we had about 5 filings. and meaningful ones means a lot of them are shared exclusively. I think there's nothing special that comes to my mind other than the ones that we've already announced. But that was the question, right? how many we intend to file? 7 to 8 is what we're targeting to file

Nitin Agarwal: It was exactly the same point. Interesting on that you've go

t this year and how many do you

probably see coming through over the next couple of years from a filing perspective?

Rajeev Nannapaneni: I think the interesting one that we got this year was probably, was one of the strengths of Semaglutide, where we are sole FTF. We filed something in April 2024. So that was probably the most exciting one that we filed. We filed Risdiplam. That's also shared FTF. We are 1 of the 2 filers. So, these are 2 big ones that we filed in the last financial year.

The interesting one, Nitin, we spoke about these many times. I mean, Semaglutide probably is probably the biggest one that we have, where we have some strengths, we have sole FTF. Then we have, I think, subject to the legal clarity and approval, Olaparib could be very interesting.

Then we have medium size, we have Erdafitinib, Capmatinib. That's also an interesting one that we filed. Then we have shared FTF on Yondelis and then Carfilzomib and then we have Ibrutinib subject to the legal outcomes. So, we have like 7 or 8 things. I think it plays out over the next 10 years. So maybe we don't have anything in the next 1 or 2 in the near term. But I think if you take an 8 - to 10 -year view, we have these.

We updated our investors on some of our NCE and cell and gene therapy investments. I think the most excited one, I mean, some of them are smaller ones and some are bigger ones. The big ones that I look at is probably the NRC -2694, which is a late -stage head and neck cancer, where we are doing a Phase II. So, we have very interesting Phase II data, we can probably even get it approved with limited number of patients.

So that is one possible excitement. Another one is one of our Cell and Gene investment. We made an investment of \$8 million in eGenesis. They were the first one in the world to do a xenotransplant where they transplanted a genetically modified pig kidney into a human and there's one particular patient who is actively on that kidney. I think it's been about 4 months, and it's still doing well.

So those are probably the most exciting ones in NCE, cell & gene and Para IV pipeline. So the idea here is that you build a pipeline of about 15 of them. I think even if we get like 6 or 7 of them right, I think you are home, that's the idea.

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Nitin Agarwal: Right. And just last one on Revlimid. Have you been surprised from some of your earlier expectations versus the way the market is expected to play out in '26? Are you seeing it play out in '26?

Rajeev Nannapaneni: I'm not, honestly, I am not surprised. I've always been very conservative. I always believe that you'll see erosion as time goes by. I'm not actually surprised. It is fitting in pretty much what our expectation was.

Moderator: Next question comes from the line of Rohit with thought PMS.

Rohit: Congratulations on all the hard work that the team has done. Rajeev, most of the questions have been answered. Just 2 or 3 of them as a follow-up. I mean, so one is on this Agro business. So, this was a foray that you had started 3 years back. And I think it's below expectation. So, what is the thought process now? How do you see it over the next 2, 3 years? If you can maybe share your strategy and thought process, there? That was one.

Second was, I mean, given the cash that we have, and you've talked about acquisitions. So, anything updates or anything that you'd like to share on that in terms of any thoughts that have evolved over time?

Rajeev Nannapaneni: So let me just answer these 2 questions first, So, the first question that you had was on the Agro business, obviously, it's not done well. It has not met our expectation, but it is what it is. So, I think this year, we feel we are going to hit that critical mass where we'll start breaking even. We are doing about INR60 crores net revenue last year. So, I think we need to hi

t about INR160

crores to INR170 crores at least to have that EBITDA positive. That's the idea. So, I think hopefully, we'll hit that number this year and hopefully, if we go beyond that, then we'll actually be profitable. I think '26 is a year where it's going to turn around. The other question was on the cash, right?

I mean, as we announced, we had about INR3,000 crores of cash. Now I think we received further receivables. So, we are probably sitting now at INR3,500 crore. It's a good place to be,

honestly. I wouldn't complain. How do we use the cash? We are looking at acquisitions. We are looking at a lot of active acquisitions. I think I'm positive that we'll be able to close something in this financial year, that's the idea. That's all I can say at this time.

Rohit: So, one follow-up again on Agro. So, while you shared that this may be the year where we'll turn around. But slightly longer term in terms of the strategy here, I remember you wanted this business to get to about INR300 crores, INR400 crores or around that number in your -- like scaling this business up.

So just I mean, from here on, of course, it did not pan out, and that's fine. But from here on, are you sort of still like positive on this overall opportunity, anything on that? And then one more question on -- I think you've given out this NCE and your sort of the NCE and all the other moonshots that you have, investments that you've done. Should we look at it as like your conviction in them has become better and you're closer to some kind of an outcome, and that's why you're sharing now?

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Because in the past, I mean, people have asked me you've sort of really not talked a lot on them, and I'm sort of hearing you for the first time speaking a bit more. So, is it sort of -- should we take it as like your conviction in them has improved as you get more information or as you get more closer to sort of outcome there? So, these are some of the questions I have.

Rajeev Nannapaneni: So, one question is on the NCE and the other question was on what you call the Agro success. See, let me tell you, I mean, see what we make certain judgments as a business and some businesses turn around in 2 years, some business takes 5 years, some business takes 8 years. So, it's a cycle that you just must live with based on how you sort of execute.

And sometimes you get them right, sometimes you don't get them right. So, I think Agro is something that is probably taking longer, but it is what it is. I mean, as I said, we just have to deal with it. But my personal sense is that it will get better. First point I always look for in a business is that it has to start breaking even.

So, once it starts breaking even, it doesn't cause a strain on the balance sheet and then just you need that one idea, which can always suddenly start turning profit, right? Because to build a successful business, you need to have the core portfolio, which kind of capable and then you'll have what you call one idea that will just take that business to the next level. So, we are hopeful we reach that stage in Agro shortly by hitting that number.

But 150, 160 what we probably need to hit. So, I'm starting small. Let's hit that number. I think then we're not losing money and then we can target the next number. But it's a 2 - to 3-year journey, I suspect, to get to that level.

Regarding my NCE and the cell and gene therapy, yes, I think so. I generally don't like to talk about when they're early stage. I think in the past, a lot of people have asked me, and I said, no, it's too early stage. We'll talk about it later. I think now I think I feel more confident that these things are coming to a stage where we can probably hit something. So that's why I'm talking about it. So, I think, yes, those 2 assets that I mentioned a few minutes ago, I'm very excited about both these assets

right now.

So again, as I said, there's no guarantee that everything will work out. But as I said, the idea in this business is that you build like about 10 to 15 ideas and then even if you get half of them through, then you're home. I think you have to reimagine your business every few years, right? So, I mean, a pure generics play is going to be very competitive and your moonshot ideas cannot stick only to generics, right? You need to also look at NCE. So, I think doing an NCE program in our balance sheet also becomes very stressful as well.

So, what we have done is we have adopted a strategy doing some smaller investments and also larger ones. But obviously, 2694 and the xenotransplant one is probably the bigger ones. So, if something good happens there, then obviously, we all will have a good upside. That's the expectation.

Moderator: Next question comes from the line of Bino Pathiparampil with Elara Capital.

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Bino Pathiparampil: Rajeev, first of all, when you say profit decline of 30%, are you talking about EBITDA decline of 30% or at PAT level?

Rajeev Nannapaneni: PAT.

Bino Pathiparampil: PAT level, okay. Second, you have scaled up your R&D investments because we had a lot of money coming from Revlimid, et cetera. So, going into FY '27, although it is a bit early, is there any kind of an indicative margin range that you can give at the EBITDA level?

Rajeev Nannapaneni: At this time, no, Bino. It's hard to predict anything right now because there's so many moving parts. The moving parts would be that some of our Para IV's, if some of them come through, there could be some upside there and then obviously, the Semaglutide upside is probably not factored in the '27 numbers.

So, I think it's very dynamic. So, as the year progresses, then I think we'll have more clarity of how '27 is going to look, then we can give some guidance. At this time, I would dissuade from doing that. I think it's too early.

Bino Pathiparampil: Okay. And with Risdipam, if you get a favourable judgment, would you expect other Indian players to come into the market as well immediately?

Rajeev Nannapaneni: We'll see some competition, but if everything goes well and we launch, then we'll have first - mover advantage. So that is always good. In this business being first mover is everything. So theoretically, yes, if we get a favourable order, other companies can also come theoretically, yes, that is possible. But we have the first mover advantage.

Bino Pathiparampil: Right, right. One last question on Semaglutide. So, have you sorted out all your device, et cetera? And would your fill and finish be internal? Have you figured all those things out?

Rajeev Nannapaneni: I think we're getting there. Our clinical trial has already started in India. So, we are hoping that we'll be able to complete everything on time, and we'll be able to be on there when the market formation happens early next year. So, that's our expectation, I think we're in good shape. As of now, everything looks good.

Bino Pathiparampil: And you are planning your own capacity?

Rajeev Nannapaneni: No. We are using a CMO for the cartridge. We're using One Source on this.

Moderator: Next question comes from the line of with Pi Square Investments.

Hrishit Jhaveri: First question on the capex plan. Do we have any significant capex plan for next year, '26?

Rajeev Nannapaneni: We have general capex. I mean, there's always something going on. Every year, we spend about INR300 crores to INR350 crores. So, we have a capex plan of about INR500 crores, INR600 crores, but per year, looks like we're going to spend about INR300 crores. I think we can take about 1.5, 2 years to build these projects. INR300 crores, INR350 crores seems, I think, a reasonable amount of capex that we'll do per year.

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Hrishit Jhaveri: Okay. Understood. And sir, on the guidance which you gave, I think that first half of FY '26 will still have some good growth in terms of June and September. So are you seeing the H2 to be bad. That's why the entire year will take a hit or the H1 and H2 both will take a significant hit as compared to the FY '25?

Rajeev Nannapaneni: I mean, I will not use the language that you would use, but I would say that the first half will be good, but second half will not be as strong as the second half. The second half will be weaker than the first half.

You will definitely see a difference, yes, because there's so many moving factors. So that's why I think we've been conservative in our guidance, yes. But, principally, you're right. I think the first half should look good and the second half is, as you would say, I would say not as strong. Yes, that's correct.

Hrishit Jhaveri: Okay. Understood. Sir, just the last question. Given the guidance, you have already discounted the higher tariffs from the U.S. government, or we have not discounted it. And if we have already discounted it, any relief there would drive up the guidance significantly?

Rajeev Nannapaneni: As I said, see when we make an estimation, we consider multiple factors and multiple assumptions. If I could change my assumptions, I'll come and tell you based on how the policies change. But we have assumed the political risk and the change in the portfolio and the R&D expenditure. So, we have factored certain things in. But again -- and there's too many moving parts, my friend. So, you can't say this event happened.

That's the reason why did this go up or come down. I don't want to get into it because what we can do as a company is only make an estimate. So, I think that's what we are trying to do based on the success. This sounds reasonable. I think generally, we've been very reasonable in our estimates.

I think 1 or 2 times, we are also surprised. But for the most part, I think we get -- most of the times we get our estimates right. So, I think, again, there are always some things that I can't control, which could change things. But as of today, yes, that's what it feels like.

Hrishit Jhaveri: Correct. And any inorganic deal on the table right now or no?

Rajeev Nannapaneni: Yes, we are pursuing a couple of deals. But again, we've been saying that. So hopefully, we'll be able to close something this financial year.

Moderator: Next question comes from the line of Abdulkader Puranwala with ICICI Securities.

Abdulkader Puranwala: Sir, firstly, on the R&D budget of INR400 crores what we have earmarked for this year. Sir, what percentage of this would be spent on the NCE projects and in Agrochem, if you could help us with this.

Rajeev Nannapaneni: Of the INR400 crores, how much are we going to spend in NCE and how much goes to Agro, the NCE will probably see about, INR25 crores to INR30 crores, I would estimate in that amount.

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roughly. I'm making an estimate don't hold me to it. But yes, if I were to make like an educated guess sitting here, yes, I think about that and rest of it will be on generics.

Abdulkader Puranwala: Sure. Understood.

Rajeev Nannapaneni: I think we deliberately didn't want to do too many NCE programs, because it becomes too much strain on the balance sheet. So, a lot of the other programs, we have done only equity investments because we wanted to balance trying to get the right amount of R&D, at the same time, don't want to tie up too much of the surplus and expensing too much R&D. So again, that's the balance we are trying to share.

Abdulkader Puranwala: Sure, sir. Understood. And sir, next on your capital allocation from here on. So, R&D, you have guided capex, you said another INR300 crores, INR350 crores. So, with, say, INR700 crores, INR750 crores spending ever

year for any inorganic to pursue ahead, would you even want to raise your balance sheet, some debt on the balance sheet if the need may be?

Rajeev Nannapaneni: Right now, we don't need that. I think right now, we're very comfortable. I think when it comes to closing, we'll see. I think as of now, I don't want to comment. As of now, we are comfortable, yes.

Moderator: Next question comes from the line of Chetan Doshi with Tulsi Capital.

Chetan Doshi: See, what I have been observing is you are very conservative in giving the forecasting about the overall business and you always exceed, whatever you say so, you exceed in the end of the year.

That is my observation. So anyway, congratulations. Even 30% drop on current profit, that is close to financial year '24, that much profit we do.

So, don't you think you need to be a little bit liberal on distribution of the profits to the shareholders? And second question is what is the size of acquisition you are looking forward to which we intend to close in this financial year?

Rajeev Nannapaneni: Size of the acquisitions, I don't want to comment. It's very premature. So, I don't want to answer that question. Regarding distribution of the money, as of now, I'm saving all the money for the acquisition. So, we believe that we'll be able to close something. That's the reason why we have not given an aggressive dividend.

So, I think you're right. Regarding the guidance, I think people are harsh when you say something higher and then we deliver, then market is harsh. So, it's better to say something less then deliver more. So, I think that's what I've learned.

Chetan Doshi: Sorry to interrupt. I think one of your ideas, you can surpass your current year profits also. One of the ideas it goes on floor, then it is a big boost to NATCO. That is for sure.

Moderator: Next question comes from the line of Srihari with PCS Securities.

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Srihari: Two questions. Firstly, if you could please talk about the non-U.S. formulation exports market.

And secondly, if I look at the cost base ex of R&D, you have spent close to INR1,200 crores in FY '25. So, what is the kind of scale down you have considering for FY '26?

Rajeev Nannapaneni: Scale down because of what?

Srihari: I mean you would obviously have some pressure at the EBITDA level. So, you might have planned some kind of cost reduction?

Rajeev Nannapaneni: I'll give you a general answer. I'm trying to understand what your question is. The R&D spend is driven by obviously the EBITDA that we have. So, I think we have a pretty good plan this year and last year, we spent a good amount of money, next year even '26 March also, we should be able to do well.

Regarding the R&D expenditure in '27, I think we'll make that assessment based on what surplus we see that year, and we'll make the judgment. Maybe we can give you some light on that end of the year. The R&D expenditure is obviously linked with the amount of EBITDA that you're making and based on how much money you believe you're going to make, then you have to

make a plan.

Okay, fine, I'm not making so much surplus, and I have to scale it down. But I believe there's a reasonable amount of surplus, then I'll continue to spend this much. So, we'll make that judgment closer to the time. As of now, it's hard to comment.

Srihari: No, I was talking about expenditure ex of R&D. That was, I think, around close to INR1,200 crores for FY '26. So, are you looking at a reduction there?

Rajeev Nannapaneni: We always want to challenge ourselves on whether we can reduce our costs beyond that. I think we have done a lot of cost cutting. We have done a VRS program about 2 years ago. I think costs, we're looking at it all the time. Yes, it's an ongoing process all the time.

Srihari: Yes. And the first question was exports of formulations ex of U.S.

Rajeev Nanna

paneni: Ex of U.S. So, I would say about INR800 crores to INR900 crores minus U.S.

Srihari: Is that the estimate for FY '26 or '25 number?

Rajeev Nannapaneni: Yes, I don't have the split, I'm making an estimate because I don't have the split literally the way you want it. I've not come prepared to answer that. I'll be better prepared next time. But yes, roughly about that is what I feel.

Moderator: Next question comes from the line of Gagan Thareja with ASK Investment Managers.

Gagan Thareja: Sir, does your guidance bake in the launch of Risdiplam in China next year?

Rajeev Nannapaneni: No.

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Gagan Thareja: Okay. Fine, and India, you're pointing to a substantial improvement in sales next year. Can you elaborate? I mean, is it basis launches other than Semaglutide?

Rajeev Nannapaneni: These are the 2 big ideas. If they work, then that will drive the growth. Otherwise, see, you need to understand, I mean, I think generally, the business is very competitive. I mean you look at our peers, everybody is well, financially strong. So, the opportunity only happens when you do that special product.

To do something that everybody is doing, it's very difficult to get growth. You only get that anaemic, whatever, 7%, 8%, 10% growth. But you want something dramatic to happen, you need that special product, and I think that's why I keep talking about these special products because this is what drives the growth. So, I believe that if you want to get above market growth, you need to get these 2 right. I think in my view, at least top of my mind right now, these 2 are the big ones we have to get right.

Gagan Thareja: Right. And for the non -U.S. markets, Canada also, would you be there in the first wave for Semaglutide launch? And generally, I mean, on that base of INR800 crores, INR900 crores, how do you see growth happening next year?

Rajeev Nannapaneni: I think we are not going to be in the first wave. I think we are working on it, but we're not in the first wave in Canada. I think that's my understanding. We are tied up with Mylan (Viatris) on this product. We are not doing it directly.

Gagan Thareja: But otherwise, is the growth going to be healthy in the non -U.S. export markets for you on the current base?

Rajeev Nannapaneni: I would believe so. I think we're doing very well in the MENA region, and we're doing very well in Canada and Brazil. They have very good launches. So, yes, we should do well.

Gagan Thareja: Right. The final one, sir, last quarter, you indicated it would make a lot of sense for you to get your manufacturing or a distribution base in U.S. given the current circumstances. Would the acquisition that you're considering be in that direction?

Rajeev Nannapaneni: Yes, that's one of the acquisitions we're looking at, yes.

Moderator: Next question comes from the line of Rahul, an individual investor.

Rahul: Sir, I just wanted to know a couple of questions. Have you informed the USFDA that Kothur plant is ready for reinspection, the warning letter? Or how does it happen? Have we sorted out?

Rajeev Nannapaneni: We're giving constant updates yes; I think we constantly give updates on the things that we're doing. So, our remedial action is going on and our updates are given. We hope to inform them, sometime this year. We have not informed them. The question is, did you inform FDA for a reinspection? No, not yet.

Rahul: I don't know whether it is over, the remedial measures are ongoing.

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Rajeev Nannapaneni: It's still ongoing. We continue to supply from the site. It's not that there's restriction on supply

on the site. But we're not getting new approvals on the site. That's what is happening currently .
Rahul: Sir, there was a 2009 article on your company. It said a lot of things about the history and all that. B

ut it also said something that our company holds close to 400 acres of land. And I'm just saying because last year, we sold a little bit of it, includin g where your plants are there. So, sir, is this like an untapped gold mine still we have or we have sold most of it? Or what is the status there, sir?

Rajeev Nannapaneni: It's still there. I think to monetize an asset like that, usually, what happens is it's something you can always monetize. I think when you get the right party like Microsoft in that particular example, we sold it to Microsoft for a data centre .

So, it was a good rate, and we got it. But you need to do some amount of work, and you need to do the basic infrastructure and usually, when you have a large parcel like that, you always have these wiggling litigations on some portion because you know in India, land, titles are always very tricky.

But if you're able to, I mean, I'm not saying that there's litigation for all the pieces, but there's always some pieces here and there, a few access here and there is always some litigation. So , it can be monetized over a period of, let's say, if you take a 4 - to 5-year view, yes, we can definitely monetize. It's valuable property. It's 1 hour from the city of Hyderabad, so near a metro always it's valuable. But yes hopefully, we'll be able to bring some value there as well, yes.

Rahul: I was just going through the segment reporting. Sir, in the Crop Health division year-on-year, our top line has reduced, sales have reduced and obviously, the losses have also increased. I think we have set a segment loss of around INR150 crores this year. Your optimism in the coming years is based on what, sir, because historically, we have reduced numbers. What is the...

Rajeev Nannapaneni: The loss also represents the impairment that we have taken, okay? Let's start with that. And the second is , what has happened was when we stopped the product 2 years ago. Then basically, what happens is a lot of the stock came back as returns. So , the sale reduction is because of returns of the previous year.

It's a new business. I mean it's not a good place to be. But because it's a new business, it took us a while to sort of figure out how the distribution works, how do you manage the controls, how do you make sure that the stock is liquidated. So, I think it's getting better. I mean, as I said, because of the returns and all, we had to take a loss, and a reduction in sale.

So, when something come back as returned, then you have to reduce the sales. But I think it's looking better. I think if you look at the cash flow, the sale was INR60 crores, we actually had a cash flow of almost INR85 crores to INR90 crores. So, cash flow in my world is a true indicator of whether you're selling the product.

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So, I think we're getting there. So , 150 is a number that we need to be there. So, I believe that we'll be able to get there this year. But see, I tell you, my friend, generally, when you start a new business, it is not a fairytale, right? You come in and then you start making money on day 1. And especially when you're doing a business that you're not having a setup, what I call before, a greenfield, it's always going to be a challenge. To build a business, in my experience has always been it takes about 4 to 5 years. And sometimes you get luck y and things turn around in a year or 2. So unfortunately, Agro is coming in that median where it is a 4 to 5 years' time line. But I think we're getting there. It's not as bad as it looks.

Rahul: We are not turning it quits out here. No, sir. I mean it is , we are going to become stronger because this is something we were all hoping would be.

Rajeev Nannapaneni: In a business, it's going to take some time, and this is one of those businesses that's taking time. But we believe that sometimes what happens is, obviously, nobody likes

losing money. But what

happens is sometimes businesses do take 4, 5 years to build, and it is one of those. But I believe that we are at the end of the tunnel, and I think it should be able to break even this year.

Rahul: One last question, sir. Sir, I have a question, please. I had the good fortune of hearing your 2020 MoneyLife interview, your comments and your outlook, and it's just to say all these 5 years. But sir, you have a disdain for mutual fund industry, sir, and ROE. We need more institutional investments. So do we have a corporate strategy have any like I mean, it's not working out. We just go up and down. It's too volatile, our market cap. I mean do you think because we have seen other companies...

Rajeev Nannapaneni: I have the same for everyone. For anyone, honestly. It was right , so see, I'll tell you something. See, what happens is our business has volatility, I think I'll be very honest with you. And what happens is, I mean, there are some mutual funds who are with us. And I think they understand

our volatility and they're willing to be with us and willing to ride the volatility. And if you look at our return on capital, the profits that we generate, they're as good as any of the top 10 Indian companies, right? But the issue is a lot of the times, again, it's not a criticism, but it is, I mean, we need to explain. People don't want volatility in their NAV. I think what they want is something that delivers 10%, 15% compounded growth consistently without too many volatile elements coming in. And those assets have higher value than assets like ours who deliver great profits but have a little element of volatility.

And I think people who understand are there with us as investors, people who don't understand that are not there. And they also have their own, what I call, limitations. See, you can't change what you're doing, right? I mean it is what it is, and you just have to communicate what you're doing, and people will come along. I think that's how you have to look.

Rahul: This new investment that we are looking for will be a straight cut investment, right? It won't be a moonshot and it will be like buying a business or something, which is existing business, like it's a brownfield investment you're looking for?

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Rajeev Nannapaneni: No, when you do an acquisition, if you're buying a front end or you're trying to buy a new market, it will be a brownfield, yes. And Moonshots make money, don't discount moonshots. A lot of our moonshots have been successful.

Rahul: I have one last question, sir. How are we going to monetize Cellogen, sir, because that is not a company that we own. It is like when it gets listed, we'll get money, like what is in for us?

Rajeev Nannapaneni: Very early stage, it's a very early -stage company. It's too early to talk about it. They have a very interesting CAR -T pipeline and CAR -T is something that we don't have a skill set in NATCO.

So that's why we invested in them. But they'll all come to fruition. We just have to be patient, and we'll get the opportunity if all well. So, any business idea will always take you 5 to 7 years. Otherwise, it doesn't happen. That's how it works.

Moderator: Next question comes from the line of Nitin Agarwal with DAM Capital.

Nitin Agarwal: Two things. One is on the NCE molecule. How should we think about the milestones and next steps on this product?

Rajeev Nannapaneni: So, I think the way we're looking at it is what we have done is we have taken a very end -stage disease where there's no therapy available. All the first line, second line is completed, and there's no other treatment options which are left and we're dosing that subset of patients.

So, advantage of doing a trial on something like this is you don't have to do like many patients. If you're able to demonstrate efficacy and we are doing a single -arm study.

y. We are not doing a comparison study either because we're using a subset for which there are no therapies available. So, we're able to show response, you will get an approval if you have very good Phase II data with a reasonable number, you can get an approval. And so, I think as long as we're able to recruit those patients and we're able to do it, I think we're home. So, we're targeting something niche. I mean, again, the disease is obviously a niche disease, and it's not going to cater to a very large number of patients, but it will be a very critical item that you need in the event that the first line, second line is not working, and I think this is a good one to do and relatively easier to do. And I think hopefully, it will work. So, I think that's where we are.

Nitin Agarwal: And how much time do you think you'll be required to complete your recruitment given the challenges which are there in such hirings in recruitment?

Rajeev Nannapaneni: I think the difficulty that we are facing on this trial is the fact that we are unable to get Keytruda failure patients. The reason is Keytruda failed. Nobody uses Keytruda in India. There are limited number of patients who use Keytruda, because Keytruda itself is so expensive, right?

So, I think that's a challenge that we're facing in recruiting patients and typically, generally, people who are already on KEYTRUDA failure are already very ill. So, it's very difficult to recruit patients. But see, I think we are taking up a challenge. Hopefully, I think we'll have some clarity in the next 1, 1.5 years where we are going. We've already done some patients.

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So far, it looks good. So, as I said, it's a single -arm study. It's not a comparison study, so relatively easier to do. But the problem we are facing is the recruitment. I think if we're able to get around that, we have done some amendments to the protocol. So hopefully, we'll have some clarity and then we'll be able to recruit. So, if we are able to recruit, then yes, it could be

interesting.

But give us a bit of time, though, I can't answer that whether we'll have some clarity maybe in the next 12 to 18 months and you can always ask me for updates every quarter. But as of now, I think let's give ourselves about 12, 18 months to get more clarity on.

Nitin Agarwal: Best of luck for that. And secondly, on the non -U.S. businesses, INR800 crores, INR900 crores is, I think, a meaningful step -up from the numbers we discussed last, if I remember. So, which are the major geographies that will be making up this business? And what would be the drivers for these businesses as we go forward, any specific products?

Rajeev Nannapaneni: I think it's an overall portfolio. I think Brazil and Canada are the biggest ones that we are driving this business. To an extent, now MENA is also driving this business. These are 3 geographies that we're doing very well. In terms of products, it's mostly our cancer portfolio. I think Brazil and MENA has done extremely well. It's mostly from our cancer portfolio, not product specific. It's like a basket of products that we have, which has made a difference.

Nitin Agarwal: Okay. And going forward, any specific launches that will drive this portfolio or this is going to be this year?

Rajeev Nannapaneni: I think at this time, we are just saying it's for cancer portfolio. We're not giving any guidance on specific product at this time. Thank you so much. Thank you, everyone. Thanks for the time that you guys have taken to interact with us. We appreciate the time that you have spent with us.

Rajesh Chebiyam: Thank you all.

Moderator: Thank you. On behalf of NATCO Pharma Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jul 2025

29th July, 2025

Corporate Relationship Department Manager – Listing
M/s. BSE Ltd. M/s. National Stock Exchange of India Ltd
Mumbai 400 001 Mumbai 400 051
Scrip Code: 524816 Scrip Code: NATCOPHARM
Dear Sir

Sub: - Transcript of conference call held on July 23, 2025

Ref:- Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements),
Regulations, 2015

We are enclosing herewith the copy of transcript of the Company's conference call for

Proposed Investment held on July 23, 2025. The transcript is also available on the website
of the company i.e., www.natcopharma.co.in.

Thanking you

Yours faithfully

For NATCO Pharma Limited

Ch. Venkat Ramesh

Company Secretary &

Compliance Officer

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NATCO's Call for Proposed Investment

July 23, 2025

– Host:

– Good evening and welcome to NATCO's Call for Proposed Investment in Adcock
Ingram Holdings Limited. I now hand over the call to Mr. Rajesh Chebiyam, Executive
Vice President, Crop Health Sciences, NATCO Pharma Ltd. for his opening remarks.
Thank you and over to you, sir.

– Mr. Rajesh Chebiyam - Executive Vice President (Crop Health Sciences), NATCO
Pharma Ltd.:

– Thank you, Vandit. , I welcome all of you for our evening call today to update on the
acquisition and thank you for joining on a very short notice. So, during the call, we
may be making certain forward-looking statements about the acquisition or future
events about it. So, anything said on the call which reflects our outlook for future,
must be reviewed in conjunction with the risks that the company faces.

– We are very excited that we are offering to acquire a stake in Adcock Ingram Ltd.,
one of the largest pharmaceutical and healthcare companies in the African
continent. The press release and the presentation related to the same has been
uploaded with the stock exchanges and on our website. So, with that said, we'll
delve into the key highlights of the transaction and then open the floor for the Q&A.
I would like Mr. Rajeev Nannapaneni, our Vice Chairman and CEO, to take you guys
through the presentation and share his thoughts. Thank you.

– Mr. Rajeev Nannapaneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

– Good evening, everyone. First, I'd like to thank everyone for participating and
showing interest in our call today and turning up.

– Let me start off with the first slide. So, we'll just run through the presentation and
for us, it's a very large transaction for our firm. It's probably the biggest investment
that we ever made in our life. So, it gives us a good global presence. It's 35.75% stake
in this company. At this time, this was the share that was available, but still, it's a
very substantial minority's position and we get to consolidate the profits of the
company into our books. We also get an avenue to send our products there and
work in a market that we are not present in. I'll just walk through the company and
the major highlights of the transaction.

– So, the name of the company, as you have seen, is Adcock Ingram. So, we're
proposing a 35.75% shareholding, and Bidvest is going to own 64.25%. We're paying
ZAR 75 (South African Rands) for buying the shares, which are in public, and we will
delist the company and make it a private holding company. It will cost us about
2,000 crores. Financial highlights, last year it did about US\$536 million and half year
it did about US\$262 million.

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– So, a little bit of background. It has a very long history. It was established in 1890 in
South Africa. It's the second largest company in the private market, and it's there in
private and public sector. It is having a nice portfolio of Prescription, OTC, Hospital

and Consumer. It owns three manufacturing plants near Johannesburg in South Africa and owns two plants in India as well ; a 49% Indian JV company they have.

– These are the areas that they are present in - Prescription, OTC, Hospital and Consumer.

– These are the top brands. These are all household names in South Africa. It's a business that we have no exposure to. Now our shareholders will have an earnings exposure to this business, which helps us in our drive for diversification and strengthening our base business and these are all big household name brands in South Africa , and all these brands do excess of \$10 million. These are top brands. So solid brand portfolio.

– And this is the income statement. So, it's consistently doing more than US\$500 million revenue annualized. Even this year, it'll exceed more than US\$500 million in revenue.

– So, there are multiple value creation opportunities for us. Our pipeline , you know, is not going to South

ern Africa. So, this acquisition will allow us to take our portfolio to Southern Africa. And as you know, it has a nice breadth of portfolio that they're covering. And we are here to strengthen that portfolio and grow the company. Next slide, please.

– So, the broad contour of the acquisition is, we'll be enable us to get a lot of revenue synergies over a period of time , and we'll be doing some portion of manufacturing where they have a requirement. And of course, our R&D pipeline can be extended. Now, as you know, we're present in the U.S., India, Brazil, and Canada, which are the four big markets . Now we added South Africa to it. I think , among the African countries, this is probably the most stable and strong economy to be present in.

– And Bidvest, I think some of you know about this firm. It's a very big conglomerate in South Africa. Their background is not necessarily from pharma, but they have a diverse set of businesses. And so , we want to work with them to strengthen their R&D and Prescription business, which is where our value is , and bring value to them as well.

– Thank you. It's a very monumental acquisition. So as a Group , we'll be touching almost \$1 billion in revenue. So, it's a big milestone for us. I think we're very excited about this acquisition. And it has come at a very reasonable valuation, as you can see. And I think I'm open for questions. Thank you.

– Question & Answer Session:

– Host:

– Thank you, sir. We'll now open the call for Q&A session. We'll wait for a few minutes until the queue assembles. We request participants to restrict to two questions and 3

then return to the queue for more questions. Please raise your hand from the Participant tab on the screen to ask questions.

– The first question is from Tarun. Go ahead, Tarun.

– Mr. Tarun Bathija – Participant:

– Hello , sir. Just two questions from my end. So , we are right now acquiring 35%. Is there an option with us to acquire the rest of the stake or take it to a majority stake in a certain time frame? That's one.

– And is there any significant potential for us to expand on the margins , or is it the sustainable level of margin at around 14 -15%?

– Mr. Rajeev Nannapaneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

– Thank you. I think first I'll answer the shareholding question. I think at this time, Bidvest doesn't want to sell their shares, and we looked at it, this is such an A -class asset, and I don't think we'll get an asset like this. So , I thought it was worth buying 35%. Regarding increase of shareholding, we have a first right of refusal. If Bidvest decides to sell any sometime in the future, we have the first right of refusal. But currently , the transaction is envisaging only a 35.75% stake.

– And increasing margin, Tarun, I think you'll see the benefit of the transaction over the next few years as we start selling our products through the entity and if we have a smart, disruptive product, then obviously the EBITDA will improve dramatically. We will mix it up with our pipeline and help them source other products from India which are interesting and strengthen the pipeline. So , we're looking for a very strong long -term relationship with them.

– Mr. Tarun Bathija – Participant:

– Okay, perfect. Thank you.

– Host:

– The next question is from Rashmi . Requesting participants to identify yourself and your company when asking the question. Thank you. Yeah, Rashmi, please go ahead.

– Ms. Rashmi Sancheti – Dolat Capital:

– This is Rashmi from Dolat Capital. So just a follow-up question from our earlier participant. You mentioned that there are very good brands which are more than \$10 million market, yet the margins from last 2-3 years is stagnant at around 14-15%. So, what is the reason for that?

– And if you can also give the split, like whether the business has got more of a branded part or in the hospital,

because you mentioned that in the Hospital and

Critical Care also, it has got some segment. So, if you can give the split between that also.

– Mr. Rajeev Nannapaneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

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– So, one thing is the challenges with the margin, there are like multiple factors in it. But before getting to that, I think what value we want to bring is the pipeline. I think what I believe is that the pipeline that we're bringing in is so strong that I think the margins will improve. You know that we have a very exciting pipeline in NATCO. I think if we're able to plug that pipeline into Adcock, I think we'll see a lot of value in it and even if we get a breakthrough, even with one or two smart products, I think we'll be home. So, the value that we bring to the table is going to be in the Prescription business, which is where the growth has been sluggish.

– If you look at the split. It's about 35% in Prescription, 21% Hospital, OTC is 26% and Consumer is 17%.

– Ms. Rashmi Sancheti – Dolat Capital:

– Okay. One more question. You will be leveraging your portfolio to South Africa, but would you also look to leverage their portfolio into the India business or the other geographies of NATCO?

– Mr. Rajeev Nannapaneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

– I think, see, good thing about South Africa is, all those plants are Pharmaceutical Inspection Convention (PIC/S) approved, which allows you to export to other countries. We're looking at possible synergies where they could supply to one of our sister concerns like Brazil or something like that. I think it's early days. I think we're just going to close the transaction. It'll take us about 3-4 months to close the transaction. And once it settles down, I think we will look at the details. But at a high level, yes, I think we see some synergies. Yes.

– Ms. Rashmi Sancheti – Dolat Capital:

– Okay. And one last question. The consolidation would be not a line-by-line item, right? It would be only one line item just before the net profit in your P & L, whatever share of profits directly to the NATCO's P & L, and then that, that will get consolidated, right?

– Mr. Rajeev Nannapaneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

– Absolutely correct. I think that's what my understanding is. As per the accounting standard, that's what will happen. So, for example, if the property is \$45 million a year, for argument's sake, so 35.75% of that will get consolidated on a quarterly basis.

– Ms. Rashmi Sancheti – Dolat Capital:

– Understood. Thank you so much. That's it from my side.

– Host:

– Next question is from Viraj.

– Mr. Viraj Mahadevia – Participant:

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– Hi, Rajeev. Congratulations for buying into this marquee asset. I know it well from my healthcare banking days. Just a quick question regarding the synergies on revenue and cost side are obvious, as you've articulated, and there's a huge opportunity there. But when it comes to the Critical Care Hospital business and the Consumer and OTC, can you share some light on what you can do around those businesses? Are you planning to potentially bring the Hospital Care business or products into India and build that out? Or are you potentially considering spinning off or selling off the OTC business?

– Mr. Rajeev Nannapaneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

– No, we're not considering any of those, Viraj. I think we want to grow this business. I think there are a lot of synergies that we see in the Prescription business. I think one of the rationales is, like for an Indian company, for example, Viraj, we spend R&D money. We export to 7-8 countries, right? Or 10 countries or 20 countries. But like when you're a local company like South Africa, then you're not getting the geographical expanse. So first leverage we see is in the R&D. So, we're doing a smart product in India

, you can extend it to multiple markets. So that's probably the biggest advantage we see, especially in the Prescription business.

– OTC and Consumer business, I think we can probably help with some new ideas on new product developments, but I think that is the strength of that company, which is the value that we bring is less there. I think it's more in the Prescription business.

– I think one of the challenges, one of the ladies asked me why it's not growing so strongly. I think part of the reason is that there's a lot of competition in the Prescription business, and all our Prescription business competition is coming from India. I think one of the rationales when we spoke to Adcock is that you need a strong partner who can help you out in the Prescription business because this is where we are good.

– Mr. Viraj Mahadevia – Participant:

– You've got the local manufacturing at the back end. Yeah.

– Mr. Rajeev Nannapaneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

– Yeah, absolutely. I need backward integration and I think that's a value that we bring, at least with our niche portfolio and again, Indians are gone global and become very competitive. So, you need a partnership with somebody like us who can help you out. I think that's, that's the synergy. Yeah.

– Mr. Viraj Mahadevia – Participant:

– Second question is, are there any markets that Adcock exports to which are white spaces for you as NATCO? So new market entries that you're getting access to over and above just South Africa or parts of Africa?

– Mr. Rajeev Nannapaneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

– They're active Viraj, but they used to have presence in other countries, but I think they went back a bit now. But they're active in the neighboring countries. I think if

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you know South Africa, Swaziland, I think the nearby countries, I think they're active. But they've not gone to most of the African countries. I think that's one possible synergy as well. We could expand this business to other countries in Africa. But I think in addition to South Africa, they're present in the neighboring countries of South Africa as well in a small way, and we're looking to strengthen that presence.

– Mr. Viraj Mahadevia – Participant:

– And no exports outside of Africa at all? The continent?

– Mr. Rajeev Nannapaneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

– I think very minimal, of what I understand.

– Mr. Viraj Mahadevia – Participant:

– Okay. Thank you, all the best.

– Host:

– The next question is from Kunal.

– Mr. Kunal Randeria – Participant:

– Hi, Rajeev. Good evening. Rajeev, firstly interesting comments that your contribution would be to get your very impressive, complex, generic pipeline to Adcock. So, did you not explore the option of having a profit share agreement for a lot of products like you have for a Revlimid or a Copaxone? You have none? Or are they taking equity in the company?

– Mr. Rajeev Nannapaneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

– That's not the deal on the table. I think they are also a very large firm. So, I think the deal right now is buying the shares. I think that's what we've accomplished after many months of negotiation.

– Mr. Kunal Randeria – Participant:

– Absolutely. So, I get you, Rajeev. The point is, was this not an option that you had explored? Because I mean, you have a very enviable portfolio of products, which a lot of large companies have struggled to get to the market. I'm just wondering if that was not an option.

– Mr. Rajeev Nannapaneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

– I think it's a cross-border transaction, and it's a public company and they felt that the value will come when it goes private. I think this, we thought, is best for everyone. I think that's the best way forward.

– Mr. Kunal Randeria – Participant:

– All right. Thanks.

– Mr. Rajeev Nanna

paneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

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– Also, having an economic stake in it, also gives us an incentive to give the pipeline and take it forward. That's really trying to create synergies and incentives that the asset does well. And for us, some economic stake must be there so that we are also strongly incentivized to support the asset. I think that's a true rationale for the

transaction.

– Mr. Kunal Randeria – Participant:

– Fair enough , second question. South Africa , you've made an entry here. You still have the cash on the books. So future acquisitions again would be in countries where you do not have a footprint at the moment?

– Mr. Rajeev Nannapaneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

– I think so, This is not the only transaction we want to do. I think we've been saying that. Finally, we accomplished one. So, I think that's good. So, I'm also looking for another transaction and hopefully we can do something as large as this or even bigger than this so that we can solidify our position in our key markets that we operate in and bring more diversification and stability in our core earnings. That's what my thinking is. And I think that's where we're going, and this is part of that accomplishment.

– Mr. Kunal Randeria – Participant:

– Yeah. And so just to kind of take this forward. So , would it be fair to assume it will not be Canada and Brazil where we already have some presence?

– Mr. Rajeev Nannapaneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

– I think I said there are only three things in this business that works, right? One is , you need to have great products and great R&D. Two, you need to have global scale and three, you need to have multiple markets that you're there. If you get three right, then you're building a wonderful business. If you don't get these three things right, it's tough to compete in this business. I think our strength has always been R&D , our problem has been market access and a lot of times we don't have access, or we did sharing . So, I think that's what we're trying to sort of address so that we have access, and we have scale so that we can bring value to the pipeline.

– Mr. Kunal Randeria – Participant:

– Right. Okay, thanks. Thanks for answering my question.

– Host:

– Next question is from Nirali Shah.

– Ms. Nirali Shah – Participant:

– Yeah, congratulations. I have one question. I just wanted to know what are the 2-3 immediate synergies or any near -term wins that you're targeting from this deal? Whether it's a dossier monetization or R&D collaboration or any supply chain

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leverage ? And if you could mention by, when should we expect them to reflect in numbers?

– Mr. Rajeev Nannapaneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

– It will take some time. We have a few filings in South Africa. So, we'll try to see whether we can monetize those assets through our associate firm. Those, I think, will start kicking in immediately. It will be immediately earnings -accretive because we'll be able to consolidate the numbers.

– The real value for the asset, we'll be able to see in the next two to three years, I would believe. Once the new registrations start coming in, we start filing, start getting approved and we launch products, I think that's where the real value is. I think you have to look at medium -term, not in the near -term. Near -term, you'll see some value, but the real value will come in the next three years.

– Mr. Rajeev Nannapaneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

– Anything else, Nirali?

– Ms. Nirali Shah – Participant:

– No, thanks .

– Host:

– The next question is from Neeraj, requesting everyone to please identify themselves and their company name, please.

– Mr. Neeraj Kayal – Retail Investor:

– Thank you for the opportunity. I'm a retail investor, individual investor. I wanted to ask, does this company have asse

ts like first -to-file or new molecules?

– And the second question is, we are paying a significant premium. Is it because we are taking the company private? Is that why we are paying the premium?

– Mr. Rajeev Nannapaneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

– Okay. Let me answer that question . First , their geographical expanse is Southern Africa. They sell primarily in South Africa specifically and countries nearby and majority of the sale is coming from South Africa per se. It's a very highly concentrated single geography business.

– The second question you had was what?

– Mr. Rajesh Chebiyam - Executive Vice President (Crop Health Sciences), NATCO

Pharma Ltd.:

- Why the significant premium?

- Mr. Rajeev Nannapaneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

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- I mean, we are taking the company private, Neeraj, and I think you need to give a good premium to entice the shareholders to tender their shares. We believe we gave a very fair premium, and I believe, I think we have enough support, and we strongly believe that we'll be able to delist the company in the next 3-4 months.

- Mr. Neeraj Kayal – Retail Investor:

- Okay. Thank you.

- Host:

- Thank you. The next question is from Radhakrishnan.

- Mr. Radhakrishnan Guhan – Participant:

- Congratulations, Rajeev. It is a good complimentary addition to NATCO. So, what NATCO plans to do with the remaining cash in hand?

- Mr. Rajeev Nannapaneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

- I hope to also do something large, something large like this, which is something very large and interesting. We'll be using some of the cash. Obviously, we don't need any long-term debt. We might borrow for a short term, but I think most of the transaction will be funded with the cash on the books that we have. But we're looking to do another large transaction if everything goes well. So, I think what we're trying to do, is to sort of bring a diversification in our business, move our revenue focus away from the US and bring other markets in so that we have more stability and strengthen our base business.

- Mr. Radhakrishnan Guhan – Participant:

- Okay. Will NATCO have any operational or board level influence for the Adcock Ingram decisions?

- Mr. Rajeev Nannapaneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

- Yes, we'll have. One-third of the Board seats.

- Mr. Radhakrishnan Guhan – Participant:

- That's great. One last question. So, what is the plan for integrating or collaborating with Adcock's team's R&D production and supply chain?

- Mr. Rajeev Nannapaneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

- I think all the three areas we see a lot of synergies. We can help in sourcing. We could find assets which could be interesting for them. We could use our own pipeline. I mean, obviously, the real work will start once the transaction is completed in the next three months. But I think, yes, we see a lot of value.

- Mr. Radhakrishnan Guhan – Participant:

- Is there any possibility to market Semaglutide in South Africa with this partnership?

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- Mr. Rajeev Nannapaneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

- Yes, of course. Among many things, this is not the only one, other things as well. Yeah, you've cited a very good example. Yeah, products like that we'll be very happy to sell through our side.

- Mr. Radhakrishnan Guhan – Participant:

- Yeah. Thanks, Rajeev, for the opportunity.

- Host:

- Requesting everyone, if anybody wants to ask a question, please raise your hand from the Participant tab. We will wait for a few seconds to assemble the queue.

- The next question is from Abdul.

- Mr. Abdulkader Puranwala – Participant:

- Hi. Thank you for the opportunity and congratulations on this acquisition. Rajeev, just two questions from my end. First is, what would be the cash balance you would have post-consumer rate of this acquisition?

n, post this acquisition?

- Mr. Rajeev Nannapaneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

- Can you say that again? I didn't catch it properly. Can you just say it one more time?

- Mr. Abdulkader Puranwala – Participant:

- Sure, sure. So, I was asking that post completion of this transaction, what would be the cash balance available with you?

- Mr. Rajeev Nannapaneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

- We were able to fund the transaction using the cash that we have. How much cash balance we're left with, you're saying?

- Mr. Abdulkader Puranwala – Participant:

- Yes, that's right.

- Mr. Rajeev Nannapaneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

– Top of my head, I can't remember. But I think we have about INR 3,500 crores of cash, top of my head right now. So, we'll be using 2,000. So, we'll be left with about INR 1,500 crores. Plus, whatever money that we're going to accrue from June quarter and September quarter profit, that I have not included in the calculations. At a broad level, I'm telling you. Don't hold me to it, but I think at a broad level, I think that's what it is.

– Mr. Abdulkader Puranwala – Participant:

– No, fair enough. Thanks for that. Yeah, just one more. You highlighted that there might be a few more transactions into the pipeline. So, would that be on similar lines

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or you would like to acquire something into the U S like what you have done previously, or the strategy now changes towards ROW market completely?

– Mr. Rajeev Nannapaneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

– I mean, we'd want to acquire businesses that we are not part of our core pipeline, which can strengthen our core business. I think we're looking for more assets which will help us give us a geographical spread or give us a portfolio, which we don't have. So, I mean, we'll judge it by the situation.

– Mr. Abdulkader Puranwala – Participant:

– All right, sir. Thank you.

– Host:

– The next question is from Vishwanath.

– Mr. Vishwanath Pillai – Participant:

– Yeah. Hi, Rajeev. Congratulations on the deal. You mentioned that you're planning another similar deal. This would be in which geography? Whether this be in India or whether this be in the rest of the world?

– Mr. Rajeev Nannapaneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

– As I said, I can't answer the question directly. I think we're looking to do a transaction, which can strengthen our portfolio. I think that's all I can say at this time.

– Mr. Vishwanath Pillai – Participant:

– So, the second question is, you rely largely on US. The large bulk of your revenues come from U S. Is there anything changed in that market with this discussion on tariffs? Is that weighing on your mind to diversify or do the geographic diversification?

– Mr. Rajeev Nannapaneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

– I mean, tariffs are one among the many challenges in the U S. I mean, obviously, there are other things as well. Then we have to deal with whatever happens. Anyway, we're going to deal with it. Yes, I think as a business, we want to diversify clearly. I think we want to have a good geographical spread and diversify our revenue and strengthen our core business. And we always had the cash. I think we had the opportunity and then we were able to click and get this transaction. And generally, Vishwanath, I think as a firm, we're all looking to diversify and build a more robust portfolio so that you're not dependent on one market.

– Mr. Vishwanath Pillai – Participant:

– Got it, sir. Thank you, sir, and congratulations.

– Mr. Rajeev Nannapaneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

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– Thank you. And one last follow-up, please, yeah? Next.

– Host:

– Thank you. The next question is from Kartik. Please identify yourself and your company.

– Mr. Karthik – ICICI:

– Hello. Karthik here from ICICI. Congratulations on

this one, Rajeev. I have two

questions for you. In this case, is there a plan to take a majority stake in this? And are we going to sell products in other parts of Africa where there is, in a way, going to be demand, because this company has access to these markets also?

– Second question is, when you say you want to acquire another large asset, will that be for geographical overall footprint, or will it be for any technology, product, etc. which you don't have?

– Mr. Rajeev Nannapaneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

– So, let me answer one at a time and I'll answer your second question first. I think whatever we want to acquire further will be to either strengthen the pipeline that we have in the existing market that we're present in or add a new geography. Whatever comes through and we're able to find the right valuation and we're able to consummate a deal, I'll be very happy to do it.

– Your first question about market access, I think this company has very good access in South Africa, obviously, which is one of the most dynamic economies in the African continent, and in the neighbouring countries too it has very good access. I think we've been discussing with them how we can expand this reach to more countries in Africa. Those discussions are ongoing. I think, once we settle down as a shareholder and take it forward, I think a lot of these plans will come through.

– Mr. Karthik – ICICI:

– And to acquire controlling stake in this company?

– Mr. Rajeev Nannapaneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

– At this time, it's not available, Karthik. We had this discussion. I was very keen on a higher stake; I'm always very keen. So, I think the only consensus we could build is, at this time, it's not for offer. But in the future, if they're interested in selling, we have the first right of refusal. So, if that opportunity comes, we'll be very happy to take. But for now, this is what is up for offer. But even though it's a strong 36%, but an asset like this we won't get every day. So, I thought it's worth doing it, because to build this type of business in South Africa, for us, it's simply not possible. It will take us decades to do that. And I think the valuations are far more reasonable in our country. You know that as well, right? So, this I feel is a far superior transaction than anything we have seen.

– Mr. Karthik – ICICI:

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– Congratulations, Rajeev.

– Mr. Rajeev Nannapaneni - CEO & Vice Chairman, NATCO Pharma Ltd.:

– Yeah, thank you. So, this is my last question for today. Again, I appreciate the time you guys have spent attending this call. Again, it's a monumental achievement for us that we're able to do this transaction which allows us to gain size and stability. And we look forward to your support. Thank you so much guys.

– Mr. Rajesh Chebiyam - Executive Vice President (Crop Health Sciences), NATCO Pharma Ltd.:

– Thank you.

– Host:

– Thank you for joining us. You may now disconnect your lines and exit the webinar. Thank you.

– END OF TRANSCRIPT

Call: Aug 2025

19th August, 2025

Corporate Relationship Department Manager – Listing
M/s. BSE Ltd. M/s. National Stock Exchange of India Ltd
Mumbai 400 001 Mumbai 400 051
Scrip Code: 524816 Scrip Code: NATCOPHARM
Dear Sir

Sub: - Transcript of earnings conference call held on 13th August, 2025

Ref:- Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements), Regulations, 2015

We are enclosing herewith the copy of transcript of the Company's earnings conference call for Q1 FY25-26 held on 13th August, 2025. The transcript is also available on the website of the company i.e., www.natcopharma.co.in

Thanking you
Yours faithfully
For NATCO Pharma Limited
Ch. Venkat Ramesh
Company Secretary &
Compliance Officer

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"Natco Pharma Limited
Q1 FY '26 Post Results Earnings Conference Call "
August 13, 2025

MANAGEMENT : MR. RAJEEV NANNAPANENI – VICE CHAIRMAN AND
CHIEF EXECUTIVE OFFICER – NATCO PHARMA
LIMITED
MR. RAJESH CHEBIYAM – EXECUTIVE VICE
PRESIDENT – CROP HEALTH SCIENCES – NATCO
PHARMA LIMITED

MODERATOR : MR. HRISHIKESH - B&K SECURITIES PRIVATE
LIMITED

Natco Pharma Limited
August 13, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to NATCO Pharma Limited Q1 FY '26 Post Results Earnings Conference Call hosted by B&K Securities India Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, the zero on your touchtone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Hrishikesh from B&K Securities. Thank you, and over to you, sir.

Hrishikesh: Thank you. Good morning, everyone. On behalf of B&K Securities, I welcome you all to the Q1 FY '26 Earnings Conference Call of NATCO Pharma. Hope everyone is in good health and doing well. On behalf of NATCO today, we have with us Mr. Rajeev Nannapaneni, Vice Chairman and CEO; Mr. Rajesh Chebiyam, Executive Vice President, Crop Health Sciences. I now hand over the call to Rajesh for the management's opening remarks, post which we'll open the session for Q&A. Over to you, sir.

Rajesh Chebiyam: Thank you, Hrishikesh. Good morning, and welcome, everyone, to NATCO's conference call discussing our earnings results for the first quarter of FY '26, which ended June 30, 2025. During this call, we may be making certain forward-looking statements or statements about future events, and anything said on this call, which reflects our outlook for the future, must be

reviewed in conjunction with the risks that the company faces. I'd like to state that the material of the call, except for participant questions, is the property of NATCO and cannot be recorded or rebroadcast without NATCO's expressed written permission.

We'll begin with the call results highlights, followed by an interactive Q&A session. Again, I hope all of you have received the financials and the press release that was sent out earlier. These are also available on our website.

NATCO recorded consolidated total revenue of INR1,390.6 crores for the quarter that ended June 30, 2025, as against INR1,410.7 crores recorded in the same period last year. EBITDA for the quarter was INR632.7 crores, with margins at 45.5%. Net profit for the period on a consolidated basis was INR480.3 crores.

During the quarter, the business faced pricing pressure in the U.S. product portfolio and incurred increased R&D expenses on account of high -value projects. This is also reflected in other expenses being higher for the quarter. The Board of Directors have declared an interim dividend of INR2 per equity share during the quarter.

On the segmental split for the quarter, I'll just briefly outline, which is also shared. The API business clocked INR52.6 crores; domestic formulation, INR107 crores; formulation exports, including profit share and subsidiaries, was INR1,126.5 crores; crop health sciences, INR34.7 crores; other operating and non-operating was INR69.8 crores; totaling INR1,390.6 crores for the quarter.

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Thank you all. We'll take the questions now. We can take the questions when you're ready.

Moderator: Thank you very much. The first question is from the line of Nirali Shah from Ashika Stock Services. Please go ahead.

Nirali Shah: I had a question on Revlimid. Just wanted to know is the Revlimid contribution this quarter broadly in line with the last quarter? Or is it higher? And should we expect a higher contribution in 2Q?

Rajeev Nannapaneni: We don't do a split, but I think it's been consistent. We expect it will continue into the September quarter. I think post -September quarter, I don't think we see much. It will be a decline is what our expectation is.

Nirali Shah: So it would be fair to assume that large part of our quota will be exhaus

ted in first half only?

Rajeev Nannapaneni: Yes, I think most of the earnings will get captured in the first half, yes, that's correct. First half, meaning end of September quarter .

Nirali Shah: Understood. And my next question is on NRC -2694. How many patients have been enrolled so far? And by when do we expect last patient enrollment?

Rajeev Nannapaneni: I think the Phase II is ongoing. I can't recollect how many patients , I think it's more like 13, 14 patients have enrolled so far. -- I think the patients mostly have been done in the U.S. We're also starting an India arm now. When do we expect? I think we need to do about 60 to 70 to reach some sort of definite conclusion of where we stand on that particular indication.

This is an indication for late -stage head and neck cancer after failure of all the existing therapies.

So it's ongoing. I don't want to give a timeline now, but at least yes , it will take some time.

Maybe we'll have more clarity as the year goes by.

Nirali Shah: So maybe mid of FY '27 we can expect some meaningful data readout?

Rajeev Nannapaneni: Yes, I think so , that sounds about reasonable. It is a late-stage drug, I think if you're able to demonstrate some efficacy, it will be interesting. But yes, we'll see how things turnout and keep you informed.

Moderator: The next question is from the line of Rashmi from Dolat Capital.

Rashmi: Sir, while you said that Revlimid, the contribution was consistent this quarter, but have you seen a bigger erosion compared to quarter 4 or the previous quarter and that is impacting our overall EBITDA margin? And also related to that, I want to know that in the press release when you said that the business is seeing pricing pressure in t he U.S., apart from Revlimid also, are you seeing any other pricing pressure in other products?

Rajeev Nannapaneni: I think we're seeing pricing pressure on Revlimid, of course. So I think that's the reason why there's been a dip. Are we seeing pressure in other products? They've been stable, but we also had, fortunately, other launches that have happened. That has also contributed to our profit. So

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overall, the other business has been stable. I mean, there's increase in the sales, but that business has been stable. But yes, Revlimid has seen a decline.

Rashmi: Okay. And my second question is related to the crop health sciences. This time, we have seen a good pickup. So how is the demand picking up? And are we on track to achieve that INR140 crore s, INR150 crore s of sales for this year?

Rajeev Nannapaneni: I think we had a good start and got good receivable. I think things are settling down. We think that this sale will continue. We're losing still money. I think we lost about INR3.2 crores . So, I think we're coming very close to breakeven we're almost there. I think we're doing well.

Moderator: The next question is from the line of Vivek from Inga Ventures.

Vivek: My question is regarding, does you have any breakup of generic and non -generic revenue?

Rajeev Nannapaneni: We don't do such breakup. We don't do breakup like the way you have asked. We do the way we have presented in the earnings.

Rajeev Nannapaneni: Okay. Brand, I mean at a high level, I can tell you all the businesses which are sold outside India are all generic businesses. The India business is mostly the brand business. Otherwise, outside, it's mostly a generic business.

Vivek: Okay, sir. Yes, sir. My second question is, so there is an investment in Eyestem, Series B funding. So why we didn't invest on this round during this round?

Rajeev Nannapaneni: I got your question. We are investing my friend. We are investing as per our proportion of our shareholding. I think our proportion of shareholding, I can't remember the number, but it's like 2% of the company. So, I think we are keeping in this round also, we are, I

think, investing

equivalent to keep our shareholding. We're not gone up on it. We are keeping the shareholding that we have. I don't remember the number, so don't hold me to it, but I think it's a INR2 crore, INR3 crore round. I think it's not a large number. I think we are investing.

Moderator: The next question is from the line of Mehul Panjuani from 40 Cents.

Mehul Panjuani: Sir, what would be the impact on NATCO Pharma if there was a pharma tariffs being implemented in the U.S., worst -case scenario?

Rajeev Nannapaneni: There will be some impact, of course. I mean we aren't foolish to say there will not be any impact. I think you will see I'm giving you a general answer. The U.S. obviously represents a significant part of our portfolio. I speak for the industry. Depending on the level of tariff, I think there will be a disruption initially and then hopefully, we'll be able to pass on some of it to our customers and then we'll see how things go. But yes, we have to deal with it when we have to.

So far, we are okay. But we don't know what the future holds. You just have to brace for it.

Mehul Panjuani: Right. And sir, my second question is what is the reason for the decline in net profit vis -à-vis the 2024 June quarter?

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Rajeev Nannapaneni: I think we already answered that question. We have seen an erosion in our core portfolio and primarily our U.S. business, and I think primarily driven by Revlimid. I think Revlimid has seen some price decrease and which has impacted our profitability.

Mehul Panjuani: Okay. And sir, when would we see a recovery in this one?

Rajeev Nannapaneni: Revlimid over a period of time will decline , I think the market knows this. I think Revlimid will see further decline as the year progresses.

Moderator: The next question is from the line of Rahul Chaudhary, an investor.

Rahul Chaudhary: Sir, this other operating expenses, other expenses have increased disproportionately this year. We had a policy of doing something like 8% of the top line, and you have said high -value R&D expenditure, it's happening for the last, I think, 24 months. Sir, can we not get any color on where we are researching, what we are doing, where will we see the impact? Investors -- shareholders need to know what is there next year, next to next year, sir, beyond the semaglutide because Revlimid is history now, we have made a lot of money. That is my first question, sir. Where are we researching...

Rajeev Nannapaneni: I'll try to answer the best I can. So what we're doing is, see, let us understand our generic business. There are 2 kinds of products you should do. You should do a product which will not have so much R&D expense, but again, the upside is limited or you do these R&D projects, which are \$8 million, \$10 million type of expenditure, but if they pay off, the returns are also very high.

So what we have done, Rahul, is very deliberately spend. We had a reasonable amount of surplus, as you pointed out. So we used this cash flow to spend on some of these projects. And I think what we have done is we have budgeted some projects where we wanted to spend.

The primary products that we are spending on are cancer products, where there's a clinical trial on patients which are very expensive to do and we are doing a lot of peptides and oligopeptide type of products. So this is where we see the future of this business, and we are using the

opportunity of our cash flow to invest in these ideas.

If you want me to name the product, strategically, you don't name them because until you achieve an outcome where you have a successful filing, you typically name them. But I think things are going well. I think we will name them based on our success. I think we'll give some commentary on this in the future.

Rahul Chaudhary: Sir, the follow-up on this -- so as in, like, you are not ge

ting deterred by all these tariffs. You're

still targeting Para IV filings only. I mean that is the strategy we are sticking to that, apart from the cancer that trial that we all know is NRC -2694.

Rajeev Nannapaneni: We're talking about NRC -2694 and also generic, what you call cancer products, where you need to do trials on patients. So these products, some cancer products without naming them, you had to spend like \$7 million, \$8 million. And U.S., I'm not going to get deterred means, I mean, it is

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what it is. You just have to go with the flow. I mean we have to just see what the policy is going to be and based on that, you readjust your strategy. U.S. is still the most important pharmaceutical market in the world. Especially for these types of products, it's 60%, 70% of the business. You can't ignore 60%, 70% of the business and run your business. I think it is what it is. Regarding building a business outside U.S., I think we have made a very bold step. We have bought the second largest company. We've taken a substantial stake in the second largest company in South Africa. We spent INR2,000 crores to diversify our earnings.

We believe over a period of time, this will represent a significant part of our base earnings in the coming years. I would believe South Africa will easily be about 15% to 25% of the base earnings. So we are diversifying away from the U.S. as well. It's not that we are not. But again, you can't ignore U.S. at the same time. So you have to play both the cards.

Rahul Chaudhary: My second question is, sir, what is the intent behind increase in authorized capital, sir? What is the plan?

Rajeev Nannapaneni: I'll tell you what my thinking is. As of now, it's just an enabling resolution. We just want to have the option. I'm targeting another transaction, something like similar to what we did with Adcock and if the number becomes larger, we just want the flexibility to have equity. At this time, I don't need any money because we have enough money in the books.

But if we're doing another large transaction, which can strengthen our base business and we need some flexibility in equity, I just want that option. So we're just taking an enabling resolution from the shareholders so that we have these sort of flexibility if need be to consummate a larger transaction.

Rahul Chaudhary: So the cash on books of INR3,500 crores is including that Adcock's INR2,000 crore investment, right, sir? There was in the presentation.

Rajeev Nannapaneni: No, INR3,500 crores is the cash that we have right now. INR2,000 crores will leave the moment we do this transaction. So the cash will drop to INR1,500 crores post transaction. There will be some accrual of this year's profit, whatever that number is going to be, minus dividend, minus capex. But yes, I think if you were to say that today, let's say, Adcock deal were to happen today, the cash will dip to INR1,500 crores plus the accrual that we're going to have this year.

Rahul Chaudhary: Okay. Sir, Kothur plant, sir, when are we going to get it back?

Rajeev Nannapaneni: So we had 2 inspections. We had the Mekaguda API facility and the Kothur facility. So Mekaguda facility got cleared and we got the EIR. Kothur facility also had an inspection. We had multiple observations there. I believe we have answered all the queries. I'm hopeful that we will get a positive resolution.

We have answered them. So, we've answered in July, I think if I recollect. I think 90 days usually get a reply. So we've given and addressed all the concerns. I'm hopeful that we get something positive. But again, subject to how things go. But again, we are cautiously optimistic that I think we should be able to resolve it.

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Moderator: The next question is from the line of Hrishit Jhaveri from Pi Square.

Hrish

it Jhaveri: Congratulations for a stable quarter. First question on the acquisition of the South African company. What is the outlook for that company going on? And how well do we plan? And do

we plan to increase our stake or this would be the only investment there?

Rajeev Nannapaneni: I didn't hear you well, but if I understand your question, what is our strategy with Adcock and how do we increase our shares? Is that the question, my friend?

Hrishit Jhaveri: Correct, correct.

Rajeev Nannapaneni: So I think we've been looking to diversify our portfolio. I think South Africa is a very interesting market, and it's one of the most exciting markets in the African continent, the most stable country of the lot and we got an opportunity to buy a large stake in a very established setup. Even though it's a substantial minority, it's not a controlling. I felt that it was worth and we get to consolidate the earnings on an associate basis.

And second, we don't have much business in South Africa. We can put all our pipeline that we have in India and South Africa and get a marketing setup and a distribution setup, which would have taken years for us to build. We also got it at a very reasonable valuation, as you have seen. So it will take some time. I mean, the payoff of the investment will take some time.

In the near term, I think shareholders will benefit from their base business that we're getting.

And in the long run, I think we will get our pipeline in, and we'll also work with them to improve efficiencies and bring our pipeline not only from NATCO, from other Indian companies that we have relationships with and so that we can strengthen our portfolio there.

Moderator: The next question is from the line of Bino from Elara Capital.

Bino: Just a follow-up on the other expenses. This quarter, all put together was around INR525 crore. Is this roughly the run rate -- quarterly run rate that we should see going forward?

Rajeev Nannapaneni: No, Bino, it will not be at the quarterly run rate. It will reduce because a lot of the expenses are a lot of onetime batch expenses. So let's say, you're doing a clinical trial or you're doing an exhibit batch for an expensive product, so there's been a lot of expense. You'll see a lot of expensing in this quarter and next quarter, but I think it will reduce, starting from the December quarter.

Moderator: The next question is from the line of Gagan from ASK Investment Managers.

Gagan: So first question pertains to your comment on the increase in authorized capital. You said you are looking for another significant transaction. Can you give us some idea of -- to whatever degree you're comfortable sharing of whether this is a manufacturing-related transaction or a front end or a further increase in Adcock stake?

Rajeev Nannapaneni: We are trying for something that is stable, and which strengthens our base business and gives us more strength in the market that we are operating in. I mean, obviously, all these are borne by

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confidentiality, and these are not done, right? So we have not reached a stage where I can talk about it. But we will do something that strengthens the base business and gives us strength in a market either that we are operating in or in a market that we are not present in, which gives us immediate accretive earnings. I think that's what we are looking at. I think that's the nature of the transaction is the best I can answer at this time.

Gagan: Okay. All right. All right. I have one more. Yes. So on the Adcock, you also indicated that it could be 15% to 25% of the base earnings. When you say base earnings, you're referring to the cumulative PAT of NATCO closing FY '25? And if you could give us some idea of -- because Adcock has had...

Rajeev Nannapaneni: No, it is PAT for '27. Because it's a year it will take to close. I'm assuming a scenario where Revlimid has gone. I'm assuming only all our earnings are without Revlimid and I'm assuming that for the next financial year, not this financial year.

Gagan: Right. And Adcock has had 2 or 3 rather stable sort of years if you look at the -- I mean, if one goes by the statistics that you put out on your presentation. So I mean, do you foresee a change in the growth trajectory post you coming in and to what degree?

Rajeev Nannapaneni: I think we are hoping we'll bring some value. I think certainly, I hope that we could improve those earnings and also, we're hoping that we could bring some of our pipeline from India and use our relationships that we have with other companies and strengthen the pipeline. I think that's the journey that we want to go through.

I think we strongly believe that we can add a lot of value to the asset, and it's a great asset. It wasn't for the transaction; we wouldn't have had access to this sort of assets. And so we're hoping, yes, I think that's the expectation, yes, you're absolutely right.

Moderator: The next question is from the line of Abdulkader from ICICI Securities.

Abdulkader: So sir, in terms of your India business, where are we in terms of launching semaglutide in India? And then from the next 2 to 3 years perspective, how should we look at this portfolio?

Rajeev Nannapaneni: Semaglutide, I think we're on track. We hope to be there when the market formation happens next year. I think that's our expectation, subject to regulatory clarity. All our dosing is completed. First phase dosing is complete. So our readout, I think by November, December, we're expecting

and hopefully, we will be on track in Phase I, so what you call in the Phase I launch with all other generics next year. So I'm hopeful that the product will do well.

Abdulkader: Got it. And sir, then secondly, I heard your opening remarks on your agrochem venture. But then from a product standpoint, I think in the past, you have talked about a couple of more launches to strengthen this business. So sir, I mean, is FY '26 the year where we see those launches or '27, '28 where we expect some meaningful traction getting built up here?

Rajeev Nannapaneni: We have launched a couple of new unique products. I think there's one product called GLANZ, which is the only fungal product other than the innovator that is there.

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Rajesh Chebiyam: So, this season, we've launched about 5 products and a couple of herbicides and then there's a fungicide and insecticides as well and these are all limited competition. So the idea here is you have a portfolio of products, but also introduce, like as Rajeev was just mentioning, this product fungicide called GLANZ brand, which was launched late last year.

Rajeev Nannapaneni: That's doing fairly well because I think part of the reason why our loss dropped is because the gross margin has been higher on the newer launches. I think we are on track to sort of reach the breakeven level is our expectation and the signs of that in the numbers.

Moderator: The next question is from the line of Saumil Shah from Paras Investments.

Saumil Shah: I wanted to know more on your acquisition of Adcock. I mean, by when this transaction will be completed and how much it will add to our bottom line? So I think they are doing a yearly run rate of around INR5,000 crores, and we hold about 35% in that?

Rajeev Nannapaneni: Yes. So we expect the transaction to be completed in the next 2 to 3 months, depending on subject to regulatory clearances and all the other requirements. Regarding the consolidation, I think they're doing turnover of about \$530 million I can't collect the number exactly based on the exchange rate. They have a PAT of around \$47 million or \$48 million. So we'll be able to consolidate 35% of that number. So, \$15 million to \$17 million, I think, depending on what the exchange rate.

Saumil Shah: Okay. So total PAT is around \$48 million?

Rajeev Nannapaneni: You can consolidate 35% of the PAT

Saumil Shah: Yes, yes. So I just wanted the yearly PAT is around USD 48 million.

Rajeev Nannapaneni: Turnover last year was \$536 million and the PAT, I can't remember exactly, but I think it's around \$46 million or \$47 million, so depending on the exchange rate that we're taking. So your question was how much of the PAT we can consolidate, we can consolidate 35% of the PAT, 35.75%. So let's say, for your mathematical simplicity, next year profit, let's say, is \$50 million for mathematical simplicity, 35.75% of that is what you can consolidate.

Saumil Shah: Okay, so I had a confusion -- yes, so can I complete my question? I had a confusion, sir, on your Page 7 of your presentation -- yes, yes, on the Page 7 of your presentation, I think you mentioned financial year June '24, Adcock has done a PAT of ZAR 814 million. That is INR45 million approximately. And on the -- and again, after that, you have mentioned on December '24, they have done a PAT of ZAR 677 million. So this December '24 year-end, they have done ZAR 677 million, is it, USD 38 million?

Rajeev Nannapaneni: EBITDA.

Rajesh Chebiyam: Net profit is INR22 million.

Saumil Shah: So that is yearly profit, INR22 million...

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Rajesh Chebiyam: No, half year, H1.

Saumil Shah: Okay that is only half year. Okay. So in Africa, it's June closing.

Rajeev Nannapaneni: They have not announced their June numbers yet

Saumil Shah: Okay, okay. So this INR22 million is half year...

Rajeev Nannapaneni: They announce every 6 months and their financial year ends in June. So, the June numbers is they've not announced

Moderator: The next question is from the line of Rashmi from Dolat Capital.

Rashmi: Just one question. This quarter, the depreciation was pretty high. So does it have any impairment charges or anything?

Rajeev Nannapaneni: It does actually. I think we had a INR12 crore impairment charge of an equipment that block machinery that we are not using. So I think, yes. Normally, it's around 43, 44. It was 50 something this time. So, I think it's come from I think INR12 crores.

Moderator: Thank you. The next question is from the line of Satya from ICH.

Satya: I'd like to know in the year F Y '27 when Revlimid is not there, what kind of revenue can we expect on a yearly basis?

Rajeev Nannapaneni: In the year financial '26 -'27, you're saying?

Satya: Yes, next year.

Rajeev Nannapaneni: We're not giving guidance for next year. I'll not give guidance right now. I think I need a little more time. Maybe I think end of the year, I think I'll give you some guidance. As of now, no, I don't want to give guidance. It's too early for me to give a guidance. I think there are a lot of moving parts that we have in our business. I have clarity, I think maybe after -- maybe next year, I think I'll give you more clear guidance because a lot of things happening in our company, transactions order. So we'll have more clarity next year. So can I talk about it next time, I don't want to comment.

Moderator: The next question is from the line of Abdulkader from ICICI Securities.

Abdulkader: Sir, just one question on your other expenses, which was slightly inflated because of R&D. to call out for the number which was in excess in this quarter. And for your annual guidance, if you could provide how should we look at R&D for the rest of the year?

Rajeev Nannapaneni : I think a lot of the major R&D expenses are in this quarter and next quarter. I think we have planned it and budgeted in a way that I think June and September quarters will have bulk of the R&D expenditure based on the high -value products that we have. So it will decline. I think you'll see a decline in December quarter and the March quarter. I think that's my expectation.

ectation.

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Abdulkader: Understood. And sir, one final one, if I may. So what would be your cash balance at the end of first quarter?

Rajeev Nannapaneni: As of today, right now, it's about INR3,500 crores is the cash, and this assumes that the Adcock transaction has not happened.

Moderator: The next question is from the line of Gagan Thareja from ASK Investment Managers.

Gagan Thareja: Just wanted to understand, does your deal on Adcock give you provision to raise your stake further? And is the current promoter -- I do not know anything about the current promoter. Can you give some idea? Are they PE or are they founding promoters?

Rajeev Nannapaneni: Okay. We have an option to increase our stake, we have a first right of refusal. So if they want to sell, they should ask us before, we have the right to increase. But the deal right now is only 35.75%. I don't think at this time, they are interested in selling. But however, if they change their mind, we have the right to ask for that stake. So -- but still it's such an attractive company, we said, we'll do this deal even though it's a substantial minority.

Your second question was what? Who is the promoter? Bidvest, it's a very well -known South African conglomerate. They have multiple businesses. It's called Bidvest. I think they have lots of businesses. You can look them up online. So they're well known. So you have a look.

Gagan Thareja: Just one final question. And again, this is when you say that Adcock can be 15% to 25% of, let's say, FY '27 profits, I mean, if you extrapolate on INR20 million, which could be the profit for you, that's around INR160 crores, INR170 crores. Are you saying that NATCO's FY '27 profits could be 5 to 6x of that number? I mean, by inference, that would seem to be the conclusion.

Rajeev Nannapaneni: I would believe so. That's why I don't want to answer that question directly. Give me some time on this, I need some more time on it. I just need more clarity on my business. So I would like to give a guidance before the year starts. So I would request you to hold on until then. Yes, I'll give you a more definite guidance, I think, closer to the end of the financial year.

Moderator: The next question is from the line of Nirali Shah from Ashika Stock Services.

Nirali Shah: I just wanted to know that since you are saying that Revlimid will see pricing pressure as the year progresses, but do we see any scope that in volume terms, we'll be able to capture much bigger share of the market?

Rajeev Nannapaneni: I don't want to answer that question because I don't know what the future holds. That's why I said I'm holding off on giving the guidance, everybody is pressing me on to answer the 27 March numbers. That's why I'm avoiding it because I don't know. So there's so many moving parts and a lot is happening in our portfolio.

We have the semaglutide launch. We have other launches in the ROW business, and we need clarity on how things are. So, I would request at this time, I would just wait, but we'll see how things are. I think maybe by end of the year, I think we'll have clarity on where it is.

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Moderator: The next question is from the line of Mehul Panjuani from 40 Cents.

Mehul Panjuani: Sir, thank you so much for the clarification on this Revlimid. One question, sir, how much of your portfolio is contributed by agrochemicals right now?

Rajeev Nannapaneni: Right now, this quarter, as of now, I think it's there in the segment numbers. INR34.7 crores out of our revenue is agrochemical.

Mehul Panjuani: Yes, yes. Okay, okay. And what about -- sir, these regulatory approvals, which are required for the South African, we will be knowing in 2 to 3 months. So are these depend on Indian as well as South African regulations or just the South African regulati

ons ?

Rajeev Nannapaneni: India, I think we have sorted. I think there's not much. I think we have enough cash, so we're not borrowing much. So I think we have the bank limits. We've given all the guarantees that are required to get the transaction done. In South Africa also, we don't -- I mean, we had to delist the company. So that's why there's a process for it. We're running the process and we believe that obviously, we need to go through the hoops, but we don't face too many challenges because we believe it's a majority South African owned. There's no majority foreign control, right? And the existing controlling shareholder, his shareholding is not changing anything. So we'll continue to remain a majority South African company. And so we don't foresee too many challenges for that particular reason. I think until it's not done, it's not done, right?

Mehul Panjuani: Right. So my last question is about someone -- a fellow participant asked about Eyestem, I don't know what is Eyestem. So if you can elaborate or throw some light on it.

Rajeev Nannapaneni: Okay, fine. Our presentation has it, but I'll just tell you what's going on in our NC E and Cell and Gene investments. So we have multiple investments. I think our presentation reflects about 5 ideas that we have. So Eyestem is one investment we have done, and they are working on a particular disease called dry age -related macular degeneration.

So the gentleman asked us how much you have invested? We invested about \$1 million, and he asked me whether we are investing? They're raising a press, are we investing in that. I said we are investing, and we are keeping our stake. Our shareholding it's like below 2%, 3% type of shareholding. So that is Eyestem.

In addition to that, I think some of the other investors asked us about NRC -2694, which is one of our other NC idea. And I told them where we were on the clinical trial. And of the 5 investments and the biggest is eGenesis, which is \$8 million that we invested from our Canadian entity, which does transplant of genetically modified pigs into humans.

So they have some very interesting data, and there's one particular patient who has done extremely well and still doing well. So that is probably the most exciting among our NC E and Cell and Gene investments at this.

Moderator: The next question is from the line of Rahul Chaudhary, an investor.

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Rahul Chaudhary: Sir, regarding semaglutide, you had said earlier that Stelis is doing the API and you were using a fill finish also. So sir, that is the same thing that is for domestic, are we going to -- for the domestic launch only because there are some articles.

Rajeev Nannapaneni: You have made a wrong assumption. Stelis is called OneSource now. Second, they don't make the API. They make the fill and finish. The API is from outside, not from OneSource, okay? I'm sorry.

Rahul Chaudhary: Okay. So what I was asking is that post -- sir, post the -- when we get our approval, people were -- some media outlets are saying that it's going to track to INR3,000 a month kind of a thing. So will we not lose competitive edge if we keep -- if we outsource everything? Or do we have the margins to play in that kind of a pricing also?

Rajeev Nannapaneni: Rahul, honestly, there are so many moving parts in semaglutide. We could have a 1-hour call discussing that, okay? So there are a lot of things that are there. Let's get some regulatory clarity and get our approval and I can -- there are a lot of moving parts in it. This call won't be enough to explain to you all the moving parts.

So, my answer to you right now is there are a lot of moving parts, and I think I have enough clarity on how to deal with this product and how to have some ideas and strategies and hopefully, they'll work out. And second issue on the pricing and all, I think it's too premature to ta

lk about

it. It will be too premature to talk much about that.

Rahul Chaudhary: Sir, are we getting -- there's this drug called pomalidomide, something pomalidomide. Do we have like a filing there also for pomalidomide?

Rajesh Chebiyam: U.S., we do.

Rahul Chaudhary: So, we haven't sold that product yet, right? so we are still waiting?

Rajeev Nannapaneni: We have a full approval. But yes, I think once the launch will happen, we will talk about it. But at this time, we don't have clarity on the launch date. But yes, once it happens, we'll talk about it.

Rahul Chaudhary: In the sense, we have not...

Rahul Chaudhary: Okay. But we have -- we don't have an agreement with the innovator like how we did in...

Rajeev Nannapaneni: We have a settlement.

Rajesh Chebiyam: Rahul, this is there in investor presentation.

Rajeev Nannapaneni: We already have settled. We have a settlement; we have an approval. The launch date is confidential, but we will disclose closer to the time, yes.

Moderator: We take the next question from the line of Chetan Doshi from TM Financial .

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Chetan Doshi: I have 2 questions. One is this total expense is almost 50% of our turnover. So R&D expense, you said in the earlier conversation that it is going to reduce. But instead of asking the target for this year, can you just give us a brief idea as to what will be the total expense for the current year?

And second question is regarding the South Africa acquisition, can we supply in our brand, the question is related to if U.S. puts tariff on India and the South Africa channel is attractive, then can we pass on the drugs to South Africa unit and they can export to U.S.?

Rajeev Nannapaneni: It doesn't work like that, my friend. I don't know how to answer your question. Every country has its own regulatory approval, and that's how it works. So regarding the question that you asked, it generally where product is produced that from there only you need to export. So, there are rules on country of origin and all.

Chetan Doshi: That doesn't work, okay. And what about the expenses, can you just give...

Rajeev Nannapaneni: From what I can see, it doesn't work. I don't think so .

Chetan Doshi: Okay, okay, okay. And regarding the current year expenses, how much you plan to spend in the current financial year? Can you just give us a brief idea?

Rajeev Nannapaneni: I don't have it top of my head, my friend. What I can only tell you is that it is on the higher side these 2 quarters because we have a lot of high -value products, and it will decline next quarter.

Precise numbers and all, I'm sorry, I don't have the numbers on .

Chetan Doshi: One last one line question. NATCO is higher priced, underpriced or it is fairly priced? How do you look at it from so many years of operation?

Rajeev Nannapaneni: I would believe, - I think, see, we have a very good return on capital. I think we have always got the big jackpots, right? And I just do what is beneficial to our company. And valuation is left to you guys. You value it the way you value it. I have no comment on that, but I think if you look at the portfolio that we have and our PAT and our portfolio and our strategy, I think it is as efficient and as interesting and as exciting as any other company in the industry today. I think that's all I can tell you.

Chetan Doshi: Rajeev, higher price, yes or no?

Rajeev Nannapaneni: I can't answer that question. It is for you to judge, my friend. I can only tell you about the business strategy, and we'll take it from there.

Moderator: The next question is from the line of Vivek from Inga Ventures.

Vivek: Sir, my question regarding guidance for R&D. As you mentioned during previous call, it will be INR400 crores for FY '26. So how can we see for the coming quarter or FY '26 overall?

Rajeev Nannapaneni: It will be a little bit on

the higher side, but I think it will decline in the next quarter. Exact

numbers and all, it's very hard for me to tell. I'm not prepared for it. I think there are too many

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moving parts. So I think we will give you more clarity, I think, next quarter. But as of now, I can't answer that question.

Vivek: So sir, we are going to utilize INR400 crore on R&D during the year?

Rajeev Nannapaneni: I would believe so, yes.

Vivek: Okay. And sir, my second question is regarding the tariff. How much effect do this tariff have on our export formulation as a percentage of total portfolio? There will a drop, then approx how much will be dropped like that?

Rajeev Nannapaneni: I mean it all depends if you're asking a very hypothetical question. But if there were to be a tariff, I think we will have the near term will have some impact, of course, because you'll have contracts and pricing and how much you're able to pass on immediately. I mean, there will be some concern. But I think in the long run, we would like to pass it on to our customers because the margins that we work on most of our products are very low. So, there will be some little bit of disruption initially, but I think eventually we will figure out after a quarter.

Moderator: The next question is from the line of Saumil Shah from Paras Investments.

Saumil Shah: Sir, in the previous call, I think you mentioned that we are estimating a 20% drop in revenue and 30% drop in profits for this year. So do we still hold on to that or due to the acquisition of South African company, we would like to revise it?

Rajeev Nannapaneni: I think for now, I feel like holding on to it. If there's any change, I'll let you know. But as of now, see, again, these are all estimates, my friend. I can only tell you what we see, you asked me. I will ask this question and I gave this guidance. But as of now, it seems all right, I think so, yes, give a few basis points this way, that way, yes, there will be some impact I think thereabouts, yes, I think that's what it looks.

Saumil Shah: Okay, okay. And since the Revlimid prices are dropping, so how is the current quarter, I mean, shaping up? Is it similar to the previous? I mean, how can we look at the second quarter? Would it be similar to the first quarter or it will be further downward?

Rajeev Nannapaneni: I mean I'm hoping it will be similar. But again, we'll only have clarity when the quarter ends. I think there's a lot of moving parts in this business. So I think that's my expectation. But again, I subject myself to correction based on how things go out, but we'll see how things go.

Saumil Shah: Okay. So there is a price erosion further compared to the first quarter?

Rajeev Nannapaneni: I don't know, my friend. Can you give me some time on this? I think we'll have more clarity, I think, when we announce the Q2 numbers.

Moderator: The next question is from the line of Satya from ICH.

Satya: Just wanted to ask any update on the case with Roche?

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Rajeev Nannapaneni: Can you repeat the question? I didn't understand what you said. Please repeat the question.

Satya: I just wanted to ask an update on the case that is going on with the Roche.

Rajeev Nannapaneni: Risdiplam, okay. So, as you're aware, my friend, I think single bench we won. Then they appealed it in 2 bench in Delhi High Court. We're awaiting verdict. We are ready to launch. We already have the product ready. We have everything ready. We have already stated our pricing, what you call, strategy, but we are all waiting . to get clarity on launch from the double bench of Delhi High Court. So, once we have clarity, I think we'll let you know.

Satya: Tentative time line like the second, third quarter, we can see some sales from them?

Rajeev Nannapaneni: You're asking me the timeline,

I think from what I was told, I think we're expecting verdict any moment. I think it will happen any time. We're waiting for the verdict. So, I think any moment, you will hear in the next week or next month, depending on whenever the judge gives the order.

Satya: And just one last question, right? If everything goes well as you are expecting, right, what kind of revenue are you targeting from this particular medicine?

Rajeev Nannapaneni: I think we have the first mover advantage; it will be nice. But again, we have to see who else also comes because there are a lot of moving parts. I think once the judgment comes , I think we can give more clarity. I think then I'll have a better idea of where things are. As of now, I would like to say it's an interesting opportunity. But again, I would like to wait for clarity from the court before we actually start talking about this.

Moderator: The next question is from the line Prabhu, an individual investor.

Prabhu: My question is on R&D. How many R&D products are you planning to file in the U.S. in the current financial year? And within this, how many would be in the peptides and the oligonucleotide space?

Rajeev Nannapaneni: Typically, it depends on how things go. But typically, we file about 7 to 8 products. That's our run rate usually. And usually, we target about 1 or 2 products in the oligo space.

Prabhu: Do we have a plan to extend peptides and oligonucleotides to Canada and Brazil as well?

Rajeev Nannapaneni: It depends on some licensing agreements, like some of them we have tied up with other partners. Yes, sometimes we do extend, yes, depending on the situation.

Moderator: Due to time constraint, this will be the last question, from the line of Prishal Burana, an investor.

Prishal Burana: I want to know about with respect to diversification of business about the business strategy for the market in India and the products planned to be launched in India this financial year.

Rajeev Nannapaneni: If I understood your question correctly, you're asking me what the business strategy for India is. Is that correct, my friend? Is that what you said? Your voice, I couldn't hear clearly. Is that your question?

Prishal Burana: Yes, sir.

Rajeev Nannapaneni: Okay, fine. So India and all, I think we have expectations. I mean, as the 2 products have been mentioned in the call, I think risdiplam, subject to the court outcome, semaglutide subject to regulatory clearance and other issues that are there with the product. So I think these are probably one of the more high-value launches. And -- but the portfolio is doing well. I think as you have seen the numbers, it's growing around 7%, 8% a year, the base portfolio.

But if the new launches come in, then obviously, the growth will be much higher. But I'm actually very optimistic that domestic should do very well. And so we'll see how things go, yes.

Thank you. Thank you so much. I appreciate the time that you guys spent talking to us, and thank you.

Rajesh Chebiyam: Thank you. Thank you all.

Moderator: On behalf of B&K Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

November 20, 2025

Corporate Relationship Department Manager – Listing
M/s. BSE Ltd. M/s. National Stock Exchange of India Ltd
Mumbai 400 001 Mumbai 400 051
Scrip Code: 524816 Scrip Code: NATCOPHARM
Dear Sir

Sub: - Transcript of earnings conference call held on November 14, 2025

Ref:- Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements),
Regulations, 2015

We are enclosing herewith the copy of transcript of the Company's earnings conference call for Q 2 FY25-26 held on November 14, 2025. The transcript is also available on the website of the company i.e., www.natcopharma.co.in

Thanking you

Yours faithfully

For NATCO Pharma Limited

Ch. Venkat Ramesh

Company Secretary &

Compliance Officer

"Natco Pharma Limited Q2 FY26 Earnings Call"

November 14, 2025

M

MANAGEMENT : MR. RAJEEV NANNAPANENI – VICE CHAIRMAN & CHIEF

EXECUTIVE OFFICER , NATCO PHARMA LIMITED

MR. RAJESH CHEBIYAM – EXECUTIVE VICE PRESIDENT ,

CROP HEALTH SCIENCES , NATCO PHARMA LIMITED

MODERATOR : MR. HRISHIKESH – B&K SECURITIES

Natco Pharma Limited

November 14, 2025

Moderator: Ladies and Gentlemen, Good Day and Welcome to Natco Pharma Limited Q2 FY26 Earnings Call hosted by B &K Securities.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Hrishikesh from B &K Securities. Thank you and over to you sir.

Hrishikesh : Thank you. Good afternoon, everyone. On behalf of B &K Securities, I welcome you all to the Q2 FY26 Earnings Conference Call of Natco Pharma. Hope everyone is in good health and doing well.

On behalf of Natco today, we have with us Mr. Rajeev Nannapaneni, Vice Chairman & CEO, Mr. Rajesh Chebiyam, Executive Vice President, Crop Health Sciences.

I now hand over the call to the "Management's Opening Remarks" post which we would open the session for the Q&A. Over to you, sir.

Rajesh Chebiyam : Thank you, Hrishikesh. Good morning and welcome, everyone to Natco's conference call discussing our earnings results for the 2nd Quarter of FY26 which ended September 30th, 2025.

As a disclaimer, during the call we may be making certain forward-looking statements or statements about future events and anything said on this call which reflects our outlook the future must be reviewed in conjunction with the risks that the company faces.

I would like to state that the material of the call except for the participant questions is the property of Natco and cannot be recorded or rebroadcast without Natco's expressed written permission.

So, we will begin with the results highlight and then go for a Q&A and hope all of you have received the Financials and the Press Release that was sent earlier today. These are also available on our

website.

Natco recorded consolidated total revenue of Rs 1,463 crores for the quarter -ended on 30th September 2025 as against 1,434.9 crores as of 30th September 2024.

EBITDA for the quarter was at 679.2 crores with margins at 46.4%.

The net profit for the period on a consolidated basis was Rs 517.9 crores.

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During the quarter, the company has incurred substantial R&D expenses on bioequivalence and one-time employee bonuses in addition to other business-related provisions.

The board of directors have declared an interim dividend of Rs. 1.5 per equity share of Rs.2 during the quarter.

On the segmental revenue split for Quarter 2, the API clocked 53.9 crores, domestic formulations Rs 105.4 crores, formulation exports including the profit share and subsidiaries clocked Rs 1,147 crores, crop health sciences clocked Rs 52.4 crores, other operating and non-operating income was Rs 104.3 crores, all consolidating to Rs 1,463 crores. Thank you, all.

We will take Q&A now.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Rahul, an individual investor. Please go ahead.

Rahul: Hello, sir. My query is that other expenses you said this for research and development on bioequivalence. Does that mean it is for the purpose of Para-IV filings for generic drugs?

Rajeev Nannapaneni: Yes, there are for Para-IV filings for generic drugs and we are doing some clinical trials for first-time generics in India. And so, there are a lot of one-time some substantial costs that we had, and then there was some R&D purchase that we have done which was very expensive. So, that is the reason why the other expenses are a little bit on the higher side.

Rahul: Okay, sir. All right, sir. And, sir, what is the reason for the increase in provisions, very high, relatively earlier we did

not have so much -- is this to cushion the impact for the next two quarters?

Rajeev Nannapaneni: It is a good quarter. So, we thought we will make provisions for contingencies. And I think the major provisions that we have made, one was for patent litigation we have made. So, there is not a cash outflow, but it is a provision and there were some business expenses and then some inventory and so general part for the course for the business. So, they are routine business expenses that we have provisioned for.

Rahul: One last question, sir. Domestic, semaaglutide, we were given phase-III clinical trials somewhere in December or January earlier this year. So, typically how long does it take?

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Rajeev Nannapaneni: We are on target. I think review is all completed. If you file in December, we are hoping that will be in the first wave, which is we are hoping the market will open around March, so, we expect around March.

Moderator: The next question is from the line of Hrishikesh from B&K Securities. Please go ahead.

Hrishikesh: Hi! Good afternoon, everyone. So, quickly Rajeev on the revenue you made update, how has the quarter panned out, are we seeing incremental competition and what is the way forward in 3Q and 4Q? That is my first question.

Rajeev Nannapaneni: So, I think this quarter we have done extremely well. I think that is reflected in the numbers. Regarding Q3 and Q4, we are not expecting much. I think we are seeing more competition. I am not expecting much. I think in our budgeting, we have not kept much revenue from Lenalidomide. So, we see increased competition and uncertainty about whether we will get market share. So, I think we are not budgeting much.

Hrishikesh: But has the market changed vis-a-vis what it was in materially in Q2 versus Q1?

Rajeev Nannapaneni: No. You are asking me what our estimation of Q3, Q4 is. Our estimation is that there will be more intense competition. So, we are not sure whether we will have market share. So, that is the reason why we have not budgeted much.

Hrishikesh: Okay. That is helpful. Second, I mean to Rajeev on the agri front. I mean, what is the status and update on the CTPR running? We have launched. Have we gained enough market share what we expected, what we internal had projected, how -?

Rajeev Nannapaneni: I think the CTPR has done well, especially CTPR combinations have done well. And if you look at the business, now it has grown to about 52 crores this quarter. So, we are at least close to EBITDA positive now. Earlier, we were losing money. Give or take R&D expense here, but I think we are about EBITDA positive at this time. So, it is in a good place. I think we have announced earlier that we will demerge this business from the main company and list it separately and we are targeting that for the year 2026.

Hrishikesh: And just quickly, has CTPR export commenced?

Rajeev Nannapaneni: I think the focus right now is mostly on the domestic business. We have some opportunity, but I think most of the opportunity is in the domestic space.

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Hrishikesh: Thanks.

Moderator : The next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: Thanks for taking my question. Raj eev, for F26, have we made any new Para-IV filings , and are you looking to file anything in H2?

Rajeev Nannapaneni: I think we intend to file another three, four product s. I think whether wi ll be sole FTF and all that, I do not know , but we will speak about it once the filings are done , but we are targeting another three, four filings in the next few months.

Nitin Agarwal: And on Semaglutide, apart from the domestic market, are we looking to enter any of the markets over the next couple of years?

Rajeev Nannapaneni: No, I think the major focus is domest

ic, and then we are looking at some opportunities in the western world. But those do not open up for the next few years. So, right now only India.

Nitin Agarwal: And something more on the India business barring Semaglutide , if you can just give us a little bit more color on how has the business really fair ed over the last couple of quarters, how do you see it moving extra for Semaglutide , how do you see it fairing going forward? And per se , what are your own thoughts on how relevant is Sema for us from our domestic market perspective over the next couple of years?

Rajeev Nannapaneni: I think domestic has done well, and I think it has been stable as you can see. I think this quarter, we had the launch of Risdipam , which is also doing reasonably well. It is not a large product, but nevertheless, it will strengthen the base business. And I think the biggest one will be Semaglutide. Hopefully, if all regulatory approvals, spending, every other thing goes well, we should be in the first wave, So, which I anticipate on March or April. I think everything is on target. My s ense is that we will do well next year. I think the domestic business should do reasonably well. And I think Semaglutide obviously is the big one. So, I think that and the smaller brands also should do well.

Nitin Agarwal: Any commentary on a key subsidiar y to outside of the US in attempts of launches and the kind of scale-up you had in the business?

Rajeev Nannapaneni: December quarter will be the first quarter where we will not have Revlimid substantially. So , I think this will be in a way a different type of a quarter. But my sense is that we are stable. I think we are looking good. I think we have good launches in Brazil. We are the first generic of Carfilzomib in Brazil. So, that is doing reasonably well. So, I think the ROW business, I mean, Saudi is doing well ,
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I think our Canada business also, after the warning letter being lifted in Ko thur, we a re able to do more supplies to Canada. So, our sense is that overall our ROW business is doing well. Domestic is stable. And we have some very good launches lined up in the US next year. So, I think overall we are very excited a nd so we believe the ROW should do well.

Nitin Agarwal: Okay. Thank you so much.

Moderator : The next question is from the line of Kunal Randhe ria from A xis Capital. Please go ahead.

Kunal Randheria: Hi, good evening, Raj eev and Rajesh. Raj eev, any particular launches you want to call out in the US for FY27 and ' 28?

Rajeev Nannapaneni: No, I can not, Kunal, because they are all born e by confidentiality. We have shared our Para-IV pipeline, which is there in our presentation . But exactly you can not name them until we are closer to the launch, Kunal. But I think you should expect in ' 26, '27 we will have one or two, but bigger launches are happening in ' 27, '28. So, '26, '27 will be a little dull, but I think ' 27, '28 on, things will pick up.

Kunal Randheria: Fair point. Fair point. And secondly, again, going back to Sema glutide , the fact that you have an F TF in the US. So, I am just a bit surprised why you are not pursuing opportunities in markets we are present like Canada, Brazil, now South Africa. So, just what is exactly happening there?

Rajeev Nannapaneni: No, South Africa we can do , I think we are doing South Africa, but the paten t opens up not right now, it will open up a little later. Canada and all, we gave it to Via tris. And so we are not in the first wave. I think that is why we are not giving any guidance at this time.

Kunal Randheria: Sorry, you gave it to Via tris, meaning you sold it or is it your partner? I am sorry, I did not get that.

Rajeev Nannapaneni: No, we have a deal, no, Kunal. I t is there in public domain . Our regulated market business is through Viatris and we have a JV with our partner, On

eSource and the regulated market business is through Viatris.

Kunal Randheria: Sure, sure. And Brazil, are you targeting that market?

Rajeev Nannapaneni: We are looking at it, but I think our dossier is not so advanced where I can give you timelines on launch and all. I think once we make significant regulatory progress, I think I will talk about it.

Kunal Randheria: Sure, thanks a lot.

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Moderator : The next question is from the line of Rahul, an individual investor. Please go ahead.

Rahul: Sir, recently, there was a news report of the US government making some deals with the innovators of the Ozempic, Wegovy and substantially reducing the prices for the consumers. Does that not impact us in our future that we thought about the US Semaglutide opportunity?

Rajeev Nannapaneni: No, I think the opportunity is so large, Rahul, it would not matter, I think it is such a large opportunity. When it actually opens up, any share that you take in that volume, you will be very happy. Obviously, there will be some disruption, but overall the opportunity is fairly large.

Rahul: Recently, this news report came about you all winning a government tender from the Chinese term for Olaparib. So, we did not have any disclosure on that. So, that is not very material financially. That is why or it is still not 100%?

Rajeev Nannapaneni: We won the tender, but it is a very cutthroat price, so it is not a material amount. We are selling in China, which is good, and we have a reasonable ROW business. I think you were seeing that in our export business, we are doing reasonably well. But as you rightly said, it is not a very large amount that worthy is speaking about. It is routine one.

Rahul: So, now that we have completed the Adcock purchase, so in Q3, we will see the impact of all the three quarters of Adcock this year's revenue and the profit?

Rajeev Nannapaneni: So, basically what will happen is, I think we need to understand one thing. Now, Lenalidomide is gone. So, what we are going to have are numbers without substantial contribution of Lenalidomide.

I will speak only for the next six months, because I do not want to talk about next year, because we will have more clarity in the next few months. So, we expect our run rate to be around Rs 750 to 800 crores of revenue, and a PAT should be around Rs 135 to 150. I think that is what I can give, which is more or less consistent with the annual guidance that we gave. So, I think for the six months, what is our profit, Rajesh?

Rajesh Chebiyam : Around Rs 1,000 crores.

Rajeev Nannapaneni: About Rs 998 crores. So, I think we will end the year with another extra Rs 250 to 300 crores of extra PAT we were expecting. So, more or less, I think it is on the guidance and Adcock what we are doing is, because we do not have 50 %-plus, we are going to consolidate only the profit, not the service. So, we were able to consolidate partially for this quarter, not the full quarter, because the actual delisting happened only last few days ago. So, for some portion of this quarter, we are able to do. For next quarter onward, we are able to consolidate fully. That is what our expectations. But we will only do
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as an associate and the sales of that entity, if I remember correctly, the exchange rate keeps changing, it is about US\$ 550 million and PAT is around US\$ 46 million, that is a steady state PAT they had, and you can do the math, about 36% is what we want to consolidate.

Rahul: One last question from your presentation, sir. We have this stage on those four or five investments that we have done in Cellegen, Stro Therapeutics and two other things. So, how are we governing our investment there, sir, because these are new niche things, do not they need more investments, like, there is one in mobile drug thing saying al

so, like Stenior Therapeutics, how do we monitor investments there, what these companies are doing?

Rajeev Nannapaneni: We have a team which monitors and I think a lot of these investments are like a skill set that we do not have internally, and we do it to build relationships, to understand what is happening. It is a finite amount of investment, I mean, it is not a large amount. I think as you are aware, I mean, we had a reasonable amount of surplus. I think the amount of money that we have put does not exceed more than 40, 50 crores a year, a lot of these are very small investments. I mean, they are all very exciting ones. I mean, I think obviously the biggest exciting one is the eGenesis one, which is the kidney transplant, where they are taking a genetic engineered pig and putting it in a human. And one of the patients actually lived for more than six months and another patient is still comfortable, so, he is on the pig kidney. So, these are very disruptive investments, my friend. So, if you get any of these right, I mean, you can only do an upside.

Rahul: So, there is a CAR T-cell therapy also and this one. Do we have any provision of increasing our investment there, equity value, or this is finite?

Rajeev Nannapaneni: I think so. I think any opportunity comes, we will do. I think we are always open to these ideas.

Rahul: Okay, sir. Thank you.

Moderator : The next question is from the line of M C Gupta, an individual investor. Please go ahead.

MC Gupta: Good day, Rajeev. I would like to know, you also talked sometimes back about a takeover in US also. Is that on?

Rajeev Nannapaneni: Could you say that again, please?

MC Gupta: You spoke about a takeover in the rest of the world and one in the US. Is that on, I like you have taken over Adcock.

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Rajeev Nannapaneni: We are looking at different investment options. We are always open. I think we still have substantial cash even after the transaction. So, I think we are looking good. Any opportunity is there, definitely we are looking at.

MC Gupta: Okay. So, US opportunity is still you are looking for, if you get a good opportunity, you will take it?

Rajeev Nannapaneni: Absolutely, yes. Thank you.

MC Gupta: And secondly, about the Adcock turnover, are you expecting a reasonable growth in Adcock also?

Rajeev Nannapaneni: I think so. We just got into the asset. So, I cannot speak about it right now. But yes, I think we expect good growth in the asset and we are going to add a pipeline to the asset as well. So, we are giving our India pipeline and also licensing other products from our partners. So, we believe that it has a lot of substantial growth, not in the near-term, but I think in the long-term, yes, absolutely.

MC Gupta: Thank you.

Moderator: The next question is from the line of Alok Chaudhary, an individual investor. Please go ahead.

Alok Chaudhary: Good afternoon, sir. My question is the Rs 3,900 crores that is lying in your books. In the last call, you have mentioned that we were looking for some acquisition. Is that there in your mind or it will take another three to four months? And my second question is, does it hold any significance now of the FTF of Semaglutide in USA? Because, earlier, around a year back, it was like that you will definitely enter the market and you will generate a good sale, but now many of the pharma companies are there in the market, does it hold any significance and will it have a material impact on your volumes?

Rajeev Nannapaneni: For India, you are saying or for USA?

Alok Chaudhary: For USA.

Rajeev Nannapaneni: Okay, fine. So, let me answer one question at a time. So, first, you said how much cash we have? We have about Rs 3,000 net cash we have, but this is before the Adcock acquisition. So, we spent I think Rs 1,600 crores of the cash we have used for the Adcock acquisition

and we borrowed about Rs 400

crores for the transaction. So, of that Rs 3,900, 1,600 has been used up by the company, plus, there will be some receivable that we will have for the announced quarter. So, we expect the cash will be around maybe Rs 2,700 crores, 2,800 crores is what we are expecting a cash will settle around, but we will see how things work. So, that is our expectation on the cash. Regarding Semaglutide

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opportunity. I think it is an interesting opportunity. I think the FTF means that you will be the only one before everyone else. So, because of competition does not mean that you will not be able to launch a product before everyone else. You can launch provided you get the FTF. This is all subject to regulatory approval and as getting the FTF. That is obviously being the most important thing here. So, we get it and I think we are okay. So, the opportunity still remains interesting and even post-exclusivity, for such a large market, there will be a reasonable opportunity. I think that is my sense. I would disagree with you when you say that the opportunity does not exist. It is still a very good opportunity.

Alok Chaudhary: Okay. Okay, sir. And my last question is that, what do you think that you will be able to make up with the sale of Semaglutide that you will be losing with the Revlimid sale may be in three to four years with the same margin or the margin will dilute?

Rajeev Nannapaneni: See, I have already told what our margins are going to be in the next few quarters. So, I think we already spoke about, that is already there on the record. See, our business, the way it works is you have your base business, you have what you get. The trick in this business is that you keep doing something innovative all the time and then you get that jackpot which can give you that something special. So, we keep trying different things. I think we have a lot of FTFs that are there in the next 10-years. If you look at our pipeline, we have Semaglutide which is a few years away, we have Ibrutinib which is a few years away, we have Olaparib, we have Erdafitinib, and they will play out over the next few years. I think about '27 March, we do not have anything. But I think post '27 March, some of these smaller FTF will start paying up. When will we hit that very large number and all? It is all contingent on what pipeline we have and what we file and how we do things. So, you just have to be patient and just look at the pipeline and somewhere we will get a breakthrough. The base will grow around 10-15% every year, I think with the new base that has been set, and then the upside is always there, depending on what order it is.

Alok Chaudhary: Our Revlimid is now off-patented. So, can you be able to sell it on the regulated market and the rest of the world market in the generic form also? At least it can give some traction to the bottom line because we have all the facilities and all. So, are you not looking for the generic product, but you told that you have not provisioned for Revlimid sale in the Q3 and Q4?

Rajeev Nannapaneni: But we will get some sale. I am not saying we will not get any sale. What I am saying is that the sale will be driven by a very high amount of competition. So, we are not giving a very aggressive guidance, that is all we said.

Alok Chaudhary: Okay, sir. That is all from my side. Thank you. And all the best for the future.

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Moderator : The next question is from the line of Deepak Ajmera from IGE India. Please go ahead.

Arpit Tapadia: Hi. Thank you for the opportunity. Arpit this side instead of Deepak. So, my question is regarding that what is the status of making Adcock from public limited companies to private limited?

Rajeev Nannapaneni: It is only private. So, what we have done is we have bought out all the publ

ic shareholding. So, right

now, the company is completely de-listed. So, there are only two shareholders. It is Bidvest and there is Natco. So, only two shareholders in the whole company. That is it. It is a private company right now.

Arpit Tapadia: Got it. And secondly, on the Revlimid side, so for Q3, we will get the sales, is that the understanding correct, that into Q3, we will get the sales as into the previous quarter and from Q4 onwards, the competition starts?

Rajeev Nannapaneni: No, my friend. I think this is it. Q2 is the end. There is nothing in Q3. We do not expect anything. We will have normal sale I think what we are present. Lenalidomide is in multiple markets. We are expecting very heavy competition. So, we are not budgeting any large budgets. I think it is very competitive. And I think depending on what market share we will get, we will see. But we do not expect any big numbers. It will be highly competitive numbers because we do not think it will be a very large one.

Arpit Tapadia: Got it. And on Semaglutide side, so it is all being well, when should we be able to launch the drug?

Rajeev Nannapaneni: If all is well, when we will be able to launch this product in India or in the US?

Arpit Tapadia: India, correct.

Rajeev Nannapaneni: India, we expect in the first wave. I think our clinical trial will get done in December. So, we hope to file for approval by an early January. All the work is done ... I think all the review is completed.

So, we are only waiting for the clinical trial to be reviewed and then they will clear it. So, we are hoping we will be in the first wave in around March, April when the market opens up.

Arpit Tapadia: Okay. And what about US?

Rajeev Nannapaneni: US will take some time. The launch is a few years away. And our regulatory file is still under review and we are answering some queries and the launch date is few years away.

Arpit Tapadia: Got it. And we have recently won some court case in Delhi for a drug. So, what kind of impact does it create on our P&L?

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Rajeev Nannapaneni: It is a small product, I mean, it has got a lot of attention because of the nature of the therapy, it is for Spinal Muscular Atrophy, (SMA), it affects young children who have a genetic defect. It is good that we have launched it. We are the only generic in the market right now. So, we are doing extremely well with the product. But it is not a large market, it is not like Semaglutide type of market, very small, niche, limited market, but we are doing well in that segment and gives us entry into the neurology segment.

Arpit Tapadia: Got it. Thank you. Okay.

Moderator : The next question is from the line of Sen from Dolat Capital. Please go ahead.

Sen: Thank you for the opportunity. I would like to ask that you have said 200-250 crores PAT in H2.

Additional PAT will include Adcock Ingram or how will it come?

Rajeev Nannapaneni: Yes, we are doing about Rs 135-150 crores a quarter from Q3 onwards and partially in this quarter and fully in Q4. Yes, that includes Ingram, that is correct.

Sen: Okay. So, 250 crores will be including Ingram. And suppose the upcoming payment -

Rajeev Nannapaneni: I said Rs 135 to 150 crores per quarter. So, it will be Rs 270 to 300 for the second half of the year.

Sen: Okay. And upfront payment of 2 million will, it will go to intangible, how will the balance sheet, where it will be affected?

Rajeev Nannapaneni: You mean the Adcock investment you are saying?

Sen: Yes, yes, yes.

Rajeev Nannapaneni: So, basically what happens is Adcock becomes the investment in the balance sheet. So, it will be long-term investment. It will go to non-current assets. I think if I know my accounting correctly. And then basically what happens is there is the element of book value, there is the element of what do you call, in tang

ible element of goodwill. So, the some portion you need to sort of amortize, but most of it I think will remain as an investment. So, the numbers are being worked out, but there will be some small element of amortization, but otherwise, yes. But the profits will be shown as associate, not as control, because we do not own 51%.

Sen: Okay, sir. And any guidance you would like to give for to give for FY26, R&D or any filings from the US?

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Rajeev Nannapaneni: I think the guidance covers everything. So, we have done 1,000 crores for the first half and I am

giving a guidance for about Rs 275 to 300 crores for the second half. So, we will end the year with about Rs 1,275 to 1,300 crores PAT. That is what we're giving guidance for. I think it is more or less consistent with what we have given at the start of the year. I think we are on track to meet the guidance.

Sen: Okay, sir. Thank you.

Rajeev Nannapaneni: Okay. Thank you.

Moderator: The next question is from the line of Rahul, an individual investor. Please go ahead.

Rahul: Sir, right from 2010, '12 to '17, our share price was on a steep and you had started this challenging the innovators. But do you not think right now it is the crowded market even the big five Indian domestic pharma companies doing, popping your playbook, I mean, everyone is doing the same thing now, which we did earlier, in the sense, like, do we not have others to copy from?

Rajeev Nannapaneni: So, what is your question, Rahul? So, you think it is a very competitive business and we should not do it, or what is your question?

Rahul: My question is that, I mean, like CDMOs, there are other spaces also, why are we not expanding in other places where there are margins as well? Now, we are not getting the premium by the market for a long time now, for doing what we are doing and we continue to do that. In fact, we are getting beaten back in, we are becoming rich, but only on -

Rajeev Nannapaneni: Okay, fine, I understood. Let me answer your question. See, what is Natco do? Let us understand it.

Natco does generics, okay? It does high quality generics, complex generics and it does it for India, it does it for the world market. And this is the business model that we do. And have we been successful in this business. I think you look at the balance sheet even though last seven, eight years has been very challenging, if you look at our balance sheet, we have grown dramatically. I think the strength of the balance sheet has been dramatic, our assets have increased, went past 10,000 crores this quarter.

So, I mean, have we done well? And if you look at buying of Adcock and all, these are very large transactions we did, which we could not have dreamt about seven, eight years ago considering our size of a balance sheet 10, and we again have a very good pipeline in the future. Regarding CDMO business, when you challenge patents, you can not do CDMO, you can not play both sides, you can either do generics or you do CDMO, you cannot do both. So, you have to choose which camp you are in. And I believe that this is where our future is, this is where our strength is, and this is what we want to do. Regarding like market, multiple fancy and all, it is left to you guys, everybody has a fad

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and then it goes through a cycle. What really in the end sustains is your business execution and what your vision for the larger business is. And you have to just ignore the noise. I think we start looking at stock prices and PE ratios and you will never be able to execute anything. I mean, I am giving a general philosophical thinking and I have been very strong proponent of this. I think you cannot do business thinking about the next quarter. You should be thinking about what the future holds in the next five, 10 years. This is what we focus on. In

the long run, it always pays.

Rahul: If I were to critique your Adcock investment, sir, which is basically doing the normal products, right, like all that stuff, we are in India, why could not we buy a company here, our population is much higher than entire South Africa, and in fact, entire continent of Africa, because you are specialists like in this complex generics and we are from India, so, why are we not doing expanding more here, what prevents us?

Rajeev Nannapaneni: No, absolutely. I will answer your question. I have a very reasonable answer for that question. So, again, this is my personal view, I know the world does not believe it, but it is what I believe, so, I will tell you what I believe. I believe assets in India are extremely expensive. You can not buy any acquisition in India unless you pay 30, 40x EBITDA, a very high quality assets. Second, our assets buy like Adcock. We got it at 10x or 12x EBITDA. There is no comparison. We have multiple that you have outside India and in India. India, everything is highly valued. And second thing is you need to look at return on capital, which is one of the most important criteria that drives my decision. That asset has to perform 4x better than just to meet my South Africa investment. You know what I mean? Buying something 35, 40x and buying something 10x, it has to perform 3x or 4x better to just to match the EBITDA. So, I believe these are better returns and also it is diversifying our business. Because, as you said, our business is very volatile because it is very US-dependent. So, what I am trying to do is bring stability and bring a business, cough and cold is something that we never had in our portfolio. So, you have a very strong base business, which I get criticized a lot, right? So, you do not have a very strong base business. Now, you cannot say that now because we do have a strong base business and South Africa will contribute 25% to 30% of our base earnings, so, which I think helps give you a more sustainable business and hopefully more stability in our earnings.

Rahul: Thank you, sir.

Moderator: The next question is from the line of Alok Chaudhary, an individual investor. Please go ahead.

Alok Chaudhary: Sir, in June 2025, Novo and Emcure, they have launched COVID drug, a Semaglutide 2.4 NG injection. So, sir, by the time you are saying that you will be in the first wave in March 2026, that drug will be around nine months old in the Indian market, and when you will be launching that drug,

maybe they can go for a predatory pricing, so , how will you manage to save your margins and how
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you will be able to do the domestic sale, because by the time three to four months or maybe five months, six months down the line, many of the companies will come in Semaglutide, so, the margins will shrink up , again, can it become another case like Revlimid, that okay, you can generate volume, but margins will not be there. And Natco, by genetically, they work maximum on margins than on volume-driven sales. So, what do you think about that? How you will navigate your sales?

Rajeev Nannapaneni: Fair enough. See, first, let us answer that question one piece at a time. So, I think you are alluding to the Emcure transaction with Novo Nordisk. I think they have taken an in-license deal from Novo Nordisk. Yes, they have launched before and obviously, they have their reach and they will do reasonably well. But the generics will have a price advantage because obviously we will launch at a substantial discount with the innovative prices. So, we believe that the discount will be substantial which will actually increase the size of the market. I am not going to tell you that we are going to make a lot of money in India , I will never say that , I actually agree with you , it will be very competitive. But I think if you are in the first wave

we will at least make some money, we will be able to build some brand and able to do something. Will it be like a jackpot or a vending disruptive? For our domestic business, which is not a very large business, our domestic is only Rs 450 crores annualized. So, for our business, if we add like even Rs 80-90 crores for us, it is like a 20% jump in our base business of our domestic, which is a pretty nice number. Will it be like a jackpot which will generate, let's say Rs 800 crores or 1000 crores for us in Semaglutide India launch? No, it is not going to happen. You are absolutely right. There are too many guys in it and we would not just eat , it will be very competitive , but it is the nature of the beast, right? You accept what it is and then you just move on. But the thing is, you got to keep doing these things but you will never know what will work , right? So, that is how the nature will work.

Alok Chaudhary: Sir, can it not be that once it is off-patent, then you can launch it in the rest of the world and maybe other markets or which will be more profitable for you, the USA, FTF or the Indian launch of Semaglutide?

Rajeev Nannapaneni: US, any day. US, by far. There is no comparison. It is 100 x difference.

Alok Chaudhary: So, that means most of the trust will be for you on the FTF of six months in US, then you will be giving attention to the Indian market given a choice?

Rajeev Nannapaneni: Our thrust will be mostly on US and the other regulated markets which are partnership with Viatris, where I think is a larger opportunity than India. Absolutely right.

Alok Chaudhary: Thank you, sir.

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Moderator: The next question is from the line of Tadavati Sai Surendra, an retail investor. Please go ahead.

Tadavati Sai Surendra: Hello, sir. First of all, congratulations to the management for the stable performance. Going ahead, do you expect the next quarter to be even better with this and also the South Africa investment you completed, when you start seeing some contribution from that side?

Rajeev Nannapaneni: I think I already answered this question. I will repeat it one more time. I think the contribution from Revlimid will drop dramatically for the next two quarters. We have given a guidance of about, I think Rs 750 to 800 crores per quarter and I think PAT guidance of about Rs 135 to 150 crores per quarter. And South Africa will be consolidated partially in this quarter, but fully from next quarter.

Tadavati Sai Surendra: Okay, this is my question. sir. Thank you.

Moderator : The next question is from the line of Guru, an individual investor. Please go ahead.

Guru: Congratulations on your performance so far. I think what I want to understand is like the pipeline that what you have mentioned, right , what is the net expectations in terms of revenue projections for the next five years , what is your projection of the pipeline that you mentioned in terms of value . How much revenue you expect for the next five years for the pipeline that you have?

Rajeev Nannapaneni: What is my expectation of the pipeline , is that what you are saying?

Guru: Let me be clear, right? So, what is the revenue expectation or projection from your perspective for the next five years from the pipeline perspective whatever you have in pipeline , past, present emerging, right , all of these put together for the five years down the line from now , what is the revenue that you project? I think it is order book, right?

Rajeev Nannapaneni: I think, you see, right now, we expect a 10% to 15% growth in our base business. And once exclusivity starts coming in, I think we will see a little more jump. We will have some years where we will have 50, 60% jump in our profits. So, we will do a reset. I think starting from, let's say, '26, '27 will be a bit slow , I think based on what guidance we have given. But I think all

the big launches

are coming in '27, '28, and then slowly we have things in '29. And so I think what you need to do is think of it as two buckets. The base business with the ROW spread where we have should grow

around 10 % to 15%. And when the years that we have exclusivity, you will see a substantial jump in the profits. And the opportunities are already there in our presentation. So, depending on the size of the opportunity, it will play out. So, some of them are US\$ 25, US\$30 million type of opportunities. We have a couple of them which are US\$ 100 million, US\$ 150 million type of opportunities. So,
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depending on which comes in, I think that is what you will see. So, I think that is how we want to look at it.

Guru: Thank you for that. The other question part of it is like real value. Is there any opportunity of value unlocking for the shareholders when it comes to the ROW business , what would be the value unlocking that we can expect , not accurately, but at least some kind of an indicative thing on the value unlock that you probably plan for the agro diversification or whatever is in the pipeline ?

Rajeev Nannapaneni: I think the idea here is that we will demerge the company , I think we are planning the demerger , I think we have announced it. So, we will list that entity maybe sometime in 2026 once all the clearances come through. Value unlocking means I think what we see is this business now is about breaking even now. So, we will list it separately and then we will have special focus on this and it can raise its own capital and grow by itself. Somewhere, I think that business in our setup, it is a very small business. So, I think it will be good for the shareholders. You will get a complete see-through in our crop business and you also have a pharmaceutical business. So , I think the real value, I think you will see it in 2026. What numbers and all, very hard to predict right now .

Guru: That is understood. I mean, can we expect some value unlocking , can we see that as an opportunity? Sorry about that. I think my question more is not on numbers. More of like indicative comments from your side on would that be a good opportunity for shareholder value unlocking, the demerger ? That is all I wanted to understand.

Rajeev Nannapaneni: Absolutely, yes. I think you will get another business which is not being valued in our system because it is of a very tiny business and a very large business in pharma. So, this business will get more attention and I think shareholders will be duly rewarded for the fact that it has been demerged.

Guru: Understood.

Rajeev Nannapaneni: Thank you.

Moderator : Thank you very much. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Management : All right. Thank you all for the wonderful set of questions. Again, once we receive the transcripts, it will be uploaded to the website. Otherwise, all of you have a great day. Thank you very much.

Moderator : Thank you very much. On behalf of Natco Pharma Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

February 18 , 2026

Corporate Relationship Department Manager – Listing
M/s. BSE Ltd. M/s. National Stock Exchange of India Ltd
Mumbai 400 001 Mumbai 400 051
Scrip Code: 524816 Scrip Code: NATCOPHARM
Dear Sir

Sub: - Transcript of earnings conference call held on February 12 , 2026
Ref:- Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements),
Regulations, 2015

We are enclosing herewith the copy of transcript of the Company's earnings conference call for Q 3 FY25-26 held on February 12 , 2026. The transcript is also available on the website of the company i.e., www.natcopharma.co.in

Thanking you

Yours faithfully

For NATCO Pharma Limited

Ch. Venkat Ramesh

Company Secretary &

Compliance Officer

Encl: As above

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"NATCO Pharma Limited
Q3 and FY '26 Post Results Earnings Conference Call "
February 12 , 202 6

MANAGEMENT : MR. RAJEEV NANNAPANENI – VICE CHAIRMAN AND
CHIEF EXECUTIVE OFFICER – NATCO PHARMA
LIMITED

MR. RAJESH CHEBIYAM – EXECUTIVE VICE
PRESIDENT – CROP HEALTH SCIENCE S – NATCO
PHARMA LIMITED

MODERATOR : MR. HRISHIKESH PATOLE - BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the NATCO Pharma's Q3 and FY '26 Earnings Conference Call hosted by Batlivala & Karani Securities India Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing star, the zero on your touch -tone. Please note that this conference is being recorded. I now hand the conference over to Mr. Hrishikesh Patole from Batlivala & Karani Securities. Thank you, and over to you, sir.

Hrishikesh Patole : Hello. Thank you. Good afternoon, everyone. On behalf of B&K Securities, I welcome you all to the Q3 FY '26 Earnings Conference Call of NATCO Pharma. Hope everyone is in good health and doing well. On behalf of NATCO today, we have with us Mr. Rajeev Nannapaneni , Vice Chairman and CEO; Mr. Rajesh Chebiyam, Executive Vice President, Crop Health Sciences. I now hand over the call to Rajesh for the management's opening remarks, post which we'll open the session for Q&A. Over to you, Rajesh.

Rajesh Chebiyam : Thank you. Hrishikesh. Good evening, and welcome, everyone, to NATCO's conference call discussing our earnings results for the third quarter of FY '26, which ended December 31 st, 2025. During this call, we may be making certain forward -looking statements, which are not necessarily historical facts, and anything said on this call, which reflects our outlook for the future must be reviewed in conjunction with the risks that the company faces. We undertake no obligations to update these forward -looking statements. I'd like to state that the material of the call, except for participant questions, the property of NATCO and cannot be recorded or rebroadcast without NATCO's expressed written permission. We'll begin with the call results highlights and followed by an interactive Q&A session. We have updated the financials and press release earlier today. These are also available on our website. NATCO recorded consolidated total revenue of INR705.4 crores for the quarter ended on 31st December 2025 as against INR651.1 crores as of 31st December 2024. EBITDA for the quarter was at INR216.8 crores with a margin at 30.7%. The net profit for the period on a consolidated basis was INR151.3 crores. Revenue from our associated company, Adcock Ingram Holdings , South Africa for the first half of the financial year which ended December 31 st, 2025, was at INR2,464 crores at a profit after tax of INR198 crores. For NATCO, the profit picked for the period, which started from 10th November to 31st December 2025 at 35.75% amounts to INR29.65 crores. So after a one -time/period amortization of INR18.75 crores, the associated profit reflection in NATCO's financials amounts to INR10.9 crores. The Board of Directors have declared an interim dividend of INR1.5 per equity share of INR2 each during Q3 of FY '26. The segmental split has also been shared in the press release. I will not go through the details, but we will take questions, and we'll answer from there. Thank you all.

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Moderator: The first question is from the line of Gautam from Leo Capital.

Gautam: I had a question on GLP -1. Do we have any fill and finish capacity? And if so, is this for an Indian market or an emerging market segment?

Rajeev Nannapaneni: GLP -1 approval is expected sometime this month. It's pending at DCGI. Capacity right now, we are outsourcing from OneSource .

Gautam: All right. And regarding emerging markets, which geographies are we launching in? And will we have our own capacity in the future or just this OneSource capacity?

Rajeev Nannapaneni: As of now, we don't have any capacity. So right now

, our tie -up is for India OneSource we're doing and then we're not actively pursuing emerging markets. We're actively pursuing only regulated markets. So those, I think the launch is a little away.

Moderator: The next question is from the line of Love Gupta from Counter Cyclical Investments.

Love Gupta : Sir, so I was just looking at the statement. We have like about INR2,600 crores, INR2,700 crores cash on our books post the Adcock acquisition. Why don't we consider a share buyback given the current favorable valuations of our share price and reward the shareholders in some -- in that form?

Rajeev Nannapaneni: Actually, the cash position net is about INR2,500 crores. I just want to be more precise. Regarding buyback, at this time, I'm not really thinking about it. I think my sense is that there are further acquisitions to do, and we are actively engaging trying to do another very large transaction , we have enough cash. I would like to preserve my cash for another transaction similar to size of Adcock. I wouldn't want to do a buyback at this time.

Love Gupta: And when do we plan to announce or complete this acquisition? And what ?

Rajeev Nannapaneni: We're actually working on a couple of transactions. Yes. So until it's done, it's not done, right? So we're actively pursuing 2, 3 targets and were hoping we'll be able to close . this in 2025, Adcock. So something large, we want to close at least 1 or 2 we are pursuing. So if we're lucky 2 or at least 1 in 2026, we want to close in this calendar year for sure, all subject to clearance of diligence and clearance of whatever other things that we need to close.

Moderator: The next question is from the line of Rahul Chaudhary, an Individual Investor .

Rahul Chaudhary : Do we know what is the net cash in Adcock Ingram's books?

Rajeev Nannapaneni: Exactly, I don't remember my friend, but I think net debt is 0, I think, or some little bit of cash they have. Net debt, 0 is what I recollect.

Rahul Chaudhary: Sir, regarding this domestic semaglutide, we have 2 applications like, I mean, for the generic Ozempic and generic Wegovy or we -- once since you've got some SE Z approval, it's for -- it's for the diabetes variant, right? There's something which will -- is also there for the weight loss.

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Rajeev Nannapaneni: We have both for Ozempic and Wegovy, we have both the application. So one of the trials is not completed yet. The Ozempic one is what got completed, so for which we got the SEZ committee clearance. So we are expecting the license any moment. I think that's the way, so our expectation is that we launch the diabetes strength when the market opens up shortly.

Rahul Chaudhary: And sir, the court case that we've done is to prevent them from ever winning the patent? Or why are we spending money on stopping? There are so many other companies that also have got approval from the SE Z. What's the logic behind it?

Rajeev Nannapaneni: Logic behind the court case you're saying. I mean, it's a very complicated question at this time, I don't want to answer that question. There is a strategy that we had. I think for the purposes of this call, I would like to say that we're going to launch when the market opens up post March.

Rahul Chaudhary: Okay. So just on this aspect only, for the Wegovy thing also, we will get the approval soon, right? We are working on that? Or is there some trials is pending?

Rajeev Nannapaneni: No, we're working on. I think the clinical trial is expected to complete soon and then we'll file for approval shortly.

Rahul Chaudhary: Sir, my last question is in the export formulations year-on-year, there is an uptick of around INR135-odd crores this year. Is this because of the tailwind of Revlimid or in other things we have done better?

Rajeev Nannapaneni: In fact, there's been literally no Revlimid this quarter. We had 0 Revlimid

this quarter. And these

numbers are with 0 Revlimid, it is a good thing. Whatever tailwind that we got is essentially because our subs have done extremely well. Brazil and Canada has done extremely well. Also, we have done very well in the Middle East. So our strategy of expanding into Emerging Markets has paid dividends.

And you'll see the benefit of that, I think, in the coming quarters. As of now, we're not consolidating for this quarter a substantial amount of profit from Adcock. But I think for the coming quarters, we'll be consolidating Adcock profit as well. So we'll have a steady, strong base business. So, I think you'll see a more steady revenue like we have this quarter.

Moderator: The next question is from the line of Candice Pereira from Dolat Capital.

Candice Pereira: So with regards to the Adcock Ingram acquisition, will there be an annual amortization amount? Or this was just a onetime amortization that will be taking?

Rajeev Nannapaneni: This is a onetime amortization. But we will also have to see, how we're going to account for Adcock profit. So whatever Adcock profit is there, 35.75% of that will be consolidated into NATCO's books. There will be an element of amortization. I think the accountants are working on it. It will be about INR10 crores to INR14 crores per year.

So essentially, a thumb rule for you would be take Adcock's profit, take 35.75% of their profit and remove about INR10 crores to INR15 crores from that for amortization. I mean any one-times happen that I can't project for you. But I think that will be the quarterly amortization. It

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will be split over quarters. So I think maybe about INR3 crores a quarter is what our expectation is.

But I think the accountants are working on finalizing the number, but roughly, I think above that is what my expectation is. So back of our hand, I mean, if you assume that this is a steady-state number and they're able to repeat the numbers, we will be adding about INR35 crores to INR40 crores of PAT to our balance sheet every quarter from Adcock.

Candice Pereira: Okay. That is helpful. And sir, is there any time line for the Crop Health Sciences de-merger in place for now?

Rajeev Nannapaneni: I think we have started the process. So, I think roughly, we're thinking by October, November, but I don't want to say any definite time lines, but this is our, what should I say, goal to do. But I mean, there's a lot of processes that we have to run, right? So I think the process will take whatever time it will take. But our end goal is that we should be able to do it in the next 8, 9 months. But again, we'll keep you updated to give you more accurate timelines. But as of now, that is the expectation.

Candice Pereira: Yes. And one last question is you called out that you are looking at 2, 3 targets for acquisitions. So they are in any particular segments or for domestic market or export?

Rajeev Nannapaneni: I think we're actively looking, I don't want to answer the question directly, but our focus has been looking at Emerging markets and looking at brand business, established brand business. I think that's what we're looking at. This is where we see value in our portfolio. So this is what we're looking at this time.

Moderator: The next question is from the line of Gautam from Leo Capital.

Gautam : Sir, you mentioned that for India, we are outsourcing via OneSource. What capacity are we outsourcing from OneSource is it just or the whole product? And what capacity would be like how many percent ?

Rajeev Nannapaneni: It's fill finish. So you give all the raw materials and they'll convert and give it to you. What capacity am I reserving you are saying? We are only launching for India, right? , India is actually a very tricky market. I'm positive about the semaglutide launch, but I think it will be extremely competitive. I think my expe

ctation is that there are going to be a lot of generics.

We are launching our own brand plus also we're giving to 2 other people. So again, all the other guys also, I think they're launching their own brand, and there are also some out -licensing business that's happening. So , it will be like a crowded 10, 15 generic market and there are a lot of strategies involved in it.

If you ask me, I think the next quarterly call, I'll give you an idea of how the uptake is and what I believe the market will entail in capacity because at this time, it's very early, because there are a lot of permutations combinations like you know that Mounjaro is doing better than semaglutide in the Indian market. But obviously, with a lower price , there will be some uptake.

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I think once we are in the market, when we do the March annual audited numbers in May, I think I can shed better light. Right now, I'm even actually, we need a little more time to give you a little more clarity on guidance on how things are going to play out.

Gautam: But regarding the capacity reserve in sort, is that shareable?

Rajeev Nannapaneni: No, my friend. I can't say anything on this because it's very difficult , I have no idea what the demand is going to be. So once we have a demand clarity and seeing how the market formation plays out, I think I'll give you more color on how I think the things will play out.

Moderator: The next question is from the line of Mr. Hrishikesh Patole from B&K Securities.

Hrishikesh Patole : So quickly, our other expenses have declined sequentially as Y -o-Y. We had earlier highlighted in previous calls that in the post Revlimid area, we will be probably curtailing some cost and R&D if at all. So I mean, what's the major chunk that has gone awa y? And will this be likely a trend going forward quarterly on a quarterly basis?

Rajeev Nannapaneni: I think a lot of the R&D budget in terms of allocation, and all was done in the September quarter, a lot of the projects because we knew that there will be a decline in Revlimid. So a lot of the allocations were done for the next 12 months in September. So , I think that a lot of the R&D for the next few months is covered already for most part. Obviously, there will be some incidental expenditure. Onetime bonuses that we wanted to give, they're all done with September because the anticipated decline in the earnings.

We've been waiting for this moment for almost 4 years. So we've been preparing for this new cost structure and R&D budget, yes. But we're still continuing our strategy of doing complex generics. I don't want to back on doing projects. So we continue to invest. I think there's enough surplus. And the guidance's that we're giving on surpluses are based on after accounting for the R&D expenditure that we intend to spend.

Hrishikesh Patole : And quickly on our NCE and date. So can you just throw on the 2, 3 names that we have on the pipeline and the progress as of now?

Rajeev Nannapaneni: Yes, sure. I think there are 5 ideas we have put on the presentation. I think the most exciting one, if you ask me personally is eGenesis. So eGenesis is doing extremely well. As you know, I mean, this is in public domain. So they have dosed one patient, but they have transplanted kidn ey for one particular patient, and then they had to remove it after 6 months, but another patient doing extremely well, and they're trying to extend it to multiple patients.

And so I think that trial is going extremely well. We are very excited about this investment. And we believe if the trial goes well, this would be a multi -bagger deal in the portfolio that we have. So I think this is probably the most exciting one of the 5 ideas that we have.

Moderator: The next question is from the line of Nitin Gandhi from Inoquest Advisors Limited.

Nitin Gandhi : Yes. Just continuing th

e same question in a different way that where do you see like in 3 to 5 years, this eGenesis potential or the second best idea which can come across within the next 3

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to 5 years. All 5 are unlikely to fructify in 3 years. So if you can share some time frame within which each of them can fructify could be another -- and some quantification, if you can share over 3 to 5 years, may not be 1 year or so.

Rajeev Nannapaneni : I think we always wanted an exposure for NCE. I think this is something that all Indian companies want to do. And I always was very keen on doing it. But what happened is our balance sheet and our bandwidth in the system is never strong. So they always felt okay, the next best way of participating in the NCE pipeline is by through investments. And this is probably the biggest investment we have made among the NCE, I guess. This is \$8 million.

See, this technology is called CRISPR, CRISPR -Cas9 technology. What they do is they do a genetic modification of the pig and which makes it more likely that the humans will accept the kidney. You can do for kidney, you can do for heart, you can do for liver. This is probably the most disruptive thing that's going to happen in medicine.

But these are all very high -risk ideas. I just want to let the investors know that it is a high -risk idea. But if it works, it's truly disruptive. I mean we all know people who always have challenges with kidney and liver and who want to transplant. And if this works, practically, you could use a pig kidney and transform to transplant to humans.

If you ask me, this is an idea of the decade . And as investors of NATCO, you're getting a seed through of one of these ideas. And we invested it very early stage at a very early modest valuation. So I'm actually very bullish about this idea. And I think if it reaches a stage where we're able to demonstrate, let's say, about 25, 30 patients, I think we have a home run and which will play out in my personal view in the next 2, 3 years.

So essentially, you got to transplant the kidney or whichever organ you're trying to do and see how the patient does over a period of 1 year, 12 months, 1 year or 15 months or 18 months. And we've seen one patient who has done well for at least 6 months, which is probably the longest in the world. So I think the second patient is also doing very well. So I think we're in a good place.

I'm actually very excited. So we'll see how things go.

Nitin Gandhi: Sorry, but if you can share something on like we are almost like 1 leg death for kidney transplantation. Spain is the highest where something is going wrong. And you aside leaving maybe 50%, what about rest, which and how adoption could trigger if it's based on some analysis or some sensitivity or what could be the factor to start the adoption?

Rajeev Nannapaneni : See, Spain, I understand it is an exception because Spain has a very active program where there's a lot of cadaver transplant. But culturally, a lot of countries don't allow it. In a lot of countries, it's very difficult to get organs. I mean Spain is a super exception. But if you look at even India, for example, for a moment, yes. So how many people are willing to give their kidney and liver away when somebody passes away, practically none, right?

And how big is the market for kidney and liver? It's huge, right? And if you get a breakthrough, I mean, the potential is enormous. And so the company has a great platform. So I think the potential is enormous, but these ideas , you just have to have the risk appetite and wait. And I

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think if something good happens, I think it will be very exciting. But I think my suggestion is -
- the potential is large. And you just have to show the data that the patients are doing well. So then I think it will be pretty interesting.

Mod

erator: Thank you. The next question is from the line of Ankush Malhotra, an Individual Investor. Please go ahead.

Ankush Malhotra: Good afternoon, sir. The recent exchange filing, there was an update regarding the approval for this erdafitinib from U.S. So what is the significance of this approval for this molecule from the business perspective?

Rajeev Nannapaneni: The litigation is still ongoing. So it's a Para IV, and it's a \$60 million product. So it's not a very large product. We just announced it because we are the first generic which got approved, I think that was significant.

Ankush Malhotra: Just on the time line perspective, sir, how -- when we can see this product launch? Any tentative idea?

Rajeev Nannapaneni: No, no, it's too preliminary at this time. The Para IV litigation is still ongoing. I think it's very premature to talk about the launches. I think our investor presentation has a list of all the Para IVs that we have. So I think at this time, it's very difficult to judge the time lines, but we do have multiple launches over a period of time. So , I think if you look at our pipeline, we have things starting from 2026 till 2035.

So I can't name which molecule when. And some of them we have settlements and some of them we are still litigating. But I think all these launches will play out in the next 8 to 9 years. So I

think that's where the excitement is and I think some of them are sole FTFs and some of them are shared FTFs. So even if some of them come through, I think we are looking at a very, very interesting situation.

Ankush Malhotra: Okay, sir. Thank you, thank you.

Moderator: Thank you. The next question is from the line of Rahul Chaudhary, an Individual Investor. Please go ahead.

Rahul Chaudhary: Sir, I have a marketing suggestion on a lighter note. Now that we are going to be launching the generic Ozempic and Wegovy and we have around 4 lakh retail shareholders plus maybe you can also think about sending a hard copy of annual report with some discount for captive customers. It's INR100 crores, INR150 crore s idea if it's hooked to size, just on a lighter note?

Rajeev Nannapaneni: I think, I should send a hard copy of annual report.

Rahul Chaudhary: And get the discount coupon, sir?

Rahul Chaudhary: Discount coupon for Wegovy is because -- yeah, yeah. Because it's a mass market product.

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Rajeev Nannapaneni: I understand.

Rahul Chaudhary: 20%

Rajeev Nannapaneni: No, we will sell it at such a discount that you will be happy. Not only for shareholders, for everyone, for the whole larger community.

Rahul Chaudhary: Okay, sir.

Rajeev Nannapaneni: Certainly. Okay. Thanks .

Management: Good, good marketing idea, Rahul. Thank you. Next caller, please.

Moderator: Thank you. The next question is from the line of Mihir Desai from Desai Investments. Please go ahead.

Mihir Desai: Thank you. Thank you for the opportunity, sir. Sir, firstly, I wanted to ask you, like if there is an opportunity which comes up for a large acquisition, would you be comfortable to take debt or you would go through a route of fundraise through capital markets?

Rajeev Nannapaneni: I'm not a big fan of debt you're aware of that, but I would make the judgment closer to the time.

I think right now, we have enough cash. So , we don't need any money f . But if the acquisition is large enough, then maybe we'll look at it. Generally, if I do it also, I'll mix it up with some debt and some equity and some cash flow. I think we'll do a mix of all three.

Asking me point blank right now, the answer is like we're not going to raise any capital. But if something happens, yes, I will change my mind. We're shopping. But if something happens, yes, certainly, I think we'll consider that.

Mihir Desai: Sir, a follow -up on this. Do you see any lucrative acquisitions coming up or in pipeline?

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jeev Nannapaneni: Yes, I do. I think a lot of the opportunities are there, especially outside India, there's a lot of opportunities with very reasonable return on capital. So compared to India, I think there are better opportunities outside India.

Just that you have to have the leap of faith and take that currency risk and take the risk of being outside our geography and whatever comes with the political risk or whatever you want to call it, exchange risk, political risk and so on and so forth. But I think the returns outside India are much better than India. I think that has always been my take.

And I mean, obviously, I've been against the grain in the conventional thinking that people have been more comfortable doing acquisitions within India because it's a more certain environment and the variables are more controllable. But having said that, I believe that going out, the return is much higher. I think that's my personal position.

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Mihir Desai: Okay. Yes. Sir, lastly, I wanted to ask on the vision, like if you can throw some road map of, say, 5 to 10 years down the line. And is there a figure in your mind which you can give a ballpark, say, INR10,000 kind of crores of turnover or something of tha t sort?

Rajeev Nannapaneni: I think what we have done is this year, I think we are more or less going to meet the guidance. I think we should do about INR4,200 crores to INR4,300 crores is what my expectation is. Going forward, I mean, obviously, we want to increase our shareholding in Adco ck, but obviously, subject to Bidvest willing to consider our request. So we have that in the shareholding. So that is obviously a quick way to get to your number of INR10,000 crores, if that were to happen.

But at this time, Bidvest has not shown interest in selling their shares. But the agreement allows us to increase in the event they are interested in diluting their shareholding. But at this time, I want to clarify that they're not shown interest. So that is one possibility of getting to the number that you just said.

Another is you have to do a very large transaction again because the way our business is today, organically can only grow so much. Incumbent share in generics is very difficult to snatch away from the incumbent because everybody has their own supply chain, everybody has their share, nobody gives up share.

And you don't disrupt and get that share, you have to do something very disruptive on pricing, which again destroys the value for everyone. So the only way you can achieve that scale you just said, it has to be in combination with the pipeline and an M&A. M&A has to be either supplementing what you're doing in your portfolio or adding a new geography. That's the only way.

And do you have such a number in mind? Of course, we have this number in mind. I'm totally aware of it. But that's the only way. I think without M&A, you'll not get there, simple answer.

Organically, we'll get you to a certain point, but you need to do M&A for sure.

Mihir Desai: Understood. And sir, as the -- like there is a buzz in the industry, people are moving towards pet care and stuff. So do you have an opportunity to explore that market? Or how do you look at that market, sir?

Rajeev Nannapaneni: I've not looked at pet care. I'll be honest with you. We have not looked at pet care. I think our focus has been only to expand our geographical footprint. I think we have been always very U.S. and India focused, and we have not been present in other countries. So very deliberately, I think last 4, 5 years, we have built a geographical footprint with our own subsidiaries in multiple countries.

And so now I think we have a reasonable presence in Canada and U.S. now we have our own front end. Brazil, we have a very good presence. And then obviously, South Africa through Adcock. So I think we're trying to build geogra

phical expansion. I think there's more value to our portfolio than we are getting. And I think the value can be expanded by adding geographies.

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And one biggest market that we are not present in is Europe, especially Western Europe. So a lot of guys are present in that, and that's a market that we are not clearly present. So there's still a lot of like scope for our portfolio in multiple geographies. So I think let me exhaust that, and I think we'll probably come to a different segment.

But I think the oncology portfolio has a lot of scope. So I feel that all the best oncology products for the next 10 years, non-biotech, we have it in our pipeline. And I think there are enough dossiers in the pipeline. So I feel like we are well placed to exploit that.

Mihir Desai: Okay. Sure. Thank you. Thank you for taking my question.

Moderator: Thank you. The next question is from the line of Abdulkader from ICICI Securities. Please go ahead.

Abdulkader: Yeah. Sir, thank you for the opportunity. Sir, did I hear that you're expecting roughly INR4,300 crores of revenue this year for fiscal '26?

Rajeev Nannapaneni: I think so. Based on how things are going, I think 9 months, if I look at my numbers right now, we did INR3,559 crores of revenue. So, we anticipate, we'll maintain, the similar sort of revenue around INR700 crores to INR750 crores. I think that's what my expectation for this quarter is. So if you add the INR750 crores to the INR3,500 crores, so it's about yes, INR4,300 crores is what our expectation is. I think that's where things are going as discussed.

Abdulkader: Okay. Understood, understood. And also ...

Rajeev Nannapaneni: And PAT also, I think we are at almost INR1,150 crores for 9 months. So we'll end with, I think, around INR1,280 crores to INR1,300 crores is what I said.

Abdulkader: Understood. Understood. And sir, on the India front, I think in this quarter, we had a decent growth in that particular segment. So what is driving this uptick in revenues in India, if you could highlight?

Rajeev Nannapaneni: I think India will be primarily driven by semaglutide. I think if I understood you correctly, as your voice was not so clear, but your question is what will drive India revenue in the next 12 months? Is that the question, if I may paraphrase that?

Abdulkader: Yes, sir.

Rajeev Nannapaneni: Okay. So I think from what I understood from your question, I think what's going to drive India revenue, I mean, we have our oncology pipeline that we're launching, but obviously, not large ones. The biggest one will be semaglutide. I think because our business is small, our domestic business is not very large.

I think it's -- we're doing annualized around INR450 crores, INR460 crores. So I think any bump on semaglutide will more than help us grow around 20%. So I think our internal target is that our domestic business should grow more than 20% this year because of semaglutide. And the

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bump is primarily coming because of semaglutide. So a lot of our expectation of domestic growth is coming from semaglutide.

Abdulkader: Understood. Thank you

Moderator: Thank you. The next question is from the line of Marut Saha, an Individual Investor. Please go ahead.

Marut Saha: My only single question is, will there be any Revlimid in this quarter, the running quarter?

Rajeev Nannapaneni: I have not budgeted anything at this time because it's very difficult to judge. So I think we had very little Revlimid in the last quarter, practically zero. It had some amount, but nothing significant. We've not budgeted a heavy amount of Revlimid this quarter because it's very tough to judge how the market is going to be. So I've not budgeted anything. And whatever guidance we have given for PAT this quarter, which is around INR150 crores, doesn't

come much from
Revlimid.

Marut Saha: Okay. Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Abhigyan Srivastav from Marcellus Investment Managers. Please go ahead.

Abhigyan Srivastav: Yeah. I just wanted to learn about the launch time lines, particularly for olaparib. Do we have any information on that?

Rajeev Nannapaneni: We're awaiting tentative approval. So that is one milestone we need to achieve. The second milestone is we are still litigating the product. So we don't have any time lines at this time. So at this time, I can't answer that question. But I think we'll have clarity in the next few months.

Abhigyan Srivastav: Got it. Okay. That's all.

Moderator: Thank you. The next question is from the line of Dr. Kartik Bane from Bajaj Life. Please go ahead.

Kartik Bane: Thank you very much for the opportunity. I would like to know how many MRs do we have on field for semaglutide in India? And what would be the strategy? How many do we actually require?

Rajeev Nannapaneni: So our total MR strength is about 600. And for semaglutide, I think we allocated about 350 to 400 people to promote. So we are covering endocrinologists, specialists and then we're covering consulting physicians. So I think that should be adequate to cover.

Are we covering like every doctor that is there in the group? No, probably not. I think we don't have that level of field force. But I think we'll cover all the key opinion leaders and the key stakeholders will be able to cover, which should hopefully make a meaningful impact on our revenue, so based on the setup that we have.

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Kartik Bane: Okay. And my second question for the Adcock, how much CAGR can we consider for the Adcock's revenue and the PAT?

Rajeev Nannapaneni: I think as of now, I think the business has been flat. I think the historical numbers of Adcock have been there in public domain. So the numbers have been flat. But I think the value that we're bringing for Adcock is the pipeline. I think we have our own oncology pipeline. And we also have relationships with others. So GLP pipeline and then we are talking about HIV. So we're trying to sort of use our relationships and our own pipeline to strengthen Adcock's pipeline and file these products.

The benefit of Adcock in terms of growth of earnings, you'll probably see it in the next 18 to 24 months once these registrations start coming. So I think the real value is seen in 2 years from now. Right now, we will be depending on Adcock's base business for earnings. But I think NATCO's input and the value of that input, you'll probably see 2 years from today. I think that's our expectation. And I think over a period of time, you'll see value.

And also a geographical expansion, right? So we're getting that a lot of the, what I call, feedback that we get from our shareholders is that our revenue and our profitability is so very concentrated. I think we have shown that in the last 3, 4 years, we have done a lot of work to sort of diversify our, what we call, profit base. So now we are seeing more diversified profit base and bring more

stability in earnings. And in spite of not having any Revlimid, I think you have seen that the company has delivered pretty reasonable earnings. And I think we're going to build from here. And we have very good launches coming up in the U.S. in the next 12 months. And also, we have very good launches in Brazil also coming up in the next 12 months. And now with the one letter lifted from our Kothur facility, we anticipate a lot more approvals coming in and also a lot of launch is going to happen. So we see that, from this base, I think we should be able to compound comfortably in the next couple of years.

Kartik Bane: Thank you very much.

Moderator: Thank you. The next question is a follow-up question from Abhigyan Srivastav. Please go ahead.

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Abhigyan Srivastav: Hi, sir. Similar to my question that I asked previously, do you have any idea on when this patent filing would take place for olaparib?

Rajeev Nannapaneni: We have a settlement in the U.S. So the settlement date is bound by confidentiality. So I can't reveal that. But I can tell you that we have exclusivity on the 60-milligram with shared exclusivity. And in one strength, we have sole exclusivity. So I think that's a position that we are in. The launch date and all, I can't answer that question, but it will happen, obviously, in the next few years. The exact date will come back when we are closer to the market formation. And the other question was olaparib. Olaparib, there are multiple patents going into the next 7, 8 years. So we're litigating all of them. It depends on either you have to win in trial or you have to get a settlement date something in the next few years. At this time, it's very premature to sort

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of speak about the U.S. launch of olaparib because we don't have clarity yet. But I think over due course, I think we'll have some clarity.

Abhigyan Srivastav: Got it. Got it. Okay.

Rajeev Nannapaneni:

Moderator: Thank you. The next question is from the line of Gaurav from Ambit Capital. Please go ahead.

Gaurav: Yeah, hi. Thank you. Good evening. Sir, can you call out the R&D spend for this quarter and the 9 months for FY '26?

Rajeev Nannapaneni: Typically, our R&D spend is about 8% of sales. I think that's the rough estimation. I think it's around that. Exact number, I don't have, but I have a rough percentage.

Gaurav: Sir, just this year, we had some revenue from Revlimid this year and that was 8%. So next year, the absolute R&D spend you expect that should continue to grow with these trials of Phase II going on and more complex in the pipeline? Or you expect some moderation there?

Rajeev Nannapaneni: Yes, we can't spend really like we spend it in Revlimid time. So I think there's no doubt in that. I think we're looking at two, three strategies. One is we are looking at -- some generics, we want to do it ourselves and because we have our own front end. And what we are doing is for complex generics, we're looking for partnerships so that we can split the R&D expenditure between a partner and ourselves.

I don't want to stop the momentum that we have -- that we had in the last few years. But I would say that we will split the R&D expenditure. I think some if we have a very interesting idea, we believe with a strong Para IV, then we'll probably go to a partner and say, you know what, why don't we just share the cost so that we can reduce the risk, which has always been NATCO's original model.

But now because we have become a bigger company, I'm doing more R&D on my own books.

But maybe we have to do a little more sharing. But I think the momentum and the train won't stop. I think the motivation won't stop. I think we just have to sort of recalibrate things and probably do a little bit of sharing, but I think the momentum won't. Okay?

Gaurav: Interesting. Got it. Thank you for that. A couple of questions on sema, the U.S. and the India filing. So I think for Ozempic, if I understand, there were 6 NCE -1 filings and for Wegovy, there were probably 3 day 1 filings. Now we have some strength or all strengths of Ozempic, Wegovy where we think we are the sole FTF. So is this as a result of a settlement? Have we got a TA within 30 months? Any clarity on that? What gives us confidence that we are the sole FTP?

Rajeev Nannapaneni: We don't, I think neither do we or any of our competitors have an approval with FDA on semaglutide. Nobody has approval on semaglutide in 30 months. Certain strengths of both the products, we are sole FTF, you're right, absolutely right, and which is covering a significant part of it. Did we get approval in 30 months?

Th e answer is no.

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I think we are answering FDA queries, and I think we need to answer them successfully. Do we have 180 days? I have no answer to that question. But typically, for complex products, people give a little bit of leeway on the 180 days. But having said that, it's premature to talk about it. I think one product we already settled. Ozempic we already settled. I think Wegovy, we were not settled and that's where we are.

Gaurav: Yeah. Thank you. All the best. I will join the queue.

Moderator: Thank you. The next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: Thanks for taking the question. Rajeev, since you mentioned there's not much of Revlimid that you've seen in Q3 and your guidance for Q4. So is it fair to assume H2 is sort of more representative of a base quarter for us, recurring quarter for us going forward, I mean, in terms of before the addition of new products?

Rajeev Nannapaneni: Absolutely. Yes, absolutely, Nitin. Everything is base. I think we -- there's no -- so this is a base business. And from here, we need to grow. Yes, absolutely. And any new launches that we get will be an increment on this as well.

Nitin Agarwal: That's perfect. And secondly, you mentioned that you expect a lot of launches in the U.S. over the next 12 months. If you can give us some color on what kind of launches you're thinking here?

Rajeev Nannapaneni: We have some ANDAs that we're expecting approval in the next few months. So those are non-Para IV ANDAs and which we're marketing through our own front end. So those we're expecting in around April to June quarter, we're expected to draw. Some of these older products we are launching. And we're just waiting for -- one, we're waiting for FDA approval and one we are waiting for -- we are doing some manufacturing tweaking in terms of the equipment. That's the reason why the plan is deferred to April.

And we are expecting at least one of our first to files in the U.S. shared FTF that we're going to launch in the next few months. So that's our expectation. Which one and all, we can't reveal. But yes, one of our shared FTFs, we're going to launch in the next financial year. So benefit of that you'll see in the next financial year, which I think will also add to the baseline.

Nitin Agarwal: Okay. And secondly, on the R&D, have you filed any complex generic this year so far?

Rajeev Nannapaneni: We are going to file about 4, 5 products we have filed. I think the total target is that we're going to file about 8 products. I can't answer that we got any sole FTFs or shared FTF. I let me come back on that because we don't have clarity on that yet.

The really good one that we filed, which was complex and hard to do was probably niraparib. So that was a good one that we filed. We were not FTF. I think another beat us by a few months. So niraparib is a cancer product for which you need to do what we call a patient bio. So I think that was a nice complex one, but yes, but we couldn't get the FTF somebody else got an FTF

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ahead of us. So I think -- so we'll see. I think something will probably hit in the next 12 months. Yeah.

Nitin Agarwal: Okay. And second one, on the non-U.S. export markets, how should you broadly look at these markets? What kind of opportunities do you see in these markets, Brazil, Canada and some of the other emerging markets?

Rajeev Nannapaneni: I think if you see the base earnings, I think a lot of it is coming from emerging markets and a lot of it has come from the Middle East and Brazil, I look at most of our export revenue. So I think Brazil has some very good launches. We have very good approvals coming this year. And I'm very bullish about our emerging markets and add that with our Adcock profit consolidat

ion, I

think our emerging market profit will drive the company's growth.

And even U.S. also, we're going to see some very good launches, and we're very bullish about our U.S. launches as well. So I think 150, 160 is the base. And on that, I believe in '27, we'll see a very strong growth. And the guidance on the growth and all, I'll give you, I think, maybe closer in the May call once we finalized our audited numbers. But I feel very confident that we should grow comfortably in the next couple of years.

Nitin Agarwal: Thank you so much.

Moderator: Thank you. The last question is from the line of Hrishikesh from B&K Securities. Please go ahead.

Hrishikesh: Sir, quickly, what was the sales -- subsidiary sales for 3Q and 9M?

Rajeev Nannapaneni: INR177 crores out of the INR705 crores. Subsidiary sale was INR177 crores.

Hrishikesh Patole And sir, my second question is, can you provide a brief update on manufacturing plant, the U.S.

FDA status?

Rajeev Nannapaneni: We have four FDA plants. So Kothur had a warning letter, which got removed. So that got resolved. Mekaguda also got the inspection this year, and we got clearance for that. Chennai got inspected this year, and we're waiting for classification. We believe the observations are procedural in nature.

We're expecting the classification in the next 30, 40 days and Vizag formulation facility, I think will get an inspection sometime this year. I think it's been due now. I think if I recollect, it's about -- I think it's been about 3 years since the last inspection happened. So 2.5, 3 years. I don't recollect the exact date. So I think we're expecting it.

So to answer your question, out of the 4, I think 3 got inspected in 2025. One has not been inspected. And out of 3 that got inspected, 2, we got clearances and third, we're anticipating clearance. Okay?

Hrishikesh: Thank you.

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Moderator: Thank you.

Rajeev Nannapaneni: Last question, please.

Moderator: Last follow-up question is from the line of Gaurav from AMBIT Capital. Please go ahead.

Gaurav: Yeah, thank you. So sir, on your M&A, you highlighted which areas you are looking for. As per your M&A framework, what kind of valuation multiples are you generally comfortable paying just to help us factor in terms of the size of acquisitions that may because Adcock was relatively on the lower side of an EBITDA multiple. But going forward, would any -- as per your framework, are you able to share what kind of valuation multiples you're comfortable with?

Rajeev Nannapaneni: It's tough to judge. You judge an asset based on the multiple and the growth potential. So it's very difficult to ascribe a particular multiple. You can't walk into a room and say, I want this particular multiple. And so you have to take it by the case. I mean I can't answer your question directly. You take it by the case.

Depending on the circumstance, the market and political issues and stability issues, currency risk, I think it is priced in that manner. So we have to keep an open mind and how are you going to finance it and then take it from there. So, I think that's how you have to look at it. So, with this question, I complete the call today. First of all, let me thank everyone for all the good questions that everybody's asked. And that's it. Thank you so much. Yeah.

Rajesh Chebiyam : Thank you all.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Batlivala & Karani Securities India Private Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jun 2026

June 4, 2026

Corporate Relationship Department Manager – Listing
M/s. BSE Ltd. M/s. National Stock Exchange of India Ltd
Mumbai 400 001 Mumbai 400 051
Scrip Code: 524816 Scrip Code: NATCOPHARM
Dear Sir

Sub: - Transcript of earnings conference call held on May 29, 2026
Ref:- Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements),
Regulations, 2015

We are enclosing herewith the copy of transcript of the Company's earnings conference call for Q uarter and ye ar ended FY25-26 held on May 29, 2026. Th e transcript is also available on the website of the company i.e., www.natcopharma.co.in

Thanking you

Yours faithfully

For NATCO Pharma Limited

Ch. Venkat Ramesh

Company Secretary &

Compliance Officer

Encl: As above

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"Natco Pharma Limited
Q4 FY '26 Earnings Conference Call "
May 29, 2026

MANAGEMENT : MR. RAJEEV NANNAPANENI – VICE CHAIRMAN AND
CHIEF EXECUTIVE OFFICER – NATCO PHARMA
LIMITED

MR. AMIT PAREKH – CHIEF FINANCIAL OFFICER –
NATCO PHARMA LIMITED

MR. RAJESH CHEBIYAM – EXECUTIVE VICE
PRESIDENT – CROP HEALTH SCIENCE S – NATCO
PHARMA LIMITED

MR. RAJEEV MENON – INVESTOR RELATIONS –
NATCO PHARMA LIMITED

MODERATOR : MR. HRISHIKESH PATOLE – 360 ONE CAPITAL
MARKETS PRIVATE LIMITED

Natco Pharma Limited
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Moderator: Ladies and gentlemen, good day, and welcome to the NATCO Pharma's Q4 FY '26 Earnings Conference Call hosted by 360 ONE Capital Markets Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Hrishikesh Patole from 360 ONE Capital Markets Private Limited. Thank you, and over to you, sir.

Hrishikesh Patole : Good afternoon, everyone. On behalf of 360 ONE, I welcome you all to the Q4 FY '26 Earnings Conference Call of NATCO Pharma. Hope everyone is in good health and doing well. On behalf of NATCO today, we have with us Mr. Management: , Vice Chairman and CEO; Mr. Management: , CFO; Mr. Rajesh Chebiyam: , Executive Vice President, Crop Health Sciences; and Mr. Rajeev Menon, Investor Relations. I now hand over the call to Rajesh for the management's opening remarks, post which we'll open the sessi on for Q&A. Over to you, sir.

Rajesh Chebiyam : Right. Thank you, Hrishikesh. Good afternoon, and welcome, everyone, to NATCO's conference

call discussing our earnings results for the fourth quarter of FY '26, which ended March 31, 2026. During this call, we may be making certain forward-looking statements, which are not necessarily historical facts. And anything said on this call, which reflects our outlook for the future must be reviewed in conjunction with the risks that the company faces. We undertake no obligations to update these forward-looking statements.

I would like to state that the material of the call, except for participant questions, is the property of NATCO and cannot be recorded or rebroadcast without NATCO's expressed written permission. We'll begin with the results highlight and then follow up with an interactive Q&A session. NATCO recorded consolidated total revenue of INR4,375.9 crores for the year ended March 31, 2026, as against INR4,784 crores for the last year. The net profit for the period on a consolidated basis was INR1,418.5 crores as against INR1,883.4 crores last year.

For the fourth quarter, which ended March 31, 2026, the company recorded a net revenue of INR816.9 crores on a consolidated basis as against INR1,287.3 crores during fourth quarter of last year. The profit for the fourth quarter on a consolidated basis was INR269 crores, including the share of profit of associates, as against INR406 crores same period last year.

Net profit for the quarter and financial year includes a onetime benefit of INR115 crores as the company has elected to move to the new tax regime from FY '26-'27 and has remeasured its deferred tax assets on MAT credit and other deferred tax assets/liabilities. For the quarter, revenue from the associate company, Adcock Ingram Holdings Limited, South Africa was at INR1,208.2 crores and profit after tax was at INR102.5 crores. NATCO's share of profit based on the current holding stood at INR35.7 crores. Thank you all. Now we'll take the Q&A.

Moderator: Thank you very much. We have the first question from the line of Candice Pereira from Dolat Capital. Please go ahead.

Candice Pereira: So my first question is on the sales. So on a Y-o-Y basis, it is much lower. So I understand it's probably because of Revlimid. But did we have any impact from the West Asia war as well?

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Rajeev Nannapaneni: This quarter, First question was what is the impact? I think as you rightly pointed out, there's an impact of Revlimid that there's a decline. Second question was, did we have an impact of Middle East? We were able to supply the product. We had some

challenges, but we were able to supply.

But there's been an increase in the freight expenses because we had to reroute from our traditional carriers, but we were able to manage.

Candice Pereira: Okay. And also, our other expenses are much higher as a percentage to sales this quarter. Is there any onetime impact of anything in this?

Amit Parekh: So yes, the other expenses largely this quarter, we had higher R&D expenses. And also during the quarter, we had looked into some of the engineering expense and all, there were some write-downs. So net-net, it is largely because of R&D expense and a little bit because of the engineering expense write-down.

Candice Pereira: Okay. Can you quantify this?

Amit Parekh: Yes. So R&D and engineering write-down would be around INR20 crores to INR30 crores. And R&D would be the remaining -- large part of the remaining would be the R&D.

Candice Pereira: Okay. All right. And our FY '27, FY '28, our tax rate would be around 22%, right, according to the new tax regime?

Amit Parekh: So, including the surcharge, it would be around 25%.

Moderator: We will take the next question from the line of Rahul Chaudhary, an individual investor.

Rahul Chaudhary: The presentation doesn't have any guidance for the coming year?

Rajeev Nannapaneni: Our expectation is, Rahul, that we should do about INR3,400 crores to INR3,500 crores of revenue. Our PAT expectation is between INR700 crores to INR750 crores. I'm making an estimate with some assumption of some increase because of the war. But again, I can't predict everything what's going to happen in the year, but there will be some -- we've built in some buffer, but I think that's our expectation that we'll do.

And in addition to that, our South African associate firm should do, depending on the exchange rate, about \$580 million to \$600 million of revenue. And the PAT expectation of that is about \$47 million to \$48 million, again, subject to how the exchange rate moves and other war-related factors. So the associate profit is assumed in the INR700 crores to INR750 crores projection.

Rahul Chaudhary: Sir, this quarter, did it have any substantial pomalidomide revenue? Or we are going to book it in Q1 mostly because it's a 6-month bump up only we'll get the shared...

Rajeev Nannapaneni: I didn't see a bump honestly, Rahul. It's fairly competitive. We had a little bit of a sale, but nothing substantial that can make a meaningful impact on the earnings. It was a reasonable launch, I think we launched with multiple generics, even though namesake it's an exclusivity, but I think we had multiple generics in the first wave. I think 4 or 5 guys had exclusivity. I don't remember

the exact number. So it's been fairly competitive.

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Rahul Chaudhary : Sir, what would be the cash on books? I didn't see in the presentation. I must have missed it.

Amit Parekh: Yes. So net cash would be around INR2,400 crores at a group level.

Moderator: We have the next question from the line of Thadavart hi Sai Surendra, an individual investor.

Sai Surendra : This is Sai Surendra. I have 2 questions, sir. Over the last several quarters, shareholders have been waiting for the meaningful value creation. Can you please explain what are the key triggers that will improve the investor confidence and will drive growth in the coming year?

Rajeev Nannapaneni : So your question is what are the key products for the financial year '26, '27. Is that the question? Did I understand you correctly?

Sai Surendra : Yes, yes.

Rajeev Nannapaneni: I think there are 2, 3 good triggers, Sai. I think one is semaglutide, we have launched. I think it was first generic for the vial. So that is doing reasonably well. We couldn't launch on day 1 on the pen, but we could launch a vial on day 1. We're able to cater to a market which is very price sensitive

. So even the revenue that you're getting for vial is maybe 1/3 or 1/4 of what you're getting on the pen. But in terms of market share, I think there's been a good uptake. Particularly our Brazilian sub is going to do very well. We had a lot of first -time launches in Brazil in our oncology portfolio.

So these 2 will be the major triggers. And of course, we'll be having consolidated income coming from South Africa from our shareholding in South Africa. So I think compared to the past, I think NATCO has a more diversified revenue. And these earnings are without lenalidomide. So obviously, there's a drop compared to last year. I think the impact on our earnings is substantial. But I think in spite of the fact that there's practically no lenalidomide or it's a very competitive lenalidomide, we are able to generate about INR700 crores , our expectation of INR700 crores, INR750 crores is, I think, a reasonable achievement.

Sai Surendra : Okay. Next question. FY '26 was a challenging year compared to FY '25. What is giving the management confidence that FY '27 will be a better year for share?

Rajeev Nannapaneni : See, the way you want to look at this is, I think we have always guided there will be a decline. I think our commentary has always been that we will decline. I think you need to understand that the nature of this business is that you're going to have one -offs and then you're going to do very well at this time. And then when there's going to be a drop, you're going to have a year or 2 where you're going to see a dip.

And again, a larger event happens -- it's a cyclical business, and I think the nature of the beast. And because you bet on a lot of these jackpots, when the jackpot comes, then earnings look good or you have an exclusivity looks good. When you don't have the exclusivity, but I think you must look at it, I take the bigger picture. I think we have a very good pipeline for the future with a lot of exclusivities coming up. We don't have anything in '27. That's true. But I think post '27,

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you'll see some of these other exclusivities will start kicking in. And I think '28 onwards, you'll be able to see a reasonable rise.

Moderator: We will take the next question from the line of Hrishikesh Patole.

Hrishikesh Patole : Am I audible?

Rajeev Nannapaneni : Yes, go ahead.

Hrishikesh Patole : Sir, quickly on the full year subsidiary sales, what was the number?

Rajeev Nannapaneni : Just the subs. Amit, can you help me out, please? Just the subs.

Amit Parekh : Just give me a moment. It's INR 730 crores.

Hrishikesh Patole : Okay. And just a follow -up on that on subsidiaries. I mean you mentioned Brazil on the answer on the previous participant, Brazil doing well. And what about Canada and other markets? I mean, do we expect sema to come through this calendar year in Canada? And how probably -- or any other products in Canada?

Rajeev Nannapaneni : No, we have other oncology products which are coming through both in Brazil and Canada. sema, we don't have a filing in Canada yet. I think we are working on a few things . In the first wave, we are not there in sema. But our oncology pipeline is there in both Brazil and Canada. That's what is going to drive the earnings.

Hrishikesh Patole : Okay. And my second question is on the M&A. I mean, post Adcock, we had said we are looking

for one more. I mean how is the progress there? Any update?

Rajeev Nannapaneni : We are looking at a couple of transactions. Yes, sure. I think as Amit said, we have about INR2,400 crores net cash. So very comfortable we can look at 1 or 2 large acquisitions. So we're looking at different things. As of now, I don't have an update, but hopefully, we'll be able to achieve something in this financial year as well.

Moderator: We will take the next question from the line of Udhaya Prakash from Value Research. Udhaya Prakash

h : Hope I am audible now?

Moderator: Yes. You are audible.

Udhaya Prakash : Sir, I just want to get a picture on growth beyond FY '27. I get that you said that FY '27 will be a muted year, but FY '28 onwards, we can see a ramp-up in revenue and profit based on -- because the exclusivities are losing and everything. So I just want to get a better picture that what kind of medicines are coming up, what therapeutic areas? And most importantly, have we already filed for them? Or are the exclusivities just ending at that period and we'll file for them at that point and the verdict will only be known after that? If you could give us a picture.

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Rajeev Nannapaneni : We can't name which exclusivity is going to happen which year because a lot of these are bound by confidentiality.

We can only disclose them closer to the launch. What I can tell you confidently is that we have some exclusives will get triggered in the financial year '27, '28. And we also have some launches in Brazil and Canada in both '27 and '28, which will drive earnings. So both U.S., Brazil and Canada will drive our earnings. All 3 markets will drive our earnings. You will see the sub-revenues from INR730 crores grow dramatically.

We'll also see exclusivity revenue coming from the U.S. I can't name it, but that question I answered. But I think how much do we see bump in our earnings? I mean that's for the question. I mean, I'll be better able to predict with time, but I think we see that our earnings should compound around 15% to 25% every year starting from '28. So '27 will be a base year where we'll settle around INR700 crores, INR750 crores.

From there onwards, we will be compounded growing around 15% to 25% depending on the level of exclusivity and how much market share we have. I think you'll see a more stable compounding growth rather than the one-offs that you have seen in the past, henceforth for the next 2, 3 years.

Udhaya Prakash : Okay. And the second question is on the South African business that we made an investment recently. I get that in our overall portfolio, it helps us diversify our revenue growth and everything. But from the business perspective, what is the value that NATCO adds for them...

Rajeev Nannapaneni : Okay, Adcock . See, basically, if you look at the world, there are about 10 to 15 markets that you need to be present to be successful. And right now, our position in Adcock is about 35%.

Hopefully, over a period of time, we'll be able to increase our shareholding as and when major shareholder gives us an opportunity. I think that's the arrangement that we have.

So you got to look at these things strategically. -- we're only getting a see-through only on 35%.

But you have to look at that you are a number 2 company in South Africa. And to build a company like that overnight in South Africa wouldn't have been possible without the acquisition.

And in a competitive generic environment like ours, it's very difficult to grow organically. You have to grow inorganic. And unless you do these bold acquisitions, you'll not be able to acquire share and size and scale. This business now is all about scale. We need to be present in those 8 or 10 countries, have a filing in multiple countries and able to get scale. You might get wrong in 1 or 2 markets, but there will be some market that will work and then will give you the ROI and new investment.

And the pipeline is going to get more competitive, and this is the only way you can build. And to get share in these new markets, you have to do an acquisition. If you start from scratch, we've seen in Brazil. Now we are making money, but it's a 10-year journey. So I think you have to wait that long. So I think if you want to jump start things, you need to buy. Otherwise, things won't happen.

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Udhaya Prakash : Ok

ay. If I could squeeze in just another question. So how is the -- what is the outlook for South African pharmaceutical market in your opinion? As in let's say, the growth outlook for the next 5 years? And also, let's say, 5 years later, I know this is a very question, but 5 years later, at a profit level, what is the contribution we think that the investment would contribute to, let's say, around -- can we expect something around 15% to 20%?

Rajeev Nannapaneni : See, right now, if you look at , if you normalize our earnings this quarter, I think South Africa represents about 22% of our earnings right now of our base earnings. See, there are 2 things, my friend. One is that we always were very U.S. focused. So what we are doing deliberately now is trying to build a diversified portfolio in Brazil, Canada, India and U.S. so that we can get earnings which are more diversified, which is what we have achieved through the acquisition. Two, we're doing a lot of new initiatives in terms of finding new products, our oncology pipeline, GLP and all. So the benefit of that, you're able to see over a period of 2, 3 years. Right now, the return that we're getting is probably only slightly better than bank interest. But over a period of time, you will see the benefit where we'll be able to see about 15% to 20% return on capital or even more. But it will take time, but you need - to play this patiently.

Moderator: We will take the next question from the line of Sudhanshu from Marcellus Investment Managers.

Sudhanshu: So my first question is regarding the other expense increase on a quarter -on-quarter basis. So it's a steep jump. And as was explained some time ago, it's primarily being driven by R&D spend. So just wanted to know what is driving this surge in R&D spend? Is it like imminent launch, which is leading to filing expenses and other things? And then secondly, is it going to be the recurring rate at which this expense is expected?

Rajeev Nannapaneni : So there are 2 parts to the question. See, you can't time your R&D expenditure when you start a project, you have to pay. Any R&D expenditure you do is a very long -term investment. Nothing happens within 6 months or 8 months. They all happen 4 years, 5 years, 7 years. You're investing for the future. In terms of the expense this particular quarter, I think part of it is R&D, part of it also we had an inventory write -down of certain stores and spares.

Engineering spares, we had a onetime write -down. So I think that was the reason it happened. In terms of like R&D expenditure next year, I think we expect to spend about 7% to 9%. And in terms of earnings, we have already budgeted that. And I think our PAT assumes this expenditure. You might have 1 quarter where you'll have higher expense quarter, you might have higher profit. But if you sort of normalize it over a year, I think all the expenses are baked in and the profit is after that.

Sudhanshu: Understood. Understood. second question is there is a corresponding surge also in the other income head. So what is the reason on quarter -on-quarter basis, other income is rising?

Rajeev Nannapaneni : I'll tell you what the other income items are. So typically, there's interest income, this PLI income and licensing fee when we do product licensing. And in that particular quarter, we had some licensing income for the India launch of semaglutide. And then we have some other licensing

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income that we got from foreign partners. So I mean, these are all like cyclical depending on the event. Specifically asking for this quarter, these were the major events.

Sudhanshu: Got it. And Rajeev, one question, which is basically regarding the semaglutide launch in India. So you were there in the pen -- I think in the vial market, not in the pen market. So how has been the outcome so far versus your initial exp

ectation, both in terms of the market size that you are seeing, which is forming up and evolving daily and your own performance -- company's own performance in that addressable market?

Rajeev Nannapaneni : It's been a very competitive launch. I mean let me be honest with that. And we couldn't launch on day 1 on the pen for logistical reasons. We launched it a month later. So pen we're getting some share, but we're doing better with the vial than the pen. But fortunately, vial we're the only generic in the market. With our partners, Eris and Glenmark, we're able to get very good share. The run rate now, we are doing our brand is doing about INR2 crores a month. And our partners, I think our sale, if you see, you will be having about INR4 crores to INR5 crores bump in our earnings, including our partners. So, you can say semaglutide has added about INR4 crores a month on our sales , I mean, I'm normalizing it for onetime launch quantities and all. Where do we see this number? I think we are thinking that we should be able to do about INR75 crores to INR100 crores annualized over the year. We'll be able to achieve it. This is our expectations. I mean the market has been super competitive. But I think we got a reasonably good start. We are able to disrupt the market. But still, the market is in terms of sale, it's still with the pen. But the proposition on the vial is this, okay? The pen sells for, I mean, a normalized between INR3,000 to INR4,000. The vial sells for less than INR1,000.

So, there's a market who's unwilling to pay INR3,000 to INR4,000, is willing to pay only INR1,000 per month. So that market we're able to capture. So I mean, there's a play for everyone

in every market, but I think that's our expectation. That's where we are.

Sudhanshu: If I can ask one more question, if there is time. In the last couple of calls, you had mentioned about company looking at a few more acquisitions. So if you have got any update on that front, how or if any target has been identified?

Rajeev Nannapaneni : We are running a couple of transactions. But again, nothing has come to a stage where I can tell you something. But these are always ongoing negotiations. When they come to a stage where we can announce, we'll definitely speak about it. But if the question is, are we working on transactions? Yes, we are working on transactions. Two, are we comfortable doing a transaction?

Absolutely, yes, we can do it. Anything that will strategically strengthen our core business and build geographical distribution. But at this time, I have nothing to report.

Moderator: We have the next question from the line of S. Ram, an individual investor.

S. Ram: Am I audible?

Rajeev Nannapaneni : Yes. Go ahead. Go ahead.

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S. Ram: Yes. Any updates on NRC -2694, sir? When do you see it commercializing?

Rajeev Nannapaneni : I think it's too early stage, my friend. At this time, I have nothing much to report.

Moderator: We will take the next question from the line of Anirudh, an individual investor.

Anirudh: Are we looking to increase our innovative portfolio, like the NRC -2694? Are we planning for any other innovative pipeline ahead?

Rajeev Nannapaneni : That's the only active one that's running in our internal company pipeline. The other ones, primarily, I think the biggest one that we have done is we've done an 8 million investment in eGenesis. That is probably the most exciting of our innovative pipeline. So that you've probably seen the news. They are the first company in the world, which has done a genetically modified pig kidney, which was transplanted into human being.

They have done 2 patients so far. And the patients were able to do well for about 6 months and then finally, they got this. And they're trying to figure out what the right dose is in terms of the immunosuppression, so that could take the program forward.

This is probably the most exciting one. And this will start making progress as we go along.

And in addition to kidney, they're also looking at liver at this time. If you're specifically asking me most advanced of our what we call innovative pipeline, that's probably that investment. So I think that's the most exciting one.

Anirudh: Awesome. And are we planning for completing the acquisition in FY '27? Or is it going to be extended to FY '28?

Rajeev Nannapaneni : Acquisition you're saying? I think we're shopping. I think hopefully, we'll be able to close something in financial year '27. But as I said, these things until it's done is not done. If the question is, are we shopping? Yes. We are hoping to close something? Yes. But have we closed anything yet? No. So I think that's where we are.

Moderator: We will take the next question from the line of Khaled Mohammed from Nirmal Bang.

Khaled Mohammed : I just wanted to ask if you have any tentative milestones for eGenesis business?

Rajeev Nannapaneni : Tentative milestones. I think once they start doing more patients and then once they get an idea of what the right immunosuppression dose is. I think one thing is clear, the fact that the transplant works and the patients are able to do well for about 6 months itself is a very monumental achievement. I think the scheme of things, if you just think that you're able to transplant an animal kidney and put that in a human and that human being is able to do well for a few months is an absolutely monumental thing.

The question now is what's the right immunosuppressant dose, which will make it work. I think it's a question that they're grappling with. And if they have an answer to that question as we keep dosing more patients, I think then you have a breakthrough. I think that's the question that they are trying to answer. And that only time will answer.

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Khaled Mohammed : So do you see that happening in over 3 years, 5 years, anything?

Rajeev Nannapaneni : I think they're trying to recruit more patients. I think my understanding is that they were going to do more transplants in the coming year. So I think in the next 12 to 18 months, I think we'll see more transplants and then they'll have greater experience in terms of what's the right way to handle these patients.

But it's absolutely exciting work and it's absolutely breakthrough work. And this will change science in a big way. So I'm personally very excited. But these are all like moon shots, as you know. I mean we have a reasonable amount of risk. But if we get it right, that 8 million is worth a lot of money. So I think that's okay.

Khaled Mohammed : Yes. I shared -- but when do you see the shares coming to the top line? Like any time line or what's the quantum that you see?

Rajeev Nannapaneni : I can't tell you something that I have no idea about. What I can tell you is that's what happens with. I think you need to understand that when you do these things, it's a binary event. Either you will hit it or otherwise, it won't happen. You just have to be patient and we'll give you patient updates based on whatever we hear. I mean they also can.

They also update their websites regularly and tell about all the major breakthroughs that are happening on breakthrough events. We just have to be patient. Hopefully, in 12, 18 months, we're able to get more breakthroughs, which are more exciting, then I can come back and report to you. But we just have to be patient.

Moderator: We will take the next question from the line of Neeraj Kayal, an individual investor.

Neeraj Kayal : Sir, I wanted to ask you about our Crop Sciences division. I wanted to understand this division, the industry, if you can give any color on that and our business?

Rajeev Nannapaneni : That's a good question. So, I think my colleague, Rajesh will answer and he'll also tell us about our demerging process as well.

Rajesh Chebiyam: So, as you're aware, so we're in the process of demerging the business. And one of the primary reasons we felt also it gives a more focused approach because the business, ultimately, the customers are quite different. See, one of the key things we are pursuing as part of our approach is, again, trying to find molecules which are a little differentiated from most of the other players. And the approach that we have taken towards pharma, right? So products which could be unique, which could be patent controlled, limited competition. So that's the approach that we are taking. So we are slowly building on overall presence in the market, right? It's been only 3, 4 years of our commercial presence actually. And so the past 2 years has been mostly learning in terms of how the market works and all that. But we believe that once you have a very strong product and with the right offering to the farmers, I think we can do wonders. So yes. So in terms of sale, let's say, this year, we ended up close to INR140 crores, right? And as opposed to a declared number for last year was about INR60 crores.

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So from INR140 crores, we certainly have aspirations to grow significantly well. It's also being driven by product launches as well as the penetration with the channels, okay? So the channel partners that we have as compared to most of our peers is still less. So this is the primary. So both products, channels and also the people additions. So all these activities are going on. So I think we're fairly confident going forward. And that's also one of the main reasons for demerging and having more focus on the business.

Moderator: We will take the next question from the line of Rahul Chaudhary, an individual investor.

Rahul Chaudhary : Sir, my first question is -- follow-up question is regarding the semaglutide pen. I don't see any like media or advertisement about the pen launch. You said you've already launched it.

Rajeev Nannapaneni : We launched the pen. We said that when we did the announcement, what we said was we want to launch next month. I think we launched it a while in March, and we said that we launched the pen in April. I think that's what we announced. Actually, when the launch happened, we didn't announce again. We thought it was covered in the earlier press announcement. We will not first launch. So we are not there on day 1. So I think that's the reason why we didn't make so much noise. Typically, when you're day 1, you make more noise and make the announcement. The vial was on day 1, so that's why we announced that we made a little more noise about that.

Rahul Chaudhary : So are we selling it through the digital pharma platforms, like I don't know, like Tata 1mg PharmEasy, like or it's...

Rajeev Nannapaneni : I mean, exactly, I don't know. I think they work with different channels. I think that some digital platforms are also selling our products. But yes, I think we have -- but again, they all require prescription and all. So I think you know what this is.

Rahul Chaudhary : Because I'm using other product of rivals and I'm a NATCO investor, I feel very sad when I have to buy that, and I can't find NATCO's products here in Guwahati.

Rajeev Nannapaneni : I understand, but there are challenges with that as well. I think of the products that we are having in the semaglutide portfolio, our vial has done better than the pen. I think clearly, I think that's where we are at success.

Rahul Chaudhary : Sir, just one last follow-up question. Sir, we are 100% control of what we do, that is our company. And we are going to have a pretty, what do I say, subdued year ahead as per your

own...

Rajeev Nannapaneni : Yes, absolutely.

Rahul Chaudhary : So we have a lot of cash. So are we not at all open to buybacks at a certain price point because...

Rajeev Nannapaneni

i : I mean. No. You asked me a straight question, I'll give you a straight answer. No. I'll tell you the reason for that is because my personal belief is this cash should be used for an acquisition, which will give us more long -term return. I think there are opportunities where we can diversify our portfolio and build a stronger global footprint company. I mean, a lot of the challenges that we

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have had in the last few years have been great, but they've been very few because of our concentrated bets.

And I think we need to evolve into a more diversified bet and as a firm, so that gives you more stable earnings. And for that, you need to do acquisitions. And that's, I think, a superior use of our cash rather than -- buyback can also be considered at the right time. But at this point, my thinking is that let's spend money on it.

Rahul Chaudhary : So sir, just for this acquisition that you are planning or targeting, you must have zeroed it down to a specific geography by now or.

Rajeev Nannapaneni : I can't answer that question, Rahul. We're looking at different deals. When it comes to a certain stage, we'll talk about it, not now at least.

Rahul Chaudhary : Okay. Is it okay within the country as well or all outside?

Rajeev Nannapaneni : I'm bullish outside India. I'm not bullish in India. So, I think valuations outside India are more reasonable compared to India .

Moderator: We have the next question from the line of Hrishikesh Patole from 360 ONE Capital Markets.

Hrishikesh Patole : Am I audible?

Rajeev Nannapaneni: Yes. Please.

Hrishikesh Patole : Yes. So quickly this question is to Rajesh. I mean, given the West Asia war and the subsequent cost inflation, what would be the impact on our agrichem business? I mean we have seen a lot of peers in the agrichem specialty chemical business talk about...

Rajesh Chebiyam: The impact on what, can you please repeat.

Rajesh Chebiyam: What will be the business impact on the agchem business.

Rajesh Chebiyam: Yes, yes. First, one of the things like which Mr. Rajeev also mentioned earlier, the material costs are going up, right? So we have already seen 25% to 30% increase in the input raw materials.

And see, I think even industry, fortunately, most of the procurement for the kharif, at least half of the procurement has already been done. So with that inventory preexisting, we are able to still manage at a price. But going forward, it is uncertain. I think there's likely increases of prices as well.

But we are closely monitoring the market and the competitive behavior as well before we make our decisions. But I think pharma is a little more different, okay? I just want to clarify that. Like pharma, I think even though there's been increase of summer inputs, a lot -- we have a reasonable amount of inventory. So, the impact of that you'll not see in the June and August quarter, we might see it in the later part of the year.

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And the exchange and depreciation was sort of kind of offset some of the increase of raw materials. So, I think net -net, there is an impact, at least the export business has been relatively less impacted than the domestic. I think we see anybody who's doing export relatively, the impact has been less compared to the people who have exposure to outside domestic business. The agrichem business will have more impact because the exposure is high on domestic sales.

But I think as a principle, I'd like to tell you that export business is definitely less impacted.

Hrishikesh Patole : And just to follow up on that. I mean, have we commenced exports?

Rajeev Nannapaneni: For agro business is less very small. Mostly it's domestic.

Rajeev Nannapaneni: Yes, predominantly domestic.

Hrishikesh Patole : And the question was just on the plant status. Can you just provide an update on the plant?

Rajeev Nannapaneni: We have 4 U.S. FDA facilities in our system. We have 2 API plants and 2 finished dosage factories. In the year 2025, we had inspections in 3 of them. Kothur, which is our formulation

facility; Chennai, which is our API facility; and Mekaguda, which is our API facility. So all 3 got inspected, all 3 got cleared and we got EIRs. Vizag is a facility that has not had an inspection, I think nearly, I think I would say, a long time. So we're expecting an inspection sometime this year any moment. So Vizag is the only one which is pending. Otherwise, the other 3 have been inspected in 2024, the last financial year.

Moderator: We will take the next question from the line of Aditya, an individual investor.

Aditya: Am I audible?

Rajeev Nannapaneni: Yes, you are. Go ahead.

Aditya: Sir, so I would like to ask a question that you have planned many expansions in foreign countries.

So what would be the gestation period of that? And when can we see the returns on the P&L?

Rajeev Nannapaneni: I think Brazil, we are seeing right now. Canada has been stable. U.S., we just bought a front end about a few years ago. Still is losing money. So hopefully, this year, we'll be able to break even.

South Africa, we just invested. The value of that will take about I think in my personal view, will take about 3, 4 years before we start seeing value of where we are.

So every business is going through a different phase. Indonesia is still losing money, we want to catch up. So I think if you start from scratch, it takes 5 to 7 years to build a business. If you buy something, then it takes probably 2 to 3 years before we start seeing an outcome. But everything is a very long gestation because just a regulatory approval on a product takes 2, 3 years. So I think that's how the cycle works in our business.

Aditya: So sir, just a follow-up question. We are doing this as a strategy for U.S. plus other countries, right, to diversify the whole portfolio and not be dependent on tariffs, not be exposed to tariffs.

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Rajeev Nannapaneni: Yes. I think if you look at our earnings today, I think our earnings primarily come from 4 markets: India, U.S., Brazil, Canada and now South Africa through our associates. So I would say 5 countries, stand correctly, 5 countries. Earlier, it used to be only U.S. Now we have 5 and the earnings now in these 5 countries are giving the base profitability now.

So I think that's a pretty good diversification that we have done. And it didn't happen overnight.

I mean when we're saying that this event is like this, it has been about the last few years of diligent investment and in R&D and filings and market access and launches and manufacturing for us. We're seeing the fruits of that at this time.

Aditya: Okay. Sir, this is last question from my side. Over the last years, we have seen stupendous margins about 40% to 50%. So do you see that being stable or be it contracting or expanding in the future years?

Rajeev Nannapaneni: I think we've given guidance. I think this year it's going to decline. So as I said, there will be a dip in our earnings this year. This year, I mean, March, obviously, we did about INR1,400 crores PAT, as you're aware. So it's going to drop by half. So I think we will see a contraction for sure. We're going to drop to about INR700 crores, INR750 crores this year. But things will turn around. But as of now, yes, to answer your question, yes, there will be a dip.

Moderator: We will take the next question from the line of Manohar, an individual investor.

Manohar: Sir, am I audible?

Rajeev Nannapaneni: Yes, please go ahead.

Manohar: Sir, my question is that is there any chance the company will get a sustainable and stable profits in the future because we cannot endure this roller coaster like revenues and profit dips.

Rajeev Nannapaneni: See,

Manohar, let me answer this in a way that you're comfortable. See, the nature is you need to accept that certain businesses are roller coaster. I think our communication has been very clear that you're going to have a couple of good years, then you'll only have 1 or 2 years where it's going to dip.

That's the nature of this business. I can't come and tell you when we have the upside, the upside is very strong, and you have extraordinary amount of margins. When things dip normalize, you're not going to have a good year, and that's the nature of this business. And I think as an investor, you need to sort of accept that they're going to have this roller coaster ride.

And what I can do, the best thing I can do, Manohar, is tell you that this is a roller coaster ride, and this is how you need to set your expectation. And this is how it's going to be. And I'm sorry, I don't have a better answer to that question, but that's how it's going to be. But however, having said that, I've been very cognizant about avoiding volatility.

And I think that's why we have done all these investments like South Africa and build this front end in Brazil. Still, in spite of the volatility, we are able to maintain a pretty good profitability.

And we're doing about whatever we projected this year. And it is the way it is.

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Manohar: My other question is that I have been following this NATCO company and you for more than 2 years from now, and you have been very honest with your answers. But is there any chance or your intentions or plans to become NATCO to be a Dr. Reddy or Sun Pharma like company?

Rajeev Nannapaneni: I always aspire for that, Manohar. I always believe that's true success only comes if we're willing to play the game for the long haul. I'll tell you; I'll give you a very honest answer. If you want like great things to happen in the next 5 years, you got to invest for the long term, which means you need to have the ability to ignore short-term earnings volatility. Because when we're investing in something, we need to believe that this investment will work and it will take 3, 4 years to I believe we can build a global company.

I think that journey has already started. And I think our investment in Adcock proves that to you.

And I think if you look at Adcock and NATCO's turnover together, I think we are almost touching more than \$1 billion in revenue. So I think in that sense, we've really built a global company and all with a very modest amount of money that we have had, we're able to build these jackpots and use this money to buy these assets. So I think you just have to be patient. You're going to have 1 or 2 years of difficulty, but in the long run, we'll be able to build a stable growth.

Moderator: We will take the next question from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal: On the -- for the year, if you can just give us a sense on how much -- how many filings and all have you done on the R&D side? Any good filings that have happened? And how are you looking for the R&D part for R&D program for the next year?

Rajeev Nannapaneni: I think we've done about 7 to 8 filings in the U.S. And good ones, we didn't hit any major first to files. Hopefully, this year, we are trying another 8, 9. So trying to target a couple of complex and first to files. Hopefully, we'll have 1 or 2 this year. I think that's our expectation.

Nitin Agarwal: And just to that further, the ones -- the fact that this year, you don't have any major filings and that is a consequence of what? I mean some programs didn't play out as you expected or just higher competition than what you expected at the filing?

Rajeev Nannapaneni: Competition. Just more competition. See, generally, the products that we file and there are like 7 or 8 guys, we just don't talk much about it because it is a commodity filing. The only spe

cial

ones are the ones where you want to be the only one or there's limited amount of competition.

And U.S. is a winner takes all game, right? I mean, especially if you're doing an NCE -1, chances are most products, you have 8 or 10 or 15 or 20 guys who file on day.

So those, there's not much. So where do you make money? You have to file where nobody else files or two, you identify something where nobody has filed and suddenly you file and you first to file. So those are very few and far between. And if we're able to pull off in a 3 to 4 year time period, we were able to pull off even 3 of those, you have done a great job.

So I think we just have to be patient with an eye, the ball, we are on the ball. I think hopefully, we'll pull off another 2, 3. We pulled off enough. I mean, look at our pipelines there in our

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investor presentation. We did FTF on ibrutinib. We have approved in 30 months. We have olaparib.

Hopefully, we'll have 30 months on that -- sorry, exclusivity on that subject to FDA clearance.

And then we have filings of semaglutide. So I mean, we have filings obviously in the pipeline.

So we have carfilzomib, we have FTF. For our, we have FTF. So I mean we have some. And I think hopefully, we'll be able to build a pipeline for another 3 or 4. So then we have something to talk about in the next 7 to 8 years.

Nitin Agarwal: Right. And secondly, if you can give us some more sense on the size of the businesses in Brazil and Canada? And how do you see Brazil, Canada and some of these other emerging markets playing out -- non-U.S. markets playing out for you going forward?

Rajeev Nannapaneni: I think our Brazil turnover of our sub this year was about INR257 crores, plus we have some billing directly from India. So maybe that was about INR30 crores. I don't recollect the number, about INR280 crores. So we are expecting that business should go to INR55 million to INR60 million this year. So that is one big bump you're seeing in our numbers.

Canada, we are expecting will grow around 10% to 15%. It's already a fairly comfortable business. We have a couple of big launches, but that's in '27, '28, not in '26, '27. So that's one. Then obviously, South Africa is going to get added. So I think that's fair. I think these are the major ones that are driving.

Nitin Agarwal: And sorry, what size you said the Canada was this year?

Rajeev Nannapaneni: Canada this year is INR229 crores.

Moderator: We will take the next question from the line of Anirudh, an individual investor.

Anirudh: So you mentioned that from FY '28, we'll be seeing growth. So can we expect the approval for those cancer pipelines that we are planning to launch in Canada and Brazil by H2 of calendar year '27?

Rajeev Nannapaneni: I think the products we're going to launch in '27, '28, when are we expecting approval? Is that the question?

Anirudh: Yes. So when are we expecting the approval for those medicines? Is it within the H2 of FY '27?

Rajeev Nannapaneni: Yes. H2 of financial year '26, '27, we're expecting approval. Based on that, we expect the earnings impact will be in '27, '28.

Anirudh: Got it. And my second question is, what is the expected revenue contribution from those medicines that we are launching in Canada?

Rajeev Nannapaneni: I think the expectation is that we have already spoke about Brazil should do very well this year. And I think we said that we did about a little less than INR300 crores this year in Brazil. That will go to probably INR55 million, INR60 million this year. That's our expectation. So that is

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the biggest bump that we're seeing. In terms of like revenue -wise, we're not splitting, but what we are saying is that we will see our earnings settle around INR700 crores, INR750 crores this year, and we are expecting '27, '28 based on our pip

eline that we're able to grow around 15% to

25%. This is my last question. The next caller will be my last question.

Moderator: We will take the last question from the line of Khaled Mohammed from Nirmal Ban g.

Khaled Mohammed : Yes. So with the acquisitions that I'm seeing and the strategy that NATCO is going to take for the longer term, like you mentioned more stable revenues and earnings, right? So going ahead, what sort of do we see, say, the jackpot kind of business and the stable kind of business, if you could throw some light on that?

Rajeev Nannapaneni: This year is all driven by the base business. We don't have any big launches this year.

Khaled Mohammed : Not this year. In the next 5 years, that sort of time line?

Rajeev Nannapaneni: I think some of the exclusives will kick in. I think the biggest one, obviously, semaglutide. I can't tell you which year where we're expecting launch .

Khaled Mohammed : I mean the acquisition that we have done, so that is to bring more stability, right?

Rajeev Nannapaneni: Correct.

Khaled Mohammed : So the NATCO's legacy is jackpot kind of place, if you get me, right? So in that sense, where do you see NATCO in the next 5 years?

Rajeev Nannapaneni: I think in the next 5 years, our vision is that we are able to build a global company, which has more geographical diversification and bring less volatility in our earnings. However, having said that, if you look at the business today, we don't have those special complex filings, your earnings are not coming. There's no earnings.

If you look at any of our top companies, I don't speak for myself, I speak for any of the top tier companies. If you remove the first wave generic launch or the complex generic out, the earning contribution of these products is representing about 50% to 60 % of the earnings or 70% earnings depending on which company you're talking about.

I think what we can strive to do is to bring about more -- less volatility in earnings. So per se, in an ideal world, I would want our base revenue to contribute 70% of our profit and the first to file or special product to contribute 25% to 30%. Earlier, the ratio was the other way around. So I think that's what we're trying to correct so that we can bring less volatility. I think that is the objective in the next 5 years. Does that answer your question?

Khaled Mohammed : Yes, yes.

Rajeev Nannapaneni: Thank you so much.

Rajeev Nannapaneni: Thank you all.

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Moderator: Thank you very much. On behalf of 360 ONE Capital Markets Private Limited, we conclude this conference. Thank you, everyone, for joining with us today, and you may now disconnect your lines. Thank you.